Supreme Industries Ltd. (SUPREMEIND)

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Call: May 2023

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8th May, 2023
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Sub. : Transcript of the earnings conference call held on Friday, the 28th April, 2023.
' Ref.: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015
Sirs
Pursuant to Regulations 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclose is the transcript of the earnings conference call held for analysts and investors following the announcement of the Audited Financial Statements (both Consolidated and Standalone) for the Quarter and Financial Year ended 3P1 March, 2023, after the Board Meeting held on Friday, 28th April, 2023.
Please take the same on records
Thanking you,
Yours faithfully,
For The Supreme Industries Ltd. ~ (R.J. Saboo)
VP (Corporate Affairs) &
Company Secretary
Encl.: a/a.

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“The Supreme Industries Limited
Q4 FY’23 Earnings Conference Call ”
April 28 , 202 3

MANAGEMENT : MR. M. P. TAPARIA – MANAGING DIRECTOR – THE SUPREME INDUSTRIES LIMITED
MR. P. C. SOMANI – CHIEF FINANCIAL OFFICER – THE SUPREME INDUSTRIES LIMITED
MR. R. J. SABOO – COMPANY SECRETARY AND VICE PRESIDENT , CORPORATE AFFAIRS – THE SUPREME INDUSTRIES LIMITED

MODERATOR : MR. AASIM BHARDE – DAM CAPITAL ADVISORS

Moderator: Ladies and gentlemen, good day and welcome to the Q4 FY'23 Earnings Conference Call of Supreme Industries Limited hosted by DAM Capital Advisors Limited. As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th e conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Aasim Bharde from DAM Capital Advisors. Thank you, and over to you.
Aasim Bharde: Thank you, Yashasvi, and good evening, everyone. On behalf of DAM Capital, I would like to welcome all to Supreme Industries Q4 Results Conference Call, Q4 and FY'23. From the management side, we have Mr. M. P. Taparia, Managing Director; Mr. P. C. Somani, CFO; and Mr. R. J. Saboo, Company Secretary and VP, Corporate Affairs.
Over to you, Mr. Taparia.
M. P. Taparia: Thank you, very much. I am M.P. Taparia, Managing Director of The Supreme Industries Limited. . I along with my colleagues Mr. P C Somani, CFO and Mr. R J Saboo, Vice President (Corporate affairs) & Company Secretary welcome all the participants, who are participating in the discussion of the audited Standalone and Consolidated Financial Results for the Quarter and year ended 31st March, 2023.

The Standalone results and the consolidated results are already with you. I will give brief on Company's Product Operating performance and other highlights.

The Company sold 147414 MT of Plastic goods and achieved net product turnover of Rs. 2 566 Crores during the 4th quarter of the current year against sales of 128607 MT of Plastic goods and achieved net product turnover of Rs. 2519 Crores in the corresponding quarter of previous year achieving volume and product value growth of about 15 % and 2 %, respectively.

The Company sold 506501 MT of Plastic goods and achieved net product turnover of Rs. 9066 Crores during the year under review against sales of 393908 MT and net product turnover of Rs. 7625 crores in the previous year achieving volume and product value growth of about 29 % and 19 %, respectively.

Total Consolidated Income and Operating Profit for the 4th quarter of the current year amounted to Rs. 2610 crores and Rs. 529 crores, as compared to Rs. 2566 crores and Rs. 461 crores, of th e corresponding quarter of the previous year, recording Increase in consolidated income and Operating profit about 2% and 15 %, respectively.

The Consolidated Income and Operating Profit, during the year under review amounted to Rs. 9231 crores and Rs. 13 53 crores, as compared to Rs. 7793 crores and Rs. 1446 crores for the previous year, recording increase of about 18% in consolidated income and decrease of about 6% in Operating profit.

The Consolidated Profit before Tax and Profit after Tax, for the 4th quarter of the current year amounted to Rs. 465 crores and Rs. 359 crores, as compared to Rs. 409 crores and Rs. 324 crores, for the corresponding quarter of the previous year, recording Increase in Profit before Tax and Profit after tax about 14 % and 11 %, respectively.

The Consolidated Profit before Tax and Profit after Tax, during the year under review amounted to Rs. 1111 crores and Rs. 865 crores, as compared to Rs. 1232 crores and Rs. 968 crores, for the previous year, resulting decrease in Profit b efore Tax and Profit after Tax about 10% and 11%, respectively.

The business scenario of all the Product Segments of the Company for the year ended 31st March, 2023 as compared to the previous year has been as under: -

- Plastic Piping System business gr ew by 37 % in volume and 20% in value terms.
- Packaging Product Segment remain s

ame level at volume and grew by 8 % in value terms.
- Industrial Products Segment business grew by 23 % in volume and 31 % in value terms.
- Consumer Product Segment business grew by 5 % in volume and 10% in value terms.

The overall turnover of value added products increase to Rs. 3329 crores as compared to Rs. 2911 crores in the previous year achieving growth of 14%.

The Company has total Cash Surplus of Rs. 738 crores as on 31st March, 2023 as against Cash Surplus of Rs. 518 crores as on 31st March, 2022.

The Company plans to commit capex of around Rs. 750 Crores during the year including carry forward commitments of Rs.153 Crs. at the beginning of the year. The capex is planne d to expand capacities and introduce new range of products across all its segments. The capex plan also includes setting up plant at Malanpur near Gwalior. Entire Capex shall be funded from internal accruals.

Business Outlook

The Country could contain in flationary pressure. Agricultural crops were good. Large investments were taking place in infrastructure by Central and State Governments. Forecast about monsoon was good, giving hope to boost agricultural production in the year. Demand for housing was qui te robust. Due to weak world economic forecast the commodity prices were on downward path which augured well for boosting growth in our country's economy. Cumulative effect of these developments enable the Company to achieve 29 % volume growth in the year thus recovering quite a bit of lost businesses in last two years.

During the year under review the Company achieved volume growth of about 37% in Plastic Piping System made from different plastic materials. Overall the Company sold 3,75,046 Tons of Pipe S ystem compared to 2,74,295 Tons in the preceding year. However due to steep reduction in PVC resin prices, revenue growth was at about 20% over previous year.

PVC is the predominant raw material in the Company's Plastic Pipe business. During the year 22-23 the prices of PVC were again literally in roller coaster mode for second year in succession. The prices of PVC were in downward trend from 1st April'22 till third week of November'22. Overall prices of PVC went down by Rs. 67/ - per kg during that period. This has resulted in large inventory loss. Thereafter from 1st December'22 prices of PVC started increasing till up to January'23 and the rise was close to Rs.15/ - per kg. From 14th March'23 onwards the increasing trend in prices of PVC was arrested. Pric es are now close to stable at lower level leading to boost in consumption in the Country. The Country experienced growth of around 32 % in PVC resin consumption as the previous two years' growth was negative.

The Government at the Centre and States have t aken several initiatives, like focus on Jal Jeevan Mission, Swatch Bharat Abhiyan, Sanitation, affordable housing, smart cities and many more, which all are boosting demand for plastic piping products. The initiatives are much more pronounced in the past y ear. The same trend continues from the beginning of this year also.

The Company incurred a Capex of Rs. 398 crores in the year under review in plastic piping division at its various plants to build higher capacities, increased range and commissioning of three Greenfield projects at Guwahati (Assam), Erode (Tamilnadu) and Cuttack (Odisha). All three Greenfield plants have gone into production during the year one after the another.

The Company has successfully launched Electrofusion Olefins fittings and com pression molded fitting with a portfolio of 179 Nos. The Company plans to increase the range substantially and add another 140 new products during the current year.

The Company has produced PE/AL/PE pipe for house service connections. These type of pipes are now part of house connection design approved for "Nal se Jal" scheme. The com

pression
type fittings for these pipes are also developed to offer complete system of Pe/AL/Pe Pipes applications.

The Company has started manufacturing Piping products at o ne more plant at South zone at Perundurai, District Erode, in Tamil Nadu since December,2022, in addition to its existing plant at Jadcherla in Telangana, making its' presence stronger in southern India. Erode plant is at a strategic location to service Ta mil Nadu, Kerala and part of South Karnataka, cost effectively. The Company has taken in hand to double the capacity of PVC Pipes and also start manufacturing DWC Pipes and Blow Moulded Water Tanks at Erode during this year.

The Business of Cross Laminate d Film (XF) & Products had a de -growth of 5 % in volume terms during the year under review. Company has introduced many new made up products from XF film and was successful in acquiring customers by entering in additional world markets. Exports grew by 12 % over the previous year with presence in 32 countries across the globe.

The Company's furniture business grew by 11 % in value terms against estimated growth of 3% for plastic furniture industry during 22 -23 over previous year. The Company could grow more than the industry due to intensive marketing effort, consistent business policies, launching of several new range of furniture, increase in coverage of uncovered markets and strong brand position as a premium brand. The Company's focus on creating lar ge retail display showroom for plastic furniture was successful.

Industrial Component division is doing reasonably well. The division continues to expand its customer base to optimally use its production capacities. Business of home appliances and whit e goods which constitutes larger share of this division is seasonal in nature to some extent and is likely to improve further with diversified customer base and acquisition of new businesses. The Company acquired a prestigious order from ECIL for manufactu ring EVM and VVPAT related parts and sub -assemblies. All these factors resulted in to Revenue growth of nearly 30% YOY over the preceding year.

The Automobile, whitegoods, Engineering, FMCG companies enjoying relatively better domestic demands over previ ous two years led Material Handling division to grow 16% by volume and 28% value for the year. Company's regular pitch, to reach new users of Inj. moulded Pallets, educating them about the features and benefits of the same, providing value enhancing soluti ons for safe, effective economic material storage and transit has given positive and encouraging results. Company is confident of this growth momentum for the coming year also it continues to strengthen its customer reach and introduce suitable new product s in this segment of Business.

The year under review was the most successful year for Composite Cylinder division with plant running at 90% of its capacity and fulfilled its supply commitments. Company has supplied 4.72 Lakhs nos cylinders in aggregate t ill March,23 to IOCL against the LOI for supply of 7.35 Lakhs cylinders. Company expects further orders from IOCL during the year and also continue to expand its geographical reach to other countries. Expansion of existing capacity has been successfully co mpleted and increased capacity of 1 million cylinder per annum is now in place.

In Performance Films Division, On the positive front changes in Product mix and focus on Direct sales to Brands and value added Products which resulted in growth 3% in Volume and about 21% in Value terms. Division is now registered under EPR (Extended Producer Responsibility) and is supporting Government initiatives on sustainability through Plastic waste management. The Company expects to achieve volume and value growth in thi s business in the current year due to increase in customer base in India and abroad

Protective Packaging Division is putting its continuous efforts to remain on growth path which resulted in growth 5% in Volume and about 11% in Value terms. All products a cross categories in the division assert quality and value for money. Division is closely working with customer/end users and developing new applications for varied industries keeping their need in mind. Division is focused to grow in Volume, do value engin eering and adopting new technologies in manufacturing to drive improved profitability. Continuous growth is witnessed in Defence, Export and Insulation business.

This is a brief and overall summary for the quarter and year ended under reference. Thank you , for your patience. Now, I and my colleague, Mr. P.C. Somani & Mr. R J Saboo, are available to reply to your various queries raised by all of you.
Moderator: Thank you very much. We have our first question from the line of Venkatesh Balasubramaniam from A xis Capital. Please go ahead.
V Balasubramaniam: Yes. Thank you for this opportunity. You had communicated that in the inventory loss in the first half of the year was between INR200 crores to INR250 crores. Can you tell us if there was any inventory loss or inventory gain in the second half of the year and especially the fourth quarter?
M. P. Taparia: Inventary gain of around INR50 crores to INR70 crores .
V Balasubramaniam: Okay.
M. P. Taparia: First half, we lost INR250 crores in inventory loss.
V Bala subramaniam: Yes.
M. P. Taparia: Net-net we lost INR180 crores inventory loss for the year.
V Balasubramaniam: Okay. The INR70 crores, was is the second half or was it in the fourth quarter?
M. P. Taparia: Fourth quarter
V Balasubramaniam: Okay. Thank you for that. Now what is your volume revenue and margin expectation for the next year? Volume growth, revenue growth and margin?
M. P. Taparia: We anticipate 15% volume growth.
V Balasubramaniam: Okay.
M. P. Taparia: And margin will be between 13.5% to 14% .
V Balasubramaniam: Okay. Now, why are you why is your…
M. P. Taparia: In the Current year the revenue will be excess of INR11,000 crores.

V Balasubramaniam: Okay. Now because your 13% to 14% margin expectation seems very, very low because in the fourth quarter, you have done almost like 18% plus kind of margins and it is, ye s, it is almost 18.5% kind of margin. Even if we adjust for that INR70 crores kind of number, you will still get to almost. 17.5% margins. So why are you guiding for such a low number for the next year 13% to 14% margin?
P. C. Somani: After considering INR70 crores , the margin comes to 16% for the quarter.
V Balasubramaniam: Okay. Still that is like 15.5%, right?
P. C. Somani: Yes, yes. Ultimately, the products are seasonal, agri pip es does not command such margin in rest of the year. So we have to consider this.
V Balasubramaniam: Okay, okay.
P. C. Somani: Over the last quarter.
V Balasubramaniam: Okay, understood. Can just add one last thing. What was your capacity at the end of F Y'22 and what would be your capacity at the end of next year?
M. P. Taparia : Our capacity as on 31st March, 2023 is 8.05 Lakhs ton and as on 31 March 202 2 it was 7.25 Lakhs tons.
V Balasubramaniam: Okay. Thank you very much. All the very best.
Moderator: Thank you. We have our next question from the line of Rahul Agarwal from Incred Capital. Please go ahead.
Rahul Agarwal: Hi, sir. Good evening, and congratulations for a strong recovery in business. The first question is how has been the start to the first quarter? April of this month, PVC prices have now stabilized, so any views on PVC prices and the start to the volume for this season, please.
M. P. Taparia: Now the first quarter is going to be volume wise higher compared to last

year's first quarter.
This year, demand for agriculture sector is quite good because PVC prices have gone down substantially. But this year price, pipes demand is quite robust due to low price and certainly the demand for infrastructure for plastic pipe is quite good because they c an be laid before the rainy season. So if the demand from infrastructure and agriculture sector are better than last year.
Rahul Agarwal: But sir, any outlook on PVC pricing?
M. P. Taparia: PVC prices outlook, may range around $50 plus minus continue ie around 4 rupees. Now the price s has dropped to such a low level, it can drop by INR4 or it can go up by 4 rupees. Going up is difficult due to the world economy not in great shape.
Rahul Agarwal: Got it sir, and my second question was on, you know, for Mr. Somani, income tax rates for a

company on effective basis have been pretty low, like 19 to 22% for the last three years. Any specific reason, sir, why is that and what is the guidance for fiscal 24?

P. C. Somani: Can you repeat again?
Rahul Agarwal: Sir the income tax in the P&L, the rate is about 19% to 22% average for even fiscal ’23 and last two years. Any reason why the income tax rate is lower than the marginal rate? And what is what should we built in for fiscal ’24?
P. C. Somani: You see the previo us result, we have a good income from dividend from Supreme Petrochem . If we are distributing the dividend more than they so those income of dividend become tax free, Section 80M.
Rahul Agarwal: I looking at consol numbers, sir. I’m looking at consolidate d numbers.
P. C. Somani: In consol numbers, because of the profit share of profit from petrochem is being considered.
Rahul Agarwal: Okay. That explains. Thank you so much, sir. All the best. I’ll come back in the queue.
P. C. Somani: Thank you.
Moderator : Thank you. We have our next question from the line of Sonali Salgaonkar from Jefferies India. Please go ahead.
Sonali Salgaonkar: Sir, thank you for the opportunity and congratulations on a great set of margins in Q4. Sir, my first question is broadly to wards this pipe drinking water in Nal Se Jal. You did mention some part of it in your opening comments, but it would be useful to have sort of an update as to what is the development of this project. And if at all you could share what kind of sales have we accrued so far out of this.
M. P. Taparia: Now that work has started now more effectively, they are trying to see that by 2024, the complete Nal Se Jal throughout their country. It doesn't look possible because some states are not cooperating or some sta tes are not doing the thing. But quite a large portion of the country is going to be covered by Nal Se Jal by 2024, means within 20 months from today, they will be covering most of the country, Nal Se Jal will cover 600,000 villages.
It is a very gigantic task. But central and state governments both are working very effectively and strongly nowadays. Just today's paper, the news is they are getting 40,000 connections only in UP per day. They may achieve the complete covering the entire country by December 2 024.
Sonali Salgaonkar: Sir, you did mention that some of the states are not cooperating. So approximately how much of the countr y is already covered?
M. P. Taparia: What is in the paper item I can tell you. I don't know the state s which are not cooperati ng. Personally, I believe they all must be cooperating.
Sonali Salgaonkar: Okay.
M. P. Taparia: So Nal Se Jal, who will not like to provide in their state?

Sonali Salgaonkar: Right. So sir, for Supreme, is there anything, any kind of sales or margins you could share that you have accrued from Nal Se Jal so far?
M. P. Taparia: We don't have separate figures.
Sonali Salgaonkar: Okay,

sir. All right. Sir my second question is regarding to Mr. Somani. If you could help us with the segment -wise capacities as o f March ’23.
P. C. Somani: Yes. So piping division is 600,000 metric tons. Industrial product, 84,000 metric tons. Packaging product, 90,000 metric tons and consumer product, 29,000 metric tons.
Sonali Salgaonkar: And what’s our average utilization?
P. C. Somani: We see this 800,000 tpa capacity was at the year end, beginning year capacity was 725,000 tpa.
Sonali Salgaonkar: Right.
P. C. Somani: If you look from the opening capacity, then we have showed utilization close to 510,000 tons ,. So it will be ar ound 65% to 70% .
Sonali Salgaonkar: Got it. Sir and just one last question. The value -added sales in Q4, correct me if I’m wrong, but are they showing a minor decline in absolute terms compared to last year?
P. C. Somani: This was our silpaulin film which was at one point of time was 100% value added due to the the poor margins or the margins falling below 17% it has gone out of value added products .
M. P. Taparia: So it has been out of the value added product. The total value of the value added products in the 4th Quarter has gone down from INR972 crores to INR943 crores .
Sonali Salgaonkar: Understand, sir. Sir, silpaulin has now gone out of value added, because the margin has slightly

come below 17%, is that right?
M. P. Taparia: Yes.
Sonali Salgaonkar: Understood, sir. That's all from my side. Thank you.
Moderator: Thank you. We have a next question from the line of Dhananjai Bagrodia from ASK. Please go ahead.
Dhananjai Bagrodia: Sir, congratulations on a fantastic set of numbers. Would this volume growt h be predominantly our company have we gained share or would this be an industry -wide phenomena in piping?
M. P. Taparia: Industry wise the growth was 32% of PVC resin and we have grown 37%.
Dhananjai Bagrodia: Okay. Sir industry wide would be 32%. Okay. And sir, for your other businesses, the other verticals, do we have any like revenue guidance or what we're seeing in those?
P. C. Somani : The other verticals are in range of 10% to 15% growth.

Dhananjai Bagrodia: Okay, sir. Sure. Ye s. Thank you so much.
Moderator: Thank you. We have our next question from the line of Bhargav Buddhadev from Kotak Mutual Fund. Please go ahead.
Bhargav Buddhadev: Yes. Good afternoon, team, and congratulations for the good set of numbers. My first question is, sir, we've star ted this is Erode plant in South India. Sir, can you quantify what could be the savings in freight cost towards supplying material to say, Tamil Nadu, Kerala, South Karnataka? And also, what could be the improvement in terms of delivery time because I beli eve earlier, the material used to come from the Jadcherla plant in Telangana.
M. P. Taparia: There is a saving of the freight and it all goes to my customer or to go to my users. The freight from Gadegaon to Kerala and Erode to Kerala difference is 3.5%.
Bhargav Buddhadev: Sorry, sir, how much? I could not hear it.
M. P. Taparia: The difference between Gadegaon to Kerala and Erode to Kerala is 3.5%.
Bhargav Buddhadev: 3.5%. Okay. This will help you make you competitive in South India.
M. P. Taparia: It ma kes my goods more affordable to the customer of Kerala.
Bhargav Buddhadev: Okay.
M. P. Taparia: And Tamil Nadu also. It makes more affordable and goods can reach in the same day.
Bhargav Buddhadev: Same day. And earlier it used to take what two, three days ?
M. P. Taparia: Three days now its the same day. They can work with low inventory also.
Bhargav Buddhadev: Okay.
M. P. Taparia: Can work with a low stock of finished goods.
Bhargav Buddhadev: Okay. An d secondly sir, we've started this plant in Cuttack a s well. So how about the economics in East India, there also we'll have savings in fr

eight cost and delivery times.
M. P. Taparia: Yes, same. It's very obvious. If it's in the same location going to Odisha then it's definitely our plant is close to Cuttack . The Cuttack's freight will go down dramatically. Cuttack and Odisha are big commercial area. Plant is very close to Bhubaneshwar and Cuttack.
Bhargav Buddhadev: Okay. Sir, earlier the delivery used to happen from which plant in the eastern part of the co untry?
M. P. Taparia: Kharagpur.
Bhargav Buddhadev: Kharagpur. Okay, sir. Okay. And lastly, sir, just wanted to know what has been the growth on the CPVC portfolio for us in FY'23?

M. P. Taparia: Somaniji, you get that question.
P. C. Somani: Yes. Volu me growth was 24%.
Bhargav Buddhadev: 34%?
P. C. Somani: 24%.
Bhargav Buddhadev: 24%. Okay. And value growth?
P. C. Somani: More than 40%.
Bhargav Buddhadev: 40%. Good. Okay, sir. Thank you very much and all the very best.
Moderator: Thank you. We have o ur next question from the line of Keshav Lahoti from HDFC Securities. Please go ahead.
Keshav Lahoti: Hi. Congrats on a great set of numbers. Just a follow -up on the last question. So what will be the mix of the CPVC right now broadly?
M. P. Taparia: Sorry?
Keshav Lahoti: What is the mix of CPVC portfolio in terms of revenue?

M. P. Taparia: The share of CPVC is a very classified information.
Keshav Lahoti: Okay. Got it. And what is the sense on the agri demand as of now?
M. P. Taparia: Agri demand is q uite good.
Keshav Lahoti: Sorry, I missed it.
M. P. Taparia: Agri demand is quite good. Now, this is just started, so it will continue up to middle of June. So, too early to say what growth we can get. But growth is looking quite good compared to last yea r.
Keshav Lahoti: Okay. One last question, as you highlighted the capacity by year -end would be 9,50,000 tons , can you give some bifurcation among the four segments?
P.C. Somani : You see, I have given the bifurcation for the current capacity. The maximum expansion is taking place in plastic piping. So, 90% of capacity increase will be in the plastic piping itself.
Keshav Lahoti: Okay. Got it. Thank you. That’s it from my side.
M. P. Taparia: Thank you.
Moderator: Thank you. We have a next question from t he line of Praveen Sahay from Prabhudas Lilladher. Please go ahead.

Praveen Sahay: Yes. Thank you for taking my question. Sir, can you give some indication on the industry growth for the piping pipe and fittings segment for ’24?
M. P. Taparia: Industry Gr owth - 13% to 15%, our company may grow 20%.
Praveen Sahay: It’s a volume term?
M. P. Taparia: volume growth , how can you forecast price growth ?
Praveen Sahay: Yes, yes. And second question, sir, on the geographical mix for the pipe segment. Can you ab le to give the geographical mix of your pipe segment, like how much is from North? How much is from South?
M. P. Taparia: We sell throughout the country.
Praveen Sahay: So equally throughout the country?
M. P. Taparia: throughout the country.
Praveen Sahay: Okay. And lastly on the capacity, sir. The three plants you initiated that’s in Guwahati, Erode and Cuttack, is it possible to say the capacity of these three plants?
M. P. Taparia: Yes, all three put together. Ye s, 80,000 tons.
Praveen Sahay: Okay. Thank you, sir. All the best.
Moderator: Thank you. We have our next question from the line of Sneha Talreja from Edelweiss. Please go ahead.
Sneha Talreja: Thanks a lot. Hello. Congratulations on great set of numbers. Sir, just two questions from my end. We would like to know the contribution this particular quarter from agri pipe. I mean, the growth rate in agri pipe and infra?
M. P. Taparia: Which one? For the quarter?
Sneha Talreja: For the quar

ter as well as, let’s say, here in case you can just give some highlight. Like you mentioned because CPVC, it was 24%, what would have been the case contribution from infra and from agri?
M. P. Taparia: We took a proportion percentage before we just now to tell you how much growth came from infra, how much from plumbing, how much from agri, cannot say.
Sneha Talreja: Okay, but was agri present in Q4?
P. C. Somani: Pardon?
Sneha Talreja: Sir, was agri demand present in Q4 or will we see the major growth only in Q1?

M. P. Taparia: Agri demand starts from Q4 but big growth comes only in the first quarter of the April -June quarter. But demand starts growing from after Pongal, after 20th January demand starts.
Sneha Talreja: Okay. so was this year better in terms of demand compared to last year?
M. P. Taparia: Demand better than last year for sure, otherwise how can we grow 39%?
Sneha Talreja: Okay. Sir, second I wanted to take them an update on the Maharashtra project that we have received from HDPE pipe which was some INR4 80 odd crores to be executed for the 24-30 month s. Any numbers there how much have we achieved or any other government projects , added some details will be really helpful?
M. P. Taparia: There are 15 -20 crores we are supplying per month. This is to contract to go and run for 24 months.

Sneha Talreja: Any other government regime that we are working apart from Maharashtra?
M. P. Taparia: In Maharashtra, we are supplying them INR15 crores to INR20 crores every month to Maharashtra government.
Sneha Talreja: I'm just curious, Any other governme nt project that we are working on apart from Maharashtra at this point in time?
M. P. Taparia: Other projects also we are supplying but through contractors . We are supplying from our Kharagpur plant, we are supplying from our Mala npur plant, we are supplyi ng to various state government requirements from our plant in different locations. But in Maharashtra we are supplying directly to Maharashtra government.
Sneha Talreja: Understood. Thanks, thanks a lot, sir, and all the very best.
Moderator: Thank you. W e have our next question from the line of Achal Lohade from JM Financial. Please go ahead. Achal Lohade, I have unmuted your line. Can you please ask your question?
Achal Lohade: Yes. Good afternoon, sir. Thank you for the opportunity. What I wanted to che ck, sir, if you look at the past the in the plastic pipe business, the blended realization, the realization to average PVC resin prices to be about 1.3 to 1.4. For last three quarters, we have seen this number going up to 1.7. So is there a -- any structur al change in the mix, which is driving this markup or gross margins from the plastic pipe segment?
M. P. Taparia: In our piping system we are not only PVC pipe. We increase d the percentage of polyethylene pipe. The polyethylene is much more expensive than PVC. We increase our sale of CPVC which again much higher price than PVC. We increase the sale of polypropylene that is also much higher price than PVC.
Achal Lohade: And would that also have a higher margin as well? Is that a fair understanding compared to…
M. P. Taparia: Margin, I cannot say, margin differs product -to-product.

Achal Lohade: Okay.
M. P. Taparia: But overall, it will definitely indicate the value.
Achal Lohade: Understood. And with respect to HDPE PP, is that also driven by the project business?
M. P. Taparia: No, PP is mostly private only.
Achal Lohade: Okay.
M. P. Taparia: For plumbing PVC and CPVC for plumbing. And polyethylene we have got both the set of business, trade market and government business, both.
Achal Lohade: Right. And just one clarification. In terms of the sales project versus retail. Would you be able to share s

ome sense of what is the mix of the from your sales company to project or company to area distributors?
M. P. Taparia: It's not really available with me.
Achal Lohade: But is there a substantial change compared to what it was, say, two years back or three years back, or it would be similar?
M. P. Taparia: We supply to to trade and to government.
Achal Lohade: Right. Would there be a change in the mix? That 's the question.
M. P. Taparia: Because government, there are many customers. We supply to both markets. I don't have percentage for me so I cannot talk differently. We supply to trade also, we supply to government also.
Achal Lohade: Understood, sir.
M. P. Taparia: CPVC supply for plumbing .
Achal Lohade: Got it. And just a clarification. With respect to the ratio, what I was asking in terms of the realization PPVC resin price, this is more sustainable one, is that a fair understanding here in terms of th e explanation what you gave, what has driven that is more structural change or ongoing ratio, would that be a fair assumption?
M. P. Taparia: I can't say because we were never only in PVC pipe company. Now we are increasing capacity of polythene also, we a re increasing capacity of CPVC also. So, PVC also we are increasing capacity. So we are increasing capacity in all the segments where we are operating.
Moderator: Got it, sir. Thank you so much. I'll come back in the queue. Thank you.
Ritesh Shah: Thank y ou. We have our next question from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah: Hi, sir. Thanks for the opportunity. Sir, couple of questions. First is, sir, on silpaulin , you indicated that the margins are below 17% right now. Sir , what is the strategy that we are adopting over here? Are you looking to push volumes or increase prices? How should we understand that, sir?
M. P. Taparia: Firstly, we increased the price there.
Ritesh Shah: Okay. Sir, anything beyond increasing prices ? Any new product variation?
M. P. Taparia: Just allow me to complete the answer.
Ritesh Shah: Sorry, sir.
M. P. Taparia: There are so many lookalikes fake products that came in the market and they were selling at a much lower price than us, 20%, 25% low er. So we were forced to drop the price, but finally in the last three, four years, they found out that their quality was absolutely useless. So they were forced to sell at kilo basis. Their quality cannot meet the comparable of our silpaulin. So now we ar e taking our silpaulin product at its right price, which was there, and we were required to drop, and now we are correcting the price. We are correcting the price to the justifiable level. We can justify the investment.
Ritesh Shah: Sure, sir. This is help ful. Sir, my second question is over time the company continues to launch new products. Sir, just if you can help us with the list for what all categories the company will be clocking, say more than INR150 crores sales, few variables, which come to my mind would be probably like tanks, tiles, walls. Can you list down price and the new categories, which over the last three years that we have come in and which will be selling more than INR150 crores of top line?
M. P. Taparia: No, three years is too short a p eriod to achieve such a turnover. Normally we calculate five -year time frame. I can only say one thing, that we are happy to report that whatever product we launched in the last five years, every product has been well accepted in the market. They are very appreciated, and we are further adding to their range. So presently I don't have a figure as to what was the quantum of target we achieved by the new products in the last five years. We don't have. So I cannot give you an imaginary number. But one thing I can only say that whatever product we launched, all were successful.
Ritesh Shah:

Sure, sir. Sir, just last question, it is more from a n industry standpoint, it is not something with respect to Supreme Industries. Sir, when all the companies report pipes a nd fittings volumes, sales volumes, should we assume that it is only pipes and fitting? It has not at all resin trade volumes included over here. Sir, if you can speak on behalf of the industrials, there would be great sir.
M. P. Taparia: All right. But c an you repeat your question. please.
Ritesh Shah: Sir, my question is many companies report pipes and fittings sales volumes, does it only include pipes and fittings or there is scope that it could also potentially include resin over here?

M. P. Taparia: Resin sales? We don't make resin. We don't make resin. Normally should not. Resin is only made by Finolex.
Ritesh Shah: Fair, sir. Sir, I am referring to the traded volumes on resin, so if we buy at a lower price and if we sell at a higher price, we would not put it in our pipes and fittings volumes, right? But is that an industrial practice as well?
R.J. Saboo : Ritesh, even in the industry for other compan ies, resins will be excluded , it will be pipes and fittings only - how resins c an be included it? It’s not a product sale. It is traded sales.
Ritesh Shah: Correct. Sure, sir. This was very helpful, sir. Thank you so much.
Moderator: Thank you. We have our next one from the line of Rishab Bothra from Anand Rathi. Please go ahead.
Rishab Bothra: Congratul ations on good set of numbers.
M. P. Taparia: Thank you.
Rishab Bothra: Can you just tell me the quarterly volume for each of the segments, volumes -wise?
M. P. Taparia: Quarterly. Okay.
P.C. Somani: For piping systems for quarter four it is 1,12,293 met ric tons.
Rishab Bothra: 1.12,000?
P.C. Somani : 1,12,293 metric tons.
Rishab Bothra: Okay.
P. C. Somani : For industrial product, 16,508 metric tons.
Rishab Bothra: Okay.
P.C. Somani : For packaging segment, 13,532 metric tons.
Rishab Bothra: Right.
P.C. Somani : And for consumer segment it is 5,081.

Rishab Bothra: And sir, secondly, the new three plants which have been commissioned, what is the revenue potential from the plants and by when will it optimally utilize the capacities?
M. P. Taparia: Ever ything will be operated this year only.
Rishab Bothra: This year only.

M. P. Taparia: Markets is already there. Now we have put up the capacity to meet the local requirement from the plant for the state. Earlier it was being supplied from other plants.
Rishab Bothra: Okay.
M. P. Taparia: So market was there and capacity started running so they will be all sold -out this year.
Rishab Bothra: Okay.
M. P. Taparia: Actually, in Erode plant, we have now taken in hand to double the capacity.
Rishab Bothra: Okay.
M. P. Taparia: Present capacity is 3,000 tons monthly now we are making additional further 3,000 tons it may start by November this year.
Rishab Bothra: Okay. And sir my last question is on the associate company that is Supreme Petrochem. Last year, I think there was a substantial profitability in the company and how do one should look at the company profitability going forward? What would be the contribution like?
M. P. Taparia: I think the best reply can be given by Mr. Rakesh Nair the Chief Finance O fficer, the Director of Supreme Petrochem.
Rishab Bothra: Is he on the call?
M. P. Taparia: Maybe he will reply to your question.
Rishab Bothra: Yes, yes.
M. P. Taparia: We'll ask Supreme Petrochem.
Rishab Bothra: Okay. Is he on the call today?
M. P. Taparia: Sorry?
Rishab Bothra: Is he on the call?
P.C. Somani : They have a different call or different presentation, so you can connect with them.
Rishab Bothra: But if you could throw some

insight on that?
M. P. Taparia: Just I did.
Rishab Bothra: Okay.
M. P. Taparia: Thank you.
Rishab Bothra: Thank you, sir.

Moderator: Thank you. We have our next question from the line of Praveen Sahay from Prabhudas Lilladher. Please go ahead.
Praveen Sahay: Yes. Thank you for taking my question again. So it's re lated to industrial product, where we had seen for year '22, as well as '23 there is a very good volume growth and also you had mentioned about the growth here from the home appliances, white goods share has increased and growth were there. So can you guid e us for the way forward like the similar kind of growth you are expecting the way forward as well in this segment?
M. P. Taparia: We have a good year for them this year also.
Praveen Sahay: And the same home appliances or white goods that are driving the growth, the way forward also, you are expecting from there only?
M. P. Taparia: Composite cylinder also. The other part of the division.
P.C. Somani : So all three, industrial component, material and product and composite cylinder. Both have done good and they are expecting a good growth continuing.
Praveen Sahay: And cylinder utilization level can you give like you have now 1 million cylinder capacity, how much is the utilization level there?
P.C. Somani : Yes. Last year this expansion has gone into product ion have commenced early in the February. So last year capacity -initial capacity of 5,00,000 cylinder. The last year we have attained 90% plus.
Praveen Sahay: And now you have visibility to utilize this 1 million as well. Ye s.
P.C. Somani : Ultimately…
P. C. Somani: We hope so.
Praveen Sahay: Okay. Great. Because you have given answering to one of the questions that's other vertical to

grow at a 10% to 15% of growth. So that's why just asking if industry so growth was higher.
M. P. Taparia: Higher indus trial injection molding product volume grew by10% this year.
Praveen Sahay: Okay. Thank you.
Moderator: Thank you. We have our next question from the line of Rahul Agarwal from Incred Capital. Please go ahead.
Rahul Agarwal: Yes. Thank you for the follow up. Sir, it's been some time, the new HR had joined the company. Could you elaborate a bit or could you whatever you can share in terms of what changes you've made in the organization, what kind of recruitments have happened and what should we expect going into next 12 months?

M. P. Taparia: He started coaching set of leaders in the company. He's already engaged with two coaches. He's involved in all our new recruitment. And we are very happy the way he's moving forward to improve the capability of our key people. He's working hard to improve the capability, the human factor..
Rahul Agarwal: Sir, any specific gaps you want to fill where he is helping or is it like very general across the company?
M. P. Taparia: There's no gap but always potential. Human bein g has got great potential. So the potential will further generate. That is what we're doing very nicely.
Rahul Agarwal: Okay. Got it. And secondly, sir, in terms of piping plastic pipe division, what is the count of distributors now and the thought process for fiscal '24 in terms of new additions in case we are thinking on those lines?
P.C.Somani : Plastic piping, the total distributor strength is of 31st March is 1,443. And the target is to add another 100 channel partners during the current year.
Rahul Ag arwal: And how much did we add in this year?
P.C. Somani : So it was 1,250 to 1,443.
Rahul Agarwal: Okay. Got it, sir. Best wishes for fiscal '24. Thank you so much.
Moderator: Thank you. We have our next question from the line of Bhargav Buddhadev fro m Kotak Mutual Fund. Please go ahead.
Bhargav Buddhadev: Yes, sir. Just one follow

up. You mentioned INR70 crores inventory gain in this quarter, is it possible to quantify what was the inventory gain in the same quarter last year?
M. P. Taparia: Last year there was no inventory gain. Price started dropping last year, fourth quarter. Price started dropping in I think January, March last year. In the peak October it was INR160 per kilo per kg. October 2021. And then on 1st April it came down to INR140.
Bharg av Buddhadev: All right.
M. P. Taparia: I don't see any reason of gain in January, March 2022. I don't see any reason. I don't have record s today but there is no reason for any inventory gain. Price is falling .
P.C. Somani : Yes, sir. 144 to 137 to 144, so as we're referring to…
M. P. Taparia: That we gained.
Bhargav Buddhadev: Okay, sir. Thank you.
Moderator: Thank you. We have a next question from the line of Mohit Agrawal from IIFL. Please go ahead.

Mohit Agrawal: Yes, sir. Thanks for the opportunity. My question is on the volume growth guidance for FY'24, 15% Now, the last five years volume CAGR has been around 6.5%, 7%. Just wanted to understand that this 15% number, does it include impact of some pent -up demand that you expect on the agri side or is it more like a sustainable number 15% going forward?
M. P. Taparia: Last five years when you calculate, remember two years of COVID. The re was a degrowth in the economy. Two years of COVID, please don't forget. Nothing to compare. But now because we are pu tting more, we are reaching more areas of the country. We are adding more product portfolio. We are expanding more distributors. We are increasing our capacity. We are increasing our range. So we believe we should go on growing between 12%, 15% going forwa rd.
Mohit Agrawal: Okay. Understood, sir. And, sir, any comments on the level of channel inventory? Now, you had earlier stated that February onwards the restocking will start. So any comments on that?
M. P. Taparia: Now presently the channel, according to our knowledge, that only normal inventory. No extra stock because the trend is not bullish. The PVC price, the polymer price may go down or may remain at this level only. Because the commodity prices worldwide are remaining soft. There is

no apparent reas on for them to build and keep extra inventory. Normally inventories are running the business.

Mohit Agrawal: Okay, sir. Understood. Thanks a lot.

Moderator: Thank you. We have our next question from the line of Chirag Lodaya from Valuequest. Please go ahe ad.

Chirag Lodaya: Sir, thank you for the opportunity. Sir, just one clarification. This 13.5%, 14% margin is for the overall company or you are talking about plastic product as a division?

M. P. Taparia: Overall company.

Chirag Lodaya: And what could be plastic products division margin, sir, going ahead?

M. P. Taparia: It is difficult to forecast for the full year. Today we can tell overall the company 13.5%, 14%. Because the resin prices plastic remains so volatile. The range bound also, we can't say. I t is very difficult to say.

Chirag Lodaya: Okay. So earlier you used to guide about 15% to 16% is the normalized margin.

M. P. Taparia: Last year the margin was 13.3%.

Chirag Lodaya: Sorry.

M. P. Taparia: margin of 13.3%.

Chirag Lodaya: All right. EBITDA margin.

M. P. Taparia: Yes, we are talking EBITDA .

Chirag Lodaya: Got it. Okay. Thank you.

Moderator: Thank you. We have our next question from the line of Navid Virani from Bastion Research. Please go ahead.

Navid Virani: So thank you for the opp ortunity. Just wanted to understand on the I just wanted to have some understanding on the competitive scenario for the packaging business, sir.

M. P. Taparia: Packaging this segment because we are making three products in packaging. P

rotective packaging, cross -laminate film, and performance packaging.

Navid Virani: So can you give us an update on the competitive scenario as to how is it shaping up, because most of these products, if I'm not wrong, you have to qualify as value -added products resource which might not be the case currently due to increased competition. So just wanted to understand there.

M. P. Taparia: So only out of three components of the packaging, cross -laminate film only was qualified as value -added. Now this year we have removed it. As the margins have gone below 17%. That business went into difficulty for the last three years. Every year the margins are sinking. Now we believe that the reduction will be contained now.

Navid Virani: Got it, sir. Thank you. That's helpful. Thank you, and all the best.

Moderator: Thank you. We have our next question from the line of Devansh Nigotia from SIMPL. Please go ahead.

Devansh Nigotia: Yes, sir. Thanks for the opportunity. Composite cylinder frequently that is on the current capacity and the orders that we mentioned? And also, in order of what is the value for composite cylinder?

P.C. Somani : The letter of intent what we received from IOCL for 735,000 cylinders, the order value is close to INR170 crores, out of which about 472,000 cylinders have bee n supplied till March '23. Our current capacity, which was 5 lakh cylinders per annum, has been doubled now in February 23. Now we have a 1 million cylinder capacity per annum.

Apart from the balance order of IOCL, we expect further order from IOCL. We are also looking at many inquiries from the other geographies of the world market. Last year we were utilizing 90% plus capacity. This year it is yet to be ascertained how much inquiries get fructified. But we are quite hopeful of utilizing the capacity to an optimal level, between 70%, 80%.

Devansh Nigotia: Okay. And 1 million, how much of that is translated to value? The current capacity if utilized fully. And also, over the next three, four years, what kind of trigger, I mean, how big this opportunity can become In terms of revenue contribution from it?

P.C. Somani : In terms of utilization, the current capacity transfers to about 200 crores per annum

Devansh Nigotia: Okay. And in terms sale over the next three, four years, how big it can become and constr aints that we have seen for it scaling up to, let's say, INR400 crores, INR500 crores?

P.C. Somani : It all depends how the composite cylinder is accepted in the market or is promoted in the market by oil refining companies . That is yet to be seen.
Devansh Nigotia: Okay. Thank you. And last, you have seen a lot of capacity in by itself going around, utilization has actually dropped down significantly with some recovery shown this year. So do we see a risk to the margins structurally any risk if we see?
M. P . Taparia: I don't think.
Devansh Nigotia: Yes, sir. The total capacity expansion that has happened over 3 -4 years by the new players and even the existing players and volumes actually have not come into it.…
M. P. Taparia: We are expanding, we gave you numbers. We are expanding in terms of…
P.C. Somani : There is a good potential to grow.
M. P. Taparia: We will go on growing.
Devansh Nigotia: Okay. Thanks a lot, sir. We'll wait for it.
Moderator: Thank you. We have a last question from the line of Aasi m Bharde from DAM Capital. Please go ahead.
Aasim Bharde: Okay. Ye s. Just one question from my side. I heard your comments on the packaging business, especially the cross -flam film one. You will be introducing new products, we already have stated that we will be hiking prices gradually. But on margins, will this segment be at 10% to 12% margin business from here on or current go back to old levels, say three to four years? Any outlook on packaging segment margins?
M. P. Tap

aria: First, we are trying to mak e it a value added item, which means we have to bring it to 17% level. First, our effort is to make it back to 17% level, which came down below 13%.?
Aasim Bharde: Sir, gradually I think that 13% will take time to reach 17%, so the segment margins will sti ll be somewhere around 11%, 12% over the next two to three years?
M. P. Taparia: No, why? It should happen this year only.
Aasim Bharde: Okay.
P.C. Somani : We have been targeting the systems.
M. P. Taparia: We are working to make it 17% this year. There is no reason. First, our products. We have just reduced the price because of the look -alike products we re selling 15 -20% lower than my price. Now it is discovered by the customers?

Aasim Bharde: Sir, but this commentary is something that you've been giv ing for the past three quarters, then our margins have been sub 10% in packaging, so just wanted to get a set of the outlook on margins. So will that jump this year because you already put in place new product at a high price…
M. P. Taparia: One or two div isions I can show.
P.C. Somani : There are other packaging businesses. Protective packaging products also had inventory losses. Therefore, this year the packaging margins were -- because the quantum of business is comparatively small compared to piping divi sions. They are also having inventory losses. But going forward, cross laminated products margins will definitely improve to the 17% plus , what we are talking. In other segments of packaging, they are also going to improve. So, definitely you will see a re markable change in the margin profile.
Aasim Bharde: Can you give any rough quantum as to what kind of growth in margin can we expect in FY'24 for example or in FY'23?
P.C. Somani : For packaging if you talk, a combined margin -- between 13% to 14%.
Aasi m Bharde: 13% to 14%. Okay, sir. Thank you.
M. P. Taparia: Thank you, sir.
Moderator: Thank you. I would now like to hand the conference over to management for closing comments. Over to you, sir.
M. P. Taparia: We thank all the participants, thank all th e investors for their very incisive questions and we are very thankful for their support extended to the company throughout the year. Thank you very much.
P. C. Somani: Thank you.
R.J. Saboo : Thank you very much
Moderator: Thank you. On behalf of DAM Cap ital Advisors Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2023

"The Supreme Industries Limited Q1-FY24 Earnings
Conference Call "

July 28, 2023

MANAGEMENT : MR. M. P. TAPARIA – MANAGING DIRECTOR – THE SUPREME INDUSTRIES LIMITED
MR. P. C. SOMANI – CHIEF FINANCIAL OFFICER – THE SUPREME INDUSTRIES LIMITED
MR. R. J. SABOO – COMPANY SECRETARY AND VICE PRESIDENT , CORPORATE AFFAIRS – THE SUPREME INDUSTRIES LIMITED
MODERATOR : MR. AASIM BHARDE - DAM CAPITAL ADVISORS PVT. LTD.

Moderator : Ladies and gentlemen, good day, and welcome to the Q1 FY '24 Earnings Conference Call of Supreme Industries hosted by DAM Capital Advisors Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aasim Bharde from DAM Capital Advisors. Thank you, and over to you , Mr. Bharde .

Aasim Bharde: Thank you, Michelle. Good evening , everyone. On behalf of DAM Capital Advisors, I would like to welcome everyone to Supreme Industries Q1 Results Call. From the management side, we have Mr. M. P. Taparia, Managing Director; Mr. P. C. Somani, CFO; and Mr. R. J. Saboo, VP, Corporate Affairs and Company Secretary . We will give the call now to Mr . Taparia for his opening comments .

M. P. Taparia: Thank you very much, Mr. Bharde. I am M. P. Taparia – Managing Director of The Supreme Industries Limited. I along with my colleagues Shri P. C. Somani – CFO and Shri R. J. Saboo – Vice President (Corporate affairs) and Company Secretary welcome all the participants, who are participating in the discussion of the unaudited Standalone and Consolidated Financial Results for the Quarter ended 30 June 2023.

The Standalone results and the consolidated results are already with you. I will give brief on Company's Product Operating performance and other highlights.

The Company sold 148544 MT of Plastic goods and achieved net product turnover of Rs. 2340 Crores during the 1st quarter of the current year against sale of 108922 MT and net product turnover of Rs. 2169 crores in the corresponding quarter of previous year achieving volume and product value growth of about 36 % and 8 %, respectively.

Total Cons olidated Income and Operating Profit for the 1st quarter of the current year amounted to Rs. 2383 crores and Rs. 343 crores, as compared to Rs. 2211 crores and Rs. 327 crores, for the corresponding quarter of the previous year, recording increase of 8% and 5% respectively.

The Consolidated Profit before Tax and Profit after Tax for the 1st quarter of the current year amounted to Rs. 283 crores and Rs. 216 crores, as compared to Rs. 268 crores and Rs. 214 crores, for the corresponding quarter of the pre vious year, recording increase of 6% and 1% respectively.

The business scenario of all the Product Segments of the Company for the quarter ended 30th June, 2023 as compared to the corresponding quarter of previous year has been as under: -

■ Plastic Pipin g System business grew by 48 % in volume and 11 % in value terms.
■ Packaging Product Segment business grew by 5 % in volume and degrew by 1 % in value terms.
■ Industrial Products Segment business grew by 4 % in volume and degrew by 1 % in value terms.
■ Consumer Product Segment business grew by 15 % in volume and 10 % in value terms.

The overall turnover of value added products remains at Rs. 756 crores during the current quarter as compared to Rs. 761 crores in the corresponding period of previous year.

The Company has total Cash Surplus of Rs. 951 crores as on 30th June, 2023 as against Cash Surplus of Rs. 738 crores as on 31st March, 2023.

Business Outlook

Polymer prices witnessed a downward bias and continue to fall albeit in range bound manner. During the quarter, prices of various polymers fell between 5 to Rs. 8 per kg except for Polypropylene which fell down by Rs.13 per kg causing moderate inventory losses across the product segments of the Company.

The Company has taken in hand a project to m ake PVC window & Doors at its' newly acquired 32 Ac

res site 15 Kms away from Kanpur (U.P.). The initial capacity planned will be 10,000 Tons per annum. The Company intends to sell window profile & complete window from this site. Later on Company will put up window making facilities at several of its' manufacturing sites. The envisaged investment in this project will be about Rs.160 crores and after attaining full capacity, the Company may add additional turnover of about Rs. 350 Crores annually in this segment.

The Company is ready to seize the business opportunities and continues to commit desired investment. During the year Company has plans to add 4 additional systems viz. (i) PP multilayer silent pipe system (ii) Gas Piping system (iii) PE/AL/PE piping system and (iv) PPR pipe system for Industrial applications along with its existing 36 Systems in its' flagship Plastics Piping Business.

Project execution has commenced for setting up of dedicated greenfield unit at Malanpur (M.P.) to manufacture varie ties of Industrial and ball valves. The Company continues to commit new investment to increase range of value -added products in its piping business. Expansion of capacities and enlarging the product basket is underway, which would increase installed capaci ties of this division to 7,50,000 M.T. per annum by end of FY 24 against present capacity of 6,00,000 M.T. per annum.

The company continues to focus more on Made -up product sales from Cross Laminated Film which would help in better realizations and improv ed profitability. Company's Plan to introduce

newly developed Cross Plastic Film is progressing well and plant with a capacity of 2500 MT per annum should be in operation by end of FY 24.

The company's furniture business is expected to grow well during the year backed by softening of PP prices and introduction of several premium products in the range. The Company has 244 no. of show rooms as on 30th June,2023 and are being added regularly where quality furniture produced by the Company is available.

In Industrial Component division, Passenger Vehicle segment in auto sector is continuing its bullish trend and expected to remain positive during the year. Impending festive season and overall positivity in the economy should help the appliance segment of the division gather steam going forward.

The Material Handling Division's product portfolio is doing reasonably well keeping in pace with the major drivers of Material Handling products like Automobile, FMCG, Whitegoods and Retail. To meet the diverse needs of the customers, newer products are being introduced. Supplies of tailor -made solutions with customized crates are growing and most models of garbage bins range have started selling well.

Composite LPG Cylinder division continues to supply new age compos ite LPG Cylinders to Indian Oil Corporation against its LOI as per schedule being received. It is also pursuing vigorously with other Oil Marketing Companies for promoting Composite Cylinders in domestic market showcasing the safety to human life what they provide. Efforts continue to expand geographical reach and add new customers which is a lengthy process due to nature of the product.

In Protective Packaging Division, strategy to drive growth both in volume and value with enhanced profitability across product lines is yielding positive results. Division continues to focus on development of new applications, value engineering to provide best product with customized solutions and increase its export business by strengthening distribution reach in newer ma rkets.

The Performance Packaging Division of the Company is functioning optimally with its existing capacity. The division serves different market segments in food and various non - food industries and working towards post extrusion value added products fo r better margins.

The Company has a capex plan in excess of Rs. 750 Crores

for the current year including carry
forward commitments of previous year. Entire Capex shall be funded from internal accruals.

This is a brief and overall summary for the quarte r and year ended under reference. Thank you, for your patience. Now, I and my colleague, Mr. P.C. Somani & Mr. R J Saboo, are available to reply to your various queries raised by all of you. Thank you very much .

Moderator: Thank you very much , sir. We will now begin the question -and-answer session . The first question is from the line of Venkatesh Balasubramaniam from Axis Capital Please go ahead.
V. Balasubramaniam: My first question is , is it possible to quantify what was the inventory loss which was there in the current quarter ?
M. P. Taparia: Around Rs. 40 crores .
V. Balasubramaniam: 40 crores. Okay . Now the other thing is , this quarter your volume growth was very strong . It was almost like what , 36%, and out of that , there was like a 48 % growth on the pipe side . Was this something you expected ? Or if it was ahead of expectation , what exactly is driving this growth ?
M. P. Taparia: We expected yes, as the volume was available in the Company . The volume must be available also in the Company . You see, this in the last year, first quarter was very weak , if you recall . We were expecting good growth coming from the agriculture market and Infrastructure . We were preparing ourselves that there is going to be a good growth demand the way government is giving push to infrastructure and we are glad to see that government is taking many initiative s to boost the infrastructure . So, our big growth in the piping division came from agriculture and infrastructure in the first quarter . And both were expected . So, we w ere prepared with raw material and with the capacity .
V. Balasubramaniam: Now my last question is , what is your guidance for volume growth , revenues and EBITDA margin for the current year post the first quarter ?
M. P. Taparia: Overall Company or what ?
V. Balasubramaniam: Overall Company
M. P. Taparia: Overall Company , we anticipate volume growth of 20 % plus. The operating profit margin 14 % plus.
V. Balasubramaniam: And what about revenues ? Do you have a revenue number in mind ?
M. P. Taparia: Around 11,000 crores .
V. Balasubramaniam: Around 11,000 crores . Okay . But sir, if you actually extrapolate this 20 % kind of growth , so if you take 20 % growth on last year and you take the first quarter realization , you don't get to 11,000 crores. You get to a much lower number . So, are you factoring in the fact that over the

next nine months , PVC prices and plastic prices overall will go up ? Is that something which you have factored into your numbers ?
M. P. Taparia: Now, prices started firming up already .
V. Balasubramaniam: So, there is an element of higher prices in the next nine months which has been factored in.

M. P. Taparia: There is an increase in value -added product business also . There are so many factor s, dear friend , please .
Moderator: Thank you . We will take the next question from the line of Rahul Agarwal from InCred Capital . Please go ahead.
Rahul Agarwal: Three questions . Firstly , on margins . Pipes and Industrial segment , I think the margins reported are lower Y-o-Y. Could you elaborate , please , what is the reason and what is the outlook on the same , please ?
M. P. Taparia: In piping system , the first quarter we earned 14.27% is much better than last year first quarter.
P. C. Somani: He is talking Y-o-Y. You are comparing with the previous quarter .
Rahul Agarwal: No, I am comparing EBIT per ton for plastic pipes this quarter is about Rs. 16.6 kg . Last year same quarter , it was about Rs. 19 kg. So, why is the decline , please ?
P. C. Somani: This pri

ncipal two reasons. One is agr i volume .
M. P. Taparia: And infrastructure.
P. C. Somani: Agri and infra, because the volume growth which has come in this quarter is because of agr i volume and the infra volume , which are low valu e-added product s from that perspective . Since the last year the volum e was less of those products , the overall margin per kg what you are looking is better . Secondly , in this first quarter , as mentioned about Rs. 40 crore of inventory loss has come , which also it comes down to Rs. 3 a Kg in overall volume .
M. P. Taparia: Which was in piping also and another segment also. It was across the board , all the polymer prices had fallen .
Rahul Agarwal: Sir, my understanding was even last year same quarter , you would have had a very large inventory loss , right ?
M. P. Taparia: Last year was very poor . Last year was margin was 12.55% , EBITDA margin.
Rahul Agarwal: So, if I account for inventory loss even last year , then why should the EBIT fall so much ? That's purely because of the mix .
M. P. Taparia: Which was more agri pipe and more infrastructure pipe in the first quarter this year .
Rahul Agarwal: Sir, just to understand this more better , like what do we do in infrastructure pipes ? Could you elaborate like what products ? I mean, what are we talking about?
M. P. Taparia: Which p roducts in pipe, for example, Nal Se Jal .

Rahul Agarwal: What is the volume contribution for Nal Se Jal ?
M. P. Taparia: 7,000 tons extra we sold this quarter.
Rahul Agarwal: So, first quarter of this year , we have sold 7,000 tons into Nal Se Jal .
M. P. Taparia: 7,000 extra compared to the first quarter last year .
Rahul Agarwal: Extra. What is the absolute amount , sir, for the quarter ?
M. P. Taparia: For the quarter maybe 12,000 tons.
Rahul Agarwal: 12,000 tons. Sir, moving forward , what is the volume growth expected for industrial and packaging segments for fiscal '24?
P. C. Somani: Industrial and packaging segments is about 10 % to 12% .
Rahul Agarwal: Sir, just trying to verify . I mean , on the TV interview , the overall Company volume growth is guided towards 20 % plus. Piping is about 23 %, 24% plus for fiscal '24. So, if industrial packag ing is a 10 -12%, how do we get to the 20%?
M. P. Taparia: Volume we anticipate a growth of 34 ,000 ton and packaging all together is expected to be 64,000 ton.
Rahul Agarwal: This is the total volume for the year , is it?
M. P. Taparia: Total volume for the whole year .
Rahul Agarwal: 34,000 and 64,000 respectively .
M. P. Taparia: 64,000 packaging film and industrial component 34,000. Industrial component, 40,000 and industrial will include material handling also and also composite. So, if I combine it all together, it will be 67 ,000.
Rahul Agarwal: And last question , sir, from my side.
M. P. Taparia: Industrial which comprise industrial m aterial handling and composite , all three together .
Rahul Agarwal: Lastly, for the PVC window and door, the CAPEX you said is 160 crores . Is that included in 750 crores ?

M. P. Taparia: Yes, it is included .
Rahul Agarwal: And this will be part of industrial segment or for retail segment?

M. P. Taparia: This is part of plastic piping system which we may change the nomenclature to building solution when we start the production. We will decide that time whether we want to give a separate segment or we keep as a part of the building solution.
Moderator: Thank you . The next question is from the line of Ritesh Shah from Investec . Please go ahead.
Ritesh Shah: Sir, I will just carry forward on the prior question . Sir, you indicated Nal Se Jal volumes . Sir, how much is the revenue contribution over here ? And how should one understand the corresponding working capital and margins ?
M. P. Taparia

: That include trade market also no ? There are many products now . So, it is not possible immediate ly to give you because it is all not only pipe . We are selling also electrofusion fitting and compression molded fitting . So, immediately this is not available .
Ritesh Shah: Sir, if I ask you the question the other way around , we had this Maharashtra government order of around I think 800 crores . Would we have supplied say something like 200 , 250 crores in this quarter or if I take 150 crore for the…
M. P. Taparia: Rs. 480 crore to be supplied in 30-month period . 30-month period , 480 crores . Not 800 cr ore.
Ritesh Shah: 40-month period , 480 crores . Okay .
M. P. Taparia: Maybe by now we might have s upplied Rs. 100 crore .
Ritesh Shah: And sir, how different will be the credit days and margins for this particular order ? Is it at par with the Company level or is it lower?
M. P. Taparia: 30 days . That is the only place where we give credit , for others either advance payment or against LC. We don't give them clean credit . Maharashtra government only we agreed to give them clean credit .
Ritesh Shah: And sir, margins ?
M. P. Taparia: Margin s are nominal margins . In this business, the margin s are low.
Ritesh Shah: And sir, one broader question . Are we looking at any professional appointments at the CEO level at the Company level ?
M. P. Taparia: I am professional
Ritesh Shah: Sir, you are there absolutely .
M. P. Taparia: So, what? I am a professional .

Moderator: Thank you . The next question is from the line of Sneha Talreja from Nuvama . Please go ahead.
Sneha Talreja: Sir, just a couple of questions from my end. Sir, please just wanted to understand you have this time spoken about PVC windows and door segments in your press release . Just wanted to understand how big is the opportunity ? And how are you looking at things here ? Just somethi ng on this particular…
M. P. Taparia: This is a very big opportunity . In China , the market for plastic window and door is 4.5 million ton. India is around 100 ,000 ton . Population India , China , more or less same . Then the opportunity you can calculate .
Sneha Talreja: Right. And are there existing players in this particular market or currently Indian market is being import driven ?
M. P. Taparia: There are several players . Several players , several fabricator s, so many foreign companies are also playing . They are principally importing profiles from their respective countries and offering customized window . We made a plan to make the window profile and make window and we will be appointing fabricator also who will give customized window . It is a long run ga me and we are going to stay in a long run basis . We consider business is great potential for which Company people have to work very hard for several years .
Sneha Talreja: Sir, secondly , you also mentioned on the PVC pri ces front that you see, you know, upward, you know, from now on prices forming up and this particular quarter you have seen a 40 crore kind of an inventory loss . Are you building in this inventory loss maybe, you know, going ahead this will get offset by some amount of ga ins or you see not that amount of P VC price increase ? So, some thoughts on PVC pri ce, sir.
M. P. Taparia: Some ga ins may come, may come. And as on today , we do not see any more inventory loss .
Moderator: Thank you . We will take the next question from the line of Abhishek from DSP . Please go ahead.
Abhishek: Sir, just couple of questions . In the Industrial division also , there is margin weakness on a sequential basis . Is it due to inventory ? Or is there any other factors ?
M. P. Taparia: Industrial division, margin will be better compared to last year's same quarter. We have seen that industrial component ; we earn more money than last year percentagewise

. So, every operation
and every segment of industrial component has a better margin than last year .
Abhishek: Sir, I was more referring to on a sequential basis , but I can take that option otherwise .
M. P. Taparia: On a sequential basis, okay . Sequential basis, okay. I was giving the full year . Sequential basis component last year first quarter we earned 10.08% . this year first quarter we earned 10.14%. In material handling, last year first quarter, we earned 10.3%. This year earned 10.79%.

P. C. Somani: Sequential, you are asking fourth quart er versus first quarter, isn't it?
M. P. Taparia: First quarter, first quarter.
Abhishek: Fourth quarter versus first quarter.
P. C. Somani: Fourth quarter versus first quarter.
M. P. Taparia: First quarter, first quarter. This is not relevant to us. This quarter to quarter is irrelevant. We are not in banking business or IT business. Immediate quarter to quarter we can 't compare for us, for our type of business, please.
Abhishek: Sir, in terms of the PVC window and you also spoke about building solutions , so are there some other products also which in the future you could evaluate on similar lines ? There are some other products as well which one has not tapped into .
M. P. Taparia: Possible in building solution . We will convey to you whenever we take up a new product.
Abhishek: And sir, how should one look at the distribution of the same ? We will have to create a new distribution channel . How should one look at that ?
M. P. Taparia: We will build it and as we build it, bring it to the notice of our partners .
Abhishek: And sir, just one last question . In terms of the channel inventory , how is it now that PVC prices have started to move up now , how is the channel position of the as far as the…?
M. P. Taparia: Normal inventory maybe on lower side only.
Abhishek: On the lower side, okay.
Moderator: Thank you . The next question is from the line of Achal Lohade from JM Financial . Please go ahead.
Achal Lohade: If you could help us understand in terms of the CPVC growth , how has been for the quarter and also the plumbing segment for PVC , if the growth was in the similar fashion ?
M. P. Taparia: CPVC our Company had a 12% degrowth in the first quarter . Plumbing segment overall we did good growth . CPVC we had a de growth and mostly in the North and Eastern market because there were so many counterfeit producers in . Then we filed legal cases against many of them . We succeeded , but during the period of success , we lost some business in the first quarter in Northern & East. Now the action has been adequately taken and we have made our legal department more strong , but there are so many competitor products come up in Eastern India and Northern India .

Achal Lohade: And it's very particular to our Company or it's across the bran ds you have noticed?
M. P. Tapari a: It is applicable to Ashirvad also to our knowledge and to Astral also to our knowledge.
Achal Lohade: And you said PVC side , the plumbing has seen a good growth .
M. P. Taparia: As I said, there is no issue. CP VC because of expensive, so there were so many people attracted to make counterfeit , but fortunately , the legal department , the law and the cour ts gave full support and we could take action against them , but in the process the business w as on loss in volume , but we are confident we will recover .
Achal Lohade: And sir, given the correction in the PVC price on a year-on-year basis , if I see over last 12 months , could there be a case of reduction in the CPVC prices ? Have you seen your purchase price for CPVC a lready coming down ?
M. P. Taparia: CPVC already started going down.
Achal Lohade: Can you quantify how much has it already come down , sir?
M. P. Taparia: There are now so

many suppliers . Each suppl ier has got different pricing . So, I can only say the price has started going down . Every supplier dropped their price . Suppl ier to supplier depends .
Achal Lohade: And has that been also passed on to the channel , sir? Is there a price reduction for CPVC?
M. P. Taparia: As I said, when the price drop, we will pass it on.
Achal Lohade: So, it's a similar fashion like a PVC in that sense .
M. P. Taparia: It may not be similar fashion.
Achal Lohade: And sir , one more question , if I may , with respect to the storage tanks . Can you elaborate a bit now as to what revenue size have we achieved ? And how do you see over next three to five years ?
Achal Lohade: Very strong.
Achal Lohade: Any number you can put across like ?

M. P. Taparia: Number is classified .
Moderator: Thank yo u. The next question is from the line of Deepak Jangid from Purnartha Investment Advisers Pvt. Ltd. Please go ahead.

Deepak Jangid: My question is that you have mentioned that with the additional capacity of PVC windows and doors , the additional turnover we are expecting is 350 crores . So, when do you foresee this 350 crores to come into our books ?
M. P. Taparia: Too early to reply . Too early , dear friends . Too early to reply . Let the production start first .
Deepak Jangid: And what EBITDA we can expect fr om this additional capacity?
M. P. Taparia: We will inform at the right time. This is the intention of the Company . Company take an action. We have purchased 32 acres land and we have hired people to put a plant in operation as quickly as possible .
Moderator: Thank you . The next question is from the line of Bhargav Buddhadev from Kotak Mutual Fund . Please go ahead.
Bhargav Buddhadev: Sir, my first question is , we have reported almost a 47 % Y-o-Y volume growth in pipes . Is it fair to say that we have gained a decent amount of market share given that our newer locations have also started contributing ?
M. P. Taparia: Market share, we hope the market share improves , our market share increasing .
Bhargav Buddhadev: Sir, would you have a sense of what has b een the industry volume growth in this quarter in pipes ?
M. P. Taparia: We don't see much growth in volume, not much growth but compared to the first quarter last year, because the numbers are jumbled up . Overall, the industr y sold 3. 7 million tons last year on PVC , out of which 70% is plastic piping only . This is the growth. This is reasonably okay in each of the segment , but we believe that our Company with many locations now in operation , we will be taking some share from other people also .
Bhargav Bu ddhadev: And would it be fair to say that we would have taken a large amount of market share in East India now that our factories are commissioned , so incremental growth is coming in from the geography?
M. P. Taparia: You are right. Because it's in East India, we have now three plants in Guwahati, Cuttack and Khaargpur , and we are quite happy with our growth in those markets.
Bhargav Buddhadev: And what would be an approximate market sizing in that side of the geography, sir, overall market sizing? any s ense?
M. P. Taparia: Overall market size in the country last year was 4.2 million ton. We make a ll type of plastic pipe systems.
Bhargav Buddhadev: But sir, I was referring more to Eastern part of the country, East India.

M. P. Taparia: We don't have a current number. We are the very dominant player in Eastern India. That is for sure.
Bhargav Buddhadev: Secondly , sir, you mentioned the tanks business has been doing well . Is it fair to say that it is a value -added product for us ?
M. P. Taparia: It is a value -added product.
Bhargav Buddhadev: Because off late, competition has been rising and there has been some pressu

re on profitability .
So, just wanted to check.
M. P. Taparia: Our quality is extremely good .
Bhargav Buddhadev: And lastly sir , on the Silpaulin side, when do we expect the segment to again start getting into the value -added category ?
M. P. Taparia: It is partly of the division, this year only it will start going to value added. This made -up item will all go to the value -added category . Every other segment of application will also go to the value -added category .
Moderator: Thank you . The next question is from the line of Vipulkumar Shah from Sumangal Investment . Please go ahead.
Vipulkumar Shah: So, my question is regarding the margin in the plastic piping products . So, if I see , if I compare with the fourth quarter of last year , margins have come down , have come off very sharply even after adjusting for 40 crore inventory loss . So, what are the main reasons for such a big loss in marg in?
P. C. Somani: You see, apart from inventory loss, the product mix is in the first question also we answered, large volume of agr i and in fra, which is a lower margin business , has been done well in this quarter and that's how so much volume growth of 48 % in quarter -on-quarter. So, those volumes come with lower margin , which affects overall piping business margin per se . And in the fourth quarter of last year , you see some quantity , some benefits of the annual incentive where you

achieve some incentive schemes meeting those parameters , those incentives come only in the
last quarter once you have crystallized , you have met the quantity criteria of the incentive scheme
given by the raw material supplier .
Vipulkumar Shah: So, can you quantify the incentive , sir, if it is possible ?
P. C. Somani: About 50 paisa a kg on the total quantity of PVC what you will obtain from the suppliers .
Vipulkumar Shah: Sorry . I didn't get it , sir.
P. C. S omani: On total quantity of take , you get annual incentive of about 50 paisa a Kg.

Vipulkumar Shah: 50 paisa per Kg. Okay , sir. And lastly, sir, regarding composite cylinders , so are we at 100 %
utilization ? And are we going to expand any capacity there ?
P. C. Somani: No, no, already we have expanded the capacity last year in February . Presently the delivery
schedules from Indian Oil Corporation are somewhat slower . So, there is no reason to expand
further . We ambition about 50%, 70% capacity utilization this year after the increase in capacity .
Vipulkumar Shah: 70% capacity utilization , right ?
P. C. Somani: Yes.
Moderator: Thank you . The next question is from the line of Sonal i Salgaonkar from Jefferies . Please go
ahead.
Sonal i Salgaonkar: Sir, my first question is regarding Supreme Pet Chem . While you have delivered a very healthy
operational performance , we can see that the contribution from your associate has gone down
drastically . So, from here on , how should we look at the contribution from Supreme Pet Chem
over the coming quarters ? Do we see revival in that ?
M. P. Taparia: No, there inventory loss in the first quarter , now that is all behind. Now the demand is looking
quite good for them in nine months and I think Mr . Nair will be interacti ng with the investor s on
Monday . So, he will be able to give you all the questions answered properly .
Sonal i Salgaonkar: Sir, so we should expect some amount of normalization coming back in the coming quarters ,
right ?
M. P. Taparia: Yes, we are quite optimistic . The Company is doing quite well on the investment plan also . The
Company ’s products are very well received . So, we are very happy with the performance of the
Company .
Sonal i Salgaonkar: Sir, my second question and pardon me if I am being repetitive , because we got logged out of
the call for a certain time . So, your guidance for volumes and margins , is that correct that 20 %
plus volume growth in F

Y '24 and margins at 14 % plus?
M. P. Taparia: Yes, we anticipate our volume growth will be 20 % plus and our operating margin will be 14 %
plus.
Sonal i Salgaonkar: And thirdly , about the demand . You mentioned that infra and agr i were the drivers this quarter ,
but going forward , are you seeing revival in real estate construction ? And if so, from where ?
Either rural or urban ?
M. P. Taparia: The housing demand is growing quite strong. When we started the first quarter, this was
additional demand came from agriculture , infrastructure . Housing demand has never weakened .
It remains strong and i t's going to remain strong for the remaining eight months of the year . And

we have good growth, demand growth coming from infrastructure a lso, which may continue for
the remaining part of the year .
Sonal i Salgaonkar: And lastly , on the PVC trend , you mentioned that you have seen stability in the prices in July .
So, should we , I mean , inherently assume flattish prices over the coming quarters or do you think
there could be a renewed volatility into that ? That's all from my side .
M. P. Taparia: Volatility will remain always in the polymer s, but not vol atile like 2021 . Always 50 ,000 plus
minus continues, but presentably, the trend is little bit bullish and the price of PVC
internationally has gone up between 50 to 80 dollar per ton.
Sonal i Salgaonkar: And just one last question . We missed the numbers of Nal Se Jal volumes that you g ave in.
Could you please repeat that for us ?
P. C. Somani : Nal Se Jal volume, no we could not , we did not give exact number because there are so many
products being supplied .
Sonal i Salgaonkar: Sir, are you seeing renewed traction on the ground for this ?
P. C. Somani : Yes, that's why the infrastructure , when we are talking infrastructure is a part of Nal Se Jal only.
Most of the infrastructure were for providing drinking water from reservoir to the village . So, a
lot of polyethylene pipes are being supplied for that only .
Moderator: Thank you . The next question is from the line of Rahul Agarwal from InCred Capital. Please go
ahead.

Rahul Agarwal: Sir, as far as the government business is concerned , we are doing Nal Se Jal, which is largely infrastructure pipes supplies and we are doing the IOC order in terms of the composite cylinder . Anything else do we do for the Indian government direct billing ?
M. P. Taparia: Indian government business we are doing only with Maharashtra . Otherwise , our business are done through contractors . We don't do directly .
Rahul Agarwal: Even the composite cylinder thing is direct or through with contractors.
M. P. Taparia: Composite cylinder with Indian Oil Corporation Limited . Yes, it is government Company , but it is a public limited Company .
Rahul Agarwal: So, I am including PSUs also . So, anything else we do apart from Nal Se Jal in cylinders with Indian governm ent or public sector Company ?
M. P. Taparia: No other business .
Rahul Agrawal : Sir, secondly , on the Composite cylinder , what's still in the order book now ?

M. P. Taparia: Order book is reasonably okay. As Mr. Somani informed you , we anticipate that we will be able to sell 70% of our capacity .
Rahul Agarwal: Which basically means that we will sell about 7 lakh cylinders this year , right ?
M. P. Taparia: 900,000 pieces .
Rahul Agarwal: I thought the capacity was about 1 million units, right?
P. C. Somani: Yes, 1 million.
M. P. Taparia: We will try to make more. There is no issue.
P. C. Somani: It depends on the size of the cylinder.
Rahul Agarwal: So, different size. This is total why you can sell about 9 lakh pieces, is it?
M. P. Taparia : Average.
Rahul Agarwal: And lastly, PVC window and door, that is also a value -added product?
M. P. Taparia: It

should be valu e added.
Rahul Agarwal: And that definition of 17 % margin remains , right ? Is there any change to that ?
M. P. Taparia: We maintai n 17%.
Moderator: Thank you . We will take the next question from the line of Praveen Saha y from Prabhudas Lilladher . Please go ahead.
Praveen Sahay: So, the first question related to the capacity increase in the piping segment , that is you had mentioned to reach from 6 lakhs to 7.5 lakhs . So, should I consider the four of the new systems you are adding in the piping system , that is also included in the capacity expansion in that ? That's a gas piping system and silent piping.
M. P. Taparia: The production will be fully available next year only . They are putting the investment . Some investment made out also this year like Polypropylene Silent Pipe system , the advantage of th at system may be available only next year . PP industrial piping also may be available next year . The polythene gas piping also needed to go into the approval process . So, that also benefit may come next year . Only aluminum PP pipe we have already put in the market and that is already being sold by the Company . So, out of the four new system , the benefit will start accruing to the Company from next year . Money will be invested this year .

Praveen Sahay: And can you more elaborate on the gas piping system uses , where it is used ?
M. P. Taparia: The polythene pipes suppl ied to the gas companies like Mahanagar Gas Limited who are supplying gas to the house s. Like water to house , gas is also being supplied to a house s by pipeline system and now government is putting more trust to supply gas to houses instead of allow supplementing the LPG cylinder . The gas companies are operating already in India and those gas companies require pipe for carrying the gas to the house .
Praveen Sahay: Sir, can you give for this qu arter the volume contribution number for the three segments like plumbing , agri, infra in the piping ? How much is that contributed ?
M. P. Taparia: We don't have a separate number because the pipes are huge. The pipe, we sold agri pipe are used for housing also. So, we cannot properly differentiate, please .
Moderator: Thank you . We will take t he next question from the line of Kamal from CLSA . Please go ahead.
Kamal: I just want to ask that I was lookin g at the realization per Kg for the packaging products which has fallen by 6%. However , I can see i n EBIT per Kg increase d by 6% Y -o-Y. Can you please elaborate like where we have performed better in this ?
P. C. Somani: Again , can you repeat your question ?
Kamal: I was saying , if we look at the realization per Kg for the packaging products , it has fallen by 6% Y-o-Y.

P. C. Somani: No, packaging , you see , we have three segments and the protective packaging , cross -laminate packaging , and the performance packaging . So, protective packaging, which was languishing till previous year , they started doing well . They are developing various new and customized solutions for their customers . So, definitely their re alization per Kg is improved and so the margins als o.
Kamal: And can you please let us know what was the overall capacity utilization for this quarter?
P. C. Somani: For this quarter , as a Company , we have produced about 150 ,000 tons of products . You are talking about the Company as a whole .
Kamal: Yes.
P. C. Somani: Yes. So, against the capacity of 8 lakh metric ton, the quarterly capacity of 200 ,000 metric ton and we have produced 150 ,000.
Kamal: 75%.
P. C. Somani: This is about 75%.

Moderator: Thank you . We will take the next question from the line of Srinath from Bellwether Capital . Please go ahead.
Srinath: So, the CPVC growth for the entire industry was negative last quarter , sir, or di

d we faced issue
because of our
M. P. Taparia: It was negative . For the country for the quarter, I don't have the numbers .
Srinath: And this is only impacting CPVC or you are seeing spurious products in PVC also in the Northeast market, sir?
M. P. Taparia: Then we could not have growth of 48%. We had a growth of 48% by volume in the first quarter in piping.
Srinath: So, the issue is only in CPVC.
M. P. Taparia: Only in CPVC which was mostly due to counterfeit pipe being supplied in Northern East Indian market .
Srinath: And so, if our total degrowth was minus 10%, the Northeast degrowth would have been significantly higher than that, sir . Is that fair to assume that?
M. P. Taparia: No, we told you, we had a degrowth of 12% and the degrowth in the Northern East was more than 12%.
Srinath: And last one , sir. I missed the first 15 minutes of the call . The Har Ghar Jal kind of any qualitative comments on what would the contribution be at least to the value topline because in volume terms , of course, you know, there are different pieces and it becomes a little complicated ? Would it be fair understanding that maybe about 3 00-400 crores of revenue largely came out of that program , sir?
P. C. Somani: No, very difficult to quantify . Nal Se Jal revenue from Nal Se Jal supply.
M. P. Taparia: Nal Se Jal supply we started only properly from this year only .
Srinath: Yes. So, in the 1600 crore, sir, would it, you know …
M. P. Taparia: Nearly 7,000 -ton initial material and we get around maybe Rs. 140 a kilo. So, maybe 7,000 tons, maybe Rs. 100 crore .
Srinath: So, about Rs. 100 crore would be the likely revenue that we would accrue from there.
Moderator: Thank you . The next question is from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah: Sir, I had a question . You have indicated on 15 % volume growth guidance for the full year. If we take this Nal Se Jal Maharashtra government order out , how should we look at it ? Will that number come down to around 12% ? I am taking into account Rs. 140 per Kg what you just indicated in the prior questio n.
P. C. Somani: No, Ritesh, 15% volume growth has been now enhanced to 20% plus volume growth in today's call for the Company for the year .
M. P. Taparia: For this year . We told earlier 15% CAGR basis for just three, four years, but for this year we are saying that our growth overall will be 20 % and in piping segment , we may grow between 23 % to 25% .
Ritesh Shah: Then it helps . Then the implied number goes to around 17% ex Nal Se Jal. That's helpful , sir. And sir, revenue guidanc e, does it remain the same ? Or does that also change ?
M. P. Taparia: Revenue guid ance 11,000 crore now.
P. C. Somani: 11,000 crore
M. P. Taparia: Because the price will come down.
Ritesh Shah: But sir, if I look at 11 ,500 crores of top line and the stated EBITDA margin guidance , is it still 13.5% to 14 %? Or have we changed that , sir?

M. P. Taparia: EBITDA today 11,000 crore and operating profit margin guidance 14 %, which make Rs. 1,540 crore .
Ritesh Shah: Then it would imply EBITDA per Kg for the balance three quarters that nearly Rs. 26, Rs. 27 versus what we reported in this quarter was Rs. 21. Are we comfortable on incremental guidance on per Kg basis as well given we have already qualified the margin as well as the top line , sir?
M. P. T aparia: I am talking overall the Company .
P. C. Somani: You see, this quarter , there was about inventory losses , which about Rs. 3 a Kg. So, Rs. 21 becomes Rs. 24 in your balance if you normalize conditions and with a more volume of agri and infra , the relation per Kg was lower in the first quarter which is definitely going to increase as we move ahead.
Moderator: Thank you . We have the next question from the line of Vipulkumar Shah from Sumangal Investment . Please go ah

ead.
Vipulkumar Shah: Sir, the guidance which you just spoke about , is it at EBIT level or is it at EBITDA level ?
P. C. Somani: EBITDA level.

Vipulkumar Shah: EBITDA level.
Moderator: Thank you . We have the next question from the line of Sneha Talreja from Nuvama. Please go ahead.
Sneha Talreja: You also mentioned volumes for industrial and packaging division . I think I missed that . Some 64,000 and one more number , if at all you could repeat that ?
P. C. Somani: For both these segments , industrial product segment about 64 ,000 total number for the volume for the current year and for packaging also about 64 ,000 metric ton for the year .
Sneha Talreja: So, both 64,000 metric tons for the year.
M. P. Taparia: 67,000 industrial including Composite Cylinders .
P. C. Somani: And 64,000 pac kaging.
M. P. Taparia: And 64 000 is for packaging.
Moderator: Thank you . Ladies and gentlemen , as that was the last question for today , I would now like to hand the conference over to the management for closing comments . Over to you .
M. P. Taparia: Thank you very much . We thank all the participants to raise very analytical question . We thank all of them for their time and analyzing our work and guiding us . Thank you all, please .
P. C. Somani: Thank you .
M. P. Taparia: On behalf of Mr. Somani and Mr. Saboo, we thank all of them .
Moderator: Thank you , Members of the Management . Ladies and gentlemen , on behalf of DAM Capital Advisors Limited , that concludes this conference . We thank you for joining us and you may now disconnect your lines . Thank you .

Call: Nov 2023

SH/13/2023
3rd November, 2023
National Stock Exchange of India Ltd.,
Exchange Plaza, 5th floor,
Plot No. C/1, G. Block,
Bandra-Kurla Complex,
Sandra (East),
MUMBAI -400051 BSE Limited.,
Market-Operations Dept.
1st floor, New Trading Ring,
Rotunda Bldg. P.J.Towers,
Dalal Street, Fort,
MUMBAI 400023
Sub.: Transcript of the earnings conference call held on Monday, the 30th October, 2023.
Ref.: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015
Sirs
Pursuant to Regulations 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclose is the transcript of the earnings conference call held for analysts and investors following the announcement of the Unaudited Financial Results for the Second Quarter and Half Year ended 30th September 2023 after the Board Meeting held on Monday, 30th October,2023.
Please take the same on records
Thanking you,
Yours faithfully,
For The Supreme Industries Ltd.
(R.J. Saboo)
VP (Corporate Affairs) &
Company Secretary
Encl.: a/a.
The Supreme Industries Limited
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"Supreme Industries Limited
Q2 FY '2 4 Earnings Conference Call "
October 30, 202 3

MANAGEMENT : MR. M. P. TAPARIA – MANAGING DIRECTOR –
SUPREME INDUSTRIES LIMITED
MR. P. C. SOMANI – CHIEF FINANCIAL OFFICER –
SUPREME INDUSTRIES LIMITED
MR. R. J. SABOO – VICE PRESIDENT , CORPORATE
AFFAIRS AND COMPANY SECRETARY – SUPREME
INDUSTRIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to The Supreme Industries Q2 FY '24 Earnings Conference Call, hosted by DAM Capital Advisors Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Aasim Bharde. Thank you, and over to you, sir.
Aasim Bharde: Thank you, Anjum and good evening, everyone. On behalf of DAM Capital Advisors, I welcome you to Supreme Industries Q2 results analyst call. From the management team, we have, as usual, Mr. M.P. Taparia, Managing Director, Mr. P.C. Somani, CFO and Mr. R.J. Saboo, Company Sec retary.
Over to you, sir, Mr. Taparia for your initial thoughts and comments.
M. P. Taparia: Thank you very much, Mr. Bharde. I am M.P. Taparia, Managing Director of The Supreme Industries Limited. I, along with my colleagues, Shri P.C. Somani, CFO and Shri R.J. Saboo, Vice President, Corporate Affairs and Company Secretary, welcome all the participants who are participating in the discussion of the unaudited standalone and consolidated financial results for the quarter and half year ended 30th September 2023. The stand -alone results and the consolidated results are already with you. I'll be brief on company's product operating performance and the highlights.
The company sold 137,763 MT of plastic goods and achieved net product turnover of INR2,274 crores during the second quarter of the current year against sales of 111,803 MT of plastic goods and achieved net total turnover of Rs 2,047 crores in the corresponding quarter of previous year, achieving volume and product value growth of about 23% and 11% respectively.
The company sold 286,307 MT of plastic goods and achieved net product turnover of Rs 4,614 crores during the first half of the current year against sale of 220,725 MT and net product turnover of Rs. 4,216 crores in the corresponding half year of previous year, achieving volume and product value growth of about 30% and 9%, respectively.
The consolidated operating profit and profit after tax for the second quarter of the current year amounted to R s. 380 crores and R s. 243 crores as compared to R s.166 crores and R s. 82 crores respectively for the corresponding quarter of the previous year, recording increase of 129% and 196%, respectively.
The consolidated operating profit and profit after tax for the half year of the current year amounted to R s. 723 crores and R s. 459 crores as compared to R s. 493 crores andR s. 296 crores, respectively, for the corresponding period of the previous year, recording increase of 47% and 55%, respectively.

The business scenario of all the product segments of the company for the second quarter ended 30th September 2023 as compared to corresponding quarter of previous year has been as under. Plastic Piping System business grew 30% in volume and 17% in value terms. Packaging Products segment business grew 12% in volume and 7% in value terms. Industrial Product segment business grew 4% in volume and degrew by 3% in value term. Consumer Products segment business remains at same level in volume and degrew by 6% in value term.
The overall turnover of value -added product increased to R s 942 crores during the second quarter of current year as compared to R s. 798 crores in the corresponding quarter of the previous year, achieving growth of 18%.
The company has a total cash surplus of R s. 583 crores as on 30th September 2023 as against cash surplus of R s. 738 crores as on 31st March 2023.
Business outlook.
Polymer pri

ces remained range bound during the quarter but witnessed a sharp downward trend during first fortnight of October affecting business sentiments. Now the prices have started stabilizing as business activity has started picking up.
The company acquired the pipe manufacturing unit of M/s Parvati Agro Plast Limited situated

at Sangli, Maharashtra on a going concern basis which effect from 17th October 2023 at an aggregate consideration of INR151.38 crores. This unit has total installed capacity of 36,000 MT per annum, comprising of 15,000 MT of PVC pipes, 18,000 MT of HDPE pipe and 3,000 tons of O-PVC pipe and spread over 13.48 acres of land. O- PVC pipes has a good market potential and the company is working to expand O- PVC capacity to 15,000 MT per annum at Sangli. The company has also signed an agreement to purchase adjoining land measuring 7.76 acres from the family which would enable the company to expand its operation at the same site.

Various capacity expansion programs of Piping division are progressing smoothly. Construction work is at full swing at all the sites, namely Kanpur Dehat, U.P., Erode in Tamilnadu and Malanpur in Madhya Pradesh. Orders for equipment have been placed and increased capacities will be in operation during fourth quarter of the current year one after the another. Construction work for expansion in Gadegaon, Maharashtra, is completed and arrival of production equipment has started.

The newly launched polyethylene aluminium polyethylene piping system and electrical conduit system has received an encouraging response. Expanded capacities of bath fittings along with environment friendly surface coating process for enhanced durability and better aesthetics at Puducherry in full place and fully operational.

The company's plan to put up a manufacturing facility to make PVC window and door is taking shape and effective execution of the same will start by end of November 2023. It is expected to take about 12 months to commence production trials. The company continues to commit to new investment to increase the range of value -added products and enlarging the

product basket in its piping business. With completion of all the expansion plans undertaken, installed capacities of the Piping System division shall reach to 780,000 MT per annum by end of fiscal year 2024 from 600,000 MT as on 31st March 2023.

The company's strategy to focus more on made -up products in Cross Laminated film division is yielding positive results. Overall realizations have also improved, and the company has been able to handle the smooth competition effectively. Work on the plan to set up 2,500 MT per annum plant to manufacture newly developed Cross Plastic film is progressing well. The company expects to launch the same during the fourth quarter of the current year.

The company has introduced new variants in its cabinet range in its moulded furniture segment and received a good response from the market. The division is continuously adding showrooms to improve awareness of its range of premium products. Total strength of such showrooms has reached 283 by end of September 2023 from 244 showrooms as on 31st March 2023.

The Industrial Components division has witnessed neckiness in demand during the quarter. Although auto sector is doing good, but with more dependency on appliances and white goods, overall market scenario doesn’t look to be so encouraging. The company expects better prospects with impending festive season.

The fisheries and fruits and vegetables sectors in the Material Handling division are seeing good demand and expected to grow in double digit in volume for the year. There is good demand from the soft drink industry for ensuing summer season. Sales of newly introduced dustbins are encouraging, and the division should continue its momentum of growth both in volume and value terms.

For compo

site LPG cylinders, execution of old order received from Indian Oil Corporation is taking place and shall be completed during the year. There are no new orders from domestic oil marketing companies. There are serious inquiries from overseas and once successfully converted would yield better capacity utilization of the plant after recent expansion.

The Protective Packaging Division has enhanced its capacity utilization and the strategy to work more on fabricated products has improved profitability. The division has acquired prestigious orders and customers and working on expanding certain capacities to meet the customized demand. The division has also made inroads in the export market and extended its distribution network for the same.

The Performance Packaging Division continues to utilize its capacity optimally and work on post extrusion value added products. The division is also exploring further export opportunities for improved profitability.

With increased business opportunities, capex plan of the company is also increasing. Total commitments including carry forward commitments of previous year may reach to around R s. 900 crores excluding the amounts committed for acquisition of business of Parvati Agro Plast.

However, total cash outflow is not likely to exceed R s. 800 crores, and the same shall be entirely funded from internal accrual.
This is a brief and overall summary for the quarter and the half year ended under reference.
Thank you for your patience. Now I and my colleagues, Shri P.C. Somani and Shri R.J. Saboo are available to reply to various queries raised by all of you. Thank you very much.
Moderator: Thank you so much , sir. We will now began the Question -and-Answer session . The first question is from the line of Venkatesh from Axis Capital.
Venkatesh : Congratulations for a good set of numbers. My first question is what is had given a certain guidance for the full year earlier. Pipes growth of 23% to 25% and overall growth of 20% plus. Are you making any changes to your guidance for the full year in terms of volume growth for plastics and just plastic piping and also the margins? So that would be the first question.
M. P. Taparia: My overall guidance, I improve now to overall volume growth of the company going to be 23%. And for plastic piping is going to be around 28%.
Venkatesh : 28%. And what about margins?
M. P. Taparia: Overall margin guidance for the full year is around 14.5%.
Venkatesh : Okay, okay. Now are you expecting some kind of a slowdown in the fourth quarter because election season kicks in? Or it doesn't matter that the government would have already given most of the orders before the election season kicks in. And actually, we might have a slowdown in the first half of next year.
M. P. Taparia: We are not in government business much. Election is already going to happen in this quarter only. In January , March, there is no election.
Venkatesh : Okay. And also, how would you look at next year we have grown 29% volumes in FY '23 . You're expecting 23% volume growth in the current year FY '24 . Is it like something we need to keep in mind while we are making our estimates for FY '25 because you're coming off an extremely high base? Or you think you can still continue growing at maybe 15% for FY '25 ?
M. P. Taparia: This year super growth is going to be because a poor base of last year. Now this year is a normal year. So we anticipate growth should be around 12% next year. Growth we will forecast next year growth properly in April 2024.
Moderator: The next question is from the line of Rahul Agarwal from Incred Capital.
Rahul Agarwal : Congratulations on a good quarter. Sir, first question on the Maharashtra state government contract, how much of that is already supplied out of the INR480 crores?
M. P. Taparia: We are continuously supplying . Supplies

are to be completed in 30 months' time , Now 12 months are gone, we will continue to supply as per their ordered quantities.

Rahul Agarwal: Should I assume INR150 crores worth of material is supplied?
M. P. Taparia: I don't recall correctly. Well, it might have . I don't remember correctly. All is going very smoothly. And they place demand on the basis of rate contract . It will take between 24 to 30 months.
Rahul Agarwal: Got it, sir. Second question on Packaging Division. You mentioned on your TV interview that you've got new export orders and hence, the margins are higher. Could you elaborate, sir, in which division within Packaging cross , Protective, Performance or Laminate d Film, which is doing better? And what are these export orders, please?
M. P. Taparia: Packaging is in three segments, Cross Laminated Film, Protective Packaging Products and Performance Packaging Films. In all the three segments, our whole aim is to go on boosting export of all the products. And fortunately, all the products have got good acceptance, and we are increasing our export month after month in all the three segments. When the year will be out, in April, we will tell you absolutely how much exports have gone up in the current year and how many new customers we've added in the segment. We are putting more resources to boost export business of this segment.
Rahul Agarwal: Sir, this INR30 a kg of EBIT for the segment, is this sustainable going forward?
M. P. Taparia: There is no negative reason.
Rahul Agarwal: Okay, sir. And one question was on the appliances and white goods. You said in the quarter the demand has been slow. I just wanted to know consumer durables. How much do they account in terms of revenue for Industrial sales? And what is the outlook for second half?

P. C. Somani : See, out of our Industrial division, about 60% revenue comes from the industrial component . So overall from the Industrial segment, if you look at, close to 40% revenue comes from the appliance sector.
Rahul Agarwal: Got it, sir. And any outlook like who are your major customers? What's really wrong with this in the first half?
M. P. Taparia: There is nothing wrong. The demand is slow f or consumer appliance s. We are seeing in Supreme Petrochem which suppl ies polystyrene . Raw material demand is going slow. Now we anticipate , with festive season is coming very shortly. Demand may revise maybe in the month of November. Marriage session is there also. So we hope for the best.
Rahul Agarwal: Got it, sir. And last question, sir, you said there is a big export inquiry for cylinders. Could you help us understand because you also said that the capacity utilization could be better than what it is. And my understanding is that capacity is one million. So which geography and which customer are you talking about?
M. P. Taparia: When the order comes in January, we can share. We are negotiating only.
Moderator: The next question is from the line of Chandrakant Dhanuka from CD Equity .

Chandrakant Dhanuka: Sir, how easier is business scalability for you all, given that you are in several product segments and have several products in that segment. Sir, I wanted to know how is the business scalability for you? Like how are you looking, like, it is?
P. C. Somani: We are into plastic products only. So raw material procurement, everything is similar and we have multiple product complexes nowadays. So as such scalability is not an issue. Only certain products where we need to put -up the capacity near to the customer, particularly for industrial component. It is only for such we require a specific dedicated facility. Otherwise, within the present production environment only, we can scale up the production facility wherever required.
Chandrakant Dhanuk

a: Okay. Sir, don't you think like these businesses can be spun off as a separate company so that company could draw focused investors?
M. P. Taparia: No, whichever business we are doing, we remain focused on that business. There are separate resources to look after each segment, and they remain fully focused on their segment which they look after.
Moderator: The next question is from the line of Rajesh Ravi from HDFC Securities.
Rajesh Ravi: Congrats on good set of numbers. My first question pertains to -- could you throw color on how has been the CPVC volume growth in this quarter?
M. P. Taparia: CPVC volume had degrowth over our first five months, last month there was growth of 3%. So overall in six months, we had a growth of 1.25%.
Rajesh Ravi: And what is the reason for this decline given that the PVC volume is seeing strong traction?
M. P. Taparia: To our mind principal reason must be that now PVC prices have come down dramatically, previously PVC prices were quite high. So instead of PVC, people started using CPVC. The number we are seeing in the country itself, the first six months, CPVC might have a degrowth between 14%, 15%, volume in the country.
Rajesh Ravi: For the industry. Okay. And sir, what is the outlook for the second half?
M. P. Taparia: Sorry?
Rajesh Ravi: Yes. So you're mentioning the industry would have seen a 15% decline in the CPVC in first half, right?
M. P. Taparia: See, CPVC , because of PVC price have come down dramatically, so wherever people were using CPVC instead of PVC. Now PVC price have come down, so people don't use CPVC. CPVC is expensive than PVC. CPVC has mainly one application that is plumbing.
Rajesh Ravi: Yes. And sir, what is the outlook for second half on CPVC?

M. P. Taparia: The real estate industry is doing well. And CPVC prices also came down. So we see that now the second half there should be growth.
Rajesh Ravi: Okay. And in terms of margin outlook for full year, 14.5%. In fact, do you see any inventory loss risk in Q3, given that we have seen the PVC prices pulling off 7%, 8% in the first fortnight?
M. P. Taparia: No, it has gone down more than 7%, 8% in the first fortnight, prices has gone down by 12%.

Rajesh Ravi: Okay. So any inventory loss there?
M. P. Taparia: No, but it is part of business cycle. So some loss may be there, when prices are rising then we may recover also. So today, we may see some small loss will be there due to inventory. That's why we are seeing in first half the operating margin we have around 14.79% and for the full year, we are forecasting around 14.5%.
Moderator: The next question is from the line of Chirag Lodaya from Valuequest.
Chirag Lodaya : Sir, I have two questions. First question was on what is driving the strong demand in PVC pipe? Is there any specific segment which is where you are seeing very hyper growth?
M. P. Taparia: We don't deal only in PVC. We say our growth is in plastic pip ing systems not PVC.
Chirag Lodaya: Right. So in plastic pipe, is there any particular segment where you are seeing hyper growth?
M. P. Taparia: We are seeing big growth in our polythene pipe business. So we had earlier low base of polythene pipe. We put up more capacity to be used for Nal se Jal scheme. We are a preferred supplier for Nal se Jal because we make very high -quality product. So good order for polythene pipe. They are using polythene pipe. And we are a large supplier of polythene pipe for Nal se Jal scheme.
Chirag Lodaya: Okay. And is the profitability similar versus PVC there? Or there 's a big difference?
M. P. Taparia: Overall, profitably you 've seen already. It is going, maybe around what you see 14.5% overall, piping is a low -volume business. But we supply system . There are fabricated fitting, there are solvents, there are moulded fitting, there are rotomolded items,

so many items. Today, we have more than 12,000 SKU s in plastic piping system. So pipe is very small segment of the 12,000 system .
Chirag Lodaya: Got it. And sir, just lastly, on your guidance, I just wanted one clarification. So H2, whatever guidance you have given for full year on basis that there's an 18% volume growth expected in H2. And if I just look at realization, which should be lower compared to say H1 or say, equal to H1, then our top line would be like 10%, 11% growth in second half. So full year, we'll still look at 10%. You are guiding for 15% top line growth.
M. P. Taparia: Sales around INR10,500 crores, means 12% to 13% growth.

Chirag Lodaya: 10,500 implies 15% growth ?
M. P. Taparia: We are adding many value -added items also. We are now comfortable to talk only the volume growth because value growth is very risky to talk because value growth is dependent on the raw material price . And can't forecast r aw material price for next six months, not possible.
Moderator: Thank you so much. The next question is from the line of Sneha Talreja from -Nuvama .
Sneha Talreja : Congratulations on great set of numbers, sir. Just two questions from my end. Firstly, when you revised your guidance, does that include Parvati Agro or that does not include, both for this year as well as next year?
M. P. Taparia: It includes Parvati Agro, but Parvati Agro ,has been taken over by us now only, and it may run very properly early beginning December only because they need to get BIS for our products in Parvati Agro. So Parvati Agro production will come in our fold properly only from December, that is four months. We counted only for four months of production for them.
Sneha Talreja: Right. But that includes those four months of your guidance?
M. P. Taparia: Yes they are included, now it is our unit.
Sneha Talreja: Right. Understood. Sir, secondly, on this Nal se Jal scheme, just wanted to understand a couple of aspects. Firstly, which other government orders do you have? Maharashtra is something that you have declared over the public domain. Is there any other large government -based orders that you are supplying to?
M. P. Taparia: All over we are supplying to government through contractors.
Sneha Talreja: But how much of the proportion does it fall? I think last quarter, you said somewhere about 10%. And where do you see this portion going?
M. P. Taparia: Polythene pipe business is growing much more than 10%.
Sneha Talreja: No, as your percentage of revenues?
P. C. Somani: These are basically polythene pipes.
M. P. Taparia: We are suppling polythene pipe, and we are supplying to various governments but all through contractors. Only Maharashtra, we are supplying direct to government. Otherwise, we don't supply direct to government.
Sneha Talreja: Understood, sir, but just wanted to understand what percentage of revenue does it form today? And where do you see this going ahead, like maybe two to three years down the line, what proportion can it become? And what's the visibility here? Till what time can these orders continue for us?
M. P. Taparia: May be out of INR7,000 crores turnover of piping system, maybe 7%, 8% maybe polythene

pipe business, may be 8%.

Sneha Talreja: And what's the visibility? And till what period can these orders continue, some sense there?
M. P. Taparia: I think the Nal se Jal scheme should be over by end of 2024. Then we are working on the gas piping system, so that will continue.
Sneha Talreja: With similar visibility even there, like the numbers that today, 7%, 8%, even gas can make up 7%, 8%?
M. P. Taparia: We hope so.
Moderator: The next question is from the line of Udit Gajiwala from Y es Securities.
Udit Gajiwala : Congratulations on a great set of numbers. Sir, f

irstly, can you highlight what is the dealer
channel inventory right now? Are we seeing restocking happening again since the prices have come down sharply?
M. P. Taparia: Restocking started in second half of this month only.
Udit Gajiwala: Okay, sir. So is there any element that in Q2 that numbers could have been better, but there were some elements of destocking like what your peers have highlighted?
M. P. Taparia: We don't think so. This is not possible to so we are not tracking the stock inventory of our distributors, we have no clear idea.
Udit Gajiwala: Understood. Understood, sir. And sir, largely, what will be our plumbing mix and what will be the Agri-mix for the quarter?
M. P. Taparia: It's complicated as always, because people are using Agri pipes for plumbing also.
Moderator: The next question is from the line of Rehan from Equit as Capital .
Rehan : I just wanted to understand more on the cylinder business, the composite cylinders. So what kind of growth are you expecting in it going forward? And how do you see the demand picking up for the same?
P. C. Somani: On composite cylinders, as we mentioned in the call also, right now, we are executing the orders what we have received last year from the Indian Oil Corporation. As of now, there is no further visibility from any of the oil marketing companies for any further orders. What we've expanded our capacity is remaining underutilized. So we are working with the oil marketing companies also, as well as we are also working on the export market inquiries. Something gets crystallised then only we'll be able to tell you.
Rehan: And what percentage of your industrial products is this makeup?
P. C. Somani: Pardon?
Rehan: What percentage of your industrial products does the composite cylinders make up of like how much percentage of industrial product revenue?

P. C. Somani: It's hardly less than 10%.
Moderator: The next question is from the line of Ritesh Shah Investec.
Ritesh Shah : Congratulations on a good set of numbers. Sir, a couple of questions. First is, sir, working capital has increased on 12 -month and 6 -month basis. Can you please explain for all the three variables inventory, receivables, and payables, please?
P. C. Somani: Our inventories have increased. There's no decrease in the inventories. If you look at from March '23 base our inventories are higher. Our receivables are also higher in absolute numbers. And payables, they have come down.
Ritesh Shah: Correct. Sir, any specific reason for the inventory and receivable days to increase?
P. C. Somani: So receivable days have now increased by one day. It was 16 days, now it is 17 days.
Ritesh Shah: It has moved to 17 to 20, if I look at it from September '22 to September '23 ?
P. C. Somani: You are looking at September. I'm looking from March point of view.
Ritesh Shah: Correct. And sir, next ?
P. C. Somani: Of course, the business has increased and because these are government business involved, where we are giving 30 to 45 days credit for the Maharashtra government order. So otherwise normal trade inventories or trade receivables are in the similar line. Payables have reduced because our import volumes have decreased since the prices were falling. And we are buying mostly domestic purchase against advance payment only.
Ritesh Shah: Sure. This is helpful. Sir, my second question is, was there an element of inventory gains during the quarter, if you could please quantify that across polymers?

M. P. Taparia: No, no, not inventory gain. The prices are falling , how can there be inventory gain.
Ritesh Shah: Okay. So was there any inventory loss? Any material number on either side?
M. P. Taparia: Some inventory loss may happen in this third quarter. We don't know today.
P. C. Somani: In second quarter, it was neither. Neither gain or no r at los

s kind of situation.
Ritesh Shah: Okay. This is helpful. And sir, last question for Taparia, sir. Sir, you indicated on gas piping systems. Can you please detail what the product is like, what is the scope it actually offers us?
M. P. Taparia: we made the pipe and had given for approval to the government authorities. We anticipate that we may get a clearance within two, three months. Once we get all the clearance, then we will come back to you what business we are aiming to make for gas. We anticipate good demand to come for gas application also.

Ritesh Shah: Sure. And sir, lastly, would you like to comment on the toys business, if there is a PLI we have exposure over here, which can be a beneficiary. So how are we looking at the toys segment?
M. P. Taparia: No, no. We are not in toys business.
P. C. Somani: We are not into real toy business. So something we are doing only from the base of foam where we are manufacturing polyethylene foam. So we are making some kids puzzles, yoga mat kind of things. But not really into the toy business.
M. P. Taparia: We are not in toy business. No, please, sorry.
Moderator: The next question is from the line of Mr. Achal Lohade from JM Financial.
Achal Lohade: Sir, is it possible for you to kind of give us some sense for first half? How much is the PVC consumption for India and for us, for Supreme?
M. P. Taparia: India, I can say. India has a growth of might be 20%, I think. PVC c onsumption in India overall it has grown by 19%, first half ’,
Achal Lohade: And this is for India PVC consumption, right?
M. P. Taparia: Yes, yes. India PVC sale where 75% may be going into piping, 25% go into non -piping.
Achal Lohade: Correct. Correct. Correct. Would you and for us, it would be higher than that, right? I mean, we would have definitely gained market share in the PVC ?
M. P. Taparia: Grown that much more than that.
M. P. Taparia: I think, the number, absolute number, 1.628 million was the last year first half, 1.628 million first half last year and this year, 1.926 million PVC. So against 1.628 million this year, consumption shown by maker of PVC in India to 1.926 .
M. P. Taparia: 18%.
Achal Lohade: Got it. Sir, second question I had was with respect to our capacity, can you help us with the total plastic piping capacity as of 30th of September? And is it possible to get a broad sense as to how much is in North, West, South and East?
M. P. Taparia: No. Actually what is available can be supplied anywhere in the country. We are not restrict ing that we will not supply. Presently there is better demand and we are supplying goods on all India basis .
Achal Lohade: Correct. Correct. No, I get that. I'm just trying to understand the spread of the company in terms of the presence of the capacity ?
M. P. Taparia: Not possible.

Achal Lohade: Okay, okay. And just one more question. In terms of the growth, is it fair to say that the growth was substantially in the southern pocket or north or anything of that sort for the second quarter?
M. P. Taparia: We're all India player.
Achal Lohade: I'm sure, sir, I'm just checking in terms of the growth for second quarter for plastic piping, was that particularly driven by any particular geography?
M. P. Taparia: Our growth was throughout the country.
Moderator: The next question is from Venkatesh from Axis Capital.
Venkatesh : Can you share what was the inventory loss which you had in the first half of the year. I think after the first quarter, you had said first quarter inventory loss was around INR40 crores ?
P. C. Somani: That's all.
M. P. Taparia: That's all. We didn't say, second quarter business inventory loss, no inventory gain.
Venkatesh: Okay. There's no inventory loss or inventory gain. what is your outlook on P

VC prices? We
have largely bottomed out and it should rebound from here or there is a difference in opinion in terms of how demand supply dynamics are in the Asia Pacific region?
M. P. Taparia: PVC prices are stabilized. But having said that I can only say, commodity prices never stabilize. They may come down by INR2, INR3 per kilo, they may go up by INR2, INR3 kilo. They may go down by INR5 kilo. They may go up by INR5 kilo. Commodity prices never stabilize and to say that level will be maintained up to March, is not going to happen .
Venkatesh: Okay. Okay. Just one more thing. Usually, earlier you used to put out an annual presentation where we used to give out the annual size of the market in each of the subsegments. But I think you've stopped doing that over the last couple of years. Any particular reason for that?
P. C. Somani: Look, precise data are not available. You see, we try to calculate from some of the manufacturers of the polymers. We will try this year after this FY '24, if we can get some precise data.
Moderator: The next question is from the line of Shubham Aggarwal from Axis Capital.
Shubham Aggarwal: Congrats on a good set of numbers, sir. My question is just for on Nal se Jal. You mentioned that in Q1, we've done about 12,000 tons on this scheme ?
M. P. Taparia: Dear, friend. Can you turn loud, please.
Shubham Aggarwal: Am I audible now? Congrats on a great set of numbers. I just wanted to ask on the Nal se Jal scheme. You said in Q1, you did about 12,000 tons on the scheme. And you believe and we believe that the whole order is expected to conclude by FY '24. Can you give a number like

what how much volume are we expected to supply to Nal se Jal in the whole of FY '24? That's one?
Shubham Aggarwal: I believe Nal se Jal is both HDPE and PE, right? Is that correct? And the volume that you supply to these?
M. P. Taparia: Nal se Jal, mostly in our polythene pipe.
Shubham Aggarwal: Okay, sir. So what will be the volume from Nal se Jal for FY '24?
M. P. Taparia: We supply various segments, you see. Again, Nal se Jal, we supply in trade markets also. So we cannot say precisely how much is going for Nal se Jal. We are a large supplier of polythene pipe making in the country.
Shubham Aggarwal: Okay. And you said that in FY '25, this volume will go out of...
M. P. Taparia: It goes for sprinklers; it goes for Nal se Jal. We supply for various systems, actually.
Shubham Aggarwal: Okay. So it's not right to quantify that, okay, this company for the whole year will supply, let's say, 40,000 tons for Nal se Jal, we can't really say that, right? That's not the right way to...
M. P. Taparia: When the year is out, we will tell you how much we might have supplier, but especially in application we don't know correctly.
Shubham Aggarwal: . Okay. Sir, just you said that this Nal se Jal order will get completed in FY '24 . Can you please reiterate what benefit were you expecting? What will take what government orders are expected in FY '25 , which will help recoup this lost volume of 12?
M. P. Taparia: in FY '24
Shubham Aggarwal: Sorry ?
P. C. Somani: We mentioned that Nal se Jal spend will be over by '24...
M. P. Taparia: Government made announcement; they want to do it by 2024. They didn't say FY '24. They said we want to do Nal se Jal scheme by 2024. Now there may be some spillovers and it may not be completed by 2024. May go out to 2025 also. So many government states are there. We have no idea, clearly. Presently, demand is proper, that only we know.
Shubham Aggarwal: Okay, sir. And just my last thing. is it possible to give a broad split of revenue from PVC, HDPE, and PE pipes separately, is it possible?
M. P. Taparia : Not possible. It's classified.
Moderator: The next question is from the line of Abhishek from DSP.
Abhishek : Sir, just wanted t

o confirm your current capacity will be something like 8.5 lakh tons, including Parvati?

M. P. Taparia: Company or piping?
Abhishek: Overall company.
M. P. Taparia: Company, close to 900,000 tons.

Abhishek: Okay. And this will move to almost like one million by end of next year. Would that be a fair assumption, sir?
M. P. Taparia: One million tons by end of March '24.
Abhishek: One million by March 2024. Got that, sir. And sir, the other thing is what we see in the current quarter, your proportion of value -added has moved up significantly to almost about 41%, 42%. That is largely because of packaging segment doing well. Would that be the major mover there?
M. P. Taparia: Partly, because the packaging segment is doing quite well now.
Abhishek: Sorry, sir?
M. P. Taparia: : Yes, because 50% were made by furniture division, by packaging division, by plastic pipe division, all the divisions contributed.
Abhishek: Okay. Okay. And sir, your packaging segment has seen very healthy improvement in margins. You spoke about the export opportunity. If you can just help us understand, is it like the distribution model where the packaging segment is gaining traction in export? Or is it on the OEM model? If some color you can provide as far as the export opportunity of the packaging segment is concerned, sir?
M. P. Taparia: No, we are making variety of products in the packaging segment. We have big customers based throughout the world. We are making the products as per the requirements of the customer, customized product. And we are getting relative good margin on customized products , on any proprietary product.
Abhishek: Is it fair to assume sir that the competitive scenario landscape in packaging in domestic market is stable? It is the export market which is driving the incremental margin? Is that the way to look at the business?
M. P. Taparia: In the competitive market also in specialized items we are getting proper price.
Abhishek: Okay. So there is improvement at both, you are saying domestic plastic goods?
M. P. Taparia: Mostly, you are right.
Abhishek: Got it. And sir, just couple of other things, you know that through Parvati, you've also acquired this O -PVC. Would you be able to help us understand the applications of O -PVC pipes, where does it get used and opportunity ?

M. P. Taparia: O-PVC is supplementing ductile iron pipe. Ductile iron pipe is principally used to carry the drinking water. And ductile pipe market is three million tons. O-PVC is comparatively economical compared to ductile iron pipe, capacity in India is very small. So the market is growing, and we will supplement ductile iron pipe business.
Abhishek: Okay. So you will need to get your O -PVC pipes approved by the government, is that a process that you'll have to go through?
M. P. Taparia: They are already approved , Parvati is approved by the government.
Abhishek: Okay. Okay. So you will keep on adding capacity based on whatever demand you get on the DI replacement part of it. That's the way to look at it ?
M. P. Taparia: You are right.
Abhishek: Okay. Okay. Sir, just one last question on the PVC window profile business that you have started and you're likely to commence operations in about a year's time. The distribution will that be different, right? Will the distribution of that business will be different from the current distribution that you have for the piping system?
M. P. Taparia: When we are ready, we'll give all details.
Moderator: The next question is from the line of Saket Kapoor from Kapoor Co.
Saket Kapoor: Just going to the last answer, which you gave for O -PVC as a supplement to ductile iron pipes. So the ductile iron pipes, diameter ranges -- is a long range. So how are these O -PVC aligned to t

hem? Any last -mile connectivity that will happen through O -PVC or how will they work with ductile iron pipes?
M. P. Taparia: We can connect O -PVC to ductile iron pipe, there is no problem. we can join no issue about it and Parvati is able to make only up to 400-millimeter diameter. Ductile iron pipe is made up to 1.2-meter diameter. So some portions of ductile iron pipe will be supplemented by O -PVC. O -PVC people are now trying to build a pipe our company will be producing up to 400 millimetres only.
Saket Kapoor: And sir, how is the cost component being advantageous for O -PVC?
M. P. Taparia: Mostly economical compared to DI pipe.
Saket Kapoor: Okay. But they will always act as a supplement. They cannot be act as a replacement to the ductile and that is what you are saying? Or is this very nascent stage as of now?
M. P. Taparia: I did not say replacement, I say, supplement it.

Saket Kapoor: Yes. Yes, you did say supplement that is my reason why would only for the cost efficiency part is the one reason that O -PVC will act as a supplement or what could be the other reasons there?

M. P. Taparia: I say, DI pipe, large requirement is 1.2 meter. The 1.2 meter, as on today, not produced in India. India is producing mostly 400 millimetre . Some plants have gone for 630 millimetres also. So the market for DI pipe is more in the larger diameter.
Saket Kapoor: Okay. So there O -PVC will come into play?
M. P. Taparia: The O -PVC, it is a very small capacity.
Saket Kapoor: And sir, post our expansion, what is our current value -added product as a percentage of sales? And what should be the percentage going ahead for, say, one or two years down the line?
P. C. Somani: Currently about 36.5%, which is hovering between 36% to 39%. It all depends, it is a dynamic definition, the product, which can get 17% plus EBITDA margin, only 35% falls in basket. So something goes out, something comes in. Our focus is to replace the new products continuously, somewhere 37% to 39%, 40%. This is the range in which we are operating.
Saket Kapoor: Okay. For value -added as a percentage of sale?
P. C. Somani: Correct.
Saket Kapoor: Sir, now the last point to the raw material basket, sir. We are expanding capacity. Even other players are there. How are the raw materials being aligned in terms of the capacity? And I think they are the PVC resins only the key raw material or what constitutes a major part of our raw material basket?
M. P. Taparia: We are very comfortably supplied by our raw material supplier, domestic and international. So we have no issue of raw material here.
Saket Kapoor: Okay. And so what portion do we source from the domestic and how much we source internationally?
M. P. Taparia: Maybe around 40% to 45% domestic and balance is imports.
Saket Kapoor: Balance is imports. Sir, new capacities have been envisaged for the PVC segment. So that will suit on the things more for the companies like us going ahead, some large capacity for PVC have been tried earlier also...
M. P. Taparia: But anyway, just I can tell you the Reliance has announced and Reliance is implementing a very big expansion of PVC.
Moderator: The next question is from the line of Navid Virani from Bastion Research.
Navid Virani: So let's say if we see three to five years down the line, can you give us what kind of opportunity signs are we looking at in each segment in terms of exports?
M. P. Taparia: We see now we are working also very strongly how to push exports. So as of today, our exports are less than 3% of our turnover.

Navid Virani: Sir, do we see export opportunity increase in each of the segments.
M. P. Taparia: The company is focusing more and more to boost export, as on today, as I told you, we are less than 3% of tur

nover. But with so many exhibitions now we are participating in the international market. And there are more resources we are providing to boost exports. We hope that our exports should go on rising.
Navid Virani: So, let's say, three to five years down the line, do we see our exports going to 10 -odd percent of our sales?
M. P. Taparia: I can't tell any percentage. I can only say company's focus remains to go on increasing export. And company is putting resources to do this.
Moderator: The next question is from the line of Ritesh Shah.
Ritesh Shah : Two questions. Sir, first is historically, we have levered...
Moderator: Sorry to interrupt you, sir. Due to time constraints, can you please ask just one?
Ritesh Shah: Okay, sir. Sir, historically, we have always grew by organic growth, but it is, for the first time, what we are hearing is Parvati acquisition. Sir, what is the change in thought process? Why are you doing this now? Why have you not done before? How should we understand this?
M. P. Taparia: We wanted to go into O -PVC line.
Ritesh Shah: Okay. So incrementally, for new products, we will be open to inorganic growth? Is that how one should read into it?

M. P. Taparia: We are open to even the existing products also inorganic growth. We have never closed our mind.
Moderator: The next question is from the line of Rahul Agarwal from Incred Capital.
Rahul Agarwal : The question was the Parvati acquisition, the net cost, final cost is about INR150 crores. This is INR20 crores lower than what we announced in August. Why is the difference?
P. C. Somani: No, Rahul, INR20 crores, we have to go for the adjoining land. Parvati Agro is one part of the deal. What we announced was the combined consideration of the adjoining land also. The amount remains the same.
M. P. Taparia: The amount remains the same...
Moderator: The next question is from the line of Keshav Lahoti from HDFC Securities.
Keshav Lahoti : I just want to understand, you have guided EBITDA margin of 14.5%. H1, we have already done 14.5% in spite of inventory loss. Normally, H2 is more stronger. So is this more like a conservative guidance or you are factoring some inventory loss in your guidance?

M. P. Taparia: As I told you, in October, first half only , the PVC prices have gone down by 13%. So going forward, we can't forecast the price trend. And with the world economy in such a state , we don't know what fall can take place. So better to be conservative.
Keshav Lahoti: So putting inventory losses aside, 15% would be the right margin to look in H2?
P. C. Somani: Yes, 14.5% to 15% without inventory losses kind of thing, we can say 14.5% to 15%, it all depends upon the product mix.
Keshav Lahoti: Okay. Okay. One last question from my side. one million tons capacity, which will be achieved by the end of this year. Can you give the segmental break -up?
M. P. Taparia: 780,000 tons will be plastic pipes. As you recall that we said that we will increase capacity by 200,000 tons this year. Out of 200,000 tons, 180,000 tons is in plastic pipe. Remaining 20,000 tons is spread over so many segments.
Moderator: As there are no further questions, I would like to hand the conference over to the management for the closing comments. Over to you, sir.
M. P. Taparia: Thank you very much for very analytical questions. We were enriched by the various questions raised by our partners. We thank all of them for the same. Now my colleague, P.C. Somani, will speak, yes, please.
P. C. Somani: Thank you DAM Capital for organizing this conference and thank you all the participants. Thank you very much.
R. J. Saboo : Thank you, Aasim, for the conference, and thanks to all the participants. Thank you.
Moderator: Thank you so much, sirs. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank y

ou for joining us, and you may disconnect your lines.

Call: Jan 2024

SH/13/2024
25th January 2024
National Stock Exchange of India Ltd.,
Exchange Plaza, 5th floor,
Plot No. C/1, G. Block,
Bandra-Kurla Complex,
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MUMBAI -400051 BSE Limited.,
Market-Ope rations Dept.
1st floor, New Trading Ring,
Rotunda Bldg. P.J.Towers,
Dalal Street, Fort,
MUMBAI 400023
Sub.: Transcript of the earnings conference call held on Friday, the 19th January, 2024.
Ref.: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015
Sirs
Pursuant to Regulations 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations , 2015, enclose is the transcript of the earnings conference call held for analysts and investors following the announcement of the Unaudited Financial Results for the Quarter and Nine Months ended 31st December, 2023 after the Board Meeting held on Friday, 19th January, 2024.
Please take the same on records
Thanking you,
Yours faithfully,
For The Supreme Industries Ltd.
Gr" ~
(R.J. Saboo)
VP (Corporate Affairs) &
Company Secretary
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"The Supreme Industries Limited
Q3 FY'24 Earnings Conference Call"
January 19, 2024

MANAGEMENT : MR. M. P. TAPARIA – MANAGING DIRECTOR –
THE SUPREME INDUSTRIES LIMITED
MR. P. C. SOMANI – CHIEF FINANCIAL OFFICER –
THE SUPREME INDUSTRIES LIMITED
MR. R. J. SABOO – VICE PRESIDENT CORPORATE
AFFAIRS AND COMPANY SECRETARY – THE
SUPREME INDUSTRIES LIMITED

MODERATOR : MR. AASIM BHARDE – DAM CAPITAL ADVISORS

Supreme Industries Limited
January, 19 , 2024

Moderator: Ladies and gentlemen, good day, and welcome to The Supreme Industries Q3 FY'24 Earnings Conference Call, hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you t o ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone.
Please note that this conference is being recorded. I now hand the conference over to Mr. Aasim Bharde from DAM Capital Advisors Limited. Thank you, and over to you, sir.
Aasim Bharde: Yes. Thank you, Muskan and good evening, everyone. On behalf of DAM Capital, I'm happy to welcome you to Supreme Industries Q3 post results call. From the management side, we have online Mr. M.P. Taparia, Managing Director; Mr. P.C. Somani, CFO; and Mr. R. J. Saboo, Company Secretary. Over to you, Mr. Taparia for your initial comments.
M.P. Taparia: Thank you very much. I am M.P. Taparia, Managing Director of The Supreme Industries Limited. I, along with my colleagues, Shri P.C. Somani, CFO; and Shri R.J. Saboo, Vice President, Corporate Affairs and Company Secretary, welcome all the participants who are participating in the discussion of the unaudited standalone and consolidated financial results for the quarter and 9 -month period ended 31st December 2023.
The Standalone results and the consolidated results are already with you. I will give brief on Company's Product Operating performance and other highlights.
1. The Company sold 158025 MT of Plastic goods and achieved net product turnover of Rs. 2429 Crores during the 3rd quarter of the current year against sales of 138362 MT of Plastic goods and achieved net product turnover of Rs. 2284 Crores in the correspondi ng quarter of previous year achieving volume and product value growth of about 14 % and 6 %, respectively.
The Company sold 444332 MT of Plastic goods and achieved net product turnover of Rs. 7043 Crores during the Nine months of the current year against sales of 359087 MT and net product turnover of Rs. 6500 crores in the corresponding Nine months of previous year achieving vo lume and product value growth of about 24 % and 8 %, respectively.
2. The Consolidated Operating Profit and Profit after Tax for the 3rd quarter of the current year amounted to Rs. 400 crores and Rs. 256 crores, as compared to Rs. 331 crores and Rs. 210 crores respectively, for the corresponding quarter of the previous year, recording increase of 21% and 22% respectively.

The Consolidated Operating Profit and Profit after Tax for the nine months of the current year amounted to Rs. 1123 crores and Rs. 715 crores, as compared to Rs. 824 crores and Rs. 506 crores respectively, for the corresponding period of the previous year, recording increase of 36% and 41% respectively.

3. The business scenario of all the Product Segments of the Company for the 3rd quarter of the current year ended 31st December, 2023 as compared to the corresponding quarter in the previous year has been as under: -
• Plastic Piping System business grew by 17 % in volume and 9 % in value terms.
• Packaging Product Segment business grew by 3 % in volume and 4 % in value terms.
• Industrial Products Segment business grew by 10 % in volume and degrew by 1 % in value terms.
• Consumer Product Segment business degrew by 3 % in volume and value terms.
4. The overall turnover of value added products increased to Rs. 853 crores during the 3rd quarter of current year as compared to Rs. 826 crores in the corresponding quarter of the previous year achieving growth of 3 %.
5. The Company has a total Cash Surplus of Rs. 586 crores as on 31st December, 2023 as against Cash Surplus of Rs. 738 cro

res as on 31st March, 2023.
6. Business Outlook
Polymer prices have stabilized at an affordable level. Red Sea conflict has disrupted normal business flow. The price volatility may become severe if this conflict becomes more wide spread.

In our country additional petrochemical plants have gone into operation. Further capacities to make Polymers are expected to go into production in the country in next 2 -3 years. This augurs well to plan further growth in the Company's businesses.
The Company has acquired M/s Parvati Agro plast at Sangli (Maharashtra), with a capacity of 36000 tons per annum. The additional adjoining land of 7.76 acre which was part of the deal is still waiting for certain Government clearances to come to Company's ownership. Several balancing equipment's to run the plant fully are still to come. The Company expects to run this Unit at full capacity beginning February this year.
The construction of the Company's fourth plant at Malanpur is going in full speed. It is expected that the plant will be put in operation during the during 1st quarter of FY 2024 -25. This plant is geared to manufacture Ball valves and Industrial vales.
The Company received BIS approval for supplying it's HDPE pipe for carrying Natural Gas. The Company expects to introduce this new system to the market in 4th quarter of current year. The plant to produce Accoustics Polypropylene pipe is expected to go into operation during July -September 2024.
The Company has started offering its CPVC pipe system for Industrial application. Earlier, the Company was catering plumbing and fire sprinkler system from CPVC raw materials. The company will now be able to cater to demand for Industrial Piping requirements from CPVC material.

The Company has placed order for 9 lines of O -PVC pipe manufacturing with its suppliers, after entering into this business. Once all these lines are operational, then the Company will reach a capacity of around 40,000 tons per annum of such pipe. This ca pacity may be operational within two -year time. The Company intends to start O -PVC pipe production at Cuttack and Gadegaon Unit, apart from its Sangli Unit.
The C ompany has achieved a volume growth of 30% plus in first nine months of the year in its Plastic pipe division. The Company expects to achieve similar growth for the full year in this segment.
The Company's manufacturing facility to make Windows and Doors at Kanpur is progressing. Considering the long delivery schedule of equipment which are of foreign origin, it is expected that the benefit of this business will reflect in 2025 -26 working only.
In Cross Laminate Film division , The Company continues its efforts to increase its range of made -up products along with its penetration in the entire Country. The Company is also putting more resources to reach several international markets to sell its e xisting variety of Cross Laminated film products. The benefits of all these initiatives will be reflected in future business growth.
The Consumer product division had a degrowth of around 3% in the quarter. However, the profit level was maintained compared to last year for the same quarter due to catering to premium range of products in this segment. The Cabinet range has superlative gr owth. The Company's drive to increase nos. of show rooms has resulted in such number increasing to 298 by end of December,2023 from 244 showrooms at the beginning of the year.
The Industrial Component Division continues to face weak demand scenario during the quarter. This division is more dependent on appliances and white goods which have not fared well even during festive season. Division is continuously engaging with new customers and application to optimally use its manufacturing capabilities. The division is hopeful of business recovery with gaining new customers/applications.

The business scenario in the Material Handling Division remains robust with good demand from Fisheries, F&V and Dairy segments. Division has also received good orders from the soft drink industry. The introduction of the new dustbin range has received enco uraging response and the division should continue its momentum of growth both in volume and value terms.
Newly installed production line of composite LPG cylinders has been successfully established. Execution of old order received from Indian Oil corporation (IOC) is nearing completion and new enquiries are expected soon. The recent introduction of promotiona l campaign/activities by IOC has seen increased enquiries for the product. Other two Oil marketing companies are also likely to introduce the product in the market soon. Export

enquiries continue to flow but no significant development has yet taken place except repeat orders from existing customers and small quantity orders from new country/customers.
The Protective Packaging Division has been able to develop specialized and customized solutions for its newly acquired customers. Necessary investments are being made to ramp up the capacities to meet the increasing demand. The division is working for more export opportunities and strengthening of internal as well as distribution network is in progress.
The Performance Packaging Division is exploring more export opportunities and working on newer applications for better profitability. Its present capacities are optimally utilized and availability of space remains a constraint for further growth plans.
The Company remains optimistic for business opportunities and continues to commit more Capex in line with its growth plans. Total commitments including acquisition of business of Parvati Agro Plast and carry forward commitments of previous year may exceed Rs. 1000 Crores. However, total cash outflow is not likely to exceed Rs. 750 Crores for the year and the same shall entirely be funded from internal accruals.
This is a brief and overall summary for the quarter and nine months ended under reference.
Thank you, for your patience. Now, I and my colleague, Mr. P.C. Somani & Mr. R J Saboo, are available to reply to your various queries raised by all of you.
Moderator: Thank you very much. We will now begin the question -and-answer session. And the first question is from the line of Rahul Agarwal from Incred Equities.
Rahul Agarwal: Thank you so much for taking my question. Sir, first question is on volume growth. I can see packaging, industrial and consumer products obviously are going through lower growth what we are seeing in pipe, when does this go to double digits? Because 9 months, largely all these 3 segments have grow n in single digits. So could you help us understand what do you see growth in fourth quarter or for the full year, if you want to talk about fiscal '24 or the next year, fiscal '25?
M.P. Taparia: In packaging segment we are moving towards value added items. With value added items our operating margin will improve, volume may not be in double digits but it will give a better profit growth to the company.
Rahul Agarwal: Sir, what about industrial and consumer next year, volume growth?
M.P. Taparia: Consumer segment as we stated we are moving more and more to premium items, so volume growth will be insignificant, but will be much better than previous year. Industrial product segment will depend on how our customer business improves, so we cannot talk about the volume growth or whatever it is, on Industrial segment we cannot talk. We cannot give any promise on how much will be volume growth and value growth.
Rahul Agarwal: Got it, sir. Sir, next question was any inventory gains or loss in third quarter?
M.P. Taparia: Inventory loss only.

Rahul Aga

rwal: Sir, any rough estimate of inventory loss?
M.P. Taparia: For 9 months we can only declare today that whatever was the valuation of our Piping division on 1st April, it has gone down by value of INR51 crores in 9 months. The same quantum of inventory valued at INR51 crores lower on December 2023 compared to 1st A pril 2023.
Rahul Agarwal: Got it, sir. And your comment on CPVC for industrial piping, how much annual volumes can we do on an ideal basis?
M.P. Taparia: I can't share. Product has been very well accepted.
Rahul Agarwal; Sir, any idea of the market size?
M.P. Taparia: We have entered now on the market side, not only CPVC we are supplying PPR also for industrial application s. We supply polyethylene pipe also for industrial application s. It's a market overall for industrial piping, material is used as per the requirement of the customer and requirement of the application.
Rahul Agarwal: Got it, sir. And last question on O -PVC, you said your capacity expansion is 40,000 tons, this is over and above Parvati's 36,000 tons.
M.P. Taparia: 30,000 tons. We have planned 30,000 tons capacity expansion but that will take 2 years' time.
Rahul Agarwal: Got it, sir. Is it over and above Parvati's 36,000 tons?
M.P. Taparia: Sangli 3,000 tons in only O -PVC. 33,000 tons is PVC and polyethylene. Total capacity of Parvati 36,000 tons, out of which O -PVC 3,000 tons.
Rahul Agarwal: Okay. Got it, sir. Got it. Anybody else in India who does O -PVC right now?
M.P. Taparia: 6 more suppliers.
Rahul Agarwal: And what would be roughly the Indian capacity for O -PVC?

M.P. Taparia: I have no idea.
Rahul Agarwal: Okay, sir. No problem. Appreciate your answering all my questions. I'll come back in the queue. Thank you. All the best.
Moderator: Thank you. And the next question is from the line of Sneha Talreja from Nuvama. Please go ahead.
Sneha Talreja: Good evening sir and c ongratulations on strong volume growth, especially in the plastic side. Wanted to understand, you've done 17% this quarter, and you had earlier guided for 28% volume growth, which you further decided to upgrade it to 30%. So where is the confidence coming from? What are the new avenues, which are driving this volume growth of 30% after a strong year already?

M.P. Taparia: Not clear. Madam can you repeat the question please.
Sneha Talreja: Sir, what's giving you confidence of upgrading your own volume guidance of 28% in pipes to 30% now?
M.P. Taparia: In the first 9 months, we have grown by 30.4%. And the polymers price has become further affordable and there is good demand from infrastructure and housing and last year in the month of January and February the demand was low. So when we say that we will grow 30% for the year, 9 months we have grown by 30.4%. And the remai ning 3 months, business conditions are looking better compared to last year. So we are able to commit that we will grow 30% for the full year in plastic piping.
Sneha Talreja: Understood. And rest of the segment, sir, where do you see potential, you mentioned about packaging that you are focusing more on value add and margins would come in, but you would say you won't go to actually double -digit volume growth. When do you see th is segment going back to double digit? Would it be single digits for next year as well?
M.P. Taparia: In Packaging segment, there are three divisions. Like cross laminate d film, we are going more and more into value -added product other than Tarpaulin where we are able to capture more value than what we are getting in Tarpaulin and protective packaging film s,we are growing into more and more multi structural and more and more into export markets where we get better margin s, so our capacity is restricted, we don't have capacity, producing 10,000 to 11,000 tons per year, with capacity constraint we can't grow m

ore capacity there.
So whatever capacity we have got we want to earn more money by that capacity by going into specialized product. And protective packaging product, we are now selling more and more laminates to re -align fire applications , and we laminate and in that laminate product, we are getting more value addition and -- where it is more profitable.
Sneha Talreja: Understood. Sir, also on your new product line, just wanted some clarity. You mentioned that revenues will start flowing in from FY'26 with the PVC window profile system. Could you speak more on it that how will be the distribution network, have you starte d creating the same, what is the potential of this product line for you?
M.P. Taparia: In the window line, our plan is not to sell the profile, we will make customized window as per the requirement and we will do window fabrication, initially at five locations, three of the company and two we have identified franchisee who will make on our s pecification and customize, we will offer the window to the customer based on our profile and our accessories. And initially, we hope to sell 5,000 tons and later on we will increase that capacity to 10,000 tons in the same site that is in Ka npur.
Sneha Talreja: Understood, sir. Thanks a lot for the guidance and all the very best.
Moderator: Thank you. The next question is from the line of Shubham Aggarwal from Axis Capital. Please go ahead.

Shubham Agarwal: Hi. Thank you for the opportunity, sir. Sir, just we've seen very strong growth coming for you over the last year. I was trying to get a sense that where have you seen this growth coming from? You're also very strong in government business, you are strong in retail as well as in projects, right, the plumbing business, the projects business. So where have you seen the maximum growth come for during the last year? And what do you expect going forward in the next two years there? Where will th e growth come from, governments, retail or projects?
M.P. Taparia: Our business with government is very small. Our business is mostly coming from in plastic

piping more from housing and going to agriculture and further growth from infrastructure which
we don't deal much with government but we sell through contractors and that business is the
smallest among the three segments. Number one is housing. Number two is agriculture and then
to the government.

Shubham Agarwal: Sir, broadly, what would be in nine months FY'23, broadly what percentage of your business would go to government, retail and projects?

M.P. Taparia: The problem is whatever pipe we sell for agriculture, the agriculture pipe we know that many of the pipes are used for housing. So difficult to divide the total percentage between housing, agriculture. Government business is small in the company. It may be less than 10%.

Shubham Agarwal: Okay. So when you say government business, you actually mean that business which may also be supplied through contractors to the government. Do we need…?

M.P. Taparia: We combine both of them. Directly with government, we are only dealing with Maharashtra government, otherwise all through contractors.

Shubham Agarwal: Fair, sir. And just in this context, I think we're a big player for Jal Jeevan Mission across the country. Just wanted to get a sense that a lot of the 28 states have already completed their Jal Jeevan Mission targets is what we see on their website. And a s they complete and more are expected to complete in the next six months, what impact do you see from this once the Jal Jeevan Mission has completed for the government, once they have achieved their targets?

M.P. Taparia: We are now told that the Nal -se-Jal Scheme will be over in six months, but we believe that by March '25, most of the works should be complete. But we are now moving into gas supply system and this is also

going to be suppl ied through government issuing order from the gas company where our pipe is being approved by now BIS and we will be using the same capacity to manufacture pipe suitable to carry natural gas.

Shubham Agarwal: Okay. Got it, very well clear. This was the only question I had. Thank you so much.

Moderator: Thank you. The next question is from Sonali Salgaonkar from Jefferies. Please go ahead.

Sonali Salgaonkar: Sir, thank you for the opportunity. Sir, I have just one key question about your margins. Now core operating margins in Q3 is at about 15.5%, which is up by more than 200 bps year -on-year and even about 10 bps quarter -on-quarter. Sir, I actually would like to understand from you as to -- I mean, what is the key for such a margin resilience? Because

this quarter, we saw volatile PVC prices, especially in October and December when the prices were quite softer. So despite this volatility, what can lead to the margin resilience, especially because even value -added sales is just at about 35% of your overall sales this quarter. I would like to hea r your thoughts on it.

M.P. Taparia: We are increasing our range of product more and more. In our piping system, our range is now in excess of 16,000 SKUs. We are making more and more special ity products which may not fall in the value -added product because our criteria for value -added product is it must earn operating margin of 17%. But if it earn lower than 17%, they don't fall in value -added product .The margins will definitely become higher than 15%, which enable us to enjoy a margin of around 15.5%. And this trend will continue. We will be working on our special ity products so that we are able to maintain our margin at a better level.

Sonali Salgaonkar: Understand. Sir, and broadly, are we able to give any approximate estimates as to within your plastic piping system, which is about 65% of your overall top line, how much of it caters to agriculture versus construction?

M.P. Taparia: Very difficult. As I spoke earlier to investor partner s that agriculture pipes we use for housing also, so very difficult to give percentage right. But as we inform you that we are principally supply to housing market direct to the project construction or through retailers. We are not a big player in agriculture market. As there is a demand between seven to eight months in a year and we are not very -- strongly active in agriculture market. We're more in housing market.

Sonali Salgaonkar: Understand . Sir, and last one from my side. would it be possible to give us tier -wise distribution, very approximate as to how much comes from urban then how much from Tier 1, Tier 2 cities , because your volume growth has been consistently very strong and outpacing the peers. So we would like to understand as to where this additional growth is coming from? Thank you.

M.P. Taparia: We'll go in introducing several new systems further SKU ’s . We are going to appoint new distributors. We're putting more plants also to make us more comfortable and more convenient to the consumer to get the product at lower cost. So th ese combined factors , we are quite optimistic that we will continue to enjoy reasonably better growth.

Sonali Salgaonkar: Got it, sir. Thank you and all the best.

Moderator: Thank you. The next question is from line of S Ramesh from Nirmal Bang Equities. Please go ahead.

S Ramesh: Good evening and thank you very much. So if you're looking at your blended margins and your margins on PVC pipes, there is a healthy trend in terms of margins per ton. Th is percentage margin will vary with the top line. So in terms of your own assessment of the market, how do you see the EBIT per ton for the pipe business moving, say, in the next one to two years based on the ability to grow the volumes and operating leverag e as well as the change in

input cost and
the overall...?

P. C. Somani: Based on the product mix what we are introducing, our EBIT margin per ton is between the range of INR18 to INR20 a kg.
S Ramesh: It is a blended margin. And how about in the pipe segment, because the pipe segment is already at about INR18 to...
P. C. Somani: I am talking pipe only.
S Ramesh: Okay. And what about the overall company margin?
P. C. Somani: Company margin see different product divisions have different margins . Everything does not go on the basis of volume.
S. Ramesh : Yes, I understand that. So if you see there is an improvement in the blended margin, if you look at EBITDA per ton about INR24,000, roughly, right? So under $300 per ton, would you be driven more by volumes in terms of the overall blended EBITDA say over t he next two years or when you talk about value addition?
P. C. Somani: In the sense only in the plastic piping system. Other division, in the packaging, they are not grown by volume, or by the value -added product or the customized solution or special applications. Each segment has a different specularity and not be just given a simple margin guidance for per kg.
S. Ramesh : So basically, you're saying if you look at the next two years, we should look for the most of the growth to come from the pipe business. Is that a fair assessment?
P. C. Somani: Pipe is the largest one, giving 65% to 70% of top line. The volume growth definitely will come from piping. The other divisions are not capable of growing in great speed. Margin improvement will come from the other segment where particularly in packaging is doing very good now.
S. Ramesh : No, so the question is in terms of the incremental growth in the other segments, can it move the needle in terms of your overall growth in EBITDA? That's the question. But in pipe side your margin per ton is stable and is the one way always --
M.P. Taparia: We are happy that we have declared this year, 15.5% and definitely we want to improve, but 15.5% is far better than what we were achieving earlier.
S. Ramesh : Okay. So in terms of the overall capex, how much is the capex share or the costs you have incurred on the acquisition of Parvati's assets?
P. C. Somani: Parvati assets, we have given INR151 crores and INR21 crores for the adjoining land which is yet to come. So total outgo will be INR171 crores.
S. Ramesh : INR171 crores. So that INR1,000 crores capex, does it include the subsidiary, Supreme Petro also?
M.P. Taparia: No, no.

S. Ramesh : So this INR1,000 crores capex, where is it going? What are you creating based on that?
M.P. Taparia: This was in acquisition of Parvati Agro of INR171 crores and also around INR600 crores is the other piping activity. And other segment also we have invested a money. So overall as we stated we'll be committing investment including carry forward and acquisi tion of Parvati Agro of INR1,000 crores and this year, we're going to end March 2024, we will be having cash out of INR750 crores which will be me t out of internal accruals .
S. Ramesh : Okay. So if you're looking at your overall ROCE profile, what is the expectation of ROCE on this capex incrementally?
M.P. Taparia: ROCE, last year was 33%.
P. C. Somani: You see ultimately, when we put a greenfield plant, it takes some more time to get the proper utilization of the infrastructure. So from the greenfield plant, it's later on because we expend phase by phase. But our asset to turnover ratio remains between 1 to 2.4, 2.5 once the full infrastructure and whole expansion comes into play.
S. Ramesh : So in terms of overall volume growth, in terms of tonnage once you complete this capex, can

you give us some sense in terms of what is the percentage growth in overall aggregate volumes, say, in two, three

years' time?
P. C. Somani: See t he INR1,000 crores capex what we are committing this year would reach our capacity -- installed capacity from 800,000 opening capacity as on 1st April '23 to above 1 million tons by December 2024.
S. Ramesh : Okay. So, one last thought on Supreme Petro. They have announced a huge caprx of INR800 crores, they are planning to invest in the .
M.P. Taparia: Supreme Petro, they are on investment plan.
S. Ramesh : That's fine. So is it possible to give us some indication in terms of what is the thought process in Supreme Petro in terms of expansion and ABS? What is that capex on .
M.P. Taparia: Supreme Petro announced , now that they are putting one line of polystyrene and ABS and then they're putting line to make 1 million square meter of 3D panel, 12,000 ton of styrene and 100,000 meter cube of extruded polystyrene foam board. They are going to put five segments of business at a new complex at Panipat, which is in Karnal district near Panipat, Indian Oil Corporation Refinery. They acquired the land and where they're putting this investment within the third complex of Supreme Petrochem.
S. Ramesh : So what about that acrylonitrile butadiene styrene project they talked about --
M.P. Taparia: It is very clear, the butadiene styrene that is ABS is being put up at the adjacent plant in Maharashtra, near Nagothane. This work is going in full swing. That plant will be in the operationally phase by March 2025, with a capacity of 70,000 ton per annum .

S. Ramesh : And what will be the capex on that?
M.P. Taparia: Their capex is around INR850 crores or INR900 crores.
S. Ramesh : INR900 crores. Right, thank you very much. And wish you all the best.
Moderator: Thank you. And the next question is from Abhishek from DSP. Please go ahead.
Abhishek: Hi sir, thank you so much for the opportunity. Sir just in terms of the pipe growth that you have seen of almost about 30% in the first nine month. Just wanted to understand what would be the growth of the underlying market? And would that imply market share gains?
M.P. Taparia: The Indian market, the PVC has gone up by 15% in first nine months. The Indian market growth of CPVC has grown by 2%. Polyethylene, how much market is growing, we'll see, there are so many applications so I have no idea, but PVC which is our preferred material has grown by 15% in nine months by volume and CPVC by 2% by volume. And our company grown by 30% in overall in piping , in which CPVC is grown by 8%, and PVC is grown by more than 24%.
Abhishek: Okay. So you have then ,that implies that you have gained significant market share, sir, in the nine months .
M.P. Taparia: Our company market share has increased.
Abhishek: Okay. Great. And sir, just in terms of the capacity, Somani ji called out that you have 8 lakh ton capacity. What is the current capacity as we speak after 3Q, FY'24, what is the addition in the nine month FY'24?
P. C. Somani: So nine month capex, yes, which is going to production is very, very limited from that perspective. So once we close March '24 then we'll be able to give precise capacities, what has gone into production.
M.P. Taparia: Of each segment.
P. C. Somani: By each segment wise. Parvati capacity which has come into fold, but did not yet fully operational. So any capacity giving right now will not be right analysis. I think March '24, let's us wait for that.
Abhishek: Okay. But broadly, you're saying by December 2024, you will have 2 lakh tons of additional capacity, including Parvati, that's the way to look at it.
P. C. Somani: Yes.
Abhishek: Okay. And that will include how many greenfield capacities?
P. C. Somani: Greenfield, well, we are putting in Malanpur, otherwise Parvati is definitely from our p erspective is greenfield that way. But otherwise we are also expanding capacity at Erode and Cuttack.

M.P. Taparia: Which are now running plants and now they're no more greenfield.

Abhishek: Correct. So this is an extension of the earlier greenfield, with now a brownfield expansion?
M.P. Taparia: Now Cuttack, there's some old plant, Malanpur , old plant, Guwahati old plant. Now we're expending, but we're doing this year it will be from brownfield. Just brownfield gone into operation already.
Abhishek: Got it. And sir, just 1 other thing in your press release, what we found that this time around, you have spoken a lot on the export opportunities as far as the LPG cylinders, the protective packaging in the Performance Packaging division is concerned. So i s there a different way you're looking at the export opportunity now for these three categories what can be the contribution of exports over a medium term? Any thought sir, is there a bigger opportunity there?
M.P. Taparia: We started in big way into increasing our export not only in packaging but also in piping system. Piping system and packaging, both ways, there's a big thrust on boosting export. So we have now started participating in several exhibition in the world. And once the outcome comes, it will take some time, it do es not grow overnight. So we'll be reporting to you after the year is completed as to how much we are growing in export business.
Abhishek: Okay. Got it. Sir, just one last question from my side. In the LPG cylinder you have called out that apart from IOC, you're also seeing the other two oil marketing companies also to introduce the product. If you can just give us a broad sense in terms of the capacities and would you like to...
M.P. Taparia: Presently no order has come from any of the other companies. We hope that the orders will come going ahead .
Abhishek: Correct. Okay. And what is the overall market size here, sir, how should one look at it?
M.P. Taparia: A big market size of steel cylinder s, but the buying of plastic cylinder is very small. Market size is 4 crores cylinders per year. And I don't see they're buying plastic cylinders half a million cylinder annually.
Abhishek: Okay. So would you need further capex over there? Would you think there could be a need in the next 6 to 12 months that you need to allocate more capital here?
M.P. Taparia: As on today no capex needed, but we'll sell the capacity.
Abhishek: Okay, got it. Okay sir thank you so much for answering my questions and wish you all the best. Thank you so much.
Moderator: Thank you. The next question is from the line of Akash from UTI Mutual Fund. Please go ahead.
Akash: Hi, sir. Am I audible?
M.P. Taparia : Yes audible.

Akash : Yes sir, just wanted to ask how much is the price decline in CPVC segment? I mean what is the realization decline in CPVC?
M.P. Taparia; CPVC prices has gone down by around 10%, but there are so many supplier s now participating in the market. So broadly, I can say the price has gone down by 10%. I told you that there are now several suppliers playing in the CPVC market and the price has roughly gone down by 10%.
Akash: Sure, sure, sir. And next year, the antidumping duty in CPVC segment is going to end, so any thoughts whether the antidumping duty will get renewed? I mean, the government will extend that antidumping duty. I'm referring to CPVC...
M.P. Taparia: That detail will be given by government only.
Akash: Sure, sir. Thank you.
Moderator: Thank you. And the next question is from the line of Shubham Aggarwal from Axis Capital. Please go ahead.
Shubham Aggarwal: Just, I think, two clarifications that I missed out. You were mentioning about the sustainable EBIT per kg for the plastic piping segment. Did I hear it right at INR18 to INR22 per kg is a workable range that you are working with?
P. C. Somani : INR

18 to INR20 per kg .
Shubham Aggarwal: Somani, your voice cracked. Can you repeat.
P. C. Somani: INR18 to INR20 per kg. The sustainable EBIT per kg in piping system.
Shubham Aggarwal: In the piping system, right. And secondly, on the capex, you said this year FY '24, FY '25, if you can repeat what is the capex guidance '24 and '25?
P. C. Somani: FY '24 already stated , FY '25 not yet given. That will be talked only in the month of April.
Shubham Aggarwal: Okay.
P. C. Somani: Right now for the '23, '24.
Shubham Aggarwal: Yes.
P. C. Somani: we are committing that we will be close to INR1,000 crores, including the previously carry forward.

Shubham Aggarwal: Okay. That was all I think, just one basic clarification I missed out on the call earlier. Thank you.
Moderator: Thank you. And the next question is from the line of S. Ramesh from Nirmal Bang Equity. Please go ahead.

S. Ramesh: Thanks for the question. See, in terms of the PE pipes, you are targeting for the gas segment, what is the overall market you are targeting? And what is the kind size you expect to reach, say, in the next 2, 3 years? Because that's a segment, there is a lot of capex happing in the new geographic areas. How do you see that business growing, say, in the next 2, 3 years?
M.P. Taparia: Yes PE gas pipes will be . I can't tell you what is the government plan, but definitely we expect . And along with the pipe, we'll be supplying them our electro -fusion fitting also. So we make the fitting also we will be supplying full system which is not only pipe, but fitting also.
S. Ramesh: Okay. So in terms of the overall supply situation for your input materials like PVC and polyethylene. How do you meet the demand supply, say, in Asia, China? And do you see any risk of China kind of dumping materials for your finished products like packagi ng and pipelines. So that's a bit of a concern for the entire chemical sector. So on the availability of PVC resin and PE resin and on the Chinese situation, what are your thoughts?
M.P. Taparia: I don't follow your question. Dumping of the product, we are not aware because if you were shipping, yes, so we are not aware any type of polyethylene pipe or PVC pipes are being dumped from China to India, we're not aware and even China is also big supplier of polyethylene also in Indian market . PVC resin we are importing from China, the country is short on PVC resin . And China is a big PVC resin exporter so definitely large volume of PVC resin are being imported from China.
S. Ramesh: Okay. Sir one last one in terms of sustainable development to meet reductions on the carbon footprint, have you taken any initiative? How do you see that moving forward for your company and the plastic processing industry in general?
M.P. Taparia.: No, I think plastic processing is a very responsible business and the scale at what we're doing is currently now being recycled. Actually nowadays it's very difficult to find waste unless you go into municipal waste. Because whenever people are throwing plastic wastes they are throwing actua lly wealth. We should not throw it and this should be collected and now there are many recyclers operating in the country, so many processes. And they are finding good use of the scrap plastic. So they know it's fully sustainable now.
S. Ramesh: Okay. Thank you very much and wish you all the best.
Moderator: Thank you. And t he next question is from the line of Udit Gajiwala from Yes Securities. Please go ahead.
Udit Gajiwala: Sir, just one follow -up question. On the television interview, you mentioned that you've been looking at a 12% to 15% growth for next year as well. So this is overall volume growth or just the pipe segment that you had mentioned?
M.P. Taparia: 15% I talked about piping segment.
P. C. Somani: 12% to 15%.
Udit Gajiwala: 12%

to 15%.

P. C. Somani: That is for the piping segment.
Udit Gajiwala: Okay sir, got it. Thank you so much for the clarification.
Moderator: Thank you. And t he next question is from the line of Rahul Agarwal from Incred Equities. Please go ahead.
Rahul Agarwal: Thank you for the follow -up. Tapariaji 1 question on the agriculture demand. We are entering a very strong season based on the weather outlook ,how do you think where are the farmers' income moving and your assessment of how does the pipe demand look like for the next 6 months?
M.P. Taparia: We believe demand is going to be quite okay because the pipe prices have come down quite significantly , the farmers are able to get better price for their products . So there is no problem, we heard about credit availability. So we believe now onwards up to 10th of June, the demand for pipe in Agriculture market is going to remain quite robust.
Rahul Agarwal: Got it, sir. Secondly, sir, anything from the budget we should expect any positive or negative surprises for our company and our industry? Any thoughts, sir?

M.P. Taparia: People say this budget is already continuing, there is no significant announcement we expect because this is pre -election budget. The proper budget will come in month of July, but considering the growth impetus going on in the country, we believe budget will come with a positive trend only. We remain quite optimistic in the growth of our economy.
Rahul Agarwal: And last question. Whenever the national election happened in the past, has it caused any disturbance or it's been very smooth for PVC pipe industry?
M.P. Taparia: I don't see any, no problem. Only whenever on the working side there's movement of cash money there was a difficulty, but nowadays most of the business are no t cash business. Most of the business at the farmer's level also, they've got bank accounts only. So business are done mostly through banks only, so there is no issue nowadays. We don't get affected due to election.
Rahul Agarwal: Got it sir, got it. Thank you so much for answering and best of luck sir for the next 12 months.
Moderator: Thank you. as there are no further questions, I would now like to hand over the conference to management for closing comment.
M.P. Taparia: Thank you very much, thanks to all the participants for intelligent and elegant questions. We thank all of them. Thank you very much.
Moderator: On the behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2024

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Regulations , 2015
Sirs
Pursuant to Regulations 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations , 2015, enclose is the transcript of the earnings conference call held for analysts and investors following the announcement of the Audited Financial Results for the Quarter and Year ended 31st March 2024 after the Board Meeting held on Friday, 26th April, 2024.
Please take the same on records
Thanking you,
Yours faithfully,
For The Supreme Industries Ltd
(RJ=~
VP (Corporate Affairs) &
Company Secretary
Encl.: a/a.
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"Supreme Industries Limited Q4 FY'24 Earnings
Conference Call "

April 26, 2024

MANAGEMENT : SHRI M. P. TAPARIA – MANAGING DIRECTOR –
SUPREME INDUSTRIES LIMITED
SHRI P. C. SOMANI – CHIEF FINANCIAL OFFICER –
SUPREME INDUSTRIES LIMITED

SHRI R. J. SABOO – VICE PRESIDENT , CORPORATE
AFFAIRS AND COMPANY SECRETARY – SUPREME
INDUSTRIES LIMITED
MODERATOR : SHRI AASIM BHARDE – DAM CAPITAL ADVISORS
LIMITED

Moderator : Ladies and gentlemen , good day, and welcome to The Supreme Industries Q 4 FY'24 Earnings Conference Call, hosted by DAM Capital Advisors Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing "*" then "0" on your touch - tone phone. Please note that this conference is being recorded.
I now hand the conference over to Shri Aasim Bharde from DAM Capital Advisors. Thank you, and over to you, sir.
Aasim Bharde: Thank you, Reyo , and thank you everyone to dialing in to Supreme Industries Q4 and FY'24 results call.
Representing the Management , we have Shri M.P. Taparia – Managing Director; Shri P.C. Somani – Chief Financial Officer ; and Shri R.J. Saboo – Vice President (Corporate Affairs) & Company Secretary.
I hand it over to the team for the initial comments on the results. Thank you.
M.P. Taparia: Thank you, very much. I am M.P. Taparia, Managing Director of The Supreme Industries Limited. . I along with my colleagues Shri P C Somani, CFO and Shri R J Saboo, Vice President (Corporate affairs) & Company Secretary welcome all the participants, who are participating in the discussion of the audited Standalone and Consolidated Financial Results for the Quarter and year ended 31st March, 202 4.

The Standalone results and the consolidated results are already with you. I will give brief on Company's Product Operating performance and other highlights.

1. The Company sold 195369 MT of Plastic goods and achieved net product turnover of Rs. 2979 Crores during the 4th quarter of the current year against sales of 147414 MT of Plastic goods and achieved net product turnover of Rs. 2566 Crores in the corresponding quarter of previous year achieving volume and product value growth of about 33% and 16%, respectively.

The Company sold 639701 MT of Plastic goods and achieved net product turnover of Rs. 10022 Crores during the year under review against sales of 506501 MT and net product turnover of Rs. 9066 crores in the previous year achieving volume and product value growth of about 26% and 11%, respectively.

2. The Consolidated Operating Profit and Profit after Tax for the 4th quarter of the current year amounted to Rs. 531 crores and Rs. 355 crores, as compared to Rs. 529 crores and Rs. 359 crores respectively, for the corresponding quarter of the previous year.

The Consolidated Operating Profit and Profit after Tax during the year under review amounted to Rs. 1654 crores and Rs. 1070 crores, as compared to Rs. 1353 crores and Rs. 865 crores respectively, for the previous year, recording increase of 22% and 24% respectively.

3. The business scenario of all the Product Segments of the Company for the year ended 31st March, 202 4 as compared to the previous year has been as under: -

• Plastic Piping System business grew by 34 % in volume and 15% in value terms.
• Packaging Product Segment grew by 8 % in volume and 7% in value terms .
• Industrial Products Segment business grew b y 5 % in volume and degrew by 3 % in value terms.
• Cons umer Product Segment business remains flat in volume and degrew by 1% in value terms.

4. The overall turnover of value added products increase to Rs. 3737 crores as compared to Rs. 3329 crores in the previous year achieving growth of 1 3%.

5. The Company has total Cash Surplus of Rs. 1178 crores as on 31st March, 2024 as against Cash Surplus of Rs. 738 crores as on 31st March, 2023 .

6. The Company plans to commit capex of around Rs.1500 Crores during the year including carry forward commitments of Rs. 496 Crs. at the beginning of the year. The capex is planned to expand

capacities and introduce new range of products across all its segments.
The capex plan also includes setting up plants at Malanpur, Kanpur, Patna and Vijaywada.
Entire Capex shall be funded from internal accruals.

7. Business Outlook

Indian economy has achieved highest growth in the previous year compared to all advanced economies of the world. Monsoon for the coming year is expected to be higher than normal , which augurs well to contain the inflation. The Governments are taking several initiatives to boost manufacturing. The country’s GDP thus may grow higher than previous year.

Central and State Governments are taking several initiatives towards creating improved infrastructure, to provide houses for all and supplying gas to households by Piping system will further boost the demand for the Company’s products.

In India and several surrounding countries, expansion of plastic raw material production capacity is under execution. In the forecasted slow growth of world economy in this year combined with increased availability of Plastics will maintain the price level at affordable price level.

The Company expects that the plastics piping system business will grow by 25% in Volume Terms and the overall growth by 20% in Volume Terms this year.

During the year under review the Company achieved volume growth of about 33% in Plastic Piping System made from different plastic materials. Overall, the Company sold 501001 Tons of Pipe System compared to 375046 Tons in the preceding year. However due to reduction in PVC resin prices, revenue growth was at about 15% over previous year.

The Company’s entire range of Plastics products are poised to grow in this year. The Company is also taking several initiatives to boost export of Plastics products out of its product range. . The response to this initiative is encouraging.

To meet the growth in demand for piping products Company has initiated steps not only to do brownfield expansion at existing manufacturing sites but also to put up new plants near Patna (Bihar) and Vijayawada (Andhra Pradesh).

The Company currently has 36 plastic piping Systems in the division and plans to add another 5 new systems viz. Acoustic PP Pipe System in collaboration with Poloplast GmbH of Austria, Polyethylene Gas Piping System, PERT Piping System, PE single wall corrugated Pipes, and Rainwater Harvesting System (Infiltration modules for ground recharge and storage) during the current year.

Bath fittings and Sanitaryware business has been established. Design center at Pune is working extensively for various new SKUs. Based on their initiatives, the SKU in this division will go up from 421 Nos to over 1000 nos by the end of this year.

The Company is putting up PVC Profile manufacturing with 5000 tons Annual capacity at newly acquired site at Kanpur Dehat along with Window making at the same site and also at Kharagpur.

The Business of Cross Laminated Film (XF) & Products had a nominal growth of 1 % in volume terms during the year under review. The below normal & erratic rains in several parts of the country last year adversely impacted the demand for tarpaulin resulting in de -growth in this product category. Company has introduced many new made -up products from XF film and was successful in acquiring customers by entering in additional world markets. Exports grew by 9 % over the previous year with a presence in 35 countries across the globe.

All the equipment's for manufacturing Cross Plastics are in the final stages of installation & the trial production is likely to commence in 2nd Quarter 2024. Once the samples are approved by prospective customers the Company will launch this much awaited product in the Market.

The Company's furniture business did not show any g

rowth in value terms and a negligible
growth in volume terms in line with the trend witnessed by overall plastic furniture industry. The Company has identified different segments of plastic furniture such as Premium Products, Almirah, Blow Molded Tables & School Furniture which will help it to maintain its growth journey. The Company's consistent business policies, intensive marketing efforts coupled with superior quality and premium product range and plans for increasing its coverage will ensure growth in FY 2024 -25.

Industrial Component division did not grow due to sluggish demand from appliances / white goods sector where Company has significant presence. Auto sector continued to look promising. The major orders received for supply of EVM and VVPAT Sub -assemblies were executed over 2 years i.e. FY 23 and FY 24 well within time. The Company expects medium - and long -term scenarios to remain bullish, supported by various reforms of Government and upbeat in the overall economy. The Company has planned need based capacity augmentation to service projected increased demand going forward.

The Material Handling division grew 11% by volume and 3% value for the year. Sectors like Automobile, Engineering performed very well whereas FMCG, Whitegoods, E Commerce Companies stagnated due to higher inflation and price rise in essentials. with its efforts of reaching to new customers and constantly providing solutions with use of Plastics Pallets for warehousing and transit use, growth in injection and roto moulded pallets was good. Division has expanded its range of Dustbin models. The Soft Drinks and Beverages segment has again consolidated its footprints and returning part of supply chain to returnable Glass Bottles (RGB) where plastic crates are extensively used. Company having been a trusted associate and supplier to major soft beverages Companies benefited with increased demand and the same is likely to be continued.

The year under review remained subdued for Composite Cylinder division as purchases from its major customer IOCL has not happened as projected earlier. Discussion with other OMCs is also continuing as they are exploring to introduce composite Cylinders in their portfolio. The Company continued exports to its valued customers. The Company is working on new exports marketing and discussing with various agencies for supplies in various other countries.

In Performance Films Division, Persistent efforts in New Industrial /Food application helped the division in creating value added products to its portfolio. The division received positive feedback from key export markets. The Division expects to increase its revenue of value -added products with distinct brand names and positioning itself as a trusted provider of high -quality

products. Division is now registered under EPR (Extended Producer Responsibility) and is supporting Government initiatives on sustainability through Plastic waste management.

The Protective Packaging Division is putting its continuous efforts to remain in business growth path which resulted in growth 15% in Volume and about 12% in Value terms. Division has been successful while working closely with customer/end users and developing new applications for varied industries keeping their need in mind. New product development, adopting new technologies in manufacturing and focusing on Export business is yielding positive results both in terms of growth and profitability.

To meet the growth in demand, Company has initiated steps to put up new plant near JNPT

Port. The site near JNPT port will facilitate exports of Protective and Performance Packaging products at economical cost to its international customers and will cater to increased requirement in Domestic market also.

This is a brief and overall summary for the quarter and year ended under reference. Thank

you,
for your patience. Now, I and my colleague, Shri P.C. Somani & Shri R J Saboo , are available to reply to your various queries raised by all of you.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Parv Jain from Niveshaay Investment Advisory . Please go ahead.
Parv Jain: Sir, my first question remains on the industry front. So, like we have been seeing from the past last one year the industry has been a little subdued due to overcapacity and other supply related constraints , but I mean , this Q4 we have really seen some good margin improvements and going forward also , you are guiding that the demand remains resilient. So, how do we see the industry in this coming year? Are the overcapacity constraints resolved and the gross margins are continuing to improve? How do we see that , sir?
M.P. Taparia: Industry means what? Over capacity for what?
Parv Jain: Sir, t he plastic industry as a whole. Overcapacity in terms of the number of players who have set up plastic, PVC, PERT related plants.
M.P. Taparia: We talk about the numbers of players. In the plastic industry , there are always more number of players , but even then with more number of players we have grown by 26% in volume overall. So, what we will comment? Please tell me. And we are planning 20% overall volume growth for the Company this year also.
Parv Jain: Right , sir. S ir, the volumes remain really good , but on the margins front , like we have seen for the last three quarters , the gross margins had declined to some extent , but this quarter we see the gross margins have improved. So , going forward can we expect similar kind of margins? What is your outlook on that?

M.P. Taparia: We are forecasting this year also 15.5%.
Moderator: Thank you. The next question is from the line of Aditi Loharuka from CD Research Private Limited. Please go ahead.
Aditi Loharuka: Sir, my question is, do you think that focusing just on the plastic piping systems business will help the Company achieve greater cost optimization and higher market share?
M.P. Taparia: I believe that our market share has gone up last year.
Aditi Loharuka: Yes, sir, but the plastic piping segment has contributed around 70% of your revenue. So, how do you see that?
P.C. Somani: We are investing more monies in the segment where the growth opportunities are there. In plastic piping, we feel there is immense opportunities available for next five years plus. So, more and more investment is being made to this segment . And obviously , it will contribute in a similar way.
R.J. Saboo: And besides the cost optimization, which you are referring to, that will continue because more and more CAPEX is being planned in plastic piping segment, and the economies of scale of operation will obviously be in place because of the more operations.
Moderator: Thank you. The next question is from Shubham Agarwal from A xis Capital. Please go ahead.
Shubham Agarwal: Just a few questions from my side. Just wanted to know what's your capacity as of FY’24 end in each of the segments and how will it look like given the capacity expansion in FY '25 and FY '26 end? That's the first question.
P.C. Somani: Our installed capacit ies, the name plate capacity as on 31st March '24 all put together is 950,000 metric ton s, which consists of 739,000 of plastic piping, 90,000 metric ton of industrial product, 93,000 of packaging products, and 29,000 of consumer products. The way we are planning our CAPEX by the end of FY '25, the capacities are likely to be in the range of 10,50,000 metric tons . About 1 lakh ton capacity will be increased with the CAPEX which will come into production during the current year. The majority of the CAPEX will be in Plasti c Piping . S

o, we are expecting the present capacity of 740,000 of Plasti c Piping will go up to 835,000 metric ton s.
Shubham Agarwal: FY '26 also, do you have a number or is it yet to be planned , the CAPEX ?
P.C. Somani: Yet to be planned . It is too early.
Shubham Agarwal: And sir, this includes the JNPT CAPEX that you are planning or not ? Because I am not sure if the CAPEX number already includes that.

P.C. Somani: JNPT is for protective packaging where the volumes do not come because it is a very lightweight material. So, volume comes majorly from Plastic Piping. The protective packaging product does not generate volume .
M.P. Taparia: The new plant what we are going to put up in JNPT may not go in production also in this year. It requires some time now, the investment we will be making which will be in operation fully in '25-'26.
Shubham Agarwal: Sir, the CAPEX that you have told, the total CAPEX for FY '2 5, the commitments, so that doesn't include JNPT . Got it. JNPT is yet to be planned for this sort of...
M.P. Taparia: No, we plan o nly CAPEX . The commitment was around 500 crore at the beginning of the year.
Shubham Agarwal: 500 crore is included.
M.P. Taparia: I have made 1,200 CAPEX already committed which could not fructify in the year '23-'24, which we expect to fructify in the current year .
Shubham Agarwal: That answers my CAPEX question. I will just move to the second question now, which is if you can give us a broad sense that how much did Nal-se-Jal contribute in FY’24 ? Are we expecting some kind of a decline in that? And s econdly, I think you mentioned that you expect that deficit to be covered by plastic pipe supply to oil and gas segment. So, sir, if you can also give us a sense that how big is the oil and gas segment requirement for plastic pipes going to be and what is it going to be used for? It's going to be used for gas distribution, is it?
M.P. Taparia: Gas distribution , we have to still start this year.
P.C. Somani: Yes, but going forward, yes, that is going to be big business.
M.P. Taparia: Yes, it's going to be business, but after all, we are now getting our product qualified in India also. Today, we are qualified only in the Western Zone. So, we hope that we will start getting business now with our product qualified to be supplied from Gadegaon , getting in Western Zone . The freight become s too high. So, for that, we are putting our capacity at eastern zone and also at Kharagpur. It will be operational by November and October this year. That is the biggest plan and also the biggest plan in the industry what we are planning to make.
Shubham Agarwal: Sir, I just wanted to understand how big is this opportunity, the oil and gas segment?
M.P. Taparia: It may be 200,000 to n annual ly overall in the country.

Shubham Agarwal: And just the last one, sir, plastic pipes, you were expecting a 25% volume growth in FY '25. Can you just guide what are the broad, w hich are the key things that are driving this strong growth in plastic pipes?
M.P. Taparia: By adding more system, adding more SKUs in existing strategic system and putting more capacities in several locations, and expanding capacities in o ur existing plant. So, many factors are being done. Many market where we are not present, we are establishing new distributor, increasing our number of retailers working with the Company , all out marketing efforts made in several areas where still we don't have representatives, we are now going on expanding every month. So, business will go on growing. Our Company will go on growing.
Shubham Agarwal: Sir, j ust a related question that the five new plastic piping systems that you are adding right now, is it expected to increase your addressable market significa

ntly from where you are currently?
M.P. Taparia: This will definitely increase the market. That will definitely be add to our business. Significantly, how can they do it? It is coming this year only. Significantly they will add over the period .
Shubham Agarwal: Sir, my question was the five new systems, are they expected to increase your addressable market significantly? Will it increase by 20% or 30%?
M.P. Taparia: We will get return s on the investment.
Moderator: Thank you. Next question is from Dhanan Bagrodia from ASK Investment. Please go ahead.
Dhanan Bagrodia: Again, I just wanted to ask you, in for plastic pipes now, a lot of growth has been coming from Nal-se-Jal. Do we see what has happened in the last five years in terms of volume play out in the next five years? Or are we reaching the end of this Nal-se-Jal program?
M.P. Taparia: We believe Nal-se-Jal will be over in the next two years.
Dhanan Bagrodia: So, then what would be the next leg after that?
M.P. Taparia: Gas system.
Dhanan Bagrodia: Sorry?
P.C. Somani: Gas pipes.
M.P. Taparia: Gas pipe system. Gas pipe.
Dhanan Bagrodia: Okay, gas pipe.

M.P. Taparia: Gas pipe system. We make so many systems , dear friend .
Dhanan Bagrodia: But would that also be showing similar volumes what we see in the last five years?
M.P. Taparia: There may be bigger volume also . I can't say today.
Dhanan Bagrodia: So, that's even a bigger opportunity, but right now we don't know yet.
M.P. Taparia: There are opportunities . There are opportunities in our business.
Moderator: Thank you. The next question is from Venkatesh Balasubramaniam from Axis Capital . Please go ahead.
Venkatesh B.: Is it possible to quantify if there was any inventory loss or gain in the 4th Quarter and similarly for the full year of FY'24 ?
M.P. Taparia: For full year, there was around Rs. 50 crore. The sto ck which was valued as on 31st March 2023 has been valued at 51 crore lower on 31st March 2024. So, there is no gain. The inventory has been valued at 51 crore lower than what it was on 31st March 2023.
Venkatesh B.: Now again, going back to this Nal -se-Jal, I think someone else also asked before me, how much did Nal-se-Jal contribute to your revenues in financial year '24?
M.P. Taparia: Quite substantial. We had in polyethylene Pipe business, we sold more than 50,000 tons last year and it was a 90% growth of previous year. So, around 25,000 ton extra we sold due to Nal-se-Jal scheme .
Venkatesh B.: So, is it like almost 1 ,000 crores of revenues have come from Nal-se-Jal? 1,000 to 1,200 crores?
M.P. Taparia: 25,000 cannot make 1 ,000 crore. It can make maybe 400 crore.
Venkatesh B.: How much can you please repeat? 400 crores?
M.P. Taparia: It can be 400 crores ,
Venkatesh B.: Now do you expect this to come off next year or it can remain at similar levels for the next couple of years?
M.P. Taparia: Definitely still so many states , so many houses are still being connected.
Venkatesh B.: Lastly, you are growing at a fantastic pace, 25%. I mean, your growth is industry leading. I don't think anyone else is growing at your pace. What is the pace at which the industry would

have grown in plastic pi pes this year and who are the companies who might be losing market share?
M.P. Taparia: We definitely have grown quite well.
Venkatesh B.: Is it from this, from what you are doing , 25? I don't think the industry is growing at this kind of pace, correct?
M.P. Taparia: Industry grown by volume 13.79% .
Venkatesh B.: 13.79%.
M.P. Taparia: 13.79% by volume , the industry in the country is grown in plastic pipe system and our Company grew by 33%.
Moderator: Thank you. Next question is from Ritesh Shah from Investec. Please go ahead.

Ritesh Shah: I will just continue on the prior question. Sir, you indicated 50,000 tons of volumes from Nal-se-Jal for this year, which is roughly 10%. So, should we assume…
M.P. Taparia: About 25,000 tons last year. Last year we sold half a million tons. So, it comes to 5%.
Ritesh Shah: It was 25,000 tons, not 50,000 tons.
M.P. Taparia: Overall 5% of the t urnover, last year we sold half a million tons of plastic pipe system. So, 25,000 tons of 5 lakh tons is 5%.
Ritesh Shah: Correct. And s ir, how should we look at this number for the next fiscal? Will we do better than this? Like do we already have an order book? Because in one of the earlier calls you had indicated that we had an order book of 480 crores, which would be over the next 12 months. So, sir, I just wanted to update on that number and what order book position we have right now and how much visibility do we have for next year?
M.P. Taparia: Maharashtra Jal Nigam, t he period is up to 2025. So, they go on placing orders based on the demand they get from the Zila Panchayat . So, now whenever the demand come , we go on supply to them.
Ritesh Shah: Sir, is it possible for you to quantify what is the current order book position? I could not comprehend, sir, what you are saying.
M.P. Taparia: Maharashtra, Jal Nigam , there is no order pending today.
Ritesh Shah: And sir, from the eastern states?

M.P. Taparia: Throughout the country we are supplying , dear friend.
Ritesh Shah: Sir, will we have an aggregate number?
M.P. Taparia: The orders are executed monthly. They are coming for the full year. We get the order monthly from the contractor and we go and supply monthly. We have got eight locations where we make polyethylene pipe. Eight locations in the country.
Ritesh Shah: Sir, m y second question is, can you please explain us what does PERT piping system mean, and you also indicated molding clean gas piping system, what are the end applications ? And specifically on PE RT piping system, what is the market that we are looking to cater and why are we getting into this?
M.P. Taparia: PE-RT system is required for hot water cleaning. We are supplying polypropylene system for hot water . We are supplying CPV C system for hot water . We are supplying PEX pipe system for hot water . We have a fourth system for carrying hot water PE RT. It is a new material , PERT system . So, every system is going to have advantage based on the recommendations of plumbing consultant, we are able to supply any type of system required to carry hot water, Company is equipped to supply. Every one of the system s we are going to make.
Secondly, we are going to make a polypropylene acoustic pipe system. Presently we are making PVC acoustic piping system where the decibel level of the water is coming down at 4 liter per second, maybe 22. Here it may go down to below 15 decibel. it will more noise tempering is more demanded now from many large and many high-rise buildings. So, we are coming with this system, and we are very optimistic of getting good growth in that business.
And the third is polyethylene gas piping system. There are various systems we are launching for which we have identified markets, and we see good potential in growth in this business. As a system supplier in the country, we want to offer every system required by the economy.
Moderator: Thank you. Next question is from Sonali Salgaonkar from Jefferies . Please go ahead.
Sonali Salgaonkar: Sir, I have only one question. What is your outlook on PVC prices? I understand it is very difficult to predict, but just from your side, how do you think PVC prices will pan out in the next year ? And also is there any update on the Red Sea conflict and the higher logistical cost?
M.P. Taparia: To forecast the price for the full year is very

difficult. As we s tated in our opening remarks , the
world economy is going in a slow mode. So, we do not see the possibility of prices to go up . PVC building material and building industry i s in doldrum in China. The local makers have initiated with the government of India to put anti -dumping duty on PVC from certain countries. Now th at is a long -run process . We can't forecast when the anti -dumping duty, if any, is going to be imposed . We have no idea. If suppose no anti -dumping duty is imposed,

then pr ice will remain at this level. If anti -dumping duty is imposed, suppose on the worst case by November -December, then thereafter prices may go up also.
Sonali Salgaonkar: Sir, I understand. And any updates on the disruption from the Red Sea issue?
M.P. Taparia: Red Sea , no issue. No issue. No issue. Only the consignment is 20 days later from USA . There is no issue. The freight might have gone up by $10, but we have not seen any increase in our acquisition cost because of that. We are not disrupted.
Moderator: Thank you. The next question is from Praveen Sahay from Prabhudas Lilladher . Please go ahead.
Praveen Sahay: First question is related to your CAPEX of 1,500 -odd crore. Can you give some timeline how much is for this FY '25 and how much '26 CAPEX planned for?
P.C. Somani: The whole CAPEX , you see, out of 1,500 crore, close to 500 crore CAPEX has already been committed last year, which will get fructified during the course of the current year. In the new CAPEX which will be committed this year, 60 % to 70% of the CAPEX will be fructified because the Brownfield expansion will not take that much time. Time takes only in case of green field wh ich we are looking for Bihar, Andhra Pradesh and JNPT .
P.C. Somani: And Kanpur, Bihar, where we have to build the buildings, infrastructure. So, the CAPEX is committed, but production will come only in the next financial year, '25-'26.
Praveen Sahay: So, that's what now my question is how much ? Actually 60%-70% of 1,500 crore is committed for '25, right, sir?
P.C. Somani: Correct.
P. C. Somani : As our MD answered our installed capacities will go up by about 1 lakh ton per annum by end of FY '2 5.
Praveen Sahay: So, now the next question is related can you give some color on the last year contribution in your piping segment from the real estate and infra and agri?
M.P. Taparia: No, we can't have any separation how much real estate, how much infra, how much agriculture. It is not possible , please.
Praveen Sahay: Or not even with the like I think the HDPE pipe growth or the contribution?
M.P. Taparia: We can't be 100% sure if this has gone into agriculture, or into housing. The same

polyethylene pipe s are used in borewell also. Polyethylene pipe are used in the field also. We cannot say correctly how much has gone into infra. We cannot say precisely .

Moderator: Thank you. Next question is from Manish Mahawar from Antique Stock Broking . Please go ahead.

Manish Mahawar: Only one question . Sir, in terms of industry growth, you were given a piping volume grew by 13.79%. What was our market share in FY'24 ?

Manish Mahawar: What will be our market share, or possibly can you give a piping volume of our industry for FY'24 ?

M.P. Taparia: I would say m ay be around 12%.

Manish Mahawar: 12%. And sir, what's your expectation for the next year in terms of industry growth?

M.P. Taparia: We are clear our growth is expected to be 25%, next year industry growth I think we have to get yet the position from raw material supplier but should be definitely 12% to our mind.

Manish Mahawar: 12%, and we will grow at 25% you said.

M.P. Taparia: 25%.

Moderator: Thank you. Next question is from Sneha Talreja from Nuvama . Please go ahead.

Sneha Talreja: Just couple of questions from my end . What is the outlook in the OPVC segment? How much is the tonnage that we are adding there? And what kind of a growth that we can see? And is this a segment only working towards the government p rojects ? Some sense here would be helpful.

M.P. Taparia: OPVC, there is no free capacity with us. We have only one plant which cannot produce more than 2,5 00 ton in a year. And no plant is going to come this year to start because the supplies of the equipments are too much delayed . So, the market can g row best on the supply of equipments. He is a one very stable supplier; he is from Spain, and he is having huge order book. So, we have nothing to say, not more capacity we can supply. We can only say we will supply 2,200 ton this year. This is the only capacity we have got today.

Sneha Talreja: Sir, secondly on the exports opportunity, you mentioned that there are exports opportunities in your other division like packaging . What do you have to say about exports opportunities in the plastic pipe space? Is it something that you are seeing or is it something that could be increasing going ahead?

M.P. Taparia: We are working more in the international markets . But today more opportunities are there in the protective packaging division and performance packaging division in export markets . Because they are not much freight intensive . Plastic pipe is a very freight intensive item. When we export plastic pipe, we are exporting air .

Moderator: Thank you. Next question is from Keshav Lahoti from HDFC Securities . Please go ahead.

Keshav Lahoti: So, what I understand in FY'24 , Jal-Jeevan mission contributed 400 crore revenue and 25,000 was the volume. What was the similar number in FY '2 3?

M.P. Taparia: FY '2 3 just started. I don't have it immediately with me. It was quite a low number. I don't h ave a number . I say this is additional business . There was a number , but this 25,000 we s aid is additional.

Keshav Lahoti: So, 25,000 is additional sale over FY '2 3. What would the total sa le?

M.P. Taparia: Total sale of this HDPE pipe was around 45,000 ton. We have 25,000 ton additional. We are supplying so many other applications. We make HDPE pipe for sprinkler system. We make HDPE for various irrigation activities, for b orewell also. So, our HDPE pipe we are supply ing double valve corrugated polyethylene pipe also, which goes into housing. So, we make varieties of HDPE pipe system.

Keshav Lahoti: And how is the margin in this segment? Is it ideally subpar versus other segment?

M.P. Taparia: Small margin. Very small margin. We get satisfaction we are giving quality product to the country .

Keshav Lahoti: Something like 5 % to 6% is a fair assumption?

M.P. Taparia: I don't say. I say small margin.

Keshav Lahoti: No issues. And on the expansion plan , as you have said. you will add almost 1 lakh capacity on pipe side . So, where this capacity will be added ? And what will be the size of the capacity ? And is it possible to give bifurcation quarter -wise?

M.P. Taparia: We don't know when the machine will be received . Every quarter we can go and tell you how much capacity we could add in every quarter. Every quarter we tell you at the end of the quarter how much capacity we could add out to 100,000 t on.

Keshav Lahoti: So, what we can see your fixed expense that is employee and other expenses all have increased

by more than 20% year -on-year. We can't see any operating leverage gains. So, what is the reason for the sharp increase?
I repeat my question. So, the question is , we can see your other expenses have increased by 31% year -on-year. Employee have also increased by 24%. So, in spite , you know , doing such high volume , the operating leverage gain part is miss

ing. So, why is there a sharp increase?

P.C. Somani: You see , most of the expenses are given by the volume. Employee cost or the labo ur cost is governed by volume. Your power cost is governed by volume. Your freight cost is governed by volume. So, the fixed cost are not increasing that way. And if you look at overall the other expenses , we have employee cost does not include labo ur charges , what we pay to the contract workers. It is forming part of the other expenses , which is again governed by volume only. So, when you have a 23% volume growth , so naturally wages and the number of manpower increase s, both will get factored.
Keshav Lahoti: One last question from my side. How have been the CPVC prices in Q4?
P.C. Somani: CPVC prices.
M.P. Taparia: CPVC prices are under pressure only.
Keshav Lahoti: So, what would that number of correction?
M.P. Taparia: They are not able to drop by too much. It may be dropped by Rs. 4, Rs. 5 a kilo. But they are under pressure because there is too much capacity. You see , the market is not there much. This is for plumbing segment. Largely the country has grown maybe around 13% of CPVC by volume. Too many player s had come. The capacity of CPVC is limited . But they can't sell below the cost. So, they are maybe reducing production . That is their problem. We have no problem getting CPVC resin nowadays.
Keshav Lahoti: Like what we have seen CPVC prices have been declining month after month . So, is it at its bottom or do you think there is further scope left for correction?
M.P. Taparia: Which is at bottom?
P.C. Somani: CPVC.
M.P. Taparia: CPVC p rice, I am not a producer of CPVC . I can't say.
Keshav Lahoti: So, I mean the CPVC pipes?
M.P. Taparia: CPVC pipes, we have gro wn the price accordingly no? You can't increase the demand . It is only going into plumbing application. So, we are keeping a very small margin only and material available is adequate nowadays.
Moderator: Thank you. Next question is from Mihir Damania from Ambit Asset Management . Please go ahead.
Mihir Damania: My first question is , of the 1 ,500 crores committed CAPEX , how much have you allocated to the piping system?

P.C. Somani: CAPEX , out of 1 ,500 crores, minimum of 1 ,000 crores, you can say .
Mihir Damania: Around 1 ,000 crores, okay. And my second question is, amongst your key end user segments, basically agri , infra, and real estate, which segment do you think will grow the fastest in FY '25?
M.P. Taparia: The housing will g o on growing . Agriculture also may grow very, very quickly . Infra actually depends on the state government budget cycle . We can't forecast for them.
Mihir Damania: So, you believe real estate will grow the fastest in FY '2 5?
M.P. Taparia: You see, boom, you know very well, yes , growing nicely.
Moderator: Thank you. Next question is from Vipul Kumar Shah from Sumangal Investment . Please go ahead.
Vipul Kumar Shah: What percentage of our volume in piping segment comes from oil and gas ? And where do you see it in next two, three years , sir?
M.P. Taparia: No, gas as I told you , it will be around 200,000 -ton business annually. We are still not a player . We are now getting approval in various locations. Then we can talk more intelligently. Overall market in India is 200,000 ton.
Vipul Kumar Shah: And our share is?
M.P. Taparia: Our share is nil, zero.
Vipul Kumar Shah: Zero, oh.
M.P. Taparia: We just came in this business this year.
Vipul Kumar Shah: So, do we expect to see a sizeable market share gain there?
M.P. Taparia: I don't see, I don't know the meaning of sizeable, but definitely we get market share. We will supply quality product . We are going to supply pipe . We are supplying fitting . Not

only from
one location , but we will also supply from three locations. So, we will be economical by freight element also and we will be offering full range.
Moderator: Thank you. The next question is from Nikhil Agarwal from VT Capital. Please go ahead.
Nikhil Agarwal: Sir, just wanted to know if you could quantify our regional presence in terms of the piping volume that come in , if you could quantify the mix ?
P.C. Somani: Regional data we don't review. We don't publish regional data, Regional presence in piping.

M.P. Taparia: We are present throughout the country.
Nikhil Agarwal: And sir, one more question. Just wanted to understand with mo re CPVC capacities coming in this year, do you expect prices to be under pressure for the remaining part of the year as well?
M.P. Taparia: I think they drop the price substantially. I can't say about them. Whether they want to further drop, I have no idea. The higher level of the prices will drop. Whether they will drop further, I can't say .
Nikhil Agarwal: And just a clarification . Your market share you said is 12%.
M.P. Taparia: Yes, the market share of CPVC last year it was 13%.
P.C. Somani: Total. We are talking of the total plastic piping market.
M.P. Taparia: 13%.
Nikhil Agarwal: In the piping segment, what is your market share currently?
P.C. Somani: In the Indian market, total market, we are about close to 12% to 13%.
Moderator: Thank you. Next question is from Utkarsh Nopany from BOB Capital . Please go ahead.
Utkarsh Nopany: Sir, my question is regarding the pipe segment. So, sir, if we see our pipe plant operated at a decade high level at 75% in FY’24 versus like we have operated at around 65 % to 68% over the past one-decade period. And now sir, you are guiding that we are targeting to grow our pipe volume by 25% in FY '2 5, whereas our pipe capacity is only expected to grow by 13% in FY '2 5. So, sir, just wanted to understand whether we are likely to face any capacity constraint to reach our targeted volume growth of 25% in FY '2 5?
M.P. Taparia: Capacity sold was more than 100,000 t on this year. And after all we sold this year 500,000 ton. We don't see any constraint of that. If it is a constraint, we will go on putting more machines. There is n o problem. There is no supply constraint . No supply constraint , no raw material constraint , no power constraint , nothing.
Utkarsh Nopany: And sir, second question is on the margin side. If I see , there has been a steep increase in our pipe s ales volume by 30% on a quarter -on-quarter basis. And the resin prices were also quite stable in the current March quarter versus it was quite unfavorable in the previous December quarter. But then also our pipe segment margin has slightly gone down on a Q -on-Q basis. Sir, can you please explain the reason for that?

M.P. Taparia: Last year comparison, last year inventory gain, say between Rs. 70 crore to Rs. 80 crore. If you compare last year, then the margin has come down. Otherwise , we are quite happy with the margin.
Moderator: Thank you. We take the next question from Aditya from Securities Investment Management. Please go ahead.
Aditya: Sir, this strong volume growth which we have seen in pipe division, so have there been any particular geographies which have outperformed for the volume growth broad -based across geographies?
M.P. Taparia: Throughout the country. We are present throughout the country . We have seen volume growth throughout the country.
Aditya: But are there any particular geograph ies which have grown faster, way faster than other geographies?
M.P. Taparia: No, all the market has grown nicely.
Aditya: And s ir, my last question was , our growth in the piping industry has been twice the rate of at what indus

try has grown. So, have we taken any price cuts to accelerate the volumes?
M.P. Taparia: No, we are introducing more system, more product in the existing system. We are looking more location, more capacity .
Moderator: Thank you. Next question is from Vineet Shankar from JM Financial. Please go ahead.
Vineet Shankar : Sir, can you give me the volume growth guidance for segment excluding pipes , plastic pipe division excluding ?
P. C. Somani : You see when we are saying 20% growth for the Company , it means we are talking of about 125,000 metric tons for the Company as a whole and maximum it is coming from piping. So, other than piping, it will be a single digit, about 10% g rowth you can say.

Vineet Shankar: So, which will be the fastest growing segment besides piping ? So, besides piping, which will be the fastest growing segment, like among the remaining three?
P.C. Somani: You see ultimately, in the furniture, we don't expect any growth. So, it is the packaging and the industrial , the material handling product and the packaging product.
Moderator: Thank you. Next question is from Praveen Sahay from Prabhudas Lilladher . Please go ahead.
Praveen Sahay: Just one clarification. Can you give the capacity for the consumer product segment?

P.C. Somani: 29,000 metric tons.
Praveen Sahay: And how much is the increase, the way forward?
P.C. Somani: No, way forward, we are not planning any increase in capacity because we already have sufficient capacity. We invest only in the new design of the molds, furniture molds or the almira molds.
M.P. Taparia: We would anticipate volume growth in this business.
R. J. Saboo : Besides the focus on the furniture side, is more on the value added furniture.
M.P. Taparia: Premium product.
R. J. Saboo : Premium product. The margins on capital employed are better actually in furniture also.
Praveen Sahay: Because why I had asked, you had a plan for a 100,000 metric tons for entire capacity, out of that 86,000 metric tons for pipes. Rest also you have.
M.P. Taparia: Packaging w e will be invest ing money . Performance packaging film we will be invest ing money. Protective Division we will be investing money.
Praveen Sahay: Not in the industrial and the consumer.
Moderator: Thank you. Next question is from Shubham Thorat from Perpetual Capital Advisors. Please go ahead.
Shubham Thorat : Just wanted to understand the pricing environment around our product portfolio.
M.P. Taparia: The raw material price is going to remain at the same level , range bound of 50,000 plus , 50,000 minus. So, we will maintain the same way pricing , if there will be any upside on the raw material price.
Moderator: Thank you. Next question is from Akash from UTI Mutual Fund. Please go ahead.
Akash: Sir, just wanted to ask, in packaging segment, we have seen EBIT margin improving from 7 - 8% last year to 13% previous quarter and 18% this quarter. Sir, going forward, what is the sustainable level of margins that we see in packaging segment?
M.P. Taparia: We are making average . We hope to maintain or improve the average margin back to last year because we are introducing so many product ranges also and we are growing more and more in export markets.
Akash: So, if we try to quantify, would it be similar to the current quarter 's margin, close to 18%?

M.P. Taparia: Annual margin .
Akash: So, annual margin would be , okay. And, sir, we have seen realization growth in this segment, specifically packaging segment. So, do you believe that the current quarter 's realization would continue , or we are expecting even higher realization growth?
M.P. Taparia: When we are saying annual, then we stay with one sentence what we told you. We are going into more and more export p

otential. Our export business goes up. We are exporting some very speci alized product , and we see a good growth opportunity. We go on remaining in more and more export side. That's why we are putting the plant close to the po rt so that we can supply to our customers at economical cost.
Moderator: Thank you. Next question is from Venkatesh Balasubramaniam from Axis Capital. Please go ahead.
Venkatesh B.: Now, during the course of the year at different points you shared, for example, 1st Quarter you had an inventory loss of 40 crore . 2nd Quarter there was no inventory loss . Third quarter you had a 15 crore inventory loss. Based on the full year inventory loss of 50 crore, it looks like you had a small inventory gain in the 4th Quarter .
Now, based on whatever numbers you have shared, if I actually calculate the EBITDA per kg across the quarter, it looks like there is a gradual fall which is happening in the sense that FY '23, this number was Rs. 27 per kg. This has gone to Rs. 24 or Rs. 25 in the first half of this year. Fourth quarter, this is at around 22.8.
So, it looks like there is a constant fall in the EBITDA per kg. Now, if you adjust for the inventory gains and inventory losses , now what exactly is this? Is this a conscious strategy on your part that you are okay with a slightly less EBITDA per kg, but you want higher volume growth and you want to gain market share ? Is this a conscious choice on your part?

M.P. Taparia: EBITDA per kg depends on the product which we sell in a quarter. When we sell only more and more pipe only, be it PVC pipe or polythene pipe, EBITDA will come down. Overall, last year we are happy that we earned Rs. 21 per kilo and 50 crore was the loss in inventory. See, if I had no loss in the inventory, I could have earned Rs. 22 per kilo last year. So, if you calculate that we have earned Rs. 1,050 crore and if I add for that Rs. 50 crore, then it becomes Rs. 22 per kilo. We are not supplying only value -added item. We are supplying pipe also. So, you make it viable to the customer and pipes are low value -added business .
Venkatesh B.: Now, just following up on the same thing, normally the 1st Quarter is the quarter for the agri pipes. Now, agri pipes normally make the lowest margin but surprisingly in the current year, your EBITDA per kg is higher in the 1st Quarter adjusted for the inventory loss. You made almost Rs. 24, whereas the third , 4th Quarter it is lower and the reason we are asking you is when we are …

M.P. Taparia: We are talking about the price as of today from April ….
P.C. Somani: He is talking FY '23.
M.P. Taparia: Today I can't talk about March, April , June 2023, I can't talk today. What was the reason? I can't talk today.
Venkatesh B.: Now, the reason being that when we are talking to dealers in the market, they are telling that Supreme Industries has been cutting prices and growing volumes. This is something which we are hearing. Now, any kind of light you can throw on this thing?
M.P. Taparia: If they are talking like this , I have no idea. We have no plan to go on cutting prices . We want to earn money just by investment . If you are investing money , you must get return.
Moderator: Thank you very much. We will take that as the last question. I would now like to hand the conference back to the management team for closing comments.
M.P. Taparia: Thank you very much for all the energetic questions. Me and Shri Somani and Shri Saboo, we are very thankful for very intelligent questions raised by all our investor partners . Thank you very much.
Moderator: Thank you very much. On behalf of DAM Capital Advisors Limited , that concludes the conference. Thank you for joining us . Ladies and gentlemen, you may now disconnect your lines.

Call: Jul 2024

“The Supreme Industries Limited
Q1 FY’2 5 Earnings Conference Call”
July 22, 2024

MANAGEMENT : MR. M. P. TAPARIA – MANAGING DIRECTOR –
THE SUPREME INDUSTRIES LIMITED
MR. P. C. SOMANI – CHIEF FINANCIAL OFFICER –
THE SUPREME INDUSTRIES LIMITED
MR. R. J. SABOO – VICE PRESIDENT (CORPORATE
AFFAIR S) & COMPANY SECRETARY – THE
SUPREME INDUSTRIES LIMITED

MODERATOR : MR. AASIM BHARDE – DAM CAPITAL ADVISORS

Moderator: Ladies and gentlemen, good day, and welcome to The Supreme Industries' Q1 FY '25 Earnings Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Aasim Bharde. Thank you, and over to you, sir.
Aasim Bharde : Thank you, Sub hangi and good evening to all and thanks on connecting for Supreme Industries Q1 '25 Results Call. Apologies on the delay. From the company side, we have Mr. M.P. Taparia, Managing Director; Mr. P.C. Somani, CFO; and Mr. R.J. Saboo, Company Secretary, who will take us through the Q1 performance and their comments.

M.P. Taparia: Thank you, very much. I am M.P. Taparia, Managing Director of The Supreme Industries Limited. . I along with my colleagues Mr. P C Somani, CFO and Mr. R J Saboo, Vice President (Corporate affairs) & Company Secretary welcome all the participants, who are participating in the discussion of the unaudited Standalone and Consolidated Financial Results for the Quarter ended 30th June, 2024.

The Standalone results and the consolidated results are already with you. I will give brief on Company’s Product Operating performance and other highlights.

1. The Company sold 173835 MT of Plastic goods and achieved net product turnover of Rs. 2612 Crores during the 1st quarter of the current year against sale of 148544 MT and net product turnover of Rs. 2340 crores in the corresponding quarter of previous year achieving volume and product value growth of about 17 % and 12 %, respectively.

2. Total Consolidated Income and Operating Profit for the 1st quarter of the current year amounted to Rs. 2658 crores and Rs. 425 crores, as compared to Rs. 2383 crores and Rs. 343 crores, for the corresponding quarter of the previous year, recording increase of 12% and 24% respectively.

The Consolidated Profit before Tax and Profit after Tax for the 1st quarter of the current year amounted to Rs. 357 crores and Rs. 273 crores, as compared to Rs. 283 crores and Rs. 216 crores, for the corresponding quarter of the previous year, recording increase of 26% and 27% respectively.

3. The business scenario of all the Product Segments of the Company for the quarter ended 30th June, 2024 as compared to the corresponding quarter of the previous year has been as under: -

- Plastic Piping System business grew by 20 % in volume and 14% in value terms.
- Packaging Product Segment business grew by 8 % in volume and 14% in value terms.
- Industrial Products Segment business grew by 12 % in volume and 3 % in value terms.
- Consumer Product Segment business degrew by 7% in both volume and value terms.

4. The Company has total Cash Surplus of Rs. 1245 crores as on 30th June, 2024 as against Cash Surplus of Rs. 1178 crores as on 31st March, 2024.

5. The overall turnover of value added products increased to Rs. 925 crores during the current quarter as compared to Rs. 756 crores in the corresponding quarter of previous year.

6. Business Outlook

Polymer prices remained range bound during the quarter, except for the prices of PVC Resin which increased by about Rs. 13 per kg., an increase of about 15%. However PVC resin prices started showing a declining trend from 2nd week of July onwards. Thus, the raw material prices are expected to remain affordable.

Country is witnessing good rainfall in most of the parts which augurs well for the economy. Demand for housing and infrastructure is good. The company remains positive of envisaged

volume growth with an increase in value added products turnover both for the Plastic piping Division and for the company during the current fiscal year.

Various capacity expansion programs of Piping division are progressing smoothly. Most of the expanded capacities at the existing manufacturing units would be in place during the second half of the year. Various greenfield projects which are taken in hand are progressing well. The company has been allotted required land at Malanpur (M.P.) for a new unit to expand its pipe & fitting Capacities, additional land at Jadcherla (Telangana) for further expansion and also completed the purchase of contiguous land to existing plant at Sangli (Maharashtra).

The company has also negotiated purchase of additional contiguous land at Puducherry for expansion of Bathware products. Identification and allotment of suitable land near Patna in Bihar & near Vijaywada in Andhra Pradesh are at an advanced stage.

The Company has also applied for Industrial Land in Kathua district Jammu for putting up a Plastics Product Complex.

The new green field unit dedicated for production of varieties of Industrial and ball valves at Malanpur (M.P.) has commenced trial production and is likely to go into commercial production soon. With completion of all the expansion plans undertaken, except the green field sites, installed capacities of the Piping System division shall reach to 8,35,000 M.T. per annum by end of FY 25 from 7,40,000 M.T. as on 31st March,2024

Orders for equipment have been placed for PP silent pipe system in technical collaboration with M/s. Poloplast Gmbh of Austria. The newly launched PERT Piping System and PE single wall corrugated pipes has received an encouraging response. The Polyethylene Gas Piping System is expected to be launched by October this year from Gadegaon Unit . The Company continues to invest and enlarge the product basket in its piping business and to increase the range of value -added products.

The Company’s strategy to focus more on Made -up products, from Cross Laminated film is yielding positive results. The division is expanding its fabrication capacities which would further help in improving Overall realizations and margins. Efforts to expand geographical reach in world export market are yielding positive results. Trials have commenced to manufacture newly developed cross plastic film. The company is hopeful to successfully complete the trial process in the current quarter to pave the way for its commercial launch.

The Company has expanded and introduced various new models of chair & cabinet in its furniture segment. The division continues to add showrooms to improve awareness of its range of premium products. Total strength of showrooms has reached 319 by end of June, 2024 from 308 showrooms as on 31st March,2024.

The Industrial Component Division is carrying out capacity augmentation judiciously mostly against confirmed business and projected volumes committed by customers. It is also working to expand its customer base and develop the business in new sectors. With revival in the business scenario of various appliances customers, division expects better growth prospects going forward.

The Fisheries and F&V sectors in the Material Handling Division are seeing good demand. Division is adding newer markets in western coastal areas for growth in Fisheries crates and also building strong network for increase in sales of varieties of dustbins. There is good demand from the soft drink industry. The division is expanding its product range and is in process of establishing manufacturing set up for Bubble Guard Board used in packing boxes and is also expanding capacity for production of PP hollow sheets. The division expects to continue its momentum of growth both in volume and value terms.

Composite LPG cylinder division has received another letter of Intent from Indian Oil corpora

tion Limited (IOCL) for the supply of 231035 Nos of Cylinders during this year. The Company is actively engaging with the distribution system of LPG cylinders and initiating various promotional activities.

The Protective Packaging Division has enhanced its capacity utilization. The strategy to work more on fabricated products has improved profitability. The division has increased its fabrication capacities to cater to increased demand and also expanding its capacities at existing

locations apart from looking for a new greenfield site near port in western region to cater to export opportunities and meet increased domestic demand. Identification and negotiation for acquisition of land are at an advanced stage and likely to be concluded by October 2024.

The Performance Packaging Division continues to utilize its capacities optimally and work on post extrusion value added products.

The Company has placed equipment orders for making Windows at its new site at -Kanpur Dehat and also at its existing factory at Kharagpur. The Company expects to supply Windows from these two sites in the first half of 2025 -26.

Overall, the Company focus is to achieve value added turnover growth along with volume driven growth in all its businesses.

With that focus in mind, Company has planned brownfield expansion at 10 running units this year and plan to add seven new sites which will enable the Company to operate from 36 sites spread over 15 states in the Country.

With increased business opportunities, the Company has made Capex commitments including carry forward commitments of around Rs. 1500 Crs. Entire Capex shall be funded from internal accruals.

This is a brief and overall summary for the quarter ended under reference. Thank you, for your patience. Now, I and my colleague, Mr. P.C. Somani & Mr. R J Saboo, are available to reply to your various queries raised by all of you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Venkatesh Balasubramaniam.
Venkatesh B : I had a few questions. The first question is, did you have any inventory gain or loss in the current quarter?
M. P. Taparia : No, inventory gain.
Venkatesh B : Okay. Now was June a bad month for growth? Because wasn't there a volume growth in June as it was almost 22% Y -o-Y in the first two months of the quarter. And then for the full quarter, you've done 17%, so did something happen in the third month of the quarter? And if at all, what exactly happened in the month of June?
M. P. Taparia : The prices are going up big way, and in the month of June or in first half, the p rices went up by INR8 per kilo . So customers were concerned like what is going wrong. So then they withdrew the purchasing , and they were selling from the inventory. This happens in the business.
Venkatesh B : But usually, when prices go up so fast, isn't there inventory stocking and actually you end up selling more?
M. P. Taparia : The increase was not considered sustainable. Due to the freight going up from Asia to India, majority of import of PVC is coming from Asia to India. Majority 80% of PVC in the country come from Asia. And it went up suddenly big way. People never believe d that this increase will sustain. And that is coming true. Now the freight rate is coming down dramatically.
So starting from second week of July, prices went down by INR4 a kilo. And thereafter the demand is also very weak, so the company need to give price protection , and we believe the

prices to go down again either on August or even earlier. So these are the reasons the business has been affected in the month of June.
Venkatesh B : June has been a weak month and July is also expected to be a weak month...
M. P. Taparia : We still s

ubmit for a 25% volume growth.
Venkatesh B : So you think you can do full year 25% volume growth?
M. P. Taparia : We maintain.
Venkatesh B : Actually, Mr. Taparia, you had guided for 20% volume growth overall and 25% for plastic pipe.
M. P. Taparia : 25% plastic piping.
Venkatesh B : Okay. And for overall 20%, that also remains?
M. P. Taparia : Yes
Venkatesh B : Yes. Any change to your 15.5% margin guidance?
M. P. Taparia : No. We say it is going to be 15% to 15.5%.
Venkatesh B : Okay. Last question from my side. A lot of players are telling that Supreme is aggressively cutting prices and it's pulling down industry margins. Any way you want to respond to that? Because some of your competitors are telling you're cutting prices?
M. P. Taparia : I can't respond to market rumours .
Moderator: The next question is from the line of Rahul Agarwal from IKIGAI Asset Management.
Rahul Agarwal : The first question, just wanted to understand between the Plastic Products segment, which are the products which are seeing faster growth, and which are the products relatively slower right now and expected to improve in the following year ? That's my first question.
M. P. Taparia : Plastic Products segment has good growth potential. For Packaging segment, it has good growth potential. Material handling has got good growth potential.
Rahul Agarwal : Sir, I was asking within Plastic Piping, which are the products which are doing better, and which are the products which can pick up in growth for the balance nine months ?
M. P. Taparia : It is classified information.
Rahul Agarwal : Okay. No problem. Sir in packaging EBIT margins are very volatile, what could be the reason, please?

M. P. Taparia : Because the demand for all our Product segment has now come up . In cross -laminated film , so many new convertors came up making a look alike product with no property compared to our cross -laminated film. After three years, their product proved complete failure so now the customers are coming back to us, and we are able to increase our volume and the price of this segment.

Rahul Agarwal : Sir, I understand that. But when I look at the EBIT margins reported for the segment, on a Q -o-Q basis, they're very low and they've been very volatile over the last five quarters. Is that more a function of the product mix in the segment?
M. P. Taparia : In Protective Packaging Product , cross laminated film , and our packaging film, we are going more to value -added product s.
Rahul Agarwal : Okay. Maybe I'll take that offline. And lastly, sir, in terms of capex, I just wanted to know what would be the cash capex for the year, for fiscal '25 ? I understand the overall capex is INR1,500 crores. From a cash flow perspective, what would be the cash outflow?
P.C. Somani : Yes, it could be in the range of INR1,000 to INR1,200 crores. We really can't estimate today but should not be beyond that.
Moderator: The next question is from the line of Umesh Patel from Reliance Nippon Life.
Umesh Patel : Sir, a couple of questions. Just wanted to understand . If I look at the overall margin trend, I mean because of the higher PVC prices, it should go up, but that didn't happen. So does it mean that the contribution of non -plumbing products, particularly agri pipes, was higher and that was the reason for this quarter?
M. P. Taparia : I don't follow your question, please.
Umesh Patel : I just need to understand the overall EBITDA margin, particularly company has reported 14.7%, and the PVC prices has increased sharply . So does it mean that in this quarter, there was a higher contribution from agri pipes rather than plumbing pipes or pipes due to which the margin was not that much, I mean, reported?
M. P. Taparia : Generally, agri pipes have the low margin.
Umesh Patel : Right. So, what was the contribution of agri versus plumbi

ng for this quarter versus the general trend?
M. P. Taparia : We can't say because we know that many places agri pipe is used for housing also. We are principally more in housing segment. We are not a very big player in agri segment . We're more in the housing segment and infrastructure.
Umesh Patel : Sure, sir. Second question was related to margin profile. As you mentioned that in quarter 1, particularly in June month, there was a spike in the PVC prices by around INR8 due to which dealers refrained to buy it or restocking it. But again, if I look at the PVC prices have went

down by INR4 recently, in last week only. So do we see sharp recovery in margins or restocking will again happen?
M. P. Taparia : We said we will be earning around 15.5% for the whole year. Monthly basically, we can't talk like this. Monthly PVC we don’t know because the current price also PVC may not sustain. It will go further down.
Umesh Patel: Right. So does it mean that because in falling prices, generally, dealers are also refraining to buy it. So again, there will be some issue related to the volume growth. So , I just need to understand, I mean, are we still comfortable to achieve 25% piping volume because for the rest of the month, you mentioned that July month is again not good ?
M.P. Taparia: We are not only committing by words, we are committing investment also. By our investment plan is 10 new sites, existing site we are expanding capacity. We're going to hire new site for plastic piping. We are very confident market will grow. We are confident that we will achieve 25% volume growth.
Umesh Patel: Okay, sure, sir. And now, the third question was how the industry is panning out? Is it into consolidation phase? Or do we see traction again post budget related to the government -related projects again or it would be through real estate demand, how the things will pan out for the rest of the year?
M.P. Taparia: We don't deal much with government. We deal directly with distributors.
Umesh Patel: Distributors. Yes, agree. Sure.
M.P. Taparia: We don't do government business.
Moderator: The next question is from the line of Keshav Lahoti from HDFC Securities. Please go ahead.
Keshav Lahoti : Sir, I want to understand how was the revenue of Nal se Jal in this quarter? What percent of revenue?
M.P. Taparia: Not much volume. Nal se Jal mostly completed, but not much v alue. I don’t know number which may, but not much value.
Keshav Lahoti : Okay. So , it should be less than 2%?
M.P. Taparia: We can't say today.
Keshav Lahoti : This quarter I'm asking. It should be less than 2%?
M.P. Taparia: This is rainy season...
Keshav Lahoti : Q1, I'm asking. Q1 Nal se Jal revenue should be more than -- less than 2%, right?

M.P. Taparia: A new budget will come up. When a new fund come, only then money will start flowing. So now the budget will be around tomorrow. Thereafter the business should show. We are talking annual basis, not monthly basis.
Keshav Lahoti : No. What I'm trying to understand, as you know, Nal se Jal possibly revenue might wipe d off in next few quarters. What I'm trying to understand in Q1, the quarter which has gone by, whether Nal se Jal revenue was less than 2%?
M.P. Taparia: We supply for individual project also. So , I don't have idea how much going for Nal se Jal. We have no idea. We supply for Infrastructure , how much we're going for Nal se Jal, we have no idea.
Keshav Lahoti : Okay. So , what would be the infrastructure volume and revenue in this quarter?
M.P. Taparia: Not much infrastructure.
Keshav Lahoti : Okay. Got it. And how has been the CPVC prices in this quarter?
M.P. Taparia: Now started going up with PVC they also went up little bit. And CPVC fully available also and slightly went up, we could increase the price also, no issue.
Keshav Lahoti : Understood. We can see some margin compression in pipes in this segment. So , it's more to do with change in mix or it's more to do with increased competitive intensity, higher rebate to dealer to push volume? How should we read it?
M.P. Taparia: What margin compression you're referring; we have no idea.
Keshav Lahoti : So, if I talk about EBIT margin sequentially also for pipes, it is down by 120 bps. And even if I look year -on-year existed for inventory loss, still pipes EBIT margin is down. So how should we read it?
P.C. Somani : Q1, you see the major part comes from agri.
Keshav Lahoti : So Q1 if I adjust for inventory loss, which was INR40 crores last quarter. So that way, still margin is down. So , you can put maybe 150 bps to 200 bps margin was down in Q1 due to inventory loss in June '23. So that way, inventory margin...
M.P. Taparia: Last year Q1?
Keshav Lahoti : Yes, last year Q1, there was inventory loss. So , if you adjust for that, then margin is down by year-on-year also, pipes ?
R. J. Saboo : Basically because of the product mix also.
Moderator: The next question is from of Pujan Shah from Molecule Ventures. Please go ahead.
Pujan Shah : First of all, I just wanted to ask on the PVC -O pipe. So specifically, we are getting very aggressive on that part. And I just wanted to know how the industry has been shaping up, what

is the competitive intensity over there? And how we'll take the capturing the growth of the industry?
M.P. Taparia: As on today, we are a very, very small player in the OPVC. The country is also small player , there are not many machines making OPVC in the country, so the machines are not available. Presently there is only one suppl ier and we've got very limited capacity . So, we placed ordered with the supplier, but the machines are in delay. So , there is no competition intensity as the product is not available.
Pujan Shah : So sir, but I wanted to ask on the machine availability. So as you rightly said, the machine has not been available, so are we seeking any alternative supplier on a domestic player who can supply to us, and we can aggressively grow towards that?
M.P. Taparia: We will buy the machine if it can make the product to the requirement with the customer.
Pujan Shah : Sir, you are not audible. Can you be specific?
M.P. Taparia: If a person giving machine, which can make suitable -oriented PVC pipe, then we will be the customer.
Pujan Shah : Okay. But sir, I just wanted to understand like there is no specific player to manufacture OPVC machinery in India? Or we have to import or how it is the situation over here?
M.P. Taparia: We are importing, and we are discussing with local producer also. Once the local producer machine is perfected then we will buy.
Pujan Shah : Sir, I wanted to ask on the same line. We have been a very legacy player in the pipe segment, and we have entered into OPVC. So why suddenly we have entered it into OPVC? What are the specific demand drivers in this context ?

Pujan Shah : So, in the recent past year, you have been expanded in the PVC -O segment, right? We have been...
M.P. Taparia: Only last year, we purchased a company, we're making OPVC. OPVC now is properly accepted by the government department to supplement ductile iron pipe. So once the government start accepting OPVC pipe in place of ductile iron pipe, then we move into the business, but the supply of machines are very limited today. And we are engaging with local producer of the machine. Once the machines are established, we will be the customer for the local company also. Proper critical mass , then we can start much better.
Moderator: The next question is from the line of Sneha Talreja from Nuvama. Please go ahead.
Sneha Talreja : Sir, just wanted to ask firstly, was there any inventor

y gain in this particular quarter?
M.P. Taparia: No inventory gain.

Sneha Talreja : No inventory gain. And secondly, like you said that there is destocking happening because prices ar e falling or anticipated to fall. What must be the inventory levels? Is it too low at the distributor level? And do you expect any pickup to happen from August ?
P.C. Somani : Yes, inventory levels are coming down. And definitely, you rightly said, once the price get settled or stabilized then definitely pick up will start.
Sneha Talreja : So on a general sense that you can give, like how much low is it on an average, how much is it? And how low is it at this point of time?
P.C. Somani : It will be very difficult to say.
M.P. Taparia: I can't say, but we know very well that demand is reasonably maintaining its level so there must be destocking in a very big way. This one is very excessive rainy season also. So normally, July month is a low demand month normally. We believe after second half of August, demand become pretty big way as it normally happens. We are quite comfortable.
Sneha Talreja : Understood. Got that. Sir, one last one from my end. Given that you have been stating that you're putting greenfield plants, you've upgraded your guidance for greenfield plants, we do understand your near -term guidance of 25%, which you'll maintain. But given that now there are 6 greenfield plants, which you've never ever put, what's the likely volume growth run rate that you see over the next 4 to 5 years? Just a broad number of some sense on opportunity terms that you are able to see in terms of volumes? That will be really helpful, sir.
M.P. Taparia: We believe growth should be maintained between 12% to 15% of volume growth after 2025 to '26 onwards. .Government give big push and we believe that our economy will grow between 7% to 8%. In fact, the investment will continue. And the economy condition will continue on improving. And generally, the PVC consumption going mostly into building infrastructure and agriculture, demand will go on growing . So we remain quite optimistic.
Mod erator : The next question is from the line of Sonali Salgaonkar from Jefferies.
Sonali Salgaonkar : I have just one question. This is regarding your value -added sales. Sir, could you throw more light on your product pipeline right now, which could potentially contribute to your value - added sales?
M.P. Taparia: Our gas piping system. Our CPVC piping system, our PPR silent pipe system, our PPR for plumbing system, our PEX piping system, our PERT piping system, all our value -added products.
Sonali Salgaonkar : So as a percentage of sales, where do you perceive the value -added sales to stabilize?
M.P. Taparia: I believe it should be between 40% to 44%,
P.C. Somani : Company as a whole between 38% to 40%. That is our ambition. So we are hovering around 35%, 36%, 37%. So going forward, should inch up a bit more towards 38% plus.

Sonali Salgaonkar : And this is by when next 1 year?
P.C. Somani : Yes. We always remain committed to that. So all our efforts and focus is on there.
Mode rator : The next question is from the line of Praveen Sahay from PL Capital. Please go ahead.
Praveen Sahay : The first question is related to the plastic pipe utilization. At what level of utilization you are running at? And at what level of peak utilization you can reach to?
M.P. Taparia: We anticipate this year we achieve 75%.
Praveen Sahay : So if I calculate your 25% of growth and average out for last year and this year capacity, you need to have 80% of utilization to reach this 25% of growth. So is it possible for to reach 80%?

P.C. Somani : Yes, you are saying , so it will be between 75% to 80% from that perspective.
Praveen Sahay : Okay. Just related to that, sir, have you ev

er achieved such kind of high utilization in the past?
P.C. Somani : No. You see our past average if you look, we've always been 65% to 70%. So the kind of demand that we are looking at, kind of product profile, we have made .
M.P. Taparia: No, we are adding some new systems, and we are adding new SKU s in our existing capacity system. And we are adding new distributors. We are increasing reach in other states also so that has given good confidence that we will achieve better utilization capacity this year.
Praveen Sahay : Okay. Great, sir. And the next question is related to your packaging segment. So in the packaging margin profile is quite fluctuating. If I look at for last 5 quarters, and while your commentary in your press release is quite encouraging in that sense, like a protective or performance packaging doing very well. So why is that so much of fluctuation in your EBIT margin profile of packaging?
M.P. Taparia: You look throughout the year. In cross -laminated film this year during off season a very large volume, you have volume in a particular quarter. So we're prepared for the demand fluctuation, exceeding demand every month.
Praveen Sahay : Okay. So it depends on the demand. How much of what product you are selling, the margin profile changes accordingly.
P.C. Somani : It will be resetting, but the good part here to know all the segment of packaging whether it is Silpaulin, whether it is protective packaging or performance, mostly we are doing good, whereas in past period, sometimes Silpaulin was behind because of the market competition of lookalike products. So now all those things are behind.
Mod erator : The next question is from the line of Utkarsh Nopany from BOB Capital. Please go ahead.
Utkarsh Nopany : Sir, my first question is on the plastic pipe segment. Just wanted to know whether we are sourcing plastic by product captively only or we are also sourcing it through third party at present?

M.P. Taparia: No outside sourcing.
Utkarsh Nopany : Okay. Sir, second, like given the current demand and competitive scenario in the Packaging segment, can you give some sense what would be our sustainable packaging segment margin over the medium term in your view?
P.C. Somani : Our margins which we are now getting are sustainable only.
Utkarsh Nopany : At around 15%, sir?
P.C. Somani : Is it EBIT margin or EBITDA margin?
Utkarsh Nopany : EBITDA margin for Packaging segment?
P.C. Somani : It should be more than 15%.
Utkarsh Nopany : Okay. And lastly, sir, can you just give some sense what would be our CPVC pipe volume growth in the current June quarter?
M.P. Taparia : Volume growth first quarter actually around more than 40%.
Mod erator : The next question is from the line of Rishab Bothra from Anand Rathi. Please go ahead.
Rishab Bothra : I have 2, 3 questions. One, by when you think the demerger is possible for the pipe segment? I mean, it's 70% of the revenue. By when we can have demerger of the pipe segment. I believe 70% of the revenue is from pipes.
P.C. Somani : We don't have any plans.
Rishab Bothra : Okay. Secondly, sir, can we have a breakdown of capex in terms of segment, in terms of capacity and in terms of value? We don't have any slide for capex as such. And the revenue potential going forward?
M.P. Taparia: We don't have immediately here to share with you.
Rishab Bothra : I think going forward, if you could include this slide in the presentation, that would be very helpful.
M.P. Taparia: We will keep in our mind when we come in the month of October , we'll take your suggestion. Thank you very much for good suggestion.
Rishab Bothra : Lastly, sir, on the projection , I mean, you mentioned that 15% to 20% growth overall. So INR121 billion revenue is achievable in FY '25, according to you?
M.P. Taparia: I told 20% volume growth this year.
Rish

ab Bothra : Yes, overall revenue, I mean to say, will it be crossing INR 121 billion?

M.P. Taparia: This year, the value will be around INR12,000 crores to INR12,500 crores.
Rishab Bothra : Yes, tha t is what I was saying. And INR 1,800 crores of operating profit.
M.P. Taparia: between 15%, 15.5%.
Rishab Bothra : Okay. And sir, how do we define the value -added sales? Beyond what percentage of margin does this fall into?
M.P. Taparia: Beyond 17%.
Rishab Bothra : Beyond 17%. So this may keep fluctuating. I mean the value -added sales percentage since this is 17% some product may come up and down. So how do you reclassify quarter -to-quarter basis?
P.C. Somani : No, no, we classify month -to-month basis also internally and that is a very dynamic .
Moderator: The next question is from the line of Chirag Lodaya from Value Quest . Please go ahead.
Chirag Lodaya : Sir, my first question is on capacity. So , after this INR1,500 crores of capex, putting all these 6, 7 greenfield units in place, what will be our expanded capacity, pipes, and non -pipes?
M.P. Taparia: As far as capacity overall will 1 million for piping.
P.C. Somani : This is all greenfield will not come this year, but it will come by the end of next year only.
Chirag Lodaya : Correct. So , I'm trying to understand FY '26 capacities after this INR1,500 crores capex ?
M.P. Taparia: Right the FY '26 in excess of 1.25 million tons.
Chirag Lodaya : And out of this pipe would be how much?
M.P. Taparia: Pipe would be 1 million to n.
Chirag Lodaya : 1 million ton. Okay. And second question is on, sir, this industrial valve, sprinkler, and gas piping system, what kind of investments and capacities we would have put or we're in process of putting?
M.P. Taparia: In the industrial valve , they're all separate investment. Industrial valve is separate investment . That can be a huge investment that we are envisaging in that business.
Chirag Lodaya : Okay. And do you expect any inventory gains in Q2?
M.P. Taparia: No inventory gain. Prices are coming down so I hope there will be no inventory loss.
Moderator: The next question is from the line of Abhishek Ghosh from DSP. Please go ahead.
Abhishek Ghosh : Sir, when you talk about this 25% of pipe volume growth for FY '25, what is the expectation of industry growth there?

M.P. Taparia: 12% to 15%.
Abhishek Ghosh : Okay. So , industry will grow at 12% to 15%, and you will grow at 25%, that's the understanding, right?
M.P. Taparia: I was told by the raw material supplier .
Abhishek Ghosh : Okay. Fair. And sir, there were lot of talks about the antidumping duties on some of the imports of PVC. So , what is the status on that? And how should one look at the PVC prices on account of if there was any antidumping?
M.P. Taparia: I also want to know if you can help me, please advise me. It will only be know n to the DGTR department and Ministry of Finance. I have no idea. Two departments, Ministry of Finance and a DGTR, Directorate General of Trade Remedies. They know and Ministry of Finance knows. I have no idea.
Moderator: The next question is from the line of Shubham Aggarwal from Axis Capital. Please go ahead.
Shubham Aggarwal : So my question is on the plastic pipe segment. So just trying to get some sense of what your priorities in the segment. So , I'll frame my question like this. So , in the past, you've guided or you, your decisions have been guided by the ROCE target of 20%. Now in that context, is it right to say that you'll be passing on the cost advantages that you will get from all the capacity expansion that you're doing right now in order to maintain and you will still maintain the 20% ROCE target.
What I intend to say is will you retain some part of the cost advantage, which will reflect in the margin and increase the ROCE? Or will you pass it on completely so that the ROCE is at 20%, you get exceptionally high er volume growth compared to the market. What is your priority here?
P.C. Somani : Yes, yes, you are right. You see ultimately, our ROCE criteria of 25% pre - tax is not diluted any time. So when we put up the new capacities or new plant and new greenfield, so we try to see capture that market aggressively. And definitely, the cost advantages or more particularly freight , you can say, is passed on to the customers.
Shubham Aggarwal : Right, sir. And that will make you more competitive in the market. Is that right to understand?

And hence, your ROCE will be in place and all the advantage you'll pass on to the market for volume growth. So , volume growth will be the priority ?
M.P. Taparia: Because we've got this huge variety of products and we sell systems, we sell solution. We have no issue. We're adding more and more systems. Today we're offering 36 system. This year we're adding 5 new systems. Apart from the 41 systems, which we will have by middle of June next year, we'll be adding several SKU s in the existing system. We go and increasing our product portfolio to give full solution to our customers.
Shubham Aggarwal : Sir, these systems will be margin accretive? That's my last question.

M.P. Taparia: To give better service to our customers.
Shubham Aggarwal : No. I'm saying will these systems be margin accretive per kg basis, will they be margin accretive or not really? Just that's my last question.
M.P. Taparia: It's accretive to volume and accretive to value -added, both. Our focus is to grow by volume, grow by value -added, our focus remains.
R. J. Saboo : So we need to provide the entire system because that is the entire package what we've to provide.
Moderator: Thank you. The next question is from the line of Deepak Mandhana from Avighna Investments . Please go ahead.
Deepak Mandhana: So, just wanted to understand basically, when you are saying that the government gas pipelines would be a business for us. In terms of margin, I think that would be a very low margin business. I guess the tenders are generally given to the lowest quotes. Is that understanding, correct?
M.P. Taparia: We have not received any order. When I get orders, then I'll reply you. We hope to supply in the third quarter.
Deepak Mandhana: Okay. And are we ready in terms of the capacity with the order size may come from? Are we still building that capacity?
M.P. Taparia: We have got capacity to make pipe. We are making capacity to make fittings. Just we are adding several variety of fittings . Because we are supplying complete system s. We supply not only pipes; we supply fitting s also.
Deepak Mandhana: Okay. So in terms of our capex, are we capex ready for that? Would we take another quarter for getting that ready?
P.C. Somani : No, capex has already been committed. Now the delivery of equipment will take place , so more capacity will take place.
Deepak Mandhana: Okay, thank you.
Moderator: Thank you. The next question is from the line of Aditya from Securities Investment Management . Please go ahead.
Aditya: Sir, you mentioned that PVC prices increased by 13 per kg this quarter. But when I look at your realization per kg, it has fallen on a sequential basis. So why is that?
P.C. Somani : No. You see ultimately there is a change of product mix. So you really can't compare apple to apple that way. There are so many varieties of systems, product SKUs.
Aditya: If I have to understand, PVC prices increased by 13 per kg, what would have been our price hikes in this quarter for the different products?

M.P. Taparia: On the month of June only. More price went up in month of June. So June price will not reflect

in our product price.
Aditya: So what can the price hikes have you taken in June on a blended basis?
M.P. Taparia: In month of June, the price went up by INR8. Out of INR13, INR8 increase in June only.
Aditya: And we also increase the prices by INR8?
M.P. Taparia: In the Month of July, it went down, so there's no increase finally. But in Q2 period , it is all going down in month of July. It's a temporary change.
Aditya: Okay . Thank you, sir.
Moderator: Thank you. The next follow -up question is from the line of Pujan Shah from Molecule Ventures . Please go ahead.
Pujan Shah : Yes. Sir, just continuing with the same part, I just wanted to understand, what is the expansion plan we have been planning to for the OPVC pipes? And in next 2 years , 3 years, what are the

capex we have been planned o ut?
M.P. Taparia: We got one line from the supplier; we have placed order for 9 more lines .
Pujan Shah : I didn't get you. What?
M.P. Taparia: The delivery of the 9 lines will be placed on the supplier, delivery will be in 30 months?
Pujan Shah : 30 months?
Pujan Shah : Okay. Got it. But so what will be the per line expansion, like you have said, 9 lines you have been expanding to. So what could be the capacity of 1 line?
M.P. Taparia: 9-line capacity to go. Roughly by about 30,000 ton.
Pujan Shah : It would be 30,000 tons?
M.P. Taparia: Additional.
Pujan Shah : Additional. So currently, we are at 3,000 tons..
M.P. Taparia: It would be 32,000 tons.
Pujan Shah : 32,000. And we are at currently at 3,000 metric tons?
M.P. Taparia: After 2.5 years.
Pujan Shah : Yes, I got it, sir. We are currently at 3,000, we will expand by 32,000. We will make the total facility by 35,000, right?

M.P. Taparia: Today, we have got capacity of 2,500 tons and we are getting 9 lines which is a fresh ord er, which is going to come in , 30 months, which will increase our capacity to 32,500 tons after 2.5 years may be beginning 2027 or 2028.
Pujan Shah : Sir, what would be the cost of 1 line to be installed?
M.P. Taparia: Around INR40 crores.
Pujan Shah : INR40 crores. And that would be okay. Got it. And I just wanted to understand, is this business related to B2B, B2C or how it has been planning to. It has been a distribution -led business?
M.P. Taparia: B2B, we will s ell to contractors and they supply to government department s. Government purchase more than 4 million tons of DI Pipe.
Pujan Shah : Okay. So how much DI Pipe would be replaced by this OPVC pipe?
M.P. Taparia: I don't have capacity. I don't talk much about it. Properly after 2 years , I will talk to you properly.
Pujan Shah : Sure. Thank you so much.
Moderator: Thank you. The next follow -up question is from the line of Rishab Bothra from Anand Rathi . Please go ahead.
Rishab Bothra : I just wanted to understand, we have been increasing capex on a regular basis. Have we looked at inorganic growth opportunities at some point of time?
P.C. Somani : No, last year, we acquired Parvati Agro Plast .
M.P. Taparia: No, we have not increased in inorganic growth.
Rishab Bothra : So has that acquisition been falling in line with our expectations?
M.P. Taparia: Yes.
Rishab Bothra : Okay. Has that acquisition falling in line with our expectation?
M.P. Taparia: Yes.
Rishab Bothra : No. Post -acquisition, I'm meaning to say.
M.P. Taparia: The acquisition what we've taken we are happy with the acquisition.
Rishab Bothra : Okay. Fine. Thank you.
Moderator: Thank you. We are taking this as a last question. I would now like to hand the conference over to the management of Supreme Industries' for closing comments.

M.P. Taparia: Thank you very much. We are very much thankful to all the analysts and our partners for really excellent analytical question s. Myself a

nd my both the colleagues have tried to reply all
the questions, whatever raised by them. Thank you very much.
P.C. Somani : Thank you all.
Moderator: Thank you. On behalf of DAM Capital Advisors Limited , that concludes this conference.
Thank you for joining us, and you may now disconnect your lines.

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Regulations, 2015
Sirs
Pursuant to Regulations 30 of the Securities and Exchange Board of India (Listing
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“The Supreme Industries Limited
Q2 FY'25 Earnings Conference Call”
October 22 , 2024

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MODERATOR : MR. AASIM BHARDE – DAM CAPITAL ADVISORS

Moderator: Ladies and gentlemen, good day, and welcome to The Supreme Industries Q2 FY'25 Earnings Conference Call hosted by DAM Capital Advisors. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an

operator by pressing st ar then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Aasim Bharde . Thank you, and over to you, Mr. Bharde.
Aasim Bharde : Thank you. Thank you, Ridvi. Good evening all, and thanks for connecting to Supreme Industries Q2 '25 results call. From the company side, we have the senior leadership team who will take us through the Q2 performance and give us a brief comment following which we'll open the call for questions.
Thank you, and over to you, Mr. Taparia.
M.P. Taparia: Thank you very much, Aasim bhai. Thank you very much. I'm M.P. Taparia, Managing Director of The Supreme Industries Limited. I along with my colleague s, Shri P.C. Somani , CFO; and Shri R.J. Saboo, Vice President, (Corporate Affairs) and Company Secretary, welcome all the participants who are participating in the discussion of the unaudited stand -alone and consolidated financial results for the quarter and half year ended 30th September 2024.
The stand -alone results and the consolidated results are already with you. I'll give brief on company's products, operating performance and other highlights.
The Company sold 1,38,077 ton s of plastic goods and achieved net product turnover of INR2,236 crores during the second quarter of the current year against sale of 1,37,763 ton s of plastic goods and achieved net product turnover of INR2,274 crores in the corresponding quarter of previous year, resulting in volume at flat level and product value degrowth of around 2%.
The company sold 3,11,912 ton s of plastic goods and achieved net product turnover of INR4,848 crores during the first half of the current year against sale of 2,86,307 ton s and net product turnover of INR4,614 crore s in the corresponding half year of the previous year, achieving volume and product value growth of around 9% and 5%, respectively.
The consolidated operating profit and profit after tax for the second quarter of the current year amounted to INR347 crores and INR207 crores as compared to INR380 crores and INR243 crores, respectively, for the corresponding quarter of the previous year, resulting in a decrease of 9% and 15%, respectively.
The consolidated operating profit and profit after tax for the half year of the current year amounted to INR772 crores and INR480 crores as compared to INR723 crores and INR459 crores, respectively, for the corresponding period of previous year, recording an increase of 7% and 5%, respectively.

The business scenario of all the product segment of the company for the second quarter ended 30th September 2024 as compared to the corresponding quarter of previous year has been as under: Plastic Piping System business degrew by 1% in volume and 5% in va lue term. Packaging Products segment business grew by 11% in volume and 14% in value term. Industrial Products segment business degrew by 2% in volume and grew by 1% in value term. Consumer Products segment business degrew by 8% in volume and 1% in value t erm.
The overall turnover of value -added product has gone down to INR907 crores during the current quarter as compared to INR942 crores in corresponding quarter of the previous year. The company has a total cash surplus of INR674 crores as of 30th September 202 4 as against cash surplus of INR1,178 crores as o f 31st March 2024.
Going forward, the business outlook. Plastic Pipe

System business growth was severely affected
due to extreme volatility in PVC resin prices, low spending on infrastructure in the first six months by governments and extended monsoon.
Due to Red Sea shipment movement blockage, the container productivity went down extremely. It led to steep freight increase from Asian countries to India. 66% demand of PVC resin in India is met from imports. Out of that 66% volume, more than 80% of import comes from Asian countries. This has led to an increase in the cost of PVC resin between mid-April to 30th June by 19%.
As the freight rates started moving down, the prices took a deep cut between 1st July to 16th August. The prices then went down by 17.5%. This type of price volatility in a very short period led to deep destocking in the entire trade channel. As the rainy season got extended, the demand revival for agricultural pipe also remained subdued in the month of September. The government spending on infrastructure also had gone down in the first half of this fiscal year.
Thus, the company is required to revise its guideline of 25% volume growth in Plastic Pipe System to be between 16% to 18% for the year. Now the price volatility has eased. Price trend of PVC will sustain or go up marginally. Business season has started. M onsoon has withdrawn. The government also announced an increase in infra spending in second half of this financial year. The company is fully geared to cater to increased demand of its product with increased

available capacity from various ongoing brownfie ld expansion at multiple locations.
The new greenfield unit dedicated for production of varieties of industrial and ball valves at Malanpur has commenced commercial production with effect from 1st September 2024. The company has been allotted required land near Patna in Bihar and also purcha sed required private land at Kathua district in Jammu & Kashmir for putting up plastic product complex , including Plastic Pipe system. Execution of projects at these locations shall be taken in hand during the next financial year. With completion of all the expansion plans undertaken in hand, total installed capacity of the Piping System division shall reach 8,35,000 ton per annum by the end of March 2025.
The business of Cross Laminated Film has started showing improved performance with improved demand for tarpaulins and penetrating newer export markets. The division expects

about 15% volume growth in this business segment for the year with improved profitability.
Trials have commenced for the newly developed Cross Plastic Film which has good export potential. The commercial launch of the product is expected by December 2024.
The company has expanded and introduced various new models of chair and cabinet in its Furniture segment. 10 new models have been introduced in the first half of fiscal year 2024 -25. The division continues to add showrooms to improve awareness of its range of premium products. Total strength of showrooms has reached 328 by end of September 2024 from 308 showrooms as on 31st March' 2024. Focus on strengthening distribution channel and adding more retail outlets continues.
In the Industrial Component division, business conditions are improving and company expects demand scenario to further improve in sectors of home appliances, white goods which constitutes large part of this business. The division is also working to expand its customer base and develop the business in new sectors and witnessing positive outcome.
The Material Handling division is continuously expanding its customer base, introducing new products and also investing in new machines and moulds. Orders have been placed for requisite equipment for Bubble Guard Board and capacity expansion of PP hollow s heets. The division would continue to strive to enlarge its customer base and product portfolio paving

the way for
moderate growth.
Composite LPG Cylinder division continues to cater to existing overseas customers and also participates in various export inquiries. Supplies against new LOI received from Indian Oil Corporation Limited are taking place regularly and expects to receive ord ers for additional quantities also. Response to company's efforts to engage with the distribution system of LPG cylinders with promotional activities are positive.
The Protective Packaging division is doing good business and its focus on developing customized solutions is working well. The strategy to work more on fabricated products is yielding a positive outcome. The division is continuously increasing its fabricat ion capacities in various geographies to cater to increased demand.
Expansion activities are undertaken at Jadcherla, Telangana, Malanpur in Madhya Pradesh and Kharagpur, in West Bengal, which shall be in place during the third and fourth quarter of this financial year. Negotiations for a suitable location for a new greenf ield site near the port in the western region to cater to export opportunities and domestic demand are yet to be concluded.
The Performance Packaging division continues to utilize its capacities optimally and work on improved product mix and post extrusion value added products. Export opportunities remain the focus area and the division is able to penetrate some new countries. The company has placed equipment orders and also awarded civil construction work for making windows at its new site at Kanpur Dehat in UP.

In the first phase, company has now planned to put entire window making facilities at Kanpur and cater to customers in Uttar Pradesh, Uttarakhand and NCR area. The company expects to supply windows in the first half of 2025 -2026.
Looking at the business outlook and future growth opportunities, the company has made capex commitments, including carry forward commitments, of around INR1,500 crores. Total cash outflow during the current year is not likely to exceed INR1,000 crore and s hall be funded

entirely from internal accruals.
This is a brief overall summary for the quarter and half year ending under reference. Thank you for your patience. Now I and my colleagues, Shri P. C. Somani and Shri R. J. Saboo, are available to reply to various queries raised by all of you. Thank you very much.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Rahul Agarwal from IKIGAI Asset Management. Please go ahead.
Rahul Agarwal : Sir, first question was, would you like to share the inventory loss for the quarter?
M.P. Taparia: Maybe around INR35 crores to INR40 crores.
Rahul Agarwal : Okay. Secondly, in the first quarter conference call, you had mentioned that the polyethylene gas piping systems will see soft kind of launch in October. Could you share some progress report on that, please?
M.P. Taparia: No, it is under good progress. We anticipate that we will get order in this quarter.
Rahul Agarwal : Sir, how does the gas pipeline look like? Could you share some kind of numbers in terms of what's the pipeline overall for the industry?
M.P. Taparia: The gas pipeline if you want, the plastic pipeline are used below the ground. Now we've build up a pipe, a composite pipe which can be also used above the ground, the market is around 1,00,000 tons annually. But we have still not participated at all, so I can't say much about it. But as our product is now approved by so many inspecting agencies, we anticipate to get order from this quarter.
Rahul Agarwal : Got it, sir. And last question was on CPVC resin. Like on the TV interview you shared some numbers on PVC resin, import and domestic production, could you share what is the CPVC resin local production and how much is the import today?
M.P. Taparia:

We are getting from local also, imported also. Local also they have to import PVC, they do not make PVC. The local supply whoever are making are importing PVC and they're chlorinated and offering CPVC.
Rahul Agarwal : Sure, sir. But how much would be CPVC compounds available in terms of tonnage in India, local... ?

M.P. Taparia: I don't buy compound. I buy only resin only. But overall, the market is around 2,20,000 tonnes annually.
Rahul Agarwal : Okay, sir. And lastly, sir, just on PVC resin, you mentioned that the import still remains like 65% of overall consumption. Let's say, 3, 5 years out, do you think the Indian the large business houses which have announced some new capacity, do you think India can be self -sufficient in PVC resin production?
M.P. Taparia: Announced expansion will happen in 2026, 2027, but when the capacity happens also, India will still require to import minimum 2 million tonnes. India will remain short up to 2030 with the current forecast.
Mod erator : The next question is from the line of Shravan Shah from Dolat Capital.
Shravan Shah : Sir, just trying to further understand in terms of our lowering the volume guidance for FY '25. So if I'm just doing the math, the ask rate for second half is for Plastic Pipe segment is close to 20% to 22% kind of a growth required. That means a 92% kind of a utilization.
So there are two questions trying to understand. In September, was our volume in Plastic Pipe segment was much better than the July, August? And in terms of the October, is it much better than the September? And if possible, how we can break this in terms for the overall third quarter, how much growth are we looking at?
M.P. Taparia: In July was a very bad month. In July, our business has gone down from 34,700 tonne to 27,700 tonne, it dropped by 20% in month of July. And in August there was marginally 3% growth. In September, it was more than 15% growth. And now normally, second half, we are always better. Our last year second half grew by 28% by volume. And '22, '23 we grew by 38% by volume. Second half, we are always better than first half. And now with huge destocking which took place in last 4 months, that is June, July, August, September, we anticipate good growth going forward compared to first half. So we are confident when we are giving guideline to 16% to 18%, we are quite confident, unless some very untoward event take place.
Shravan Shah : Got it, got it. And second, in terms of the -- going forward also, previously, we talked about even from FY '25 onwards, so FY '26 onwards, we were looking at broadly 12% to 15% kind of volume growth. So that guidelines remains intact.
M.P. Taparia: we will talk in April .
Shravan Shah : Got it. And sir, on the realization front in Plastic Pipe segment on Q -o-Q basis, 6.1%, there is a significant increase. So now how do we see third quarter in terms of the pricing? Will it for us, will it be some decline will be there, or it will be a flattish to some improvement?

M.P. Taparia: We don't anticipate PVC price to go down now further. So when PVC prices are not going to go down, we do not see any reason why the value will decline compared to the volume growth.

Shravan Shah : Okay, okay. Got it, got it. And then is it possible, currently, what's the total capacity though we are mentioning that by FY '25 for Plastic Pipe, we will be 8,35,000. But currently, how much it is?
M.P. Taparia: it may be around 7,90,000.
Mod erator : The next question is from the line of Utkarsh Nopany from BOB Capital Markets Limited.
Utkarsh Nopany : Yes. Sir, first thing I wanted to understand like what would be the peak capacity utilization for our pipe facility during strong demand season?
M.P. Taparia: 80 to 85 %.
Utkarsh Nopany : Sir, becaus

e you mentioned that our current pipe capacity is around 7,90,000. And if we do the math s, then it looks like that we need to operate at close to around 90% utilization rate for the second half of FY '25 to meet our guidance.
M.P. Taparia: We have quite large inventory in our stock end of September.
P.C. Somani : Plus capacity also increasing in the second half further.
M.P. Taparia: And every month it was increasing. From 7,90,000 we go to 8,35,000, every month we will go on adding capacity, what you see going on is brownfield expansion, not in new greenfield.
Utkarsh Nopany : Yes, got the point, sir. And sir, second thing, like our pipe volume has grown at around 8% to 9% rate during pre -COVID period. And given the current economic scenario, just wanted to understand from you, like what would be the sustainable pipe volume grow th rate in your viewpoint, say, over the next 2 - to 3-year period? I'm not asking for FY '26 or '27, but from a medium -term perspective, what kind of a volume growth we can look for?
M.P. Taparia: I can talk country growth. Country growth should remain between 10% to 12% going forward in next 2 years, country growth.
Utkarsh Nopany : And sir, my last question is that like what would be the sustainable margin guidance for our pipe and packaging segments?
M.P. Taparia: Pipe segment will be between 14% to 16%.
Utkarsh Nopany : And sir, for packaging segment?
M.P. Taparia: Packaging is always better.
Utkarsh Nopany : Sir, can you quantify because our packaging segment margin has remained pretty weak for the last few quarters, but what kind of a run rate we can look for going forward?
P.C. Somani : Between 16% to 18%.
Mod erator : The next question is from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah : Couple of questions. Sir, first is any update on the antidumping duty, which is expected on PVC? And secondly, what we hear is the quality control order on PVC got postponed. Likewise, on EDC, ethylene , sir, any updates from a regulatory side over here, which can help on PVC pricing?
M.P. Taparia: I actually had a question first, I must tell you. So antidumping duty, the first people to reply will be Reliance Industries Limited. So in that, we are not involved parties. And on this BIS certification, we believe that BIS will be require d to extend it up to -- as of today it's up to 24 December, up to 24 December, very few companies have been qualified.
Currently dependent more than 3 million ton s PVC import, they are qualified up till now only 5 suppliers. If they don't extend it, then there's going to be huge crisis in the country in January, February. There is no PVC. PVC prices will go up 100% more. And we have to close down the capacity also.
So we don't anticipate such scenario. I don't think any such thing. This is our decision to take it. We are dependent on import. Today, you can't restrict all the people of the world not to supply to India , no way. PVC is a very important material, required for farming, required for housing.
Ritesh Shah : Okay. Sir, that's very useful. Sir, my second question is we have downward revised the volume guidance. You indicated we are confident on second half volume growth of 21%, 24% the implied numbers. I was just trying to get a sense on how does the agri order book stand because just going through my notes, a couple of quarters back, we had indicated that we had INR480 crores of confirmed order book from the Maharashtra government.

Is it possible for you to provide some color on the agri order book? And when we say that lower spending by government in first half, what all states we are referring to over here? I'm just trying to get more comfort on the volume throughput into second ha lf?
M.P. Taparia: Maharashtra will have nothing to do with agriculture. It was only for infrastructure. Pleas

e don't
mix two things. Agriculture is a separate subject and Maharashtra order was for infrastructure, for providing water, Har Ghar Nal Se Jal . So they want to do for infrastructure, and they are hardly buying anything.
Ritesh Shah : Okay. Sir, what I'm trying to understand is , what is the current order book position which gives us confidence for volume growth for the guidance that we have given?
M.P. Taparia: We have a huge channel. We have more than 1,000 distributors who are marketing our products. We have huge network of retailers, huge network of plumbers, and for housing they require our product. This is a very important product for housing. In a house, the functional area is kitchen and bathroom, you cannot do anything wi thout pipeline. Ours is essential product. And h ousing construction is going on properly. And government is also building 30 million houses. They require piping system.

Ritesh Shah : Yes, sir. So basically, when we have given the guidance of 5,80,000, 5,90,000 for full year on piping side, what part of it would be government -driven and what part of it would be agri? Would it be possible for you to give some broad ballpark numbers over here?
M.P. Taparia: Very small government driven. We don't do more than 2,000 tonne, 3,000 tonne business of government every month. We are a small player in government business. We don't participate in many government business. You can say demand will be there, definitely. Now in the next 5 months, it is the demand season for agriculture , where the monsoon has withdrawn.
Moderator: The next question is from the line of Keshav Lahoti from HDFC Securities. Please go ahead.
Keshav Lahoti : Thank you for the opportunity. Sir , firstly I just want to clarify the numbers which you have given is 20% degrowth in July. August, degrowth is 3% year -on-year and September more than 15% growth. Have I heard it right?
M.P. Taparia: You are right.
Keshav Lahoti : And how has been the things shaping up in October month?
M.P. Taparia: October now only 20 days have passed.
Keshav Lahoti : Yes. So how are the early trends? Are we doing double -digit kind of growth?
M.P. Taparia: I can't go on a day -to-day basis. As we told you already that , we'll be growing more than 40% in second half. We have grown 38% by '22, '23. Last year, we grew by 28%. Second half is normally a better business period for our piping system. And 16% growth, we must grow by 41% by volume. We are very confident.
Keshav Lahoti : Understood. But sir, in last quarter, you have guided your CPVC volume growth was 40%. How has been this number in Q2?
M.P. Taparia: CPVC volume growth , we are at 33% for 6 months.
Keshav Lahoti : And sir, what is the overall volume growth guidance? Pipe, you said 16% to 18%, but overall?
M.P. Taparia: Overall, we may grow between 14% to 15% for the company.
Keshav Lahoti : Okay. And one last question, sir, what is the sense on the channel inventory? Is it picking up?
M.P. Taparia: In ch annel inventory, there are huge channel s, there are so many distributors and so many retailers. But because they bought less, we are getting feedback from the raw material maker also, their sale was poor. Anyway , this is season time. So normally, there is a belief that demand will better. No rain. So, housing activity will also pick up big way. And the big festival, Navaratri, Dussehra, Diwali, big festival demand will be going after October .
So November onwards are our busiest months. And the Kharif crop is going to be harvested. And fields are empty. They will require money to be invested in development work. This year,

the water reservoir, the 155 big reservoirs in the country, they are full 88%. So there's enough water for the farmer to invest money to lay pipeline.

Moderator: The next question is from the line of Praveen Sahay from Prabhudas Lilladher Capital.
Praveen Sahay : So the first question is related to the margin. If I adjust your inventory loss, your margin is nearly

around 15.5% or 15.6%. So with the normalization in the PVC resin prices, second half, are you expecting similar kind of a margin?
M.P. Taparia: We've given guidance, today also between 14.5% to 15.25%. Now there's always some uncertainty. But we are quite comfortable.
Praveen Sahay : So for the full year, you are saying 14.5% to 15.2%.
M.P. Taparia: 15.25%, generally what can happen, nothing. Nobody knows now. So better to be on the safe side.
Praveen Sahay : So the realization of the plastic pipe segment, on the Y -o-Y side, it's a 4% of a down, and Q -o-Q, it's 6% of a up. And if I look at the fluctuation in the PVC resin prices has been also there, and you had also given some fluctuations in the quarter, some upside in the PVC resin prices as well. But is that the Q2 versus the last year Q2, there is a product mix change as well?
P.C. Somani : There's so many -- SKUs , so many systems, I t can't track that way.
Praveen Sahay : So it's not only because of a PVC resin prices, it's also the product mix change, which has led to the difference in the realization.
M.P. Taparia: Value added item s have been better. Otherwise, the margin would have gone further down.
Praveen Sahay : And you are able to maintain this value -added mix, 40% of value added expected to be maintained .
M.P. Taparia: Might have been better value addition share in the month of August and September because in the pipe prices, the margins have been completely eroded due to fall in the resin prices. So we could still sustain margin to a respectable number due to better sal es of value -added item in the month of August and September.
Moderator: The next question is from the line of Sonali Salgonkar from Jefferies.
Sonali Salgonkar : Sir, my first question will be regarding any segmental flavor you would like to highlight in this quarter, which segment did not perform well? And secondly, going forward, maybe in the second half, which segment do you expect to perform better?
M.P. Taparia: Segment, I think the plastics pipe system will work better in second half. Packaging segment business will better in second half. I think all the division s will do better in second half.
Normally all divisions do better in second half.
Sonali Salgonkar : Sorry, sir, I meant from the point of view of either housing or infrastructure or agri?

M.P. Taparia: Infrastructure, we are not a big player, but a small player, that business was eroded in the first half. that business may grow by 10,000 tons, 12,000 tons, but we are a small player in infrastructure. Our major business is housing and next is agriculture. Infrastructure is a poor third.
Sonali Salgonkar : So was it the case that housing was not doing well in July when we had this de -growth of about 20% volumes?
M.P. Taparia: July is a rainy season. July normally is lower.
Sonali Salgonkar : Sir, year -on-year drop.
M.P. Taparia: Year -on-year, it has been coming down. So the whole pipeline they were reducing their own stock. They all lost money. And price is coming down by 17.5%, then my distributor also stocking goods, they all lose money.
Sonali Salgonkar : So basically, is it a fair understanding that housing is doing well, but this was predominantly due to de -stocking.
M.P. Taparia: You are very correct.
Sonali Salgonkar : Sir, I just wanted to confirm August, 3%, was it a growth or a de -growth in volumes?
P.C. Somani : Yes, it was growth or de -growth is what she's asking?
M.P. Taparia: Growth.
Sonali Salgonkar : So July, a drop of 20%, August a growth of 3%.
M.P. Taparia: And September growth is 15%.
Moderator: The next question

is from the line of Srinath V. from Bellwether Capital .
Srinath V : I wanted to find out how CPVC is growing. Is it growing faster than the piping division? Also wanted to understand antidumping duty on CPVC has come in. And are the prices stable? Has the channel started accepting inventory? Just wanted your view, sir.
M.P. Taparia: CPVC prices are stable. There is no drop, no increase. The antidumping duty has come mostly on Chinese supplier and on some South Korean supplier. We are basically India is getting materials from USA , Europe, Japan and Thailand . There is no anti -dumping duty imposition on those countries.
Srinath V : And growth, sir, in CPVC, how is it playing out in this demand environment?
M.P. Taparia: Growth, maybe 10% to 12%. Our company grew by 33%.
Srinath V : So in this quarter, we saw 33% growth in CPVC volumes.

M.P. Taparia: Half yearly. In this quarter also, we have grown better .
Srinath V : So the CPVC market has been somewhat stable from a demand perspective. The demand weakness is largely in PVC. Is that a fair understanding, sir?
M.P. Taparia: CPVC in India is used for plumbing. Plumbing is not effected by any season. Plumbing is done inside the bathroom. So the demand doesn't get affected. The housing was going on properly.
Srinath V : So CPVC business grew double -digit even in this quarter?
M.P. Taparia: Our company has a good position in CPVC.
Moderator: The next question is from the line of Sneha Talreja from Nuvama.
Sneha Talreja: Sir, just two questions from my end. One is related to, you have mentioned that you will be manufacturing the entire window system at one of your plants. Could you elaborate on this? Because earlier you were looking to manufacture only windows profile. How big is this opportunity? And what are the numbers we can see from this particular business?
M.P. Taparia: We'll not be selling profile. We'll be giving customized window s as per the requirement of any project. So we'll be making readymade window s as per the size and supply to the customer house. We will be installing the window also. So with our 5,000 ton capacity, we may be able to produce by overall average some 3,20,000 window s ever year. We'll be restricting ourselves to market in UP, Uttarakhand and NCR area, and we are going to make window only in our Kanpur plant. So we are also wanting to learn the business.
Sneha Talreja: How big is this market currently? And who are the players?
M.P. Taparia: Market you have many players. We are the last entrant. There are many players. Market may be around 1,50,000 tons and we are putting capacity of 5,000 tons.
Sneha Talreja: Sir, lastly, on the Plastic Pipe division, while most of the questions are answered, just related to inventory side of it. According to you, what must be the channel inventory and has already channel started picking up inventory in October? Would that have normalized? Or is it yet to normalize?
M.P. Taparia: I believe channel inventory must have been now normal, must have been normal, because there is no reason now with the whole price drop has happened in the middle of August. Thereafter, there was no big change in pricing. That's why if you've seen, we had m ore than 15% growth in September. So channel inventory must have become normal.
Sneha Talreja : Understood. One last one, if at all I can get in. On the government side of business, while you said that you can get back that growth of 10,000, 12,000 that is ideally on a Q-o-Q or H2 versus an H1 basis. But that number must already be there in your base. So you are talking about an acceleration in growth from 15 to 20 only on the back of housing, right?
M.P. Taparia: Housing and agriculture.

Sneha Talreja : Agriculture also, which will see a faster growth vers

us last year?
M.P. Taparia: Agriculture, this is peak period of demand from November to May, a peak demand agriculture because in June, July, August, September -- June, July, August, agri demand goes very much down. The de mand revive normally second half September, but this year September was a washout with the monsoon extended up to end September. So we had very poor demand in the month of September for agriculture which did not happen normally.
Sneha Talreja: Understood sir. Thanks a lot and all the very best.
Moderator: Thank you very much. T he next question is from the line of Nikhil Agrawal from Kotak AMC NDPMS. Please go ahead.
Nikhil Agrawal: Good afternoon s ir and thank you for the opportunity. Sir, my question was on the PVC -- on the plastic pric e realizations. We've seen a quarter -on-quarter jump of about 6% and like from the prices that I have I see that average prices in quarter 2 were actually down for PVC. So like did we hold on to the higher prices and maybe had an impact on our market share or something during the quarter?
P.C. Somani : You see, quarter 1 is domina ted by agriculture, April, May w hereas the product mix is different in the second quarter. That's why you're finding better realization compared to qua rter 1. So it's a product mix.
Nikhil Agrawal: Okay. But our market share has been stable on a quarterly basis. There's been no impact on that?
M.P. Taparia: No, we might have gained market share.

Nikhil Agrawal: Okay. Great. Could you quantify? I mean, what's the market share right now, could you mention that?
P.C. Somani : Market share, so unless the data comes from all the players, then only we'll be able to make it out.
M.P. Taparia: Normally, dear friend the market of plastic pipe is around 4.3 million tons or 4.4 million tons and we have about 65% by organized sector. The organized sector, we are the largest supplier.
Next is Finolex and then come Astral and Ashirvad . By volume, we are the largest supplier in the country.
Nikhil Agrawal : Yes, sir. Sir, one more question. Like how has the gov ernment spending been till now l ike if I'm not wrong, government spending did start it picked up from July end or maybe from August.
So like did we not see any demand from the governm ent segment during the quarter o r is it yet to play out
M.P. Taparia: Government already announced that first half spending was low and then they will use the money for second half. So second half will start only from October. So we believe October to March government will be spending because first half they were all involved in election and new government to come in position because after all it is mostly driven by central government, but

now central government is very much in full position and so second half demand is definitely going to be better.
Nikhil Agrawal : All right. Understood sir. That's it from me. Thank you so much.
Moderator: Thank you very much. T he next question is from the line of Bhavin Pande from Athena Investments. Please go ahead.
Bhavin Pande : We could see a jump in depreciation expense. So what do you think would explain that?
P.C. Somani : You see a lot of Brownfield expansion is taking place, but for a lot of SKUs we also require more for each and every SKUs where the life of the asset is lower than the plant and machinery.
So as we are developing more and more SKUs, a ny additional capex which are incurred or which is going into production, you have to provide proportionate depreciation based on their respective life of the asset. And this will be the year in which we will be having the highest capex. In the first half itself, we had an addition of more than INR260 crores.
Bhavin Pande : Okay. So sir, I'm assuming for next few years, a few quarters at least, we would be seeing higher depreciation expense on account of th

is and when this tapers down the flow towards PAT would be lower, right?
P.C. Somani : You see ultimately depreciation, it's a c ycle, something gets added new so depreciation will be higher, but then old asset will get fully depreciated faster also. But as we are moving towards capex plans and this year we have committed close to INR1,500 crores capex. So definitely, yes, depreciation will be higher compared to previous years.
Bhavin Pande : And sir, what kind of asset terms do we expect on the investment that we are doing over next 3 years , 4 years?
P.C. Somani : On a Brownfield expansion, you can expect 1:2.5. On a Greenfield, it is 1:2.
Bhavin Pande : Okay. So 2.5 and 2x, respectively.
P.C. Somani : Yes.
Bhavin Pande : And could you shed some light on the PVC prices, how they have behaved recently a nd how do we see them shaping in the quarters ahead?
M.P. Taparia: Now the prices are stable. We can't forecast, but we believe the prices are stable at a lower level. So there is very less chance of prices to go down until the crude price comes down or economy goes very bad. So as government are fully aware, China is giving big stimulus to revive their economy The US economy is also not doing so great as they've started reducing interest rate to ensure that they are comfortable now with the interest rate level.
So we believe that worst maybe behind, but that's a big question hard to reply, big question. But we believe the worse might be over in the world economy, mostly US and China. They are big user of PVC.

Moderator: Thank you very much. Th e next question is from the line of Abhishek Ghosh from DSP MF. Please go ahead.
Abhishek Ghosh : Yes. Hi, sir. Thanks for the opportunity. if you look through your operating cash flow, we see a

large buildup in inventory. Is it related to raw material or finished products or is it in anticipatio n of a very strong second half s ome color there would be useful ?
M.P. Taparia: It is combined, raw material and finished goods, both.
M.P. Taparia: Inventory will come down properly by end of March.
Abhishek Ghosh : Okay. So it will come back to the normalized levels?
M.P. Taparia: Yes.
Abhishek Ghosh : Okay. And sir, just in terms of the first half, any expectation of what would have been the market growth for PVC pipes?
M.P. Taparia: The market might have grown between 9% to 10%.
Abhishek Ghosh: Okay. So you would have largely maintained your market shares as far as the first half is concerned?
M.P. Taparia: I think so.
Abhishek Ghosh: And sir, the other thing is we see healthy growth coming back as far as the packaging product division is concerned, coupled with a healthy margin profile as well. So any comments on that because packaging seems to be doing well as far a s both growth and profitability?
M.P. Taparia: There are two division which are growing capacity wise, Cross Film Laminated and secondly, Protective Packaging Product. Cross Film Laminated business was in bad shape in previous 2 years , due to so many like products were launched by various competition and their products failed in the market. So there is a strong revival of demand for our product.
And Protective Packaging Product, we have launched so many variety of fabricated products, and we have launched to so many world market also, so that is growing by leaps and bounds. So combined Protective Packaging Product and Cross Laminated Film, the pac kaging market -- packaging demand for our company is growing nicely.
Abhishek Ghosh: Okay. So you think this is on a recovery path as far as your market shares and growth profile is concerned?
M.P. Taparia: You're right, yes.
Abhishek Ghosh: Okay. Sir, just one last thing. In terms of capacity expansion, some of the listed and the branded players, whoever is announcing capacity, you think beyond that also the 35%

unorganized or the
semi -organized players are also adding capacity? Or is it the 3, 4 listed players whom we kind of listen to...

M.P. Taparia: So many players come new and so many players go away, the unorganized player , mostly sharing in their own local market. And we believe the organized sector market share will go on growing small way but will go on growing.
Abhishek Ghosh: Okay. So from the 65% it should only inch up from here is what you reckon from here on?
M.P. Taparia: It will grow further, in a small way, 1%, 2%, it may go on growing.
Moderator: I'm sorry to interrupt, sir, but for a follow -up que stion, please rejoin the queue.
Abhishek Ghosh: Sure ma'am, thank you so much.
Moderator: The next question is from the line of Chirag from ValueQuest . Please go ahead.
Chirag: Sir, my first question is on gas piping system. What is the capacity which we have created for this particular product? And what to expect, sir, in terms of volumes in next 6 to 12 months?
M.P. Taparia: We've a huge capacity of makin g polyethylene pipes 3,000 ton s per month. The same capacity can produce pipe for water, they can produce for gas also. For gas you require very different raw material, and we require very strong testing system. Today, we have got system in place only at one plant which is near our Jalgaon.
Other polyethylene pipe plant, we have not created any capacity to make any testing facility for offering gas pipe. So we will be offering gas pipe today or we are gas pipe today only from our Gadegaon plant which is close to Jalgaon and where we have got monthly capacity to produce 3,000 tons per month. So we are testing the market. There are other players, we are testing the market, and we are going I believe, in this quarter.
Chirag: Okay. And sir, who is the customer here and who are the competitors?
M.P. Taparia: There are many players already in the business, there are many players.
Chirag: Okay. And who would be the customer, sir?
M.P. Taparia: Customer like Mahanagar Gas Limited. There are so many gas companies who are distributing gas. They are the customer s. And they may get a contract by Government of India, who want to give more and more houses gas supply by pipeline instead of buying by composite cylinder. It's a very niche market, dear friend. And we'll be not only supplying pipe, we'll be supplying fitting also along with it.
Chirag: Very clear, sir.
M.P. Taparia: There are many suppliers who only supply pipe, not fitting.

Chirag: Sir, in the initial comments, you h ad mentioned that there was INR35 crores to INR 40 crores inventory loss during the quarter. If I look at your gross margins, that has actually gone up by almost 100 basis points. What could be the reason for the same?

P.C. Somani : Gross margins, when we are building up the inventory, which has gone up, then the overheads go into the overheads and the valuation goes into the finished goods. So that's why your cost of goods sold may not be the correct depiction.
Chirag: Okay. And just lastly, on pipe segment, you said sustainable margins is 14% to 16%. So you mean EBITDA or EBIT?
M.P. Taparia: EBITDA, 14.5% to 15.25% .
M.P. Taparia: EBITDA we're talking.
Chirag: Generally, what is the depreciation?
P.C. Somani : About 3%.
Moderator: Thank you very much. Ladies and gentlemen, due to time constraints, that was the last question. I now hand over the conference over to the management for the closing comments. Thank you, and over to you, sir.
M.P. Taparia: Thank you very much. Thank you to all the friends. Great questions. We are very thankful to them for asking very intelligent questions. Thank you all.
Moderator: On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for

joining us, and you may now disconnect your lines.

Call: Jan 2025

"The Supreme Industries Limited
Q3 FY'25 Earnings Conference Call"
January 20, 202 5

MANAGEMENT : MR. M. P. TAPARIA – MANAGING DIRECTOR –
SUPREME INDUSTRIES LIMITED
MR. P. C. SOMANI – CHIEF FINANCIAL OFFICER –
SUPREME INDUSTRIES LIMITED
MR. R. J. SABOO –VICE PRESIDENT , CORPORATE
AFFAIRS AND COMPANY SECRETARY – SUPREME
INDUSTRIES LIMITED

MODERATOR : MR. AASIM – DAM CAPITAL ADVISORS

Moderator: Ladies and gentlemen, good day and welcome to The Supreme Industries Q3 FY25 Earn ings Conference Call hosted by D AM Capital Advisors. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that thi s conference is being recorded.
I now hand the conference over to Mr. A asim from DAM Capital Advisors. Thank you and over to you, Mr. A asim.
Aasim: Yes, thanks. Good evening. Welcome, everyone, to Supreme Industries Q3 '25 Results Call. We have with us the senior leadership team of the company who will take us through the quarter performance and post -switch we'll open the call for questions. Thank you and over to you, Mr. Taparia.
M.P. Taparia: Thank you, very much. I am M.P. Taparia, Managing Director of The Supreme Industries Limited. . I along with my colleague's Mr. P C Somani, CFO and Mr. R J Saboo, Vice President (Corporate affairs) & Company Secretary welcome all the participants, who are participating in the discussion of the unaudited Standalone and Consolidated Financial Results for the Quarter and Nine mon ths period ended 31st December 2024

The Standalone results and the consolidated results are already with you. I will give brief on Company's Product Operating performance and other highlights.

1. The Company sold 162733 MT of Plastic goods and achieved net product turnover of Rs. 2488 Crores during the 3rd quarter of the current year against sales of 158025 MT of Plastic goods and achieved net product turnover of Rs. 2429 Crores in the corresponding quarter of previous year achieving volume and product value growth of about 3% and 2%, respectively.

The Company sold 474645 MT of Plastic goods and achieved net product turnover of Rs. 7336 Crores during the Nine months of the current year against sales of 444332 MT and net product turnover of Rs. 7043 crores in the corresponding Nine months of previous year achieving volume and product value growth of about 7% and 4%, respectively.

2. The Consolidated Operating Profit and Profit after Tax for the 3rd quarter of the current year amounted to Rs. 331 crores and Rs. 187 crores, as compared to Rs. 400 crores and Rs. 256 crores respectively, for the corresponding quarter of the previous year, resulting in a

decrease of 17% and 27% respectively.

The Consolidated Operating Profit and Profit after Tax for the nine months of the current year amounted to Rs. 1103 crores and Rs. 665 crores, as compared to Rs. 1123 crores and Rs. 715 crores respectively, for the corresponding period of the previous year , resulting in a decrease of 2% and 7% respectively.

3. The business scenario of all the Product Segments of the Company for the 3rd quarter ended 31st December 2024 as compared to the corresponding quarter of previous year has been as under: -

• Plastic Piping System business grew by 4 % in volume and 1 % in value terms.
• Packaging Product Segment business grew by 9 % in volume and 13 % in value terms.
• Industrial Products Segment business degrew by 5 % in volume and remained at flat level in value terms.
• Consumer Product Segment business degrew by 7 % in volume and 5 % in value terms.

4. The overall turnover of value -added products increased to Rs. 961 crores during the 3rd quarter of the current year against Rs. 853 crores in the corresponding quarter of the previous year achieving growth of about 13%.

5. The Company Continues to be Debt free and having a Cash Surplus of Rs. 290 crores as on 31st December 2024.

6. Business Outlook

Plastic Pipe Systems business growth c

ontinues to be adversely affected due to adverse PVC resin prices scenario and demand from infra spend not picking up as envisaged. Considering better demand in the second half of the year in the segments served by the Company , the Company had earlier envisaged 16 -18% volume growth for the current year for the Plastic Piping System.

The plastic piping business was affected in the third quarter as PVC prices in open market were quite low compared to domestic producer prices and due to extended winter rainfall in South India and some Eastern states.

The Company expects good demand from Agri and Housing segments for the last quarter. The entire distribution pipeline has de-stocked seeing the continued fall in prices. As the prices have reached a low level, the Company expects good demand going forwar d in the current quarter. The Company also expects some improvement in infra sector demand, as this being the last quarter of the financial year.

The international PVC prices have stabilized at a low level. The local makers are adjusting their price close to import parity. However, there was a move from local producers to impose Anti -Dumping duty on import of PVC suspension grade resin. The decisi on from the Finance Ministry is awaited. Thus the PVC resin price trend remains in uncertain arena. Thus, Company is not in a position to give specific volume growth guidance.

However, as several brownfield expansion of capacities are in place, the Company with its large portfolio of SKUs in this system is expected to grow 3% to 4% more than the Country growth in plastic Pipe System during this year.

All brownfield expansions at various locations of Plastic Piping Systems are progressing smoothly. The Company is well positioned to cater to increased demand of its product with increased available capacity. The company has reached to annual capacity of 8,20,000 M.T. as on 31st December 2024 and with completion of all the expansion plans undertaken in hand, total installed capacities of the Piping System Business Vertical shall reach 9,00,000

M.T. per annum by the end of FY 24 -25.

Three new greenfield plants for Plastic piping division at Jammu, Bihar and Madhya Pradesh shall be taken up for execution in the coming financial year. Land at all the three places is in Company's possession and detailed plans for products and capacities are being worked out.

Equipment have arrived for PP silent pipe system which shall be launched in technical collaboration with M/s. Poloplast Gmbh of Austria during 1st quarter of FY 25 -26. The newly introduced PERT Piping System and PE single wall corrugated pipes are witnessi ng encouraging response. Plans to increase SKUs in Bath fittings and sanitaryware segment are progressing well and till now the division has reached to 629 SKUs, from 421 SKUs at the beginning of the year. The company in plastic piping system is servicing 40 different application -based systems and continue to explore more value -added systems.

The Company continues to remain focused to invest and enlarge the product basket in its piping business and to increase the range of value -added products. The company now has a SKU basket of 14234 numbers in Piping System Business Vertical.

The Company has placed orders for all necessary equipment and the work on civil construction has started at its new site at Kanpur Dehat in U.P. for making Windows. In the first phase, Company has planned to put entire window making facilities at Kanpur an d cater to customers in Uttar Pradesh, Uttarakhand and NCR. The Company expects to launch and supply Windows in the first half of 2025 -26.

The business of Cross Laminated Film is showing improved performance with better capacity utilization. The division has also participated in institutional business and bagged good orders which are under execution. Resultantly the division expects about 20% volume g

rowth in this business segment for the year with improved profitability. Trials have been

successfully carried out for the newly developed Cross Plastic Film and samples thereof have been sent to laboratory for testing & certification as well as to potential customers for their evaluation.

The Company continues to expand its range and has introduced various new models of chair & cabinet in its furniture segment. 12 new models have been introduced in the first nine months of FY 24 -25. The division continues to add showrooms to improve awareness of its range of premium products. Total No . of showrooms has reached 337 by end of December'24 from 308 as on 31st March'24. Focus on strengthening distribution channel and adding more retail outlets continues.

In the Industrial Component division, business conditions remain moderate. However, Company expects demand scenario to further improve in sectors of home appliances & white goods which constitutes larger part of this business. It is also working to expand its customer base and develop the business in new sectors. With the revival in the business scenario of various appliances customers, the division expects better prospects going forward.

The Material Handling Division remains focused on introducing new products and also investing in new machines and moulds. Injection moulded pallets are seeing good growth and division continues to add new products in its range of pallets and dustbins. Pres ently the entire range of pallets are being manufactured at one location in Maharashtra. Going forward, the division plans to increase Pallet's manufacturing locations and likely to commence from March 25. Equipment for Bubble Guard Board shall arrive by e nd of first quarter of FY 25 -26 and likely to be in production during July -September quarter. The division continues to strive to enlarge its customer base and product portfolio paving the way for moderate growth.

Composite LPG cylinder division continues to cater to existing overseas customers and also participates in various export enquiries. Supplies against new LOI received for 10 Kg.

cylinders from Indian Oil corporation Limited (IOCL) are taking place regularl y and shall be completed by February 2025. The division expects to receive orders for further quantities in continuation of existing LOI. Work on standard design of 14.2 kg. Cylinder for all Oil Marketing Companies (IOCL, BPCL & HPCL) is under progress and expected to generate good business during FY 25 -26 and thereafter, commercialization of newly developed CNG Cylinders is likely to happen during January -March quarter of this year.

The Protective Packaging Division has enhanced its capacity utilization and its focus on developing customized solutions is working well. The division is continuously increasing its fabrication capacities in various geographies to cater to increased deman d. Expansion activities undertaken are progressing well and shall be fully in place by end of FY 24 -25. Negotiations for a suitable location for a new greenfield site near the port in the western region, to cater to export opportunities and domestic demand , has been initiated and likely to be concluded by first quarter of FY 25 -26.

The Performance Packaging Division continues to utilize its capacities optimally and work on improved product mix and post extrusion value added products with minimal investment. Export opportunities remain the focus area for better value addition.

Looking at the business outlook and opportunities, the Company has planned and committed the highest capex (including carry forward commitments) of around Rs. 1500 Crs. Total cash outflow towards capex has been Rs. 718 crores during first nine months and is likely to reach around Rs. 1000 crores for the year. Entire Capex outflow shall be funded from interna

l accruals.

This is a brief and overall summary for the quarter and Nine months ended under reference. Thank you, for your patience. Now, I and my colleague, Mr. P.C. Somani & Mr. R J Saboo, are available to reply to your various queries raised by all of you. Thank you very much.
Moderator: Thank you. We will now begin the question -and-answer session. The first question comes from the line of Ritesh Shah with Investec. Please go ahead.

Ritesh Shah: Hi, sir. Thanks for the opportunity. Sir, my first question was on window profiling business, what you indicated. What is the sort of capacity and the ramp -up that we are looking from this particular initiative of ours?
M.P. Taparia: First, I must clarify that we are not going to sell profile. We are going to supply completely customized window and our annual capacity is 5 ,000 ton s per annum.
Ritesh Shah: Correct. Sir, can this 5 ,000 go to 20, 000, 30,000? Is the market size that big and do we aspire to be there?
M.P. Taparia: Market size today is more than 130,000 ton s. Definitely, we have a dream to be a big player.
Moderator: Thank you. Mr. Shah, I would request you to re -join the queue for more questions. Next question comes from the line of Shravan Shah with Dolat Capital . Please go ahead.
Shravan Shah: Hi. Thank you, sir. Sir, just to correct me if I am wrong. So now we are saying for volume growth for Pipe segment is 15 % to 16%. So , nine months we have done just 7.8%. So , ask rate for fourth quarter is close to 30 % to 34%. So , are we seeing that kind of traction in the month of January and confident that we ca n deliver this kind of a number?
M.P. Taparia: If the things remain as they are remaining today, we are very confident. I can just recall you what I told last time also in the year '22-'23, we had 37% volume growth in second half compared to first half. This year, the third quarter of the second half was poor. There is a huge de -stocking taking place in the entire value chain, be it wholesaler, be it semi -wholesaler, be it retailer. And the demand, the prices are so low, it is very, very affordable product. And fortunately, we got capacity available. We got so many new systems operating. And we got more than 14,000 SKUs. We are very confident that in case no disturbance takes place , we are going to achieve the number what we are telling you.
Shravan Shah: Okay , got it. And then, sir, in terms of the capacity expansions that we are seeing, that 9 lakh tons by this year, and the three places, Jammu, Bihar, and MP . So there, how much capacity are we looking at and how much will likely to come in FY '26?
M.P. Taparia: When we come with our final accounting results in April , that time we will tell you the plan for these three new locations. As of today, we have got the land in our possession. The plan t, what capacity, what product we are going to make there will be announced only in April 24, which is our meeting to close the account of the year '24-'25.

Moderator: Thank you. Mr. Shah, please re -join the queue for more questions. Next question comes from the line of Sneha Talreja with Nuvama . Please go ahead.
Sneha Talreja: Good evening, sir, and thanks a lot for the opportunity. Just to clarify the last , the previous participant's question, did we mention , so our ask rate according to your interview is around 24% on quarter 4 numbers. Are we confident on the base of 41% growth of last year that we can still do 24% plus?

M.P. Taparia: We are confident whatever number we told you. Nothing unusual thing happens ; we will be achieving the number what we are talking.
Sneha Talreja: So, secondly, sir, just wanted to understand the inventory loss that you have mentioned on the interview. What is the quantum of the same?
M

.P. Taparia: The right thing about inventory loss, we should talk in April , but as on first nine months, because the inventory loss was not only in PVC, it was on polyethylene also, and which was in excess of INR100 crore s in first nine months, but currently, inventory loss or gain, we will talk in April ..
Moderator: Thank you. Ms. Talreja, please re -join the queue for more questions. Next question comes from the line of Rahul Agarwal from IKIGAI Asset Management . Please go ahead.
Rahul Agarwal: Sir, good evening. Two questions I had first. The first question was, could you help us understand where is the demand so weak? Is it housing , is it agri or is it infrastructure?
M.P. Taparia: In third quarter, demand was very weak. In third quarter , In Agri the demand was wiped out. And housing demand was also not so robust but the demand was there . And infra demand has not picked up.
Rahul Agarwal: Sir, that's what I was asking. Is it weaker in housing or agri or infrastructure?
M.P. Taparia: Agri demand, as I told you, due to rainy season, extended rainy season, agri demand was very poor. Housing was low, but not so low. And infra demand definitely was non -existent. But we are a small player in infra.
Moderator: Thank you. Mr. Agarwal, please re -join the queue for more questions. Next question comes from the line of Navid Virani with Bastion Research. Please go ahead.
Navid Virani: Yes, sir. So, I had one question around the rapid cash depletion , which I am witnessing. So, we had almost INR1,180 crores worth of cash in Q4 FY '24 at the end. But currently, we just have INR300 crores of cash with us. I understand that we are, you know, going through a capex phase, but I still feel there is some other place where the cash is, you know, getting sucked up. Is it fair to assume that we are sitting on large inventory pile right now, which is where the cash… ?
M.P. Taparia: We have a very huge inventory pipeline, huge inventory with us.
Navid Virani: Okay. So, we are confident that the upcoming demand will help us…
M.P. Taparia: Inventory will be liquidated in this quarter.
Moderator: Thank you. Mr. Virani, please re -join the queue for more questions. Next question comes from the line of Bhavin Pande with Athena Investments . Please go ahead.
Bhavin Pande: Hi. Good evening. So, what is the outlook on PVC prices and revival of demand? Thank you.

M.P. Taparia: PVC resin , already it has come to a very low level. now crude price going up, rupee going weak, and the local makers are losing money at the current price. Anti-dumping duty may come . Our local maker will find difficulty to go on selling at such a low price.
Bhavin Pande: Okay. That sounds good. Thanks a lot, sir.
Moderator: Thank you. Next question comes from the line of Keshav Bijayratan Lahoti with HDFC Securities. Please go ahead.
Keshav Lahoti: Hi. Thank you for the opportunity. how is the thing going on OPVC pipes? And what is the expansion plan? Whatever we have earlier, you know, envisaged 30 KMT capacity by FY '27, and is it running as per the plan ?
M.P. Taparia: Now we have t hree lines . And with three lines , our capacity is annually around 9,000 tons per year.
Keshav Lahoti: Okay. Got it. And last question, sir. Any guidance on the margin side for the Q4?
M.P. Taparia: We anticipate this year the margin may be between 13.5% to 14% overall .
Moderator: Thank you. Mr. Lahoti, please re -join the queue for more questions. Next question comes to the line of Sonali S with Jeffries Group. Please go ahead.
Sonali S: So, thank you for the opportunity. So, my question remains on the demand. Have you seen or

are you seeing the channels re -stocking again? And also, how was the demand in the first 20 days of January across segments?
M.P. Taparia: Demand in all segments is good except infra. Infra dem

and has still not come up.
Sonali S: So, restocking, are you seeing th ere?
M.P. Taparia: Demand is there for agri and demand is there for housing. Demand has now started.
Sonali S: Sir, could you share the month -on-month volume numbers for October, November, December, if that is possible?
M.P. Taparia: That is not possible.
Moderator: Thank you. Mr. Sonali, please re -join the queue for more questions. Next question comes from the line of Praveen Sahay with Prabhudas Lilladher Capital. Please go ahead.
Praveen Sahay: My question is again on the volume and what you are guiding for a 30 % plus for a Q4. So, one thing you had highlighted, de -stocking is very high at all the channels level. So, can you give some color on the comparison at what level of inventory earlier versus now it is at?
M.P. Taparia: General inventor ies are high. So, we are confident that we will have de -stock the inventory. What is you want here ? Inventory level at…

Praveen Sahay: No, I am asking related to the channel ?
M.P. Taparia: We don't have record now , so many distributors, retailers, we don't have the idea . There are more than 100,000 retailers. I don't know what is the inventory with them . We know that they are buying quite low. Whenever they place order, they are after us to supply as quickly as possible. This show s that they are having very low inventory.
And when the price trend is going down, there is no reason for them to keep inventory. We are available to make the supply.
Praveen Sahay: sir. Sir, last question related to AD T. As you had mentioned that the finance ministry awaits for the implementation of AD T. What is your take on when that is going to happen in Feb, March, when it is going to happen?
M.P. Taparia: I don't know. I think that this reply can be given only by finance ministry. I have no idea, no clue. We only know that the Director -General have recommended some provisional anti - dumping duty on 520 various companies, which ha s been sent in beginning of November. Now already more than 80 days passed. Now when the finance ministry will issue notification or they will not issue notification, I have no idea.
Praveen Sahay: Thank you, sir.
Moderator: Thank you. Next question comes from the line of Srinath V with Bellwether Capital. Please go ahead.
Srinath V: Sir, I want to understand how the CPVC business is growing. Is it growing higher than the 4% volume growth we saw in the Piping division? And also , I want to understand, there is already an anti -dumping duty on CPVC. Is that market little more stable than PVC? Are retailers holding inventory . Thank you, sir.
M.P. Taparia: CPVC, there is anti -dumping duty imposed only on China and companies in South Korea. They were not a large supplier to our company. The major supply coming from USA and Japan and Thailand. And now there is quite a good capacity produced locally also. So , we have no reason of anything to do with anti -dumping duty. And CPVC market definitely has grown better. Our company has grown also in excess of 20% of CPVC.
Srinath V: Okay, sir. And how you see, given that the fourth quarter is normally the construction heavy quarter from a residential real estate. What is the broad outlook on CPVC now going into Q4 and next year, sir?
M.P. Taparia: Q4 will be further better.
Srinath V: Okay, sir. Thank you. I'll get back in to the queue .
Moderator: Thank you. Next question comes from the line of Ashish Khurana with An k Capital. Please go ahead.

Ashish Khurana: Good evening, sir. Sir, I had a question on this announcement that we made last quarter about having cascade capacities on CNG type of cylinders. So , you said that in the announcement, s ir, it was said that the targeted revenue can be INR60 crores

. So just want to understand that it was a testing of what is kind of the thing or, you know, we see a big market opportunity there in terms of value ?

P.C. Somani: Our cylinder is for cascade application, refilling is at the CNG stations at petrol pump. It can be supplied only in the cascade form, means cascade of 30 cylinders. We are now at the stage of building up the cascade. And once we supply to petrol pump, petroleum compan ies, then we will see success. Cylinder per se has been approved. All certification is in place.

Ashish Khurana: Yes, I just want to understand that, you know, in LPG cylinders, we haven't seen that much traction, but in CNG cascades, do you expect it to be different that because probably there could be some operating cost benefits for our end clients? So , do you see that, you know, it probably will have a bigger market than LPG cylinders?

P.C. Somani: Nowadays, you see at every petrol pump, there is a CNG station. Those CNG stations are filling the fuel through CNG cascade replenishment. So , our cylinder, which is newly approved cylinder, would be used in the CNG cascade only. Since more of the vehicles are moving either electrical or gas, there is a good market potential for the CNG cylinders.

Ashish Khurana: Got it, sir. This is helpful. Thanks a lot.

Moderator: Thank you. Next question comes to the line of Swapnil Upadhyay with Motilal Oswal Financial Services Limited. Please go ahead, sir.

Swapnil Upadhyay: Thank you for the opportunity. Sir, what were the reasons for contraction in margins and what was the reason for increase in raw material cost quarter -on-quarter? Can you please elaborate?

M.P. Taparia: Raw material cost are going down not increasing…

Swapnil Upadhyay: Raw material cost as percentage of sales, sir ?

M.P. Taparia: Because our margins have gone down because the open market price of PVC is lower than Company price s. We sell the goods. And we were trying to make our selling price close to import parity.

Swapnil Upadhyay: And what was the reason for contraction in EBITDA margin, especially in Plastic Pipe segment?

M.P. Taparia: Yes, margin will come down now when I am losing money on the local purchase and local purchase we don't want to give up. We will go on buying local material.

Swapnil Upadhyay: Okay. Thank you.

M.P. Taparia: We can't work on our company based on imported material when local production is available. Local producers are very important supplier for us.

Moderator: Thank you. Next question comes on the line of Rishab Bothra with Anand Rathi Share and Stock Brokers . Please go ahead.

Rishab Bothra: Sir, just wanted to understand. You mentioned that our capacity will reach by 9 lakh s tons by March ‘25. How is the growth plan for FY ‘26 and what kind of utilization can we expect?

M.P. Taparia: FY ‘26, we will talk in April .

Rishab Bothra: So, these 9 lakhs are only brownfield expansion. Greenfield will come up thereafter ?

M.P. Taparia: Yes. 9 lakh tons capacity will be available on 1st April 2025.

Rishab Bothra: Okay. And with respect to the LPG cylinder, I think Supreme and Time Techno are the two players currently. Are there any other players who are supplying to the composite cylinders?

P.C. Somani: As of now, no.

M.P. Taparia: Not to our knowledge.

Rishab Bothra: And lastly, what is the market size of this cylinder and how much market share do we want to gain?

M.P. Taparia: Market size is more than 40 million cylinders.

Rishab Bothra: More than 40 million, sir. Thank you, sir .

M.P. Taparia: Our capacity & Time together is not even 2 million cylinders.

Rishab Bothra: So, we want to scale up the capacity in cylinder also quickly?

M.P. Taparia: Capacity will be going on increasing based on the demand coming from the oil marketing companies.

Rishab Bothra: Okay. I will come back in queue , sir. Thank you.

M.P. Taparia: They have to decide how much they want to switch over from the metal to plastic.

Rishab Bothra: Okay.

M.P. Taparia: Plastic is safe material. As we saw yesterday in Kumbh Mela, the explosion took place because it was metal cylinder. Plastic cylinder would not have exploded. It would have burned out. The damage would have been minimal.

Rishab Bothra: So, will lobbying help and consumer awareness for marketing companies help?

M.P. Taparia: Only by the oil marketing companies …

Rishab Bothra: Okay. Thank you.

Moderator: Thank you. Next question comes from the line of Navid Virani with Bastion Research. Please go ahead.
Navid Virani : Hello. Thank you for this follow -up opportunity. I just had one more question. Sir, can you help us with the number as to out of the 100%, what percentage of PVC are we sourcing domestically versus imports?
M.P. Taparia: I think maybe 45% or 50% more than 50%. 50% definitely local.
Navid Virani : Okay, sir. Okay. That helps. Thank you. Thank you so much.
M.P. Taparia: Locally I we are the number one customer of the Indian producers.
Navid Virani : Perfect. Thank you.
Moderator: Thank you. Next question comes from the line of Rahul Agarwal with IKIGAI Asset Management. Please go ahead.
Rahul Agarwal: Yes. Thank you for the follow -up opportunity. Sir, the question last time I was asking couldn't get a proper answer. What I was trying to know was infrastructure, the contribution to Supreme is very low. And housing you said was okay and agri was bad because of extended rains. January you were saying housing, agri both picked up. So, just wanted to know if infra contribution is so low, 3% volume growth. Was there any other reason of this demand not really picking up?
M.P. Taparia: Now demand this quarter will be quite okay. There is no issue. Demand will be good from agri, demand will be good from housing. There is no issue this quarter. Prices are very low. People have to start stocking also. And the demand will come from every segment. Now the crops are getting harvested. Demand will come from agri also and from housing also. There are so many systems, so many SKUs, new distributor addition. We don't see any problem this quarter.
Rahul Agarwal: Sir, maybe I would put it differently. I think first half the industry grew 8 % to 9%. What was the number for 9 months? Would you have that, sir?
M.P. Taparia: I got from, from local producers, all combined together, all polymers combined together, the growth was only 1% .
Rahul Agarwal: Okay, okay. And you think for the full year
M.P. Taparia: Dear friend, there is a combination of all the polymers. There is PVC, CPVC, polypropylene, high density polyethylene, linear low-density polyethylene. All together the market has grown by 1%. We don't use linear low-density polyethylene, we don't make drip system. So, and LDP we use mostly for infrastructure. So, but all combined there was 1%. Our company overall all together was 7.5%. And other than infrastructure, we have grown by 11.5% in 9 months.
Rahul Agarwal: Got it, sir. This is really helpful. Thank you so much for taking my question. All the best.

Moderator: Thank you. Next question comes to the line of Ashok Shah with Eklavya Invesco . Please go ahead.
Ashok Shah: Thanks for taking my question. Sir, last quarter raw material price was low. And this quarter raw material price will be something higher. So, what would be expected repercussions out of this?
M.P. Taparia: I don't think raw material prices are now higher than last year …
P. C. Somani : List prices are higher, but the effective prices are not higher.
M.P. Taparia: Not higher prices. I don't think prices are quite low. Very competitive, very

economical. Our
product is very economical compared to any pipe.
Ashok Shah: Okay. Thank you. Thank you.
Moderator: Thank you. Next question comes to the line of Shravan Shah with Dolat Capital . Please go ahead.
Shravan Shah : Sir, just to get a clarification. When we said 1% growth, just a previous participant replied. So, 1% growth you are saying for 9 months FY '25 or for 3rd quarter FY '25?
M.P. Taparia: That is 1% of all the polymers.
Shravan Shah : Okay. But in terms of the broader level, in terms of the PVC level, will this be a 2 %-3% kind of growth for 9 months?
M.P. Taparia: We have grown by 11%. CPVC country has grown by 9%. We have grown in excess of 20%.
Shravan Shah : Okay. Okay. Sir.
Moderator: Mr. Shah, are you done with your question?
Shravan Shah : Yes, I am done. Thank you.
Moderator: Thank you. Next question comes to the line of Varun Jain with Dol at Capital. Please go ahead.
Varun Jain: Hi, sir. So , my question was in the Gas Piping System s business, you had expected some orders in Q2 FY25. So , has the order scale increased in Q3 and how is that going? You had told us that

there is a very difficult te sting procedure for these pipes?
M.P. Taparia: Gas Piping. No, we have still not go t any order. We are now equipped. We have got certified also. We are waiting for some order to come in this quarter. As on today, we have no order s for Gas Piping.
Varun Jain: Any reason for that?
M.P. Taparia: At Gadegaon , we qualified to supply Gas Piping System. We not only make pipe s, we also make fitting s, but up till now we have not received any order. But we are newcomers. It always takes some time to break through.

Varun Jain: Okay, sir. Is there any specific reason why you didn't get any order like some requirement is not met?
M.P. Taparia: Any new supplier to qualify always takes some time dear friend.
Varun Jain: Okay. And, sir, by when do you expect to ramping up in this business?
M.P. Taparia: You m ay get in this quarter also.
Varun Jain: Okay, sir. Thank you and all the best.
Moderator: Thank you. Next question comes from the line of Utkarsh Nopany with BOB Capital Markets Limited. Please go ahead.
Utkarsh Nopany: Yes. Good evening, sir. Sir, my first question is regarding the industrial segment. So, our industrial segment volume has d e-grown for the past two consecutive quarters. So , wanted to understand what is the reason for the same and how this segment is expected to perfo rm in the current March quarter?
Prakash Somani: See, in the Industrial division, the volumes are really not important because there are the various OE customers, various parts which are not related to the volume . The thing is that last year we had electronic voting machine orders, which is not forming part of the current day business. And that's why on a divisio level, you are looking at de -growth. If you exclude that business, which was not a recurring business, then definitely we had a moderate growth.
Utkarsh Nopany: Okay. And sir my second question is what would be our CPV C pipe volu me growth for December quarter a nd can you please specify once again our plastic pipe segment volume and margin guidance for FY '25?
M.P. Taparia: Now CPV C system we had a growt h of 20% plus in the volume. CPV C system our volume has grown 20% plus in nine months.
Utkarsh Nopany: Okay. And sir can you please specify the plastic pipe volume and margin guidance for FY '25?
M.P. Taparia: We said we are talking 3 % to 4% more than the country growth, but specifically number on Plastic Piping System, we maintain still 15 % to 16%, but in uncertain time we are scared to give any number, but definitely we are confident we will grow more than the country.
Utkarsh Nopany: Okay. And, sir, on the margin side?
M.P. Taparia: Margin side will be 13.5 % to 14%.
Ut

karsh Nopany: For Plastic Pipe segment?
M.P. Taparia: For the company we can talk.
Utkarsh Nopany: Okay. Thanks a lot, sir.

Moderator: Thank you. Next question comes to the line of Amit Purohit with Elara Capital. Please go ahead.
Amit Purohit: Yes. Thank you for the opportunity, sir. Just on your comments that Q3 you saw slower growth in the agri segment as well as infra. So, plumbing would hav e done well housing side and CPV C has grown probably faster than the rest of the portfolio. What explains the realization lower for the quarter?
And if the coming quarters, there is a likelihood that agri and housing will continue to do well. Assuming that PVC prices remain stable, should we see sequential improvement or stable kind of how do you say? These are the two questions, sir?
M.P. Taparia: PVC prices normally should have slight upward bias, but we can't say because we are not clear about the anti -dumping duty. But what I say it may not go down.
Amit Purohit: No, sir I was referring to our performance. I am not -- I understand PVC price is difficult to predict. What I want ed to understand is that in Q3 our realization on plastic pipe was INR131.6 a kg. And when I look at the reasons that you highlighted in terms of your performance, this is because agri was not doing well and infra was not doing well which I presume that would have

a lower realization t han the housing ? And CPVC did 20% and still we saw a sequential reduction in realization. So, I just wanted to know, is that the hypothesis, correct?
M.P. Taparia: Infra we supply high density polyethylene pipe which price is always much higher than PVC.
Amit Purohit: Okay.
M.P. Taparia: You cannot go by the price per k ilo basis in a way . In our business, there is no price by kilo basis.
Amit Purohit: Okay and in these...
M.P. Taparia: I told you earlier this is volume number. Yes, please.
Amit Purohit: And coming quarters also one should expect a stable price assuming that PVC prices remain same. So, it should be a stable number?
M.P. Taparia: It is difficult to make a forecast, but that 's why we are saying we will grow 3% to 4% more than the country growth. That part we are confident. And if things go down then definitely, we will grow nicely in our plastic piping volume wise, more than two -digits, better than the country.
Amit Purohit: Just wanted to know, why I am asking this is just to know that, is the competitive intensity so high that, I mean there is too much of undercutting which is happening amongst the dealers and dealers are asking for significant discounts from companies. Is t hat the scenario right now, even in housing?
M.P. Taparia: Nothing like that.
Amit Purohit: Okay , sir. Thank you , sir.

Moderator: Thank you. Next question comes from the line of Rohan with Turtle Capital. Please go ahead.
Rohan: My question is regarding OPVC. So , what is your total capacity at this moment?
M.P. Taparia: 9,000 tons annually .
Rohan: 9,000 tons annually w ith 3 lines that you have right now?
M.P. Taparia: Yes.
Rohan: And wha t is the timeline for the rest 7 lines?
M.P. Taparia: 7 lines in 2028?
Rohan: 2028, okay. And with these 3 lines that you already have, so what will be the revenue that will be generated at optimum utilization?
M.P. Taparia: It's a new market . So, it's very difficult to give any forecast for the quantity. We should be able to sell at least more than 6,000 to 7,000 tons next year.
R. J. Saboo : It is all high value added?
M.P. Taparia: It is all high value added, yes, v olume wise we may be able to sell 6,000 to 7,000 tons next year.
Rohan: Okay. And can you just explain me the action that is going on like replacement or supplementing the ductile iron pipe? So , is there acceptance incr

eased by passing quarters?
M.P. Taparia: The DI pipe is smaller diameter. The OPVC pipes , replacing it at a very economical cost to the department. Up to 400 millimetre s. We are planning 110, 160, 200, 250 it's a smaller diameter. So definitely, the department going for OPVC is much more advantageous to them , cost-wise and performance -wise. So , we are confident, as we go on getting qualified, we will go on getting orders for the capacity what we have put in place.
Rohan: Okay. So , you mean to say that the majority of demand in OP VC is below 400 mm?
M.P. Taparia: As of today, this is our impression.
Rohan: Okay. And over there, how is the traction going on?
Rohan: How is the traction going on? The acceptance by government projects?
M.P. Taparia: Government it will reach very much, there is no issue. The government the finding is lower in cost and give better performance. Longer life also. Longer life, better performance, water outflow is more in OP VC compared to DI pipe. Their life is longer also. So, there is no issue.
Rohan: Okay. And how big this can be an opportunity for a company like Supreme? And how big you want to be in this segment?

M.P. Taparia: Yes, we want to be in segment, we have to still go a long way . OPVC fitting has to be developed properly in our country. We must have more capacity also. This is a very small capacity. 9 ,000 tons is a very small capacity. Today we are running with a very small capacity. We aim to have much larger capacity.
Rohan: Okay, so this was from my side. Thank you for your explanation.

Moderator: Thank you. Next question comes from the line of Vipulkumar Anopchand Shah with Sumangal Investment . Please go ahead.
Vipulkumar Shah: Hi sir. So , my question is what was the average price of PVC during last quarter and what are the prices rolling as on today, sir?
M.P. Taparia: Company price, declared price is different, you see. Then they give a good discount also, sir. I have no idea. What was the price - INR83.5 Company price? But then they give so many discounts. They give some special discount to the customers. So, we have no idea. No idea. It may be low, below INR80. Open market price is around INR 72. I can give you open market price.
Today in Bhiwandi market , open market price of PVC pipe is INR72. And local Compa ny price is, declared price INR 78.5, but then Company gives huge discount based on the quantity. So, very, very difficult. Now the price is not transparent. Only transparent is they have; their declared price and real price are quite different.
Vipulkumar Shah: So, have they recovered now or they are still rolling at low levels only?
M.P. Taparia: They have recovered. The import, the cargo is arriving. There is no anti-dumping duty as on today. So, they are quite low compared to local company price.
Vipulkumar Shah: Okay. Thank you, sir.
Moderator: Thank you. Next question comes from the line of Keshav Bijayratan Lahoti with HDFC Securities . Please go ahead.
Keshav Lahoti: Hi. Thank you for the follow -up opportunity. Sir, as you highlighted that CPVC demand is growing more than 20% and infra demand has been poor. Can you give some sense on what is the infra mix and CPVC mix this year?
Keshav Lahoti: So, as you highlighted, CPVC demand is growing very fast and infra has been very poor this year. Some sense on how much is the CPVC mix in entire portfolio and infra mix for this year?
P. C. Somani: It's a mix. CPVC and infra.
M.P. Taparia: No idea. Volume we have no idea. Any classified intra base.
Keshav Lahoti: Okay. Thank you. That's it.

Moderator: Thank you. Next question comes from the line of Rishab Bothra with Anand Rathi Share & Stock Brokers . Please go ahead.
Rishab Bothra: Yes, sir. Two

, three questions. Our share of value -added products have increased from 35% to 38%, but still I think margin have lowered. So, to what extent the value -added products can increase and margin trajectory look s better?
M.P. Taparia: Our plan is to go on increasing value -added shares. We are investing more and more money. This year we will be investing more than INR900 crores in Plastic Piping. Many investments are taking place to increase our value -added shares. Normally we get 42% value -added shares which we want to increase. We want to improve our return on capital employed and want to improve our operating margin.
Rishab Bothra: And, sir, looking at the EBIT per ton if we want to compare, I think consumer product has the highest EBIT per ton, followed by packaging product and industrial product. Plastic pipes come the last. However, when we look at the revenue contribution, Plastic Piping product has 65%, industrial and packaging 15% and consumer 5%. Will the expanded capacity change the revenue per se?
M.P. Taparia: We'll go by return on average capital employed in our company.
Rishabh Botra: Okay , and not on EBIT per ton?
M.P. Taparia: Our return on capital employed was quite good. As you have seen our balance sheet overall , we earned more than 40% on our money.
Rishabh Botra: So, better is to look at ROC rather than EBIT margin , EBIT per ton ?
M.P. Taparia: ROCE .
Rishabh Botra: Okay, Fine, sir. And lastly, on the margin fund itself, we achieved 20% annualized margin in FY'21 and we are around 16% or so. So, what timeframe can we look to reach that margin again - operating level margin ?
P.C. Somani: Margins were not the normal margins - from inventory gains. You see, in those times, during COVID times, the PVC prices or the polymer prices went up so high. In the increasing prices , you tend to get inventory gains. Those are not the regular margins. The regular margin, operating margin would be in the range of 14 % to 15%.
Rishabh Botra: Okay, 14 % to 15% regular margin.
M.P. Taparia: Again, I conclude, you see, we work only on one criteria, return on average capital employed .
Rishabh Botra: Got it , fine sir. Thank you, wishing you all the best.
M.P. Taparia: Thank you.

Moderator: Thank you. Next question comes from the line of Rohan with T urtle Capital. Please go ahead.

Rohan: Yes, thanks for the follow -up opportunity. I just wanted to know, how does the distribution of OPVC work? Is it distributor -led business, contractor -led business, or it's a tender -based business, because there's a lot of bidding with government?
M.P. Taparia: We suppl y to contractor who are supplying to government.
Rohan: Okay, so it's more of a contractor -based business. You supply to contractors.
M.P. Taparia: By getting order from government. We hardly supply anything direct to government. We supply to contractor against payment, who supply to government.
Rohan: Okay. That was from my side. Thank you again.
Moderator: Thank you. T he next question comes from the line of Deepak Lalwani from Unifi Capital. Please go ahead.
Deepak Lalwani: Hello, sir. Thank you for the opportunity. S ir, my question was on the infra segment. What is the reason for the weakness? And as we speak, have things improved? And can you share your outlook for this segment?
M.P. Taparia: Thank you a s you are aware, in the first six months, the central government spent only 29 % of their budget on infra. And we don't think much expenditure has been done in the third quarter also. I have no idea. Normally, government spends money in the last quarter. So, it's coming only from central government budget or state government budget.
We have seen that when the local producer who are supplying the high -density polyethylene, they did de-growth of 28 % by volume in the first nine months.

We saw that across all the applications for infra, high density polyethylene raw material is used in infra . And there is de-growth of 28 % by volume in the country for the first nine months. So, we hope now in remaining two and a half months, government may spend money on infra more. We have no idea.
Deepak Lalwani: Thanks.
Moderator: Thank you. Next question comes on the line of A asim with DAM Capital Advisors Limited. Please go ahead.
Aasim : Yes hi. So, I just wanted to understand on your pipes volume growth guidance. So, when you say Q4 will be 24 %, 25% growth so that you can meet y our annual guidance expectation. Is it actual ground level demand that has suddenly improved that is giving us the confidence? Because, as of late December and early Jan, our channel sales did not pick up any robust demand indicators. Your own Q3 volume also suggests the same , and we are 20 days done in January. So, has demand actually picked up materially?
M.P. Taparia: We believe this quarter we will sell more than 200,000 tons. This is what our distributor has indicated. They have given us their revised target . If nothing adverse happens, suppose there is unfortunate some cyclone or some rain, it doesn't happen in January, March. More so unusual thing happens. So , when there is some where law and order problem happen , who knows that?

We are optimist. Now January to 10 th June, the demand will remain better on the Plastic Pipe System s. These are normal experience s. Beginning January or more so after the Pongal, 14th January after the Pongal, Sankrant , Vishu , Lohri, all the festival are over, the demand up to 10th of middle of June demand is going to be better for Plastic Piping System. This is normal , happen every year. So , there is nothing unusual this year. If anything happens, I cannot say.
Aasim : Sure, I can understand what's not in our hand is not in our hand. But to get the 200,000 tons metric tons sales in Q4, you will have to run at capacity utilization almost 10 0% in Q4 itself?
M.P. Taparia: There is a huge stock lying with me. It's no issue. I can supply them n o issue. I would use capacity lying with me. I can give 25,000 tons from my stock also. Material available ., I have material.
Aasim : Okay, and b ecause the other thing is there is a gap between international P VC prices and domestic prices, domestic being higher. So that also is a factor, right? So , when you say 200,000 metric ton clarity is there from your channel, it is eventually going into basically the end consumers are still consuming , that's the level of clarity we have, right , not inventory stocking?
M.P. Taparia: We will be selling to distributor only. Distributor will be passing to the market. It is our normal experience.
Aasim : Okay.
M.P. Taparia: Our sales are quite good in last quarter.

Aasim : Sure, sir. That's it. Thank you.
Moderator: Thank you. Ladies and gentlemen, as there are no further questions, we have reached the end of question -and-answer session. I would now like to hand the conference over to the management for closing comments.
M.P. Taparia: Than k you very much. Thank you all.
P.C. Somani: Thank you, DAM Capital, and thank you all the analysts.
R. J. Saboo : Thank you, A asim. Thank you, DAM.
Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Apr 2025

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3Oth April, 2025
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Dalal Street, Fort,
MUMBAI 400023
Sub.: Transcript of the earnings conference call held on Thursday, the 24th April, 2025.
Ref.: Regulation 30 of the SEBl (Listing Obligations and Disclosure Requirements)
Regulations, 2015
Sirs
Pursuant to Regulations 30 of the Securities and Exchange Board of India (Listing
Obligations and Disclosure Requirements) Regulations, 2015, enclose js the transcript of the
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Meeting held on Thursday, 24th April, 2025.
Please fake the same on records
Thanking you,
Yours faithfully,
For The Supreme Industries Ltd.
(R.J. Saboo)
VP (Corporate Affairs) &
Company Secretary
Encl.: a/a.
The Supreme Industries Limited
Regd. Office : 612, Fiaheja Chambers, Nariman Point, Mumbaj 400021, INDIA.
CIN : L35920MH1942PLC003554 PAN : AAACT1344F+91 -0226257 0000 / 6257 0025
siLnarimanpoint@supreme.co.in

"The Supreme Industries Limited
Q4 FY '25 Earnings Conference Call"
April 24, 202 5

MANAGEMENT : MR. M.P. TAPARIA – MANAGING DIRECTOR – THE
SUPREME INDUSTRIES LIMITED
MR. P.C. SOMANI – CHIEF FINANCIAL OFFICER – THE
SUPREME INDUSTRIES LIMITED
MR. R.J. SABOO – COMPANY SECRETARY AND VICE
PRESIDENT CORPORATE AFFAIRS – THE SUPREME
INDUSTRIES LIMITED

MODERATOR : MR. AASIM BHARDE – DAM CAPITAL ADVISORS

Moderator: Ladies and gentlemen, good day , and welcome to The Supreme Industries Q4 FY 2025 and Full Year 2024 -'25 Earnings Conference Call , hosted by DAM Capital Advisors. As a reminder, all participant lines will remain in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference

call, plea se signal the operator by pressing star , then zero on your touchtone telephone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Aasim Bharde from DAM Capital Advisors. Thank you , and over to you, sir.
Aasim Bharde: Thank you and good evening to everyone who has dialed in. We have with us the leadership team of Supreme Industries who will take us through the quarter 4 and FY '25 performance and post which we will open the forum for Q&A. Thank you , and over to you, Mr. Taparia.
M.P. Taparia: Thank you, very much. I am M.P. Taparia, Managing Director of The Supreme Industries Limited. . I along with my colleagues Mr. P C Somani, CFO and Mr. R J Saboo, Vice President (Corporate affairs) & Company Secretary welcome all the participants, who are p articipating in the discussion of the audited Standalone and Consolidated Financial Results for the Quarter and year ended 31st March, 2025.

The Standalone results and the consolidated results are already with you. I will give brief on Company's Product Operating performance and other highlights.

1. The Company sold 674510 MT of Plastic goods and achieved net product turnover of Rs. 10295 Crores during the year under review against sales of 639701 MT and net product turnover of Rs. 10022 crores in the previous year achieving volume and product value g rowth of about 5 % and 3 %, respectively.

2. The Consolidated Operating Profit and Profit after Tax during the year under review amounted to Rs. 1552 crores and Rs. 961 crores, as compared to Rs. 1654 crores and Rs. 1070 crores respectively, for the previous year, resulting decrease of 6% and 10% respectively.

3. The business scenario of all the Product Segments of the Company for the year ended 31st March, 2025 as compared to the previous year has been as under: -

• Plastic Piping System business grew by 6 % in volume and 2 % in value terms.
• Packaging Product Segment grew by 10 % in volume and 13 % in value terms.
• Industrial Products Segment business degrew by 1 % in volume and remained at flat level in value terms.
• Consumer Product Segment business degrew by 3% in volume and grew by 1% in value terms.

4. The overall turnover of value added products increase d to Rs. 4060 crores as compared to Rs. 3748 crores in the previous year achieving growth of 8%.

5. The Company plans to spend about Rs. 1100 Crores towards capex during F.Y.2025 - 26 including carry forward commitment of preceding year and acquisition of Building and Infrastructure business of Wavin in India.

The capex plan also includes setting up plant at Kanpur dehat for PVC profile and window, facility for PP silent piping SWR system at Gadegaon and increase in capacity for OPVC pipe, CPVC pipe and injection moulded fittings at various locations. Capex also includes addition of new products, SKU's and balancing equipment in respective product divisions.

Entire Capex shall be funded from internal accruals.

6. Business Outlook

The year concluded had normal business in all it's segments for the Company except Plastic Pipe System business principally due to much lower spending by Central and State Governments on infrastructure compared to the year 2023 -24, unseasonal rainfall in s everal parts of the country and extreme volatile situation of PVC Resin prices, principal raw material used by th

e
Company. The prices of this raw material changed 14 times since July'24 and severely impacted the Plastics piping industry.

We are more domestic economy -oriented Company. IMD forecast for this year is to have above normal rainfall. This will boost crop production and contain inflation. The reports coming about Rabi Crop harvesting is quite encouraging. Our Country's economy is well poised to have high growth in the current year in spite of uncertain Global situation.

The current Global trend for crude prices is to remain range bound at $ 65 -70 barrel level. This will help the $ Rupee exchange rate remain range bound without steep depreciation of the Rupee. In the current economic situation Polymer prices, which is our principal raw material will also remain close to the current price levels. Thus, the products made by the Company will remain at an affordable level.

The Company also expects better volume growth in Export market for its product portfolio given the tariff issues affecting other countries severely. The overall demand forecast for Agriculture and Housing sector is encouraging. The Central Government has announced threefold increase in capital allocation in the budget for the year 2025 -26 compared to monies spent in the year 2024 -25 for augmenting drinking water supply.

Country has witnessed degrowth of about 6% in volume in Plastic Pip ing Systems and The Company achieved a growth of about 6% in volume during the year under review, in this business. The current year augurs well for the Company on its business performance compared to the previous year.

The Company has 45 Plastic Piping Systems in the division and plans to add five more systems in the current year related to various applications substituting conventional material. The Company continues to expand its product portfolio with additional SKUs & systems for various applications as required by our Country.

To meet the growth in demand for piping products, The Company has initiated steps not only to do brownfield expansion at existing manufacturing sites but also exploring inorganic growth opportunities. The Company has signed Memorandum of Understanding with Orbia Advance Corporation S.A.B. de CV, a global leader in plastic pipes and fittings. As per the agreement, Company will acquire Orbia Wavin's pipes and fittings business in India and will have exclusive access to Orbia Wavin's leading Piping technolog ies for India and SAARC countries. The acquisition of Wavin would inter alia result in increasing the capacity of the Piping Division by 73,000 M.T. per annum being operated from three manufacturing sites situated at Banmore (M.P.), Hyderabad (Telangana) and Nee mrana (Rajasthan). The acquisition will facilitate catering to districts/area of North and South India economically and efficiently.

With all the Capex incurred during the year under review, total installed capacities of Plastic Piping System Business has reached to about 8,70,000 MT per annum as on 31st March, 2025 as against installed capacities of 7,40,000 MT per annum as on 31st Ma rch, 2024 and likely to reach one million MT by end of FY 2025 -26.

The Company is putting up PVC Profile manufacturing with 5000 tons Annual capacity at newly acquired site at Kanpur Dehat along with Window making facility at the same site. All requisite equipment have been ordered and work at the site is in full swing. The Company expects to start selling standard off the shelf and customised windows from July'25

In Cross Laminated Film division, demand is now shifting back to the Company from look -alike products, reflecting growing recognition of the Company's superior quality and reliability. With substantial production capacity and a strong track record for time ly delivery, the Company is well-positioned to meet the stringent requirements of Government contracts and expects continued business in this segment. All

equipment required for the manufacture of Cross Plastics
also has been installed, and trial productio n is underway.

The Supreme Industries Limited
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The overall demand for Plastic furniture is witnessing a stagnancy which is affecting the growth of Plastic Furniture industry in the country. The Company plans to focus on growth from its Almirah Range as the penetration of this segment is still low and o ffers opportunities for growth. The Company plans to launch Eight new models in the first quarter of 2025 -26 which may result in overall growth in volume during 25 -26.

In Industrial Component division, Automotive sector Commercial Vehicles showed muted demand whereas it was better in the Passenger Vehicle Segment. Similarly, in Appliances Sector, Air –conditioning and Coolers Segments witnessed good growth though Washing Machine Segment witnessed subdued demand. The focus of initiatives of this division remained mainly to spread the sector and customer base for Business growth & mitigate the dependency risk on few large customers which is yielding positive results.

The Material Handling division Performance has been reasonably well in Industrial customers segment. With its efforts of reaching to new customers and constantly providing solutions with use of Plastics Pallets for warehousing and transit use, growth in in jection and roto moulded pallets was good.

The Composite Cylinder Division experienced a challenging year, with performance falling short of expectations. Business from Company’s major customer M/s Indian Oil Corporation Limited (IOCL) did not materialize to the expected levels. Discussions for new common designs are in advanced stage for the most popular 14.2 Kg standard size cylinder to be introduced by Oil Marketing Companies (OMCs) as they explore incorporating composite cylinders into their product portfolios. The Company has obtained certifi cations for high -pressure cylinders for CNG application making it the second company in India to offer Type IV high pressure cylinders. These efforts position the division for significant growth moving up the value chain.

In performance Films Division, the Company remained focused on Performance Based Product offerings emphasizing high barrier segment penetration. With a strong focus on end user needs, this division offers a customized product portfolio designed to meet dem anding application requirements.

The Protective Packaging Division is putting its continuous efforts to remain in the business growth path. The focus of the division continues to develop customized solutions keeping end requirements in mind. The division is also expanding its fabrication facilities in terms of capacities and geographical spread to cater to the increasing opportunities for ready -to-use solutions.

This is a brief and overall summary for the quarter and year ended under reference. Thank you, for your patience. Now, I and my colleague, Mr. P.C. Somani & Mr. R J Saboo, are available to reply to your various queries raised by all of you.

Moderator: Ladies and gentlemen, we will now begin the question and answer session. The first question comes from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Hi sir. Thank you for the opportunity. Sir couple of things to understand. For the entire FY25 whatever we started the year in terms of the volume growth guidance has kept on reducing and actually we delivered even much lower than what we discussed in the third quarter in the January. So just now trying to understand , how are now we looking at in terms of the revenue volume growth and particularly the plastic pipe volume growth and the margin front for this year FY26 ?

M.P. Taparia: Overall the value growth we anticipate turnover to rise around 12,000 crore s this year and plastic piping system we expect our business to grow 3 % to 4% more

than the country's growth.

Lastl year we grew 12 % over the country's growth. Country had a degrowth of 6 % and we grew by 6%. But this year we anticipate it will be a normal year. So country may grow by 7 % to 8% in plastic piping system business and our company expect s to grow 3 % to 4% over country's growth.

Shravan Shah: So, roughly around 10 % to 12 % kind of plastic pipe growth and the overall volume growth combined everything would be how much we are looking at?

P.C.Somani : Similar range.
Shravan Shah: Okay. 10 % to 12 % range that we are looking at and on the EBITDA margin front would be how much we are looking at for this year FY26?
M.P. Taparia: Between 14 .5% to 15 .5%.
Shravan Shah: Okay. Got it. Now this number whatever we are saying this also includes the Wavin number that we will be consolidating once it will be over maybe by Q1 or Q2. So this guidance number includes the Wavin number or this is without the Wavin number?
M.P. Taparia: We hope that Wavin will be in our position from July onwards. So hoping that everything concludes by end of June then we will have Wavin facility under our company for 9 months. And this includes for 9 months Wavin capacity also.
Shravan Shah: Okay. And then so now how we are looking in terms of any update on the anti -dumping duty and are we now seeing that the PVC prices are bottoming? Are we seeing any kind of improvement in terms of the channel level also? How the demand now are setting up?
M.P. Taparia: I can't forecast anything about anti -dumping duty. It is between DGTR and Ministry of Finance and the High Court and Supreme Court of the country. I can't talk anything. I don't know anything. But definitely PVC prices have dropped too much. It has become very uneconomical and we believe that it will come close to bottom or it might have gone to bottom. May rise also after some time.
Shravan Shah: Okay. Got it sir. Thank you and all the best.
Moderator: Thank you. The next question comes from Rahul Agarwal from Ikigai Asset Management . Please go ahead.
Rahul Agarwal: Sir, three questions, all on numbers. Firstly starting with other expenses. I think, seasonally this number has to be higher. The quarter saw about INR347 crores, which is lower both Q -o-Q and Y-o-Y. Which line item saw savings in cost?
P.C. Somani: Can you repeat the question?
Rahul Agarwal: Somani ji, other expenses at INR347 crores for the quarter appear to be very low. Seasonally this quarter should see higher other expenses. Any one off accounting has happened in this quarter sir?
P.C. Somani: No, no accounting. You see, other expenses, the major portion consists of freight and advertisement promotion.

M.P. Taparia: We control advertisement expenses because we are working for a set base , so we control advertisement expenses. On plastic piping system we controlled advertisement expenses in the last quarter.
Rahul Agarwal: Got it sir. Second question sir , on inventory loss. For the full year sir would you have a rough estimate how much was the inventory loss?
M.P. Taparia: It should not be less than INR150 crores.
Rahul Agarwal: And lastly the tax rate. It keeps on fluctuating every quarter. This quarter it was 20%. Any one off accounting there sir?
P.C. Somani : No, nothing specific that way. You see in the quarter where the dividend income is there, the tax rate will be lower because the dividend is exempt income in hands of Supreme. So you have to look at the company as a whole year.
Rahul Agarwal: Right. So full year sir it is about 22.4. Any guidance could you provide effective tax rate for consolidated entity for Supreme Industries next year fiscal '26?
P.C. Somani: Fiscal '26 is very difficult to predict that way. But nothing unusual. Now you see we ar

e now
getting the reversal of the deferred tax. Earlier we have created the deferred tax liabilities. To some extent it is helping because now the depreciation in the books and the extra income tax is getting reversed. So this year also there is a right back of the deferred tax liability.
Rahul Agarwal : That's all from my side. I will come back. I will get back in the queue for more questions. All the best for the New Year.
Moderator: The next question comes from the line of Praveen Sahay from Prabhudas Lilladher Capital .
Praveen Sahay: Sir, my question is related to the HDP pipe and fitting in which you had mentioned eight of your plants are manufacturing right now the HDP pipe and fitting. So if you can give some indication how much is the revenue contribution from there and which are the major uses applications you are currently working on?
M.P. Taparia: So many locations we are supplying to the trade market where we are secure that demand will be there. Definitely our pipe is one of the top quality pipes in the country and this is a very freight intensive product. Because the goods are sold in coil form starting from small diameter 20 millimete r to 90 millimete r. So freight is a very big component so that's why we put at more location. Volumes are small in each of the location.

Government department generally we cater from our Gadegaon Plant and Kharagpur Plant and Malanpur Plant where the demand was low this year because the government buying was quite poor. Nal Se Jal Scheme was not big business in last year.
Praveen Sahay: So any contribution on revenue sir?

M.P. Taparia: Trade demand was quite okay. Trade demand was no problem but trade is a small market for us, not a large market. It may be overall for the full year around 18,000 ton.
Praveen Sahay: Okay, fine sir. The next question is related to the protective packaging and where you had given around some 12% of volume growth with a 16% of value growth and ambition to reach a INR1000 -odd crore s of revenue. So how big currently that their revenue is and how much is the contribution in terms of volume in the entire packaging business?
P.C. Somani: Volume contribution largely comes from piping otherwise all are in the packaging only and if you look at the revenue numbers it could be INR850 crore plus.
Praveen Sahay: Okay, so currently it's INR850 odd crore s and you wanted to take it to a INR1000 -odd crore s revenue by next year in this protective packaging?
P.C. Somani: Yes, you are right.
Praveen Sahay: Okay, okay. I have some more questions. I'll come back in the queue.
Moderator: The next question comes from the line of Keshav Lahoti from HDFC Securities. Please go ahead.
Keshav Lahoti: Sir, as now we have, you know, first we want to understand more on the Wavin India acquisition side. What sort of volume we would be targeting in FY26 and '27? What sort of margin we should build in? What was the idea behind the acquisition? And more I want to understand the acquisition more from return ratio why Supreme deliver industry -leading kind of return ratios of 25%? What kind of ratio, normalized ratio, maybe 2 -3 years down the line this acquisition can deliver?
M.P. Taparia: Too many points. What you want to ask? I said too many points you are asking. So be clear what you want to know from us. Please tell us.
Keshav Lahoti: Sir, I want to know more from the intent of like Wavin India acquisition. What sort of growth the management have in their mind? And what was the idea behind that…
M.P. Taparia: Wavin has got capacity of 73,000 metric ton. Normally we use 70% capacity. So with 73,000 ton full year basis we may sell 51,000 ton volume annually with the capacity whatever they have installed. Apart from the volume what we are going to use from their capacity, now we have got exclusive access for Ind

ia and SAARC countries of all the technology which they have in Wavin portfolio and also the new technology whatever they develop also wi ll be available to our company.
And Wavin is a great company in building infrastructure business. They have several technologies in their portfolio and we are going to add some of them in our product profile going forward.
Keshav Lahoti: And what kind of EBITDA margin this Wavin can do?

M.P. Taparia: Currently whatever EBITDA margin we are getting the same will come because the present product portfolio is just like our company product portfolio.
Keshav Lahoti: Understood, got it. FY '27, its margin would be in line with the Supreme margin. Did I rightly hear that Wavin India , 2 plants are on lease. So what kind of lease is it? How big the lease is?
M.P. Taparia: Maybe around INR 50 million annually.
Keshav Lahoti: How many years?
P.C. Somani: So it is 7 to 9 years.
Moderator: The next question comes from the line of Pujan Shah from Molecule Ventures.
Pujan Shah : So my question pertains to OPVC. So we have procured OPVC equipment line from a domestic equipment supplier. So just wanted to know the feedback and do we plan to or intend to grow with the domestic equipment supplier or the Spain technology player?
M.P. Taparia: When we purchased the company, the plant from Molecor is a Spanish company and we purchased many more lines from the same company which is supplied from Europe. And we are very closely associated with that company and we have got further more lines and more lines are going to come next year also, for this ye ar also.
Some lines came last year, more lines will come this year. So we are buying the lines from the

Spanish company.
Pujan Shah : So what I wanted to understand is that we have been planning for 9 lines coming in 30 months due to supply constraints from the Molecor 's technology. So just wanted to understand, did they have expanded the capacity so that we are getting the equipment ahead of the desired timeline?
M.P. Taparia: And over a period up to 2028, so it is now 2025 only.
Pujan Shah : Didn't get you, sir.
M.P. Taparia: All the lines that we ordered were to come up to the year 2028.
M.P. Taparia: Lines will be coming and we will be installing and running them.
Pujan Shah : And sir, understanding the Wavin technology, so they also have capability in the OPVC. So are we having any plans in terms of scaling and leveraging their technology and trying to in tend to go into market via W avin?
M.P. Taparia: For larger diameters, we are entering with Molecor , we will stay with Molecor .
Pujan Shah : Okay, so more or less we will be with the Molecor , right? As of now?
P.C. Somani : Yes.

Moderator: The next question comes from the line of Neha Talreja from Nuvama Wealth .
Neha Talreja: Just two questions from my end. Firstly, going ahead with your capacity expansion, like you said that you are, you know, you're looking at a growth of about 11 %, 12%-odd, which includes outperforming industry. Just wanted to take a sense, why are we then adding capacity by 15 % to 18 %-odd? Like each year we are seeing capacity expansion close to about 15 % to 18 %-odd?
P.C. Somani: You see, capacity expansion takes time. And then this year the capacity expansion is increasing because of the Wavin acquisition. So the 70,000 tons will come automatically from the acquisition point of view. Otherwise, our brown filed expansions are not that heavy.
Neha Talreja: Sir, I got that. So in that case, we can assume that Wavin volumes sales will be over and above your capacity addition. I mean, in terms of whatever guidance you have given.
M.P. Taparia: In that guidance, Wavin capacity is included ?
Neha Talreja: So you're saying volume growth of 11 % to 12 -odd percent with Wavin acquisition versus your capacity addition in F Y '25 itself is 18 %. And again, you're planning around about 15 % capacity addition in F Y '26.
P.C.Somani : No, no. The addition of capacity addition in F Y '25-'26 is inclusive of Wavin addition. So from 8.7, when we are taking close to 1 million, that includes 70,000 ton capacity of Wavin also in the current year.
Neha Talreja: Understood, right, sir. But that is close to about 30 % plus if I put together both these years. And we are talking volume growth of 12 -odd percent. So that's what I was just trying to get the sense from ?
M.P. Taparia: Last year, we have grown by 6 %. And this year, we say we will grow 3 %, 4% more than the country growth. And country may grow between 8 % to 9%. So we may grow 12 %, 13%
Neha Talreja: Understood, sir. This was really helpful. So my second question was related to our margin guidance where we have said 14 % to 15 %. On the contrary, we have also said that, you know, Wavin comes with certain losses at this point of time. Of course, you will be converting into a profitable company equal to you. But that will happen gradually by F Y '27. Despite these scenarios, we are still aiming at 14 % to 15 % margin. So just wanted to take a sense from where are you expecting additional margin levers? What co uld be those levers?
M.P. Taparia: We anticipate 14.5 % to 15.5 % overall of the company. Not piping division alone. We have told you the operating margin of the company. INR12,000 crores turnover of the company around. And 14.5 % to 15.5 % operating margin. But that is all the product portfolio. Not only plastic pipe.
Neha Talreja: Understood, sir. But that was 14 % this odd year. And that was 15 % last year. That means we are not expecting any decline in terms of margin despite Wavin?
M.P. Taparia: The rental they are paying is only INR5 crore s. After all, it is not a big rental amount.

Neha Talreja: Okay, sir. Just lastly, if at all I may, with respect to Wavin itself, what kind of products, Orb Ia and Wavin, you know, will come into India and how much margin negative are those product versus our existing product profile of…
M.P. Taparia: They are classified information. We will not declare what are the new products we are going to

add from the technology. This is classified.
Moderator: Thank you. Thank you. The next question comes from the line of Kumar S aumya from Ambit Capital. Please go ahead.
Kumar Saumya : Good evening. Sir, my question is just that last quarter we had plans for two greenfield plants as well at Jammu and Bihar. So, are these plans, are we postponing these plans or are we sticking to it? Just that question. Thank you.
P.C.Somani : Yes, for the timing we have deferred the plans at Patna and Jammu.
M.P. Taparia: No, we are still awaiting the industrial policy. They were to announce the industrial incentive policy for putting industry in Bihar. That announcement has not come. We now are being advised that it may come close to election time. And Jammu, we are looking for a larger piece of land.
So, we got 10 acres of land purchased from the government privately. But we applied to the government for 21 acres of land. And we expect that the land from the government may be allotted to us.
So, if we are able to get access to a larger piece of land, then we would like to put a plant in a larger area, not a smaller area. So, we are waiting for both the places, policies written by government of respective states. So, for that we have to wait.
Moderator: The next question comes from the line of Aditi from CD Equi search P rivate Limited . Please go ahead.
Aditi: So, my question is, like despite the increase in affordability of piping products, why has volume not picked up?
P.C.Somani : because of the falling prices continuously for last 8 months

, the market sentiments were very negative.
M.P. Taparia: Last year the price was falling. It fell by INR22 a kilo between 2nd of July to March end. The price was dropping. So, there was huge de-stocking taking place throughout the chain at each seller, semi -wholesaler, wholesaler.
Moderator: Thank you. The next question comes from the line of Sonali from Jefferies. Please go ahead.
Sonali : Sir, this is Sonali. Thank you for the opportunity. Sir, I have two questions. Firstly, could you quantify the inventory loss because of the PVC fall this quarter in Q4 and the full year FY '25, please?

M.P. Taparia: We can tell on a full year basis, we believe that the company might have lost INR150 crores in the Piping division due to the fall in PVC prices. And there was a fall in polythene pipe price also. So, across the board, all the polymer prices have gone down. And we are using PVC, polyethylene, we are using CPVC, we are using PP, four raw materials. And there was a reverse trend in each of the polymers. So, combined, we believe that we might have lost INR150 crores of inventory loss.
Sonali: Understood. Sir, my second question is, any color you could shed on CPVC volume and value growth for either Q4 or full year FY '25 as a whole?
M.P. Taparia: CPVC business, we are at 21% volume growth.
Sonali: This quarter or full year?
M.P. Taparia: Full year.
Sonali: Okay. That's good to know, sir. Sir, and lastly, Jal Jeevan, our drinking water mission, how much does it contribute to your top line overall from a full year perspective? I do remember you mentioned some 18,000 metric tons. Is that for Jal Jeevan that you mentioned?
M.P. Taparia: 18,000 MT in trade market. Jal Jeevan business had a very, very slow spending last year. Mostly we were supplying to Maharashtra government and Maharashtra government stopped placing any order. So, we had a very small business in Jal Jeevan last year.
Sonali: So, to the overall sales, is it fair to assume it contributes less than 5%?
M.P. Taparia: Yes, less than 5%. It's a very small business. We are not a big player in infrastructure anyway.
Sonali: Understood. Sir, and just one last question. How is the uptake in agri and residential so far in this quarter?
M.P. Taparia: Already we did growth in the quarter. By 2%, 1 %-2%.
P.C.Somani : Yes. So, in spite of infra not being there, we had a growth of 2%. So, it means agri and housing were doing quite good.
Moderator: Thank you. The next question comes from the line of Navid Virani from Bastion Research . Please go ahead.
Navid Virani: Hi, sir. Good evening. Thank you for the opportunity. I have two -three questions regarding the acquisition that we announc ed for Wavin. So, firstly, can you help us understand what kind of white spaces in terms of technology or product are we being able to fill with this acquisition?
P.C.Somani : Wavin India business is similar to business what we have. But their parent company is very large

and they have the technological developments.
M.P. Taparia: We will be having access to the technology what they have developed now. There are many technologies in their portfolio which we would like to develop in Indian market.

Navid Virani: Okay. And can you just give the sense on the kind of opportunity size these technologies put together will have? If you have any sense on that.
M.P. Taparia: Technology definitely will give us some new application. We will be able to offer a better solution for many re quirements in our country with W avin technology.
Navid Virani: Okay. Okay. And one more question is on. Now, once we acquire Wavin, what will happen to the brand? Is the brand going to get substantial?
M.P. Taparia: Whatever product we will develop on the technology will be

pri nting made with W avin
Technology. Otherwise, goods will be sold with Supreme brand.
Navid Virani: Okay. And sir, what will be the final cash outflow for the acquisition?
M.P. Taparia: We need to pay them $30 million dollar and plus whatever working capital they have .
Navid Virani: What will be that figure total into ?
M.P. Taparia: $30 million dollar
Navid Virani: Got it, sir. Thank you. Thank you.
Moderator: The next question comes from the line of Rajat Sethia from iThought PMS. Please go ahead.
Rajat Sethia : Hi. Thanks for the opportunity. Sir, my question is about the OPVC pipes. So, we are also hearing that a lot of Chinese and Indian companies are entering. I wanted to ask you, are those companies successful in terms of launching their OPVC pipes?
M.P. Taparia: We are not aware any of the persons are making goods which can meet our specifications. We are sharing with our suppliers.
Rajat Sethia : Okay. We will only stick to Molecor nobody else.
M.P. Taparia: As on today yes.
Rajat Sethia : And, sir, in terms of, given, I mean, our channel check suggests that there are a couple of companies which are entering. But what we don't understand right now is that, is there any criteria as per the state government tenders and all that, that will restrict any subpar quality player or anybody can just…
M.P. Taparia: How can I tell you about the government policy? We made a product which is very much to the specification what is required by the very department. We are offering them a solution which is either equal or better than DI pipe what they are using.
Rajat Sethia : And, sir, finally, has the demand picked up again in the OPVC side
M.P. Taparia: As on today we are a very small player, small capacity, and we are able to market by and large. We have very small capacity today.

Rajat Sethia : Yes, sir. Right. Right. So, overall demand, I mean, the industry -level trends and all, are they picking up?
M.P. Taparia: I don't know. Our company, we are able to sell our goods.
Rajat Sethia : Understood, sir. So, thank you so much.
Moderator: Thank you. The next question c omes from the line of Utkarsh No pany from BOB Capital Markets Limited. Please go ahead.
Utkarsh Nopany: Yes. Hi. Good evening, sir. So, my first question is on, you know, revenue growth guidance part. So, if we exclude the revenue contribution of Wavin acquisition, so in our sense, like it is currently generating close to around INR650 crores annual revenue, then we are just targeting the revenue growth of only 8 % to 10% for FY26. So, I wanted to know why we are expecting such a muted revenue growth, despite steep increase in our organic annual capex run rate from INR500 crore s in FY24 to arou nd INR1,000 to INR1,100 crore s in FY25 and 26?
P.C.Somani : You see, our revenue for the year was INR10,400 crore s, which we are targeting to around INR12,000 crore for the FY26. And so far Wavin is concerned, their revenue for piping business I am talking was close to INR500 crore s. And when we acquire Wavin, say in July, we will have only 9 months at the most for operating period. So, we cannot take the annual revenue what they used to have because we will not be having full year this year.
Utkarsh Nopany: Okay. And sir, how much Wavin generated revenue in FY25?
M.P. Taparia: FY25, then they are running the business. We are not. They do business on calendar year basis.

P.C.Somani : That's why I am saying, when I am saying 24, that is December 24. Jan -December 24.
Utkarsh Nopany: Okay. And sir, like for the industrial segment, can you provide the rationale why we are seeing a decline in our industrial sales volume for the past three consecutive quarters?
P.C.Somani : You see, in earlier years, there was a non -recurring business of electronic voting machine. Due to various elections in the state

s and the central, there was a large quantity or the volume was supplied for the electronic voting machine, which is missing in the current year.
Utkarsh Nopany: Okay. And sir, lastly, sir, can you please provide the non -pipe segment capacity breakup also for March 25 and how much we are expecting at the end of March 26? That is for in dustrial consumer and packaging?
P.C.Somani : Yes. March 25, although we have given our presentation, but still, for the sake of your… I will give you the breakup of capacity. As of March 25, piping segment has a capacity of 872,000 metric tons. Industrial products, 91,000 metric tons. Packaging product, 101,000 metric tons. And consumer product, 27,000 metric tons. All put together, 10,91,000.
Utkarsh Nopany: And sir, how much we are expecting in March 26 for non -pipe segment?

P.C.Somani : By segment. You see, piping, we are targeting 1 million tons. Other segments, Window profile may come in 5,000 tons. Other segments, very minimal capacity expansion . So, the major capacity will come in plastic piping only and the window profile of 5,000 metric tons.
Utkarsh Nopany: Okay. Thanks a lot, sir.
Moderator: Thank you. The next question comes from the line of Rudraksh Raheja from iThought PMS. Please go ahead.
Rudraksh Raheja: Yes. Thanks for the opportunity. With regards to OPVC pipes, how is the demand for new tenders?
M.P. Taparia: I repeat again, we are a very small player and whatever we are producing, we are selling.
Rudraksh Raheja: Sure, sir. And sir, any idea how many states today accept OPVC in their tenders? And are there more states that are adopting OPVC?
M.P. Taparia: We are registered, I think, more than 12 states already. And as I said, because the capacity, we don't have much capacity, so we are going slow also. Because 12 states also are quite a large number for our capacity.
Rudraksh Raheja: Understood, sir. And sir, how is this an opportunity?
M.P. Taparia: This will be approved by all the states. There is nothing great about it. All the states would like to buy OPVC pipes for small diameters. It is much more economical than DI pipes.
Rudraksh Raheja: Yes, okay. And sir, regarding the opportunity size, do you see OPVC taking away 30 %-40% market share of DI pipes market?
M.P. Taparia: In a small way. DI is a big market now. Major market is a large diameter. OPVC is selling mostly up to 400 mm. DI pipe is used up to 1.2 m, 800 mm. There is a large size and large volume. DI is a very different size combination. Major share of DI is in large diameter.
Rudraksh Raheja: Got it, sir. And sir, is there enough supply of OPVC lines to meet the e xpected demand in the industry?
M.P. Taparia : Must be. We are not a big player .
Rudraksh Raheja: Thank you, sir.
Moderator: Thank you. The next question comes from the line of Akash from UTI Mutual Fund . Please go ahead.
Akash: Sir, all my questions are answered. Thank you.
Moderator: Thank you. The next question comes from the line of Manish Ostwal from Nirmal Bang Securities Private Limited . Please go ahead.

Manish Ostwal: Yes, sir. I have only one question on the composite cylinder division. We mentioned in the press release that this year was challenging and the performance was below expectation. How do you see the business to perform in F '26? And what is the update on this order from the IOC side? When can we expect this order to come?
P.C.Somani : Two or three things for the current year. One is BPCL has also placed a tender for 4 lakh pieces. So apart from IOC, BPCL is also now coming to market for procuring these composite cylinders. That is a good initiative for our purposes. IOC is now planning to plot a tender for about 1 million pieces. This is what we learnt from our interaction

s.
And all the oil marketing companies are working for a common size of 14.2 kg cylinder. So if all those things get materialized, then definitely it will be a good sign and good year for the division.
Manish Ostwal: So over the medium term, what size of opportunity is the market we can see for Supreme Industries? What is the size of opportunity here?
P.C.Somani : Right now we have a capacity of only 1 million cylinder. And we don't have any plan to expand as of now. First unless we utilize it appropriately, we are not looking for any expansion.
Manish Ostwal: What is the utilization right now?
P.C.Somani : Right now it is hardly 50%.
Manish Ostwal: Okay, sir. Thank you.
Moderator: Thank you. The next question comes from the line of Vipulkumar Shah from Sumangal Investment . Please go ahead.
Vipulkumar Shah : My question also relates to composite cylinder. So you have mentioned that performance falling short of expectation. Is it the technical operational performance or you are just mentioning here business performance?
P.C.Somani : It is business performance. Nothing about technical. Everything is well established, well appreciated …
M.P. Taparia : It is a far superior product.
Vipulkumar Shah : Okay, far superior product.
M.P. Taparia : Yes. Because there is no possibility of anybody dying. If there is a blast, it will burn out. There is no possibility of any death. Every year several people die due to the blast in cylinder. In composite cylinder there is no blast. It will only burn out. It is not a blast.
Vipulkumar Shah : So why we are not able to scale this business although we have a far superior product?
M.P. Taparia : Ask OMC, Oil Marketing Company. They have to decide.

Vipulkumar Shah : Okay. So our cylinders are pricier, means cost -wise they are much costlier, means how we compare cost -wise…
M.P. Taparia : They are saving life. What is c ostly? When we say our cylinders save life, then is it costly.
Vipulkumar Shah : Okay, sir. Thank you.
Moderator: Thank you. The next question comes from the line of Swati Jhunjhunwala from JM Financial PMS . Please go ahead.
Swati Jhunjhunwala: Sir, my question is largely broad -based. So pipe industry in general has been facing headwinds in the last few quarters , because of the PVC prices. So looking ahead, are you seeing demand coming up or are you seeing that PVC prices will now normalize or go back up? Or are you seeing whether Maharashtra will come up with new tenders for Jal Jeevan?
M.P. Taparia: About the Government Policy of tender calling or not calling, but we know very certain. There was huge destocking took place last year. So the restocking will take place . So this year is going to be good year for Plastic Piping system business growth.
Swati Jhunjhunwala: Right. Do you see that happening anytime soon, the restocking that you anticipated?
M.P. Taparia: We are seeing today al so. We are seeing good demand coming this month also.
Swati Jhunjhunwala: Okay. Got it. And any update on Jal Jeevan ? I mean, have you seen any pickup yet in any other states, if not Maharashtra? Even if you don't operate there, is there any pickup that you see till now?
M.P. Taparia: Government announced budget proposal three times than what they spent last year. Central Government made a provision of INR67,000 crore s for Jal Jeevan . Last year they spent INR22,000 crore s. We are not a very active player in this business. We are a small player. So Maharashtra , we know that they have not still announce d buying piping system for Jal Jeevan . In Maharashtra they have not still started.
Swati Jhunjhunwala: Got it. Alright. Thank you.
Moderator: Thank you. The next question comes from the line of Pujan Shah from Molecule Ventures . Please go ahead.
Pujan Shah: Sir, thanks for the follow -up. Just wanted to understand that

as per the government direction, we are planning to complete JGM by 2028. Right? And we are expanding our OPVC lines in 2028. So what we are envisioning? So we have been planning to open up into new industry segment , which would help to consume that OPVC. So how we have been looking at after 2028?
M.P. Taparia: DI pipe are used for many other applications for irrigation and sewerage pipes. There are many other applications apart from Jal Jeevan . Jal Jeevan started only last 3 , 4 years before. DI pipe is running for many years already. DI pipe is required by so many municipalities also for replacing the old pipes. They have a limited life.

Pujan Shah: Right, right. But sir, ultimately all the demand which has been for the OPVC right now is from JGM?
M.P. Taparia: I am not aware. You know better than me. We don't know. It is coming only from Jal Jeevan . We are not told like tha t by anybody. We are not aware.
Pujan Shah: Got it, sir. And sir, just wanted to clarify on the expansion of lines will be on till 2028. So why we are procuring? Is it due to the slowdown which has been affecting us to get the lines earlier? Or it is just our strategy to get it?
M.P. Taparia: Their capability to produce machines. That capability is limited how many machin es they can produce every year.
Pujan Shah: Okay. So that is the challenge we have been facing ?
M.P. Taparia: Not challenge.
M.P. Taparia: After all, we have to put the machine based on the growth what I can perceive for my company. I don't want to give this money and then keep this as idle.
Pujan Shah: Right, right . Got it. Thank you so much for the opportunity.
Moderator: Thank you. The next question comes from the line of Samyak Jain from Marcellus Investment Managers . Please go ahead.
Samyak Jain: Just one question. So what would be the CPVC mix in our overall pi ping business for this fiscal F '25?
M.P. Taparia: This is classified information.
Samyak Jain: All right, sir. Thank you. That's it from my side.
Moderator: Thank you. The next question comes from the line of Keshav Lahoti from HDFC Securities . Please go ahead.
Keshav Lahoti: Sir, I just wanted to get a sense. So in TV interview today, you mentioned something like 12% volume growth . How should we read it?
M.P.Taparia : The country had a minus de -growth of 6% and we have grown 6%. So we are 12% better than the country. The country had 6% de -growth in Plastic Piping System by volume last year. And our company grew 6% by volume last year. So based on the country growth, we have grown 12% better than country growth. This is what I told in the TV.
Keshav Lahoti: Okay, sir. You have mentioned something on April sales. How has been the April, you know, demand growing?
M.P. Taparia: April still has –8, 9 days to go still. Too early to talk about April. Let the month close down. Too fast, sir.

Moderator: Thank you. The next question comes from the line of Mudit from M3 Investments.
Mudit: I just want to know about the anti -dumping duty status. There was a notification and then it was paused. So where is it at the moment on PVC?
M.P. Taparia: No, the notification is still to come. The DGTR has to issue the final finding. Their provision finding only came and their final finding is still not come. So we are waiting when the DGTR announce the final finding. Before final finding, nothing is going to happen. So we are waiting.
Mudit: Right. And was there a resistance from CPVC manufacturer in India that they have put a case that - that would…
M.P. Taparia: You ask a question to the raw material producer.
Mudit: No, sir. Thanks for the time.
Moderator: The next question comes from the line of Manish Mahawar from Antique Stock Broking.
Manish Mahawar: Yes, sir. Jus

t two questions. One in terms of industry. When you said industry you declined minus 6 last year and we have grown 6%. What were the industry size total in terms of tonnage?
M.P. Taparia: The total tonnage in industry?
Manish Mahawar: Yes, sir. Industry size?
M.P. Taparia: Plastic price share last year was 4.29 million tons.
Manish Mahawar: 4.29. And you are expecting it will grow by 7% to 8% this year. Right, sir?
M.P. Taparia: This is normal. If the year remains normal, normally it should grow slightly better than the country's GDP growth. The most pessimistic estimate received up till now is 6.2% GDP growth in the current year. This is forecast given by so many experts. So we b elieve if the country grows by 6.2%, the Plastic Pipe business volume should grow better than country's GDP growth. This is our experience of previous years. So it should grow by 7%, 8%, something better than the

GDP growth.
Manish Mahawar: Understood, sir. And, sir, in terms of this 4.29 million metric ton what you said in the piping,
M.P. Taparia: 4.29 million ton Plastic Piping System .
Manish Mahawar: Okay, understood. And, sir, secondly, in terms of one of the comments you made consistently, there is a 14 or 15 times price has declined for PVC. And that led to a de -stocking in the channel. can you give some sense how the channel inventory at the moment versus the normal?
M.P. Taparia: Channel is a huge channel. But we believe that because such a large de -stocking, they have to come back to proper stocking this year for sure. This is normal business cycle.
Moderator: The next question comes from the line of Shravan Shah from Dolat Capital.

Shravan Shah: Sir, just trying to understand the math. When we say that the industry plastic pipe will grow at 7%, 8% and we will do a 3%, 4% higher. So let's say a 12% on the higher side. So last year, FY '25 volume is 5,31,000. If I do a 12% would comes at around 63,7 00. And in that, Wavin, if I consider 70% utilization for 9 months it comes at around 38,000. So on the core front, we would be growing by 25,000 tons which is a kind of a less than a 5%, 4.8%, which is lower than the 6% of the FY '25. So ju st trying to understand where am I missing?
M.P. Taparia: You are talking so many numbers, dear friend. Too many numbers. We are talking company growth. Wavin is a very small capacity. You can see our capacity. Our capacity already is at 8,75,000 tons. Wavin can be 73,000 tons. 73,000 in 9 months, they cannot produce more than 55,000 tons. Normally, you can run only 65% capacity. So which means, what is this? It may be only 36,000 tons of Wavin. But we are talking volume. We are talking base d on our company capacity, which is already 8.75 lakh tons o f making PVC Plastic Pipe System.
M.P. Taparia: Out of 600,000, 25,000, 30,000 will be Wavin.
P.C. Somani: This is what he is trying to...
M.P. Taparia: If Wavin is not there also, still I can achieve 600,000.
Shravan Shah: So, sir, that's what only I wanted to understand. If the Wavin is not there, as you are saying, then you can achieve a 6 lakh kind of volume. So, so with Wavin it should be 6,35,000, 6,40,000.
M.P. Taparia: Yes. It may be…
Shravan Shah: Yes. So, then the growth number would be much higher. So, that's the only thing I wanted to understand. That the…
M.P. Taparia: It may be 13%, 14%. It depends on how the market demand comes. We are equipped. We can meet the demand of the market.
Moderator: Thank you. As there are no further questions, I would now hand the conference over to the management for their closing comments.
M.P. Taparia: Thank you very much. We are very thankful to all the investors and the analysts who raised their very intelligent questions. We thank all of them for their time and the questions raised by them. We thank you. Thank you all of them. Thank you very much.

P.C. Somani: Thank you, team DAM. Thank you.
M.P. Taparia: Thank you.
Moderator: On behalf of DAM Capital Advisors, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jul 2025

SH/13/2025
30th July, 2025
National Stock Exchange of India Ltd.,
Exchange Plaza, 5th floor,
Plot No. C/1, G. Block,
Bandra-Kurla Complex,
Sandra (East),
MUMBAI -400051 SSE Limited.,
Market-Operations Dept.
1st floor, New Trading Ring,
Rotunda Bldg. P.J.Towers,
Dalal Street, Fort,
MUMBAI 400023
Sub.: Transcript of the earnings conference call held on Thursday, the 24th July, 2025.
Ref.: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations , 2015
Sirs
Pursuant to Regulations 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations , 2015, enclose is the transcript of the earnings conference call held for analysts and investors following the announcement of the Un-Audited Financial Results for the Quarter ended 30th June 2025 after the Board Meeting held on Thursday , 24th July, 2025.
Please take the same on records
Thanking you,
Yours faithfully,
For The Supreme Industries Ltd.
(R.J. aboo)
VP (Corporate Affairs) &
Company Secretary
Encl.: a/a.
The Supreme Industries Limited
Regd. Office: 612, Raheja Chambers , Nariman Point, Mumbai 400021, INDIA.
CIN: L35920M H1942PLC003554 PAN: AAACT1344F +91-022-6257 0000 I 6257 0025
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"The Supreme Industries Limited Q1 FY '26 Earnings
Conference Call"

July 2 4, 2025

MANAGEMENT : MR. M. P. TAPARIA – MANAGING DIRECTOR , THE SUPREME INDUSTRIES LIMITED
SHRI P. C. SOMANI – CHIEF FINANCIAL OFFICER , THE SUPREME INDUSTRIES LIMITED
SHRI R. J. SABOO – VICE PRESIDENT (CORPORATE AFFAIRS) & COMPANY SECRETARY , THE SUPREME INDUSTRIES LIMITED
MODERATOR : MR. AASIM BHARDE – DAM CAPITAL ADVISORS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Q1 FY '26 The Supreme Industries Earnings Conference Call, hosted by DAM Capital Advisors Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing "*" then "0" on your touchtone phone.
Please note that this conference is being recorded.
I now hand the conference over to Aasim Bharde from DAM Capital Advisors Limited . Thank you and over to you, sir
Aasim Bharde : Yes. Hi. Good evening to everyone, who has dialed in for Supreme Industries Q1 FY '26 Earnings Call. As usual, we have with us the senior leadership team who will discuss and talk about the quarter gone by . And after this, we can open it for all for questions.
Thank you and over to you, Mr. Taparia .
M. P. Taparia : Good evening. Thank you, Mr. Aasim Bharde . Thank you very much. I am M. P. Taparia – Managing Director of The Supreme Industries L imited . I, along with my colleague , Shri P. C. Somani – Chief Financial Officer , and Shri R. J. Saboo – Vice President (Corporate Affairs) and Company Secretary , welcome all the participants who are participating in the discussion of the Unaudited Standalone and Consolidated Financial Results for the quarter ended 30th June 2025.
The standalone results and the consolidated results are already with you. I will give brief on Company 's product operating performance and other highlights.
1. The Company sold 1,83,793 tons of plastic goods and achieved net product turnover of Rs. 2,579 crores during 1st Quarter of the current year against sales of 1,73,835 tons and net product turnover of Rs. 2,612 crores in the corresponding quarter of previous year achieving volume growth of around 6% and product value degrowth of about 1%.
2. The Consolidated operating profit and profit after tax during the period under review amounted to Rs. 344 crores and Rs. 202 crores as compared to Rs. 425 crores and Rs. 273 crores during corresponding quarter of previous year, resulting in a decrease of 19% and 26% respectively.
3. The business scenario of all the product segments of the Company for the quarter ended 30th June 2025 as compared to corresponding quarter of the previous year has been as under :
- Plastic Piping System business grew by 6% in volume and de -grew by 4% in value term.
- Packaging Product segment grew by 10% in volume and 9% in value term s. Industrial Product s segment business de -grew by 2% in both volume and value term. Consumer Product segment business grew 5% in volume and 1% in value term.
4. The overall turnover of value -added product increased to Rs. 933 crores during the current quarter as compared to Rs. 925 crores in the corresponding quarter of previous year.

5. Business Outlook :
Polymer prices remain in affordable range at lower level. PVC prices remain in downward range. This augurs well for growth in the business going forward this year and beyond. In the 1st Quarter , plastic piping business was affected due to 20 days early break of monsoon. This resulted in agricultural piping system business. Due to fall in prices in the quarter, also , there were inventory loss affecting profitability in the quarter.
Country is witnessing good rainfall in most of the parts , which augurs well for the economy. Going forward, the Company expects good demand for housing and agriculture. The inflation is also coming down. With government commitment to boost infrastructure spend, Company believes demand for that sector should also get revived. The Company remains positive of envisaged volume growth with increase in value -added produ

ct s turnover , both for the Plastic Piping Division , and for the Company during current financial year.
The Company entered into Business Transfer Agreement ("BTA") with Wavin Industries Limited and its two wholly owned subsidiary companies , that is, Wavin India Pipes and Fittings Manufacturing Private Limited and Wavin India Holdings P rivate Limited, (collectively referred to as "Wavin"). The acquisition as a going concern on a slump sale basis, is likely to be completed by 31st July 2025, subject to fulfilment of terms and conditions precedent provided for in respective BTAs as mutually agreed between the parties. The aggregate consideration for the entire transaction including for net -working capital is about Rs. 310 crores . Net working capital is subject to final adjustment as on closing date.
The Company is also entering into Master Technology License Agreement with Wavin B.V.

Netherlands, an Orbia group Company , to access on exclusive basis for India and other SAARC Countries, all its existing technologies and other new technologies to be developed during the period of seven years, pertaining to Plastic Piping systems for Building and Infrastructure segment. The same shall be effective from 1st August 2025.

Going forward this acquisition and licensing arrangement would take the business of the Plastic Piping Division to a new scale in terms of capacities, market reach and product offerings.

Capacity expansions at various locations for Plastic Piping business and Protective packaging products are progressing smoothly. Company has planned to set up a new unit for material handling products at its newly acquired land at Malanpur (M.P.) in Gwalior to expand its footprint in central India. Work for the same shall be taken up in hand shortly.

All the equipment for PP silent pipe system in technical collaboration with M/s. Poloplast Gmbh of Austria have been installed , and trial production is underway. Commercial production is likely to commence next month.

The Company has successfully executed its first order for polyethylene pipe for gas application. Company also has the Prestigious DVGW Certification for the Electrofusion (EF) Fittings from Germany for the use in carrying Water and Gas. This gives the Company credential to get

qualified to participate in tenders for GAS Pipe and Electrofusion Fittings supply. With these products and certifications, Supreme is the only Company eligible to produce and supply both Pipes and Fittings for carrying gas carrying . The Company continues to invest and enlarge the product basket in all its divisions and to remain focused on increasing the range of value -added products.

Construction work at site for Profile window project is at an advanced stage of completion. Equipment's have started to arrive at the site. The Company expects to commence trial production during second quarter of the current year. Initial focus of the Company is to launch the products in U.P. , Uttarakhand and NCR region , and thereafter , the Company would plan for more geographical reach within India with setting up of fabrication facilities in other parts of the country.

The Company expects cash outflow of about Rs. 1 ,350 crores towards existing capital commitments, acquisition of Wavin business and new commitments during the year. Entire CAPEX shall be funded from internal accruals.

All other product divisions are faring well and Company envisage moderate growth during the year. The protective packaging product division is specifically driving its growth plan by increasing its product range and offerings for customized solutions. The same is yielding positive results and paving the way for achieving double digit volume growth and revenue target to exceed Rs. 1,000 crores for the year from Rs. 855 crores in the previous year.

The

Company has received a Letter of Acceptance (LOA) for supply of 2 lakhs number s of 10 kg composite LPG cylinders to Bharat Petroleum Corporation limited (BPCL) and has also received a repeat order of 2,31,000 of composite LPG cylinders from Indian Oil Corporation Limited (IOCL) , which will enable the Company to improve utilization of expanded capacity of its composite cylinder division to a reasonable level.

This is a brief and overall summary for the quarter ended under reference. Thank you for your patience.

Now I and my colleague , Shri P. C. Somani ; and Shri R. J. Saboo are available to reply to various queries raised by all of you. Thank you very much.

Moderator : Thank you very much. W e will now begin the question -and-answer session. The first question is from the line of Shravan Shah from Dolat Capital . Please go ahead.

Shravan Shah : Thank you sir. Sir, the first question is on the volume front. So, sir, i n the AGM, we say for two months, April and May, piping volume has grown by 11 -odd percent . But now , the volume number is just 6 -odd percent. That means in June, we have kind of a degrowth by close to 3.74 -odd percent. So I wanted to understand two aspects , first is, for this quarter at an industry level, how do you see what kind of growth was there? And in terms of our guidance, last time we have

talked about 10 % to 12 %-kind of piping and overall volume growth. So, what is the new revised guidance?

M. P. Taparia : In June, the business of plastic pipe was affected due to a big monsoon. June was a month of monsoon , the month for agriculture pipe business and it was washed out. But for the whole year, as now we are going to start using the Wavin from 1st August. So, as we are going to acquire Wavin let us say from 1st of August this year . Now we have revised our guideline upward , we

anticipate that our plastic piping business volume will grow between 15 % to 17 % percent this year, though it has grown 6 % in 1st Quarter .
Shravan Shah : And for overall volume growth, how do we see for full year?
M. P. Taparia : Overall volume?
P. C. Somani: For the Company as a whole?
Shravan Shah : Yes. Yes, all the segments put together.
P. C. Somani : Yes, between 14 % to 15 % should be.
Shravan Shah : So, here sir, just wanted to clarify for Wavin, last time we said that we are looking at close to 51,000 kind of volume . So, that number remains intact. So, if that is the case.
M. P. Taparia : And now we will be having operation only for 8 months. Wavin is having install ed capacity of 71,000 Tons per annum.
Shravan Shah : Yes, sir, so how much volume from Wavin are we looking at?
M. P. Taparia : We hope that in 8 months we may get 30,000 Tons .
Shravan Shah : Okay. So, then why on what basis are we so confident that in the remaining nine-month period, the volume will pick up significantly given that the ADD has still not came and BIS has been postponed to December?
M. P. Taparia : Yes, that is not the issue. Last year, the price was high. They were destocking at a very severe level. Now, because the price s are at manageable level and it is now fortunately going down , the entire pipeline is empty. We are very confident.
Shravan Shah : Okay. So, broadly, we are now looking at kind of 18 % - 20% kind of a growth for nine months to achieve a 14 % - 15% kind of a growth ?
M. P. Taparia : I say the number is 15% to 17 %, you can calculate for the remaining nine months. You can calculate yourself.

Shravan Shah : Got it. And second on the margin front. So, this quarter obviously was on the lower side close to 12 % EBITDA margin.
M. P. Taparia : Overall, we anticipate the margin of your Company will be around 14.5 % to 15.5 %.
Shravan Shah : Okay. Got it. And then what was the inventory loss in th

e Q1, sir?
M. P. Taparia : Very difficult to quantify. Okay.
Shravan Shah : Okay. Got it. That is it from my side and all the best.
Moderator : Thank you. The next question is from the line of Praveen Sahay of PL Capital . Please go ahead.
Praveen Sahay : Yes. Hi, sir. Thank you for the opportunity. So, first question is related to the Company expecting a cash outflow of Rs. 1,350-odd crores . And I suppose it is a Rs. 310 crores of Wavin also included in that. So, how much of the capacity expansions in the different vertical you are expecting with Rs. 1,000-odd crores of this CAPEX in this year?
M. P. Taparia : Major expansion will be coming in plastic piping division. Plastic piping division will reach 1 million tons by March 2026. And a new capacity of 5000 ton of window making will also come. We are expanding capacity in material handling division and protective packaging division . But major expansion will be plastic piping division.
Praveen Sahay : And what level of plastic pipe capacity do we have right now?
P. C. Somani : Our capacity at the beginning of the year was 870,000.
Praveen Sahay : Yes. So, in the quarter, we have not added anything, right?
P. C. Somani : No. Nothing much.
M. P. Taparia : No, not much. Something is going on. I think every month actually. We told you end of the year in March 2026.
Praveen Sahay : Got it, sir.
M. P. Taparia : We will go 1 million tons.
Praveen Sahay : Got it, sir. S ir, second question is related to your commentary on the first order of a PE pipe for a gas application. Can you quantify how is the size and also the opportunity for the rest of the year?
M. P. Taparia : Now we are qualified. So, now we will be eligible to participate in a tender because we have been successfully participated. The market of gas pipes in the next 7 years is around 700,000 tons. And we are participating as of today only from Gadegaon plant in western India. So, we will be now examining whether to put up in other location also. So, very difficult to give you

any idea how much we will get. But we are happy to inform that we have successfully participated to supply pipe and fitting from one source in Indian market. Then we supply pipe and also electrofusion fitting for gas use.
Praveen Sahay : Okay. Got it, sir. Just a clarification , what you said of 14.5 % to 15.5 % EBITDA margin, that is

for a full Company level or that is you expecting for a plastic pipe?
M. P. Taparia : Full Company .
Praveen Sahay : Thank you, sir and all the best.
Moderator : Thank you. The next question is from the line of Sneha Talreja from Nuvama Wealth Management . Please go ahead.
Sneha Talreja : Good evening, sir. And thanks a lot for the opportunity. Just couple of questions from my end. You have mentioned that there was an inventory loss in this particular quarter. Can we quantify the same?
M. P. Taparia : Very difficult to quantify. As you have seen the margin has eroded , mostly due to the inventory loss in our stock of finished goods of pipe , and also , in the raw material what we have committed . The world market price has fallen. So, we lost money. But now we can quantify. Now we can quantify maybe Rs. 50 crores - Rs. 60 crores.
Sneha Talreja : Rs. 50 crores - Rs. 60 crores in this particular quarter.
M. P. Taparia : Okay.
Sneha Talreja : Understood. Now, sir, secondly on the margins front or with Wavin coming in, would we understand the margin trajectory for us? Are Wavin margins will be similar to us? Will it be better because of the product mix or because of their operating overhead being on the hig her side, it will be lower in the initial time ? Some sense.
M. P. Taparia : Currently, the assets what Wavin are able to produce are similar to what we are producing. When we take any new technology, at that time , we announce to all our partners that this

is new product
group we are adding based on Wavin technology. That benefit may occur properly only from the beginning of next year. As on today, the assets what we purchase are making products similar to what we are already making. It only increases the volume.
Sneha Talreja : Understood, sir. But on the margin guidance front, I think you have maintained your margins from 14.5% to 15.5%, while I understand the upgrade in the volume guidance is because of Wavin. Your margin improvement from the current levels will be because of discontinuation of inventory loss or any other reasons to add?
M. P. Taparia : Margin, we told you 14.5% to 15.5% for the Company .

Sneha Talreja : And we expect that improvement coming in from which all areas because currently the margins are much lower.
M. P. Taparia : In the pipe division , we lost money due to inventory loss. It also will be improving and we are increasing our business of value added products . And last year in the 1st Quarter , we sold Rs. 933 crores . It is a very marginal growth of only 1% compared to previous year's 1st Quarter . So, in the remaining nine months, we expect to sell more value added product also. So, overall, we believe that we will be earning between 14.5 % to 15.5% this year for the Company .
Sneha Talreja : Understood, sir. And lastly, in case I may, any clarity on the Anti-Dumping Duty levy? Recently, there was a document stating that it is got extended till September 2025 , any chance that would be helpful for us?
M. P. Taparia : The government , Directorate General of Trade Remedies announced a disclosure notice that this is the quantum of injury that each foreign exporters have caused to the Indian industry. Now, thereafter, the final Anti-Dumping Duty recommendation is going to be announced by the Directorate General of Trade Remedies . Thereafter, after the announcement, the Ministry of Finance will examine and then issue the duty imposition notification. Normally, it should take between three months to four months. So, now in the month of July, so, we anticipate that Anti-Dumping Duty may come on October / November.
Sneha Talreja : Understood, sir.
M. P. Taparia : But I get more than this idea as the Ministry of Finance and Directorate General of Trade Remedies , they will decide.
Sneha Talreja : Understood, sir. This was really helpful. Thanks. Thanks a lot, sir and all the very best to you.
Moderator : Thank you. The next question is from the line of Pujan Shah from Molecule Ventures . Please go ahead.
Pujan Shah : Hello.
M. P. Taparia : Yes, please.
Pujan Shah : Yes, I just wanted to understand on the price hike which happened in April and May. So, Reliance has announced a price hike of Rs. 3.5 per kg in PVC. So, I just wanted to understand that price has fallen up to the certain level that has impacted our pricing and ultimately it has returned to the inventory loss or what has happened in the scenario?
P. C. Somani : No, well, there was no price hike in April and May.
M. P. Taparia : The price has increased, and they dropped the price. So, net -net the price has dropped. Then what it was on 1st of April, the price was dropped in the month of June. Then they increased the

price and again they gave the scheme. They announced the price but then they gave the scheme. So, net -net the price has come down only.
Pujan Shah : Okay, got it. So, right now we should expect the price should be around Rs. 67 - Rs. 68 per kg.
M. P. Taparia : You know better. Yes.
Pujan Shah : Yes. So, I am talking on the JGM fund. So, we know that from the last 10 months - 12 months, there is a fund flow challenge in the JGM.
M. P. Taparia : The m oney has not come. Money has not come. They owe me Rs. 3.74 crores today , and they are owing for last more than six

months.
Pujan Shah : Yes. So, that is what I am trying to understand. So, what is your outlook in coming months? Do you think that this fund flow challenge will get resolved and green shoots be happening in coming months like I am talking about in August - September?
M. P. Taparia : My money is bound to come, I am sure.
Pujan Shah : Okay. Got it. So, full -fledged JGM is expected not soon.
M. P. Taparia : Money will come.
Pujan Shah : Okay. Got it. Thank you. Thank you so much.
Moderator : Thank you. The next question is from the line of Sonali from Jefferies India. Please go ahead.
Sonali : Sir, thank you for the opportunity. So, my question is if I actually look at segmental volume growth, packaging volume growth has been quite strong at about 10%. So, that despite again the PVC volatility. So, can you help us understand exactly what we did at this point in time? And also secondly, what is the channel inventory right now? You did mention in your media interview remarks that you are seeing no destocking now. So, how is the channel inventory now versus what it was in March?
M. P. Taparia : You have two questions you are asking. So, when you are asking packaging division, packaging division definitely made good business growth and there was no inventory loss in packaging division. And the demand for our cross laminated product and our protective packaging product, both segment demand is quite strong. In packaging film, we do not have extra capacity. Whatever capacity we have, we are already selling. So, this is a packaging film on plastic piping system , as I told earlier that we do not see any more price erosion around the price. And we have already indicated that we may grow between 15% to 17% in volume in plastic piping division this year.
Sonali : Got it, sir. That is it from my side. Thank you.

Moderator: Thank you. The next question is from the line of Keshav Lahoti from HDFC Securities. Please go ahead.
Keshav Lahoti : Hi, thank you for the opportunity. Sir, firstly, I want to understand your volume growth guidance for plastic pipe division , which was 12% to 14%. In spite of this being a muted quarter, you have raised your guidance to 15% to 17%. What is the thought process for the same?
M. P. Taparia : Last year, the business was in good shape starting from 11th July , when the prices started falling and they continuously fell up to March 2025 . This year, a lot of destocking took place. Now, there is no possible destocking. Now, people have to have proper stock. Now, people have no concern about price erosion. Going forward, the rains are quite bountiful. Demand for agriculture and demand for housing, both is going to remain very robust.
And w e have added several new range of products. We have added several additional distributors. We have added several additional SKUs. Now, SKUs are more than 15,000 numbers and we have a 45 system, and all the systems are well accepted. So, we are quite optimistic that the growth number in volume that we told you, we will achieve.
Keshav Lahoti : Okay, understood, got it. And what sort of volume for Wavin you are looking for this year as well as for next year?
M. P. Taparia : Wavin, actually they have capacity of 71,000 tons. It will come in our hand only from 1st August. So, this year, we hope that we may be able to sell 30,000 tons out of the volume of Wavin capacity. Next year, we will talk in the month of April next year.
Keshav Lahoti : Understood, got it. Sir, lastly, what is the progress on the OPVC pipes ? What sort of capacity you are adding? When will it come and what sort of volume you are looking for this year?
M. P. Taparia : We have two lines, the capacity is around 500 tons per month and we are getting orders.
Keshav Lahoti : Okay . What sort of capacity you plan to add? Earlier, you had a plan to add go till 32,0

00 MT
by April ‘28.
M. P. Taparia : The plan remains good even today. We have to come to that level by 2028.

Keshav Lahoti : Okay, got it. Thank you.
Moderator : Thank you. The next question is from the line of Meet from Motilal Oswal . Please go ahead.
Meet : Hi, sir. Thank you for the opportunity. First one is on our C PVC business. So, you are adding up our capacity there. So, in our pipeline of PVCs from up to 1 million tons, how much will be a part of C PVC or C PVC expansion has been done already?
M. P. Taparia : Out of 1 million ton, CPVC will be quite large, but that remains classified information.

Meet : Okay, no worries, sir. And further we dwell on the demand side, like of our growth estimates in the plastic piping system, so which segments or what gives you confidence of such a high growth if there is no restocking and which demand or segment wise pockets do you see the demand coming in from? Like in agri, residential, can you put some light on that?
M. P. Taparia : In our business combination, we are larger player in housing than agriculture. Infrastructure is a very small portion of my business. Housing demand is going to be quite good and we are also in the silent pipe . We are making silent pipe from PVC. Now from next month, we are going to launch on 18th August our silent pipe based on polypropylene. So, the range which was missing also will be available. Our PERT pipe system also very, very accepted.
Our polypropylene three -layer pipe system are also very, well accepted. So, so many new systems what we have launched, we anticipate that there will be good growth in housing segment also. So, combined number what we told you, that we will grow between 15 % to 17% by volume in this year.
Meet : Okay. And on the, lastly on this PTMT process, so any colour on that, how that segment is doing or in terms of testing and launches?
M. P. Taparia : We are adding several new varieties of bath heating based on PTMT. They are very, very accepted. We are going to launch a range of showers also . And our showers will be very large range which is going to be launched in next one to one.
Meet : Launch in another two months ?
M. P. Taparia : One - two month.
Meet : One - two months.
M. P. Taparia : Maybe in a month, in large, yes, please.
Meet : Okay, okay. Thank you so much.
Moderator: Thank you. The next question is from the line of S. Ramesh from Nirmal Bang Institutional Equities . Please go ahead.
S. Ramesh : Thank you and good evening. So, when you talk about the pipes for the gas sector, what is the kind of annual revenue you can expect from that and when will you start delivering those pipelines? And secondly, in terms of the margins compared to agriculture and housing segments, is there any improvement in margins in the gas pipeline sector?
M. P. Taparia : No, the gas pipe we just started so we cannot talk much more detail about the margin or about the volume. This is because first education order and we supplied, and we cannot give any quantum idea about how much business we will get this year. We cannot give. And between

housing, agriculture, housing definitely enjoy better margin. Agriculture is business with a low margin.
S. Ramesh : Okay. So, if you look at your results and the gross margin in that 33% range, do you see any levers to improve the gross margin and the share of the higher margin products improving in the next two years to three years? And secondly, in terms of the fixed cost, would you be able to get some operating leverage once you improve gross margin , what is the thought process then?
M. P. Taparia : Better we try this year when we told you 14.5% to 15.5%. Give your blessing s that whatever we are talking, we will succeed.
S. Ramesh : Okay. And finally, in terms of the variety of pl

astics including polyethylene, polypropylene and PVC which will possibly see an increase in supply based on the various petrochemical projects. How do you see the increase in supply helping the plastic proces sing industry including your Company ? And what are the areas you are working on including new applications in say PE, PP and your sister Company as an ABS project coming up. So, any thoughts there? Which are the new areas you would be exploring in the next two years to three years?
M. P. Taparia : Fortunately, India, the raw material supply is quite abundant. So, there is no concern about not getting raw material except PVC. But PVC is allowing import so there is no issue. Otherwise, all the materials are abundantly available in our country.
S. Ramesh : Okay. Thank you very much. Wish you all the best.
Moderator: The next question is from the line of Shravan Shah from Dolat Capital . Please go ahead.

Shravan Shah : Hi. Sir, for this quarter , for our industry, is it fair that the 6% growth that we have seen for plastic pipes, have we done better than industry growth?
M. P. Taparia : In this April we have good business of agricultural pipes. We are a player in agriculture and housing both. There are some players in plastic piping who are more prominent in agriculture and some players who are more prominent only in housing. So, I cannot give proper comparison with anybody else. It is for everything and both.
Shravan Shah : For average, if one has to look at 1st Quarter , how much industry would have grown?
M. P. Taparia : I have no number with me. So, I cannot give you a number. But I would say it would be larger than the industry.
Shravan Shah : Okay. And then for full year FY ‘26 , how do we see industry would be growing , at what rate ?
M. P. Taparia : We will be growing better than the industry. Industry may grow by around 9 % to 10%.
Shravan Shah : Okay. And then in terms of CPVC, that would definitely be more than 10% kind of growth would be there in CPVC?

M. P. Taparia : Not yet in CPVC . It is yet too early to tell.
Shravan Shah : Okay. Got it, sir. Thank you.
Moderator: Thank you. The next question is from the line of Parikshit Gupta from Fair Value Capital. Please go ahead.
Parikshit Gupta : Thank you very much for the opportunity. My first question is on the PVC resin price. You mentioned that the June as well as July month has observed a price decline from Reliance. However, the numbers posted for K6701 grade, there has actually been an increment. On May 1st, the price was around Rs. 71 averaged around the country, which is now around Rs. 75.6. Can you please tell me if there is some mistake in my understanding here?
M. P. Taparia : You may be checking the listed price, then you may not be knowing the discount what they give, what they give in some quantity discount. So, I do not think you know the correct pricing.
Parikshit Gupta : Understood.
M. P. Taparia : Well, when t hey give the monthly scheme. If you give so much, there is so much discount. If you give so much, there is so much discount.
Parikshit Gupta : No.
M. P. Taparia : No, you may not be knowing. And they have different pricing for different customers.
Parikshit Gupta : Okay. Understood. And just structurally, sir, if the prices because of either Anti-Dumping or maybe further supply demand scenario goes further up for PVC resin, would not that hurt margins for players such as ourselves? I know that the quantum of pass -through to customers will also matter here. But given upward trend in pricing, would not that hurt the margins?
M. P. Taparia : As of today, there is no upward trend. I only say there is no more downward trend. And upward trend, we do not know when the Anti-Dumping Duty will come. But some small increase will not affect the demand for the plastic packing system because this is the bes

t material for the given application where it is used. There is no other material which can compete with PVC.
Parikshit Gupta : Okay. Understood. Because most of the other companies or competitors have guided at least a 6% growth of prices in this financial year.
M. P. Taparia : They know better.
Parikshit Gupta : Anti-Dumping.
M. P. Taparia : They know better.

Parikshit Gupta : Okay. My second question, can you please tell me the split between the more commoditized pipes such as UPVC and the more value -added products, for example, CPVC, OPVC and how do you see that split going forward?
M. P. Taparia : Major market will remain always with UPVC in larger volume.
Parikshit Gupta : For Supreme, how much was the split, what was the share of UPVC in the last quarter?
M. P. Taparia : Very classified information. Thank you very much.
Parikshit Gupta : Okay, sir. Thank you. Thank you for answering my questions.
Moderator: Thank you. The next question is from the line of Pujan Shah from Moluccan Ventures . Please go ahead.
Pujan Shah : Thanks for the follow -up opportunity. In terms of OPVC, you said that we are receiving some orders and we are also seeing the markets like Gujarat is also opening up. So, in terms of understanding right now, so, one side, we are suffering from the J JM issue . Second is we are getting orders. So, can you just broadly help us to understand how we are getting this from the OPVC and how we are planning out? Do we are trying to tap in new type of opportunities for OPVC?

R.J. Saboo : Can you repeat? Actually, we are not very clear what you are asking.
M. P. Taparia : What we are asking? Yes, thank you.
R.J. Saboo : Please repeat it slowly , what you want to ask.
Pujan Shah : So, in terms of OPVC, in the last participant, you said that we are receiving orders for the OPVC part and also there is suffering from JJM fund flow challenge has been there from the JJm part. So, are we tapping in new opportunities for OPVC which can open up new market specific ? So, is that what we are trying to do or we are getting some orders from new states like Gujarat ?
M. P. Taparia : I must make it clear to you, OPVC is a limited market because it is a replacement of ductile iron pipe. And as on today , the ductile iron pipe between 110 mm diameter up to 315 mm diameter that only can be replaced at an economical cost to the user which are state government or municipal corporation for carrying water. So, it is a very small market on special segment only you can use OPVC pipe, and the sizes are very limited . There are being made which are starting from 110 mm. PVC pipe peopl e are making from 20 mm to 90 mm that is not made from OPVC. OPVC bigger market is 400 mm to 1.2 mm that is not made from PVC.
Pujan Shah : Right. Got it sir. But we are seeing that the new states like Gujarat has been opening up and so, just wanted to understand the order inflow in terms of OPVC. Are we seeing very green shoots in OPVC from this quarter?

M. P. Taparia : Dear friend, when I say our capacity is 1 million tons and OPVC my capacity is 6000 tons.
Pujan Shah : Right. Got it sir.
M. P. Taparia : Annually.
M. P. Taparia : So, 1 million ton and 6000 tons very small capacity.
Pujan Shah : Right. I agree.
M. P. Taparia : Okay.
Moderator: Thank you. The next question is from the line of Rahul Agarwal from Ikigai Asset s. Please go ahead.
Rahul Agarwal : Yes. Hi sir. Very good evening. Thank you for the opportunity. Sir, two questions both on cost saving initiatives. The annual report talks about the renewable energy now being 30% across Supreme Industries in terms of power and fuel cost. I believe the intention is to have over a longer term 100% of this coming from renewables. If I have to understand th

e power and fuel cost savings on a per ton basis or overall, Company basis, how should we understand that? That is the first question.
P. C. Somani : Yes. Going forward in every year, every month, we are looking how to increase the share of renewable energy. But with the constraints of discounts, constraint of regulatory approvals, etc., the last year we had a share of 21.45% of these from renewable. This year, we are targeting for the year should be 30% plus. All our plants, wherever we have the space, we are going with the solar and apart from our own plants, we are als o participating in the purchase of green energy from other sources. But although it is very easy to say how we should go for 100%, but in real life, because of the various regulatory challenges, you cannot. You have to remain dependent upon the discom and state power. But yes, from 21 to 30 this year and 35 next year , this is how we have to make progress .
Rahul Agarwal : So, Somani ji, is this like all the benefits are completely passed through in terms of pricing or do we retain something on the margin side? How does it work? Is it like completely volume benefits on sale volumes or is it like cost savings?
P. C. Somani : You are talking of energy, or you are talking of the prices of the product?
Rahul Agarwal : I am saying if we save money from renewable energy, do we decrease the selling price of the product?
M. P. Taparia : We have so many increased costs also, dear friend.
Rahul Agarwal : Yes, sure. I understand that.

M. P. Taparia : We balance all the costs together.
Rahul Agarwal : Okay.
M. P. Taparia : We don’t balance single cost , please.
Rahul Agarwal : Okay, sir. And second question, similarly on freight and forwarding, because we have seen new locations, new plants have been added. I think most of these savings are also getting passed through or is it some is the saving also part of the margin?
M. P. Taparia : I said the benefit of the lower freight is passed to my customer.
Rahul Agarwal : Okay, got it. So, that is basically leading to higher volumes.
M. P. Taparia : I get the lower cost of buying from my Company .

Rahul Agarwal : Got it, sir. That is all from my side, sir. All the best for the rest of the year.
Moderator: Thank you. The next question is from the line of S. Ramesh from Nirmal Bang Equities . Please go ahead.
S. Ramesh : Thank you for the follow -up question. So, if you are looking at your capacity utilization, it seems to be in the 60 % range. So, when you talk about improved performance over the rest of the year, what will be the capacity utilization by the end of the year?
P. C. Somani : The o verall capacity utilization for the Company should remain between 65 % to 70 % percent.
S. Ramesh : And after FY '26 ?
P. C. Somani : Many of the capacities come during the year. So, they are not available for the full year. So, we are going to take the opening capacity and then whatever capacity has been expanded during the year, which will come gradually. So, if you take the effective capacity for the year, then 65 % to 70% is the reasonable number what we achieve.
S. Ramesh : Okay. And beyond that, is it assuming that the market improves, can you go up to 80 % to 90 % say in future over the next two years - three years , is that possible? And will that give you, sorry?
M. P. Taparia : We will go on expanding our capacity.
S. Ramesh : Okay. Fair enough. Thank you very much.
M. P. Taparia : Thank you.
Moderator: Thank you. The next question is from the line of Utkarsh Nopany from BOB Capital . Please go ahead.

Utkarsh Nopany : Yes. Hi. Good evening, sir. Sir, my first question is on the pipe segment. So, just wanted to know like how has been the pipe demand from housing segment in June quar

ter compared to previous year? And if you could quantify our city pipe volume growth for June quarter?
M. P. Taparia : The housing demand was good, but we cannot quantify because many areas, agriculture pipe are used for housing also. So, we are not able to identify how much is going for housing, how much is going for agriculture. But our housing, the customer who are dealing in housing, their growth in the business, there is no degrowth. Degrowth came only from those customers who were dealing in agriculture pipe business only. Then the business became completely depressed in the month of June.
Utkarsh Nopany : Okay. And so, what would be your CPVC pipe volume growth for June quarter?
M. P. Taparia : This is classif ied information.
Utkarsh Nopany : Okay. And so, second question is regarding the channel inventory. So, if you could provide some color like how is the inventory level at the dealers? Is it at normal or below normal at the end of June?
M. P. Taparia : We may be b elow normal.
Utkarsh Nopany : Okay. And so, you expect the dealers to restock, start doing the restocking of inventory from September quarter onwards?
M. P. Taparia : No, it is coming from September.
Utkarsh Nopany : Okay. Thanks a lot, sir.
Moderator: Thank you. The next question is from the line of Shivkumar Prajapati from Ambit Private Limited . Please go ahead.
Shivkumar Prajapati : Thanks for having my question. Good evening, sir. So, my first question is, do we have an internal volume growth target across our product categories, say for pipes, furnitures, packaging? And if yes, then what is our target for the next three years?
P. C. Somani : Next three years?
Shivkumar Prajapati : Yes.
M. P. Taparia : No, we cannot talk anything about three years. This year only we can speak .
Shivkumar Prajapati : Okay. But sir, do we have some separate internal targets based on the segments that we operate or is it a console target?
M. P. Taparia : We have internal targets that we cannot share.

Shivkumar Prajapati : Okay , sir. And sir, would you be able to share the percentage of premium products as a percentage of total volumes or say total revenue?
M. P. Taparia : The impa ct we witness definitely.
P. C. Somani : For the 1st Quarter , it was 36.6% revenue from the premium products .
Shivkumar Prajapati : Okay. Thank you, sir. And sir, my next question is on this composite cylinder that we are trying to crack. So, right now it is very minimal . But as per your assessment, how used this opportunity can be?
P. C. Somani : Composite cylinder. You see, we have a capacity of one cylinder. Right now, we are not even

getting that capacity fully utilized. Now, this time we have got the letter of acceptance from BPCL . So, let us really get the continuous order intake for any expansion or any opportunity is meaningless.
Shivkumar Prajapati : Okay. So, sir, on a rough estimate, I mean, as per my estimate, suppose Rs. 2 ,700 per unit and there are around 30 crores plus LPG cylinders. And if we take a conversion ratio of say 5% to 10%, then the opportunity size comes within Rs. 4,500 -odd crores to Rs. 9,000 -odd crores. So, what do you think like, how far this conversion can be? I mean, in the next three years or five years down the line, do you see that the conversion would be 50% or 60% or something similar to it?
P. C. Somani : We wish whatever you are suggesting can happen. We have seen for the last seven years, how the things have moved. This is totally dependent upon the Ministry of Petroleum and Government , foresee and plan based upon that.
Shivkumar Prajapati : Got it, sir. Thank you so much. Best of luck.
Moderator: Thank you. The next question is from the line of Arun from ICICI Securities. Please go ahead.
Arun : Hi, sir. So, just one clarification. S ir, when I look at your raw material cost, it is at around

68.6%
against ballpark 68.1%. So, around 50 bps has increased. So, the inventory loss does not look so big based on these numbers. Am I missing something, sir?
P. C. Somani : Look, h ere, what you are saying is right . But you see , our total inventory has increased. And when the inventory gets increased, then the inventory is valued at cost, which includes your power fuel, which includes your other manufacturing overheads. So, those get added to the inventory valuation.
Arun : Okay.
P. C. Somani : So, the inventory valuation gets added with the overheads also. So, total material cost, what we are looking, would include the part of the overheads. That is why you are not finding the difference between the raw material cost that way.

Arun : Okay.
P. C. Somani : Overheads come in a separate line and the value gets added to the inventory.
Arun : So, part of it might be another expense?
P. C. Somani : We have a substantial increase of inventory in this quarter, about Rs. 167 crores .
M. P. Taparia : Yes, please.
Arun : Okay. And sir, even if you look at the other expenses, they went up dramatically. So, is this the way we should think these numbers should be broadly in that range or something one off in that?
P. C. Somani : No, other expenses I mentioned to you because of the inventory getting valued above the line and the overheads coming in the line. Our production has increased by 14%. Although our sales volume has increased only by 6%, but production has increased by 14%. So, certain overheads are linked to the production volume.
Arun : And second thing, sir, just with regard to our guidance, we had a guidance, we knew of Wavin acquisitions, we were expecting 30 ,000 tons - 35,000 tons even last quarter when we did the call on 24th of April. So, is there a demand change so dramatically between these two months post that?
M. P. Taparia : I do not know what to say.
P.C. Somani : No, in the 1st Quarter as mentioned earlier, because of the early breakout of monsoon, the June month was very bad.
Arun : No, no, sir, I appreciate that point. I am just trying to say is when we gave our guidance on 24th of April, that is after Q4 results, we knew Wavin acquisitions is happening, right? And 30,000 tons, you mentioned 30,000 tons - 35,000 tons even last quarter. So, basically, your core business is going to see much better growth. So, has the market conditions become so better in the last two odd months? Is that the case?
P. C. Somani : No, in our earlier guidance, we have not accounted any business from Wavin at that point of time. We wanted to have everything fall into place.
Arun : No, sir, you had mentioned clearly guidance for Wavin in the last calls. That is why you were saying, because you were saying industry will grow at 6 % - 8% and we will do a bit better at 7%. That was the thing we had mentioned at last.
M. P. Taparia : Not without Wavin, we said the we will grow better than the industry. Remember what we told? We said the plastic pipe industry grow 2 % - 3% more than the GDP growth.
Arun : Yes, sir.

M. P. Taparia : And we will grow 2 % - 3% more than the country growth.

Arun : So, basically now the industry goods look much better for us. So, the industry good looks much better now compared to what we saw in Q1.
M. P. Taparia : It will be better also and our Company will grow better than the industry.
Arun : Okay , sir. Thank you, sir. Thank you very much.
Moderator: Thank you. The next question is from the line of Praneeth, a n individual investor, please go ahead.
Praneeth : Hello.
M. P. Taparia : Yes, please.
Praneeth : So, I was wondering in terms of margin, I understand pipes is not a very margin accredited segment. So, in terms of the difference between the pipes sold to a

gri, what is the difference in margin for the piping division and what is the margin that can be for the value -added division? And one more question is regarding the pipes offtake in the agri segment ? I understand June has been a little off for agri. But how do you see the overall state and central policy affecting and in terms of rest of them, which states are completing the payments?
M. P. Taparia : Overall, for the full year, we believe the demand for agricuttural pipes will be better than last year. But the prices are low and farmers, now there are so many problems of water. They will spend money for development for any water supply to their field. So, we anticipate a demand from agri segment overall for the year will be better. In spite of whatever happened in last week of May and first half of June, demand will be better for the full year.
Praneeth : So, about the margins, like, what can we expect to the piping segment margins compared to the value -added segment margins? What could be the difference between that?
M. P. Taparia : The value -added segment is also part of piping system. Piping system, not only pipe, we have got more than 15,000 SKUs in piping system. And out of that, piping is very small number. We have got huge varieties of piping products we make. Injection molded, blow molded, fabricated, auto-molded, huge variety of products, which are all value -added items in piping system.
Praneeth : But like I was wondering, like I understand, but what could be the margin that we can expect to forecast for the pipes? Because you mentioned that for the value -added segment, the margin is higher for rest of them. So, I was wondering, because piping contr ibutes to majority chunk of the overall revenues, what can be the margin for that? And incrementally, as the contribution level changes to the overall revenues, how will…
M. P. Taparia : Pipes systems have better margin, otherwise I cannot earn 14.5%.

Praneeth : Understood.
M. P. Taparia : When we say 14.5%, we cannot earn to my measurement coming from piping system.
Praneeth : So, 14% is what we can expect from pipes also?
M. P. Taparia : We do not talk pipe only. We are talking piping system And piping system should be more than 15,000 SKUs.
Praneeth : Got it , sir. Thank you.
Moderator: Thank you. The next question is from the line of Anshit from CLSA. Please go ahead.
Anshit : Hello. Yes. Hi. Thank you, sir. Sir, can you repeat the value -added product sales number, please?
M. P. Taparia : First quarter, we sold Rs. 933 crores. Our overall turnover was Rs. 2,600 crores. And value - added was Rs. 933 crores.
Anshit : Okay, sir. And so, we expect this to be better than last year on a full year basis?
P. C. Somani : Sure.
Anshit : No, I am asking.
P. C. Somani : Yes, sure. It will be better. Definitely better.
Anshit : Yes. Okay. Thank you, sir.
Moderator: Thank you. The next question is from the line of Mr. Aasim from DAM Capital . Please go ahead.
Aasim Bharde : Yes, hi. Sir, I wanted one clarification or your comment on the plastic pipes capacity. So, earlier in this call, you said you will reach 1 million metric tons per annum by March of 2026. This was also your target earlier too. But in the AGM or rather in the chairman 's speech, it was mentioned that you will reach 9,40,000 by March 2026 and that included Wavin 70,000 -odd. Now, you are saying 1 million again. So, have you greenlighted one of both of those greenfield pipelines you are planning? And if yes, basically, what has changed in June end and now for that March 2026 target to increase to 1 million?
P. C. Somani : Now, this 9,40,000 which was mentioned was without Wavin, actually. It was, you can say, zero.
Aasim Bharde : Okay.
P. C. Somani : So, total will be 1 million.
Aasim Bharde : Okay. So, basically, no change. 1 million is the same number.

P. C. Somani : Correct.
Aasim Bharde : Okay. Fine. Okay. That is it. That is it from my end.
M. P. Taparia : Thank you very much.
Moderator: Thank you. The next question is from the line of Karan Bhatelia from AMC. Please go ahead.
Karan Bhatelia : Hi, sir. Thank you for the opportunity. Sir, I just wanted some clarity on the greenfield effects we were referring earlier at Bihar and Jammu. So, any concrete update on that?
M. P. Taparia : Now, as on today, we are doing nothing on Jammu land.
P. C. Somani : In Bihar also, we are not. Bihar and Jammu both.
M. P. Taparia : Bihar and Jammu, both the locations, we are not doing anything. We will be adding five new plants this year, three from Wavin. One plant we are putting for material system in Gwalior in Madhya Pradesh. And one plant in U.P. in Kanpur Dehat where we are putting a plan to make profile for windows.
Karan Bhatelia : Okay.
M. P. Taparia : Five new plants will be added to our existing 30 manufacturing plants.
Karan Bhatelia : Right. Sir, we were planning for one packaging unit near port. So, what about that?
M. P. Taparia : Up till now, we could not acquire the land.
Karan Bhatelia : Okay. Thank you. Thank you for the clarification . That is it from my end.
Moderator: Thank you. As that was the last question for the day, I now hand the conference over to the management for closing comments. Over to you, sir.
M. P. Taparia : Thank you very much. We are very thankful to all the queries who made very intelligent and very analytical questions. We are very thankful for the time and for the guidance to us. Thank you very much.
Moderator : Thank you. On behalf of DAM Capital Advisors Limited , that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Oct 2025

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Bandra-Kurla Complex,
Bandra (East),
MUMBAI -400051BSE Limited.,
Market-Operations Dept.
1 St floor, New Trading Ring,
Rotunda BIdg. P.J.Towers,
Dalal Street, Fort,
MUMBAl 400023
Sub.: Transcript of the earnings conference call held on Monday, the 27th October 2025.
Ref,: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015
Sirs
Pursuant to Regulations 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclose is the transcript of the earnings conference call held for analysts and investors following the announcement of the Un-Audited Financial Results for the Quarter and Half Year ended 30th September 2025 after the Board Meeting held on Monday, 27th October, 2025.
Please take the same on records
Thanking you,
Yours faithfully,
For The Supreme Industries Ltd.
(R.J. Saboo)
VP (Corporate Affairs) &
Company Secretary
Enc,.: a/a.
The Supreme Industries Limited
Regd. Office : 612, Raheja Chambers, Nariman Point, Mumbai 400021, INDIA.
CIN : L35920MH1942PLC003554 PAN : AAACT1344F+91 -022-6257 0000 / 6257 0025
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“The Supreme Industries Limited
Q2 FY'26 Earnings Conference Call”
October 2 7, 2025

MANAGEMENT : MR. M. P. TAPARIA – MANAGING DIRECTOR – SUPREME INDUSTRIES LIMITED
MR. P. C. SOMANI – CHIEF FINANCIAL OFFICER – SUPREME INDUSTRIES LIMITED
MR. R. J. SABOO –VICE PRESIDENT , CORPORATE AFFAIRS AND COMPANY SECRETARY – SUPREME INDUSTRIES LIMITED

MODERATOR : MR. AASIM BHARDE – DAM CAPITAL ADVISORS

Moderator: Ladies and gentlemen, good day, and welcome to Supreme Industries Q2 FY '26 Earnings Conference Call h osted by DAM Capital Advisors. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star t hen zero on your touchtone phone. Please note that thi s conference is being recorded.
I now hand the conference over to Mr. Aasim Bharde from DAM Capital Advisors. Thank you, and over to you, sir.
Aasim Bharde : Thank you, Bhoomika. So good evening to everyone here on the call for Supreme Industries Q2 and H1 FY '26 Results Conference Call. Firstly, I would like to wish everyone a Happy Diwali. From Supreme, we have with us the senior leadership team, as usual, wh o will discuss and talk about the quarter. And after this, we can open it for all of your questions. Thank you, and over to you, Mr. Taparia.
M.P. Taparia : Good evening, and thank you, Mr. Aasim. I'm M.P. Taparia, Managing Director of the Supreme Industr ies Limited. I, along with my colleague, Shri P.C. Somani, CFO; and Shri R.J. Saboo, Vice President, Corporate Affairs and Company Secretary, welcome all the participants who are participating in the discussion of the unaudited stand -alone and consolidated fi nancial results for the quarter and half year ended 30th September 2025.

The Standalone results and the consolidated results are already with you. I will give brief on Company’s Product Operating performance and other highlights.

1. The Company sold 338224 MT of Plastic goods and achieved net product turnover of Rs. 4951 Crores during the 1st half year of the current year against sales of 311912 MT and net product turnover of Rs. 4848 crores in the corresponding half year of previous year achieving volume and product value growth of about 8 % and 2 %, respectively.

2. The Consolidated Operating Profit and Profit after Tax for the Half year of the current year amounted to Rs. 656 crores and Rs. 367 crores, as compared to Rs. 772 crores and Rs. 480 crores respectively, for the corresponding period of the previous year, re sulting decrease of 15 % and 24 % respectively.

3. The business scenario of all the Product Segments of the Company for the 2nd quarter ended 30th September, 2025 as compared to the corresponding quarter of previous year has been as under: -
• Plastic Piping System business grew by 17 % in volume and 11 % in value terms.
• Packaging Product Segment business degrew by 2 % in volume and value terms.
• Industrial Products Segment business degrew by 8 % in volume and 14 % in value terms.
• Consumer Product Segment business grew by 6 % in volume and degrew by 1 % in value terms.

4. The overall turnover of value -added products increased to Rs. 1073 crores during the current quarter as compared to Rs. 907 crores in the corresponding quarter of previous year.

5. The Company has Net Cash Surplus of Rs. 49 crores as on 30th September, 2025 as against Cash Surplus of Rs. 944 crores as on 31st March, 2025.

6. Looking at better prospect in 2nd half of the year &Wavin capacity in place , introduction Silent Pipes &Window frame ,the Board has declared interim dividend @550% i.e Rs 11/ - on each share of Rs 2/ -(FV) each.

7. Business Outlook

World economy is going through a low growth phase. This has resulted in pressure on crude oil prices. Several new petrochemicals plants have gone into production and further additional plants are under construction. Combined effects of these economic deve lopments have put all Polymer price range in downward trend.

The company believes this downward trend may subside going

forward unless crude oil prices
go down drastically.

The Company is operating in various segments of the business. The Company has grown 8% in overall volume in first six months of this year. The Company expects to grow 12% to 14% in volume in this year.

Plastics Piping business growth in Agriculture application was adversely affected due to early arrival of monsoon. The rains remain active for extended period which has resulted in severe degrowth in Plastics Piping application in Agriculture. Central and State Governments have also provided less money in infrastructure segments related to demand in Plastics Pipe System.

This has resulted in lower growth in Plastic Pipe System in first half, Company has grown in First half of this year in Plastics Pipe System by 11% in volume. The Company expects the demand from Agriculture segment will rebound in second half of this year. The Company thus maintains its volume growth target between 15% to 17% in Plastics Pipe Segment for the current year.

The Company has successfully completed acquisition of WAVIN business. It has acquired Wavin's Plastic Pipe Business including three manufacturing Units situated at Banmore (Madhya pradesh), Thimapur (Telangana) and Neemrana (Rajasthan) having installed cap acities of about 71,000 MT per annum as a going concern on slump sale basis, effective 1st August,2025

The Company has also entered into Master Technology License Agreement with Wavin B.V. Netherlands, an Orbia group Company, to access on exclusive basis for India and other SAARC Countries, all its existing technologies and other new technologies to be deve loped during the period of seven years, pertaining to Plastic Piping systems for Building and Infrastructure segment effective from 1st August 2025. This acquisition and Licensing arrangement would pave the way for the business of the Plastic Piping divisi on to grow in terms of capacities, market reach and systems to handle WATER in an efficient manner.

Capacity expansions at various locations for Plastic Piping business and Protective packaging products are progressing smoothly. Company's plan to set up a new unit for material handling products at its newly acquired land at Malanpur (M.P.) to expand its footprint in central India shall be taken up in hand in next financial year along with other green field units at Bihar and Jammu for Plastic Piping division and in Western Maharashtra for Protective Packaging division for which requisite land is in poss ession of the Company.

Newly installed production equipment for PP silent pipe system in technical collaboration with M/s. Poloplast Gmbh of Austria have commenced production. Product with the brand "Serene" and Serene Plus" will be launched all over the Country in this month.

The Company is expanding its capacity and range of Electrofusion (EF) Fittings and exploring export market. The Company continues to invest and enlarge the product basket in all its divisions and to remain focused on increasing the range of value -added pro ducts.

Construction work at site for Profile window project is nearing completion. Initial production line equipment has been installed and production trials have commenced. The Company expects to launch commercial production in the market during December 2025. I nitial focus of the Company is to launch the customised Window in U.P., NCR & Haryana Region. The company would plan thereafter for more geographical reach within India with setting up of fabrication facilities in other parts of the country.

During the first half year of the current year, Company has made capex outflow of Rs. 869 Crs. including acquisition of Wavin Business. The company expects total cash outflow of about Rs.

1300 Crs. towards existing & new capital commitments including acquisition of Wavin Business. Entire Capex sh all be funded from internal accruals.

All other product divisions except Industrial Component division are faring well and envisage moderate growth during the year. The protective packaging product division is specifically driving its growth plan by increasing its product range and offerings for customized solutions. The same is yielding positive results a nd paving the way for achieving double digit volume growth and revenue milestone of Rs. 1000 crores for the year.

The Company has started execution of its awarded contract for supply of 2 lakhs nos. of 10 Kg. composite LPG cylinders to Bharat Petroleum Corporation limited (BPCL) and 2.31 lakh nos. of composite LPG cylinders from Indian Oil Corporation Limited (IOCL). The Company has also expanded its export market reach and witnessed fruitful results in terms of better capacity utilization. The division has also executed its first order of CNG Cascade Cylinders and expecting repeat orders.

This is a brief and overall summary for the quarter and half year ended under reference. Thank you, for your patience. Now, I and my colleague, Mr. P.C. Somani & Mr. R J Saboo, are available to reply to your various queries raised by all of you. Thank you very much.
Moderator: Thank you very much. We will now begin the question and answer session. Th e first question is from the line of Shravan Shah from Dolat Capital. Please go ahead.
Shravan Shah : Sir, a couple of questions. So first, I just wanted to understand, can you provide the Wavin volume in Q2?
M.P. Taparia: In Wavin volume, we sold 3,000 tons. We acquired in August 1st . We got 2 months, August and September..
Shravan Shah : Okay. And yes. So for full year, we were previously looking at around 30,000 -odd tons. So will that number remain same?
M.P. Taparia: Number remains same. But now as we have just started properly only from October, we believe this year, the sale may be around 20,000 tons in the 8 months.
Shravan Shah : Okay. So now, sir, considering the overall particularly the piping volume, so for 11-odd percent that we have done in the 1H. So to achieve 15%, 17% for full year, we need to have around 20% kind of a growth in the second half. So have we started seeing that kind of a momentum in the October itself?
M.P. Taparia: You have seen in the second quarter, we have grown by 17%. In first quarter, we have grown less due to segment got beating. But second quarter, we have grown already by 17%. So we are very confident. Now that rains have subsided and reservoirs are full with water, the agriculture market is going to come in a big way from November onwards.
Shravan Shah : Yes. So actually, my question is on that part only. So this quarter, so if you look at the Q -o-Q piping realization, which has gone up by close to 11 -odd percent. And given that, let's say, ADD maybe, let's say, come from the 1st November itself, where we are looking at INR4, INR5 per kg PVC price hike. So in that scenario, sir, two things. One is, is there any product specific changes? And that's why in the second quarter, piping realization has gone up by significantly 11-odd percent. And no w if the ADD comes and, let's say, INR5 hike is there from 1st November, so how one can look at the realization for the third quarter?

M.P. Taparia: I can't talk about ADD immediately, I can't talk anything about ADD. Volume, we will grow between 15% to 17%. In second quarter, volume -wise, we have grown by 17%. So we are fully aware of our responsibility. When we say 15% to 17% volume growth, which means second half, the volume should b e higher than 17%. Then only we can attain 15%.
Shravan Shah : Got it. And lastly, sir, on the margin front, EBITDA margin front. So in 1H, we have done 12.3 - odd percent. So last time, we were saying that around 14.5% to 15.5% kind of EBITDA margin for this year. So is th

ere any change? And if not, then we need to hav e a 17% to 19% kind of EBITDA margin in the second half to achieve this number?
M.P. Taparia: Generally in our business second half is better because first half, the three months of rainy season, the demand goes down, the margins are under pressure. And the raw material price is higher, already so much, there's not much scope now raw material price to fall unless the crude price goes down drastically.
Shravan Shah: Got it, sir. No. No. I understand. Even if, let's say, the prices remain stable, then also , Still we believe that we can see a 3%, 4% kind of EBITDA margin improvement from currently 12.3% to 17%, 16%.
M.P. Taparia: . We told them because our EBITDA margin for the full year will be between 14.5% to 15%.
Shravan Shah: Okay. Okay. Got it. Got it. And lastly, sir, now that we have a debt also versus the cash, which

has significantly now has reduced with the Wavin acquisition and the capex that we have -- are planning. So on the full year basis, how one can look at in terms of the debt level and also similarly for the finance cost?

M.P. Taparia: We have no debt level. We will not have any debt.

Shravan Shah: True, true, sir. On the gross front, we have INR240 odd crores debt. But given the capex is there, do we believe that the debt level will again will come down at a gross level .

P.C. Somani: At a gross level, whatever debt we have taken is very temporary in nature, it's short -term. By end of December, this will also go away.

Shravan Shah: Okay.

P.C. Somani: March '26, we'll be having a reasonable cash surplus in hand,

Shravan Shah: Okay. Okay.

P.C. Somani: There won't be much pressure on the capex payment now.

Shravan Shah: Okay, sir. I have further questions. W ill come back in queue. All the best.

Moderator: The next question comes from the line of Sneha Talreja from Nuvama.

Sneha Talreja: Good evening, sir, and thank you a lot for the opportunity. I just wanted to understand on the margins front, while we have seen quarter -on-quarter improvement in realizations, and even our

gross margins have improved, we've seen a fall in EBITDA margins. What would be the impact of Wavin losses that we would have seen this particular quarter?

P.C. Somani: At the operating level, Wavin does not give any negative margins. They are plus only.

Sneha Talreja: And what about inventory loss? Have we seen any inventory loss this particular quarter?

M.P. Taparia: Inventory loss for the first half, overall in the company, there is an inventory loss. The raw material price has fallen. That is not only PVC, CPVC, polyethylene, all the prices are dropping. So maybe inventory loss in the first half may be around INR50 crores to INR60 crores.

Sneha Talreja: Understood. Any other insight that you would want to give because of which EBITDA margins are lower on a quarter -on-quarter basis, leaving apart the depreciation impact because you've added substantial capacity in this particular quarter?

P.C. Somani: Because of the lower volume than anticipated, that's why the fixed cost, which is otherwise segregated on the larger volume, remained a portion on the lower volume. There is no specific reason for lower margin. And that's how we are anticipating good marg ins in the second half and overall margin for the year should remain between 14.5% to 15% at operating level.

Sneha Talreja: Okay, sir . And sir, could you speak about the demand on the ground? you have mentioned on the agri part and the infrastructure side that we could read in the press release. But h ow is the demand in general

M.P. Taparia: We deal mostly in agriculture and housing. The demand is going to look quite robust. In infrastructure, as on today, whatever demand is coming, they are not related to our pipe demand. We hope that now the rates have subsided, infrastr

ucture demand may come. We have to watch.
We are not a big player in the infrastructure market .

Sneha Talreja: Understood. But on the plumbing side, you continue to see demand being robust?

M.P. Taparia: Plumbing side and agri side, both sides, we expect robust demand in second half.

Sneha Talreja: Understood. And lastly, in case we can get some capex breakup, you have done substantial capex in the current quarter, leaving apart Wavin, which are the product segments where we have added capacity substantially?

M.P. Taparia: One is a window profile, which is around INR200 crores. Then a silent pipe system, we invested around INR80 crores.

Moderator: The next question comes from the line of Keshav Lahoti from HDFC Securities.

Keshav Lahoti: Sir, I want to understand on Wavin. So as you said, Wavin hasn't been profitable this quarter. So when we think the Wavin margin will be in line with company's margin? And what steps are you taking? Because earlier Wavin was loss -making. So what steps you are taking to possibly ramp up its operation and whether Wavin...

M.P. Taparia: Wavin price list has been changed to our price list. Wavin will be a regular margin just like us from November.

Keshav Lahoti: Got it.

M.P. Taparia: We have cut their various costs, staff costs and their ground costs. We have cutmany of their

costs.
P.C. Somani: Volume improvement, ultimately.
Keshav Lahoti: Got it, sir.
M.P. Taparia: Volume improvement, better utilization of the plant.
Keshav Lahoti: Understood. Got it. As the Wavin sale is ramping up, will it imply -- impact Supreme sale? And secondly, you plan to rebrand Wavin under Supreme, some of its sales. How are you planning going forward?
M.P. Taparia: Along with the Wavin asset, we've got 120 sales team member in our company. We've got 266 new distributor and dealers. So somewhere where our reach was poor, we got distributor and dealer, and our sales force has been strengthened by addition of 120 numbers...
Keshav Lahoti: Okay. Got it. As you -- one last question from my side. As you highlighted, INR50 crores, INR60 crores is the inventory loss in H1. So this was the same number in Q1. So possibly Q2 won't be having any inventory loss element. Is this understanding right? A nd secondly, still Q2 margin looks very subpar, 12.4%.
M.P. Taparia: Very difficult to say. A s some product, we might have gained something. But I think, we believe that whatever inventory loss was there, it is already behind us.
Keshav Lahoti: Got it. So what I'm trying to understand, still this quarter, your EBITDA margin is 12.4%, while year-on-year, the margin in Q2 FY '25 was 14% inspite of inventory loss. So you -- if we adjust for inventory...
M.P. Taparia: Maybe our raw material cost is lower rate or we maybe sell more value -added item. Value -added item with s higher margins. So very difficult to just quantify like that.
Keshav Lahoti: Understood. Got it.
Moderator: Thank you. The next question comes from the line of Vipulkumar Shah from Sumangal Investments. Please go ahead.
Vipulkumar Shah : Hi. Thanks for the opportunity. Why consolidated margin consolidated net profit is lower than the stand -alone profit? Any particular reason?
P.C. Somani: No. In the stand -alone profit, we have the income from dividend from Supreme Petrochem, which was INR43 crores in this half year .

Vipulkumar Shah: Okay.
P.C. Somani: Whereas consolidated, that goes away and the share of profit comes from the consolidated results.
Vipulkumar Shah: Okay. Okay. Thank you. So, none of the subsidiaries are making losses, right?
P.C. Somani: Yes, none.
Vipulkumar Shah: Okay. Thank you, sir.
Moderator: Thank you. The next question comes from the line of Shravan Shah from Dolat Capital. Please go

ahead.
Shravan Shah : Hi, sir. Sir, can you tell us with now 71,000 Wavin, our piping capacity is how much? And by end of this year, it will grow to how much?
P.C. Somani: Our capacity by end of March '26 would be 1 million plus. In piping system, I'm talking. For the company as a whole, it will be 1.2 million plus.
Shravan Shah : Okay. Okay. Got it. Got it. And in terms of this quarter, whatever growth that we have achieved on the volume front in the piping, will you help us in terms of the CPVC and the PVC ? Specifically CPVC growth was how much? And with Wavin -- and going forward, is there a broad -- any idea how the CPVC volume growth looks like?
M.P. Taparia: CPVC growth in the first half has gone up by 26% in volume.
Shravan Shah : For us ?
M.P. Taparia: For our company we are talking. We can talk about our company only.
Shravan Shah : Yes. No. I mean for industry would be a much lower number then ?
M.P. Taparia: Industry I have no idea.
Shravan Shah: Okay.
M.P. Taparia: I am seeing , Supreme Industries and growth is at 26% in the first half.
Shravan Shah : Yes. Got it. Got it, sir. I got the point. I was just trying to understand whether we have gained the market share or not on the CPVC front.
M.P. Taparia: I have no idea, but I believe this is my conjecture our market share must have gone up.
Shravan Shah : Got it. Because that may be the reason why the Q -o-Q plumbing realization has significantly increased. Maybe this quarter, we could have a higher share of the CPVC in the overall piping volume and that may be the reason the Q -o-Q realization, which is 11 %-odd increase. So , that's what I was trying to understand.

M.P. Taparia: Same is for our assessment. Yes, please.
Shravan Shah : Yes. And another, sir, in terms of last time, we have said that the JJM, so currently, how much broader our receivables are there? Is there any improvement on the JJM in terms of the government releasing funds?
M.P. Taparia: Total outstanding 17 days of the s ale.
Shravan Shah : Sorry, sir?
M.P. Taparia: 17 days of the sale remain outstanding. 17 days of s ale.
Shravan Shah : Okay. But we are not seeing any improvement there?
M.P. Taparia: 17 days, we are quite happy .
Shravan Shah: Okay. Okay.
M.P. Taparia: We are happy , 17 days comparatively company standard is quite low.
Shravan Shah : Okay. And sir, whatever the slightly lower reduction in the volume guidance, so leaving the plumbing, the three segments , so this is particularly from the industrial, that's why we are seeing a lower volume guidance?
M.P. Taparia: We have given 15% to 17% volume guidance. Now we are repeating same thing.
P. C. Somani For the company, 12% to 15%, I think it was the ...
M.P. Taparia: This is what we told in April. This is what we are saying today in October. There is no change.
Shravan Shah : No, sir, I think last time we were looking at 14%, 15% overall. And now we are looking at 12% to 14%. So , is the industrial segment is the reason and that's why we are seeing or giving a 1% or 2% lower ?
M.P. Taparia: Because the company’s business volume is very low . The company’s business volume is very low.
Shravan Shah : Okay. Got it sir.
M.P. Taparia: And the main segment is now volume in Plastic Piping System; we remembe r that we had guided for 15 -17% and we are maintaining the same percentage today.
Shravan Shah: Okay.And sir, any broader idea that this quarter in terms of overall the entire plastic pipe and plumbing volume growth would be how much for the industry?
R. J. Saboo : We could say we already stated for the year. For the quarter, we don’t know ...
M.P. Taparia: We have no idea. We can talk only about our company.

Shravan Shah : And for the industry for full year would be of 8%, 9%,

that's the fair number?
M.P. Taparia: Maybe . You can better talk to the Reliance Industries . They will be a better person, better position to reply to you.
Shravan Shah: Okay. Thank you, sir, and all the best.
Moderator: Thank you. The next question comes from the line of Kumar Soumya from Ambit Capital . Please go ahead.
Kumar Soumya : Hi, sir. Good afternoon. Sir, just one question. If you could just give a little more clarity on the margin as to what should be the annual number -- annual margin we should be looking at? And what is the number that you think should be deliverable at least in the FY '26 ?
M.P. Taparia: Annual turnover should be between INR11,000 crores to INR11,500 crores and our operating margin should be between 14.5% to 15%.
Kumar Soumya: Got it. Got it. And sir, what is the capex that we are looking at from the second half perspective?
M.P. Taparia: We believe overall capex should be around INR1,300 crores. But depending on how we are able to order book the order as we are negotiating. In first half, we paid INR869 crores as capex outflow. And as my colleague has told you, we will be having a reasonable good cash surplus on 1st of April 2026.
Kumar Soumya: Yes, sir.. Thank you, sir. That will be all. I'll come back in the queue . Thank you.
M.P. Taparia: Thank you.
Moderator: Thank you. The next question comes from the line of Raman KV from Sequent Investments. Please go ahead.
Raman KV: Sir, I joined the call a little late. I just want to understand there has been a big increase in the inventory levels. So can you give the reason why there is an increase in the inventory levels? And going ahead, if we are converting this inventory to our revenue in the coming quarters, will there be an impact on the margins? Because my understanding is we will sell this inventory at a lower level?

M.P. Taparia: No, we will price the inventory realization value. And we believe that the polymer price have come close to bottom only unless the crude price goes down dramatically. The crude price can go down a very low level , but today, prices are hover ing between $62 to $ 65 Brent Oil. If will go to $55, then we may have inventory loss, b ut we cannot predict about the crude oil price going forward.
But this is quite a low price of crude oil, which is prevalent today in our country, in the world actually a very low pri ce. So people don't anticipate otherwise i f it goes very low, then exploration will come down. And there may be a shortage of crude oil later on going forward.

Raman KV: No, I just want to understand what's the primary reason for increase in the inventory levels?
M.P. Taparia: We have a good business in second half.
Raman KV: Okay. The busin ess was good in the second half?
M.P. Taparia: We gave good capacity and good prospect for second half. And this is our business experience of many years and second half all business will be better than first half.
Raman KV: Okay. Thank you, sir.
M.P. Taparia: Thank you.
Moderator: Thank you. The next question comes from the line of Utkarsh Nopany from company BOB Capital Markets. Please go ahead.
Utkarsh Nopany : Yes. Good evening, sir. Sir my first question regarding the pipe segment margin. So if we see our pipe segment EBIT margin was down by roughly 250 bps on a Y -o-Y basis. Despite we have seen a pretty good volume growth of 17% in this quarter. Our share of value -added product has also gone up quite sharply say which was earlier 40%, now it has gone up to 45%.
And what we understand that last year, we booked an inventory loss of INR 40 crores a nd whereas this year we have not seen any inventory loss in September quarter. So can you please, sir, help us understand what is the reason for the margin contraction in the pipe segment?
M.P. Taparia: In first half, we lost around INR 60 crores i

n inventory.
Utkarsh Nopany : Sir, w e have booked INR50 crores to INR60 crores inventory loss in June quarter only. And so if we are saying that we have booked INR50 crores, INR60 crores inventory in the first half, that means that there was no inventory loss in the September quarter?
M.P. Taparia: Second quarter, there was too much rain. So the prices have to drop down. This was a slack season. Second quarter is a slack season period due to pipe demand – pipe demand get affected due to rainy season. The second quarter ma rgin will be always low, but we try to give the off - season discount to the customer.
R. J. Saboo : And there was an extended rainfall also.
Utkarsh Nopany : No, sir. Like my reason was that like we have not seen any negative operating leverage. We have seen positive operating leverage benefit only because our volume was up 17% and our realization on the quarter -on-quarter was up pretty sharply. But fine, sir, I will just take it offline, sir, from you. Sir, my second question was...
P.C. Somani: If you are looking at EBIT margin, EBIT Wavin coming into hold from August onwards, the depreciation has increased definitely.
Utkarsh Nopany : Okay.

P.C. Somani: So that's why the EBIT margin would be impacted.
Utkarsh Nopany : Okay. Got it, sir. Sir , my second question is on the i ndustrial and packaging segment volume. So what we have seen that the Industrial segment volume was down even on a we ak base of last year. And even p ackaging segment volume also came under pressure in September quarter. So what could be the reason for the same?
M.P. Taparia: In my opening remarks, I said all ou r division worked well, except i ndustrial component division. The demand from our customers who are making the primary product in the market, the demand was low in the second quarter and p ackaging segment due to rainy season demand was low.
Packaging demand is going to have a good grow th this year. We informed that p ackaging division business will grow by double digit this year and may reach INR1,000 crores this year, which is a significant achievement for the company. After plastic piping division, the division which is going to reach INR 1,000 crores is protective packaging division in the company.

Utkarsh Nopany : Okay.
Moderator: Thank you. The next question com es from the line of Navid Virani from Bastion Research. Please go ahead.
Navid Virani : Thank you for the opportunity. Sir I have a couple of questions regarding Wavin. So we see that when we have acquired Wavin, we have also acquired some technology with it. So the first question, which I want to ask is when do we expect these acquired technologies to start benefiting our p iping segment?
M.P. Taparia: We have told that we have entered into technology license agreement that they have got several technologies in the portfolio. We have to decide whic h technology we want to take. Option is given to us, we are studying, we are develo ping on the market first of that product and then only we will enter into an agreement to acquire any technology. Once we acquire any technology license, we will inform all our partner immediately.
As on today, we have still not started negotiation for acquiring any technology. We have got a license from them that we have full authority on exclusive basis to acquire any of the technology which is in the portfolio, which will decide when we meet in January, we may be able to dwell on some technology and then we will inform to everybody.
Navid Virani : Sure. Thank you for that clarif ication , very clear. Next I wanted to understand the overall outlook of the business, let's say, in 3 years to 5 years in terms of exports. So from what I'm able to understand right now, the export as a percentage of our total business today is very small. So how are we planning to build those -- th

e exports business a nd what can be the contribution of exports, let's say, 3 years , 5 years down the line? Is there any target which we are working with?
M.P. Taparia: Earlier we were exporting only through our Dubai office. Now we have put more resources. We're opening another market. So we are very optimistic that our export busi ness will go on

growing quarter -after-quarter. Percentage, I can't say. We wanted to reach 5%. As on today, we are less than 3% of our turnover.
Our aim is to increase the target of export as much as possible. In India, generally, there is too many constraint on boosting export of plastic product, but they are now being handled by the government, central government, state government also very effec tively. So we hope that ex port will start growing quarter -after-quarter from now.
Navid Virani : Noted. And the packaging segment, is it right to assume that the packaging segment will lead the charge as far as export business is concerned?
M.P. Taparia: Plastic piping and packaging both.
Moderator: The next question comes from the line of Mehul from NMV Securities.
Mehul: Yes. So Wavin's turnover for FY '24 was INR1,000 crores. So if I assume the similar turnover in FY '25 and the capacity is around INR 71,000 crores -- 71,000 metric ton s. So realization per metric ton is around 1.35 lakhs, so which is broadly simila r for Supreme Industry as well.
But if I see this, the Supreme Industry is currently trading around INR 50,000 crores. And if I divide it by the capacity which currently Supreme Industry have, which is 8.70 lakh metric tons. So Supreme Industry is trading around 5.74 lakh per metric tons, whereas the company, the Wavin you bought, it's around 41,000 per metr ic ton.
P.C. Somani: Mehul, I think your understanding is wrong of the subject. Wavin turnover, what you're looking for FY '24 was inclusive of their tank business, which they have divested in '24, '25. So piping turnover, what we have acquired was less than INR600 crores.
M.P. Taparia: Earlier, Wavin turnover was along with the Vectus turnover. Wavin Vectus is marketing Vectus tanks.
Moderator: The next question comes from the line of Vandit Shah from Abakkus Asset Management LLP.
Vandit Shah : Sir, I just had one question. How is the inventory levels currently with the dealers? Is it normal or still we are waiting for a restocking of inventory?
M.P. Taparia: As per us, it may be lower than normal.
Vandit Shah : And do you believe that with the restocking might happen in the October & in the November month before the ADD comes in or in November, December months?
M.P. Taparia: So without ADD also, they have to start buying as when the peak season time. From November to May, the demand remains robust of plastic piping division. So they have to maintain and service their customers.
Moderator: The next question comes from the line of Karan Bhatelia from Asian Markets Securities.

Karan Bhatelia : Sir, in the first quarter, we mentioned that we executed our PE piping order for gas applications. So you want to throw any light with respect to the FY '26, '27 visibility on revenue?
M.P. Taparia: Now we have DVGW approval for our fitting also. So now we are the only company who is able to supply pipe and fitting both from the same company. So we are very optimistic now that going forward, we will be able to meet the requirement of several gas comp any, pipe and fitting together.
The schedule was issued in last week only. So we can talk better when we reach in the month of January, but we expect growing business. Business is not going to be very large, but it's a prestigious business, and this can help us to serve the community bet ter.
Karan Bhatelia : What can be the market for this piping...
M.P. Tap

aria: Comparing to our business of INR8,000 crores, INR 9,000 crores of plastic piping, this can not be a large bu siness. This might be below INR 50 crores.
Karan Bhatelia : Right. And sir, any update on the greenfield facilities for the plastic piping over the next 2 years?
M.P. Taparia: Plastic piping, next 2 years, I'm not aware today. But we hope that we growing better than the industry . We told earlier also the industry grow 2% more than GDP. We must grow 2%, 3% more than the industry.
Karan Bhatelia : Last time we were awaiting land approvals at Bihar and Jammu.
M.P. Taparia: Jammu, we have still not started. Land is in our possesion . Land in Bihar also in our possession . But there we still not started any manufacturing activity. First, we will take up to put the plant at Bihar and Jammu will come later. We hope that all the capacity should be up and running in 2027 first half.
Moderator: The next question comes from the line of Vipulkumar Shah from Sumangal Investments.
Vipulkumar Shah: Are we required to pay any royalty to the Wavin for using their technology?
M.P. Taparia: Whenever we acquire technology, we have to pay them royalty.
Vipulkumar Shah: Sorry, sir?
M.P. Taparia: Whenever we acquire a new technology from them, then on all the technology turnover, we have to pay them royalty.
Vipulkumar Shah: But on this 71,000 tons of capacity, we will not be paying any royalty, right?
M.P. Taparia: We already paid them INR 260 crores.
Vipulkumar Shah: Okay. And sir, since we have very little cash left, what is your capex guidance for next year, sir?
M.P. Taparia: Next year, capex will tell you in April .

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.
M.P. Taparia: We thank you very much for a very intelligent questions, and we hope that we have satisfied all the questions raised by our partners. Thank you very much.
P.C. Somani: Thank you, everyone.
R, J. Saboo : Thank you, everyone.
Moderator: On behalf of DAM Capital Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jan 2026

SH/13/2026
28th January, 2026
National Stock Exchange of India Ltd.,
Exchange Plaza, 5th floor,
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Bandra-Kurla Complex,
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People who know plastics besl
SSE Limited.,
Market-Operations Dept.
1st floor, New Trading Ring,
Rotunda Bldg. P.J.Towers,
Dalal Street, Fort,
MUMBAI 400023
Sub. : Transcript of the earnings conference call held on Wednesday , the 21st January, 2026.
Ref.: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations ,
2015
Sirs
Pursuant to Regulations 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations , 2015, enclose is the transcript of the earnings conference call held for analysts and investors following the announcement of the Unaudited Financial Results for the Quarter and Nine Months ended 31st December , 2025 after the Board Meeting held on Wednesday , 21st January, 2026.
Please take the same on records
Thanking you,
Yours faithfully,
For The Supreme Industries Ltd.
C'~
(R.J. Saboo)
VP (Corporate Affairs) &
Company Secretary
Encl.: a/a.
The Supreme Industries Limited /
'
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–'

"Supreme Industries Limited Q3 FY'26 Earnings
Conference Call "

January 21, 2026

MANAGEMENT : MR. M.P. TAPARIA – MANAGING DIRECTOR , THE
SUPREME INDUSTRIES LIMITED
MR. P.C. SOMANI - CHIEF FINANCIAL OFFICER , THE
SUPREME INDUSTRIES LIMITED
MR. R.J. SABOO - VICE PRESIDENT (CORPORATE
AFFAIRS) & COMPANY SECRETARY , THE SUPREME
INDUSTRIES LIMITED
MODERATOR : MR. AASIM BHARDE - DAM CAPITAL ADVISORS
LIMITED

Moderator : Ladies and gentlemen, good day and welcome to Supreme Industries Q3FY ’26 earnings conference call hosted by DAM Capital Advisors Ltd.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing ‘*’ then ‘0’ on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. A asim Bharde from DAM Capital Advisors Ltd. Thank you and over to you, sir.

Aasim Bharde: Thanks. Good evening, everyone. I would like to welcome you all on Supreme Industries Q3FY ’26 Results Call .

We have the Senior Management of the Company with us on the call, led by Mr. M P Taparia, the Managing Director, to whom I hand over the call now. Thank you and over to you, sir.

M.P. Taparia: Thank you. Good afternoon. Thank you very much, Mr. A asim. I am M.P. Taparia – Managing Director of Supreme Industries Ltd. I, along with my colleagues Shri P.C. Somani – CFO and Shri R.J. Sab oo – Vice President (Corporate Affairs) and Company Secretary, welcome all the participants who are participating in the discussion of the unaudited standalone and consolidated Financial Results for Quarter and 9-Month Period ended 31st December 2025.

The Standalone results and the consolidated results are already with you. I will give brief on Company’s Product Operating performance and other highlights.

1. The Company sold 522018 MT of Plastic goods and achieved net product turnover of Rs. 7582 Crores during the Nine months of the current year against sales of 474645 MT and net product turnover of Rs. 7336 crores in the corresponding Nine months of previous year achieving volume and product value growth of about 10 % and 3 %, respectively.

2. The Consolidated Operating Profit and Profit after Tax for the nine months of the current year amounted to Rs. 980 crores and Rs. 520 crores, as compared to Rs. 1103 crores and Rs. 667 crores respectively, for the corresponding period of the previous year, resulting in a decrease of 11 % and 22 % respectively.

3. The business scenario of all the Product Segments of the Company for the 3rd quarter ended 31st December 2025 as compared to the corresponding quarter of previous year has been as under: -

• Plastic Piping System business grew by 16 % in volume and 10 % in value terms.
• Packaging Product Segment business grew by 2 % in volume and degrew by 2% value terms.
• Industrial Products Segment business remained flat in volume and grew by 1 % in value terms.
• Consumer Product Segment business grew by 8 % in volume and 5 % in value terms.

4. The overall turnover of value -added products remained at Rs. 1118 crores during the 3rd quarter of the current year against Rs. 961 crores in the corresponding quarter of the previous year achieving growth of about 16%.

5. Business Outlook

World economy growth is affected by geopolitical tensions in several regions. This has resulted in extreme volatility in commodity prices. Combination of these factors have resulted in lower growth in world economy in the year 2025. The company believes th is downward trend has now reversed. Polymer prices have started upward trend. The polymer producers have gone through quite tough time. It has resulted into closure of several petrochemical plants and/or running at quite low capacity. Combined outcome of these actions has put brake in erosion of the pric es of polymers . Starting from the calendar year 2026, the Polymer prices have started upward movement.

The Company is operating in various segments of the business. The Company has grown 10% in overall volume and by 13% in Plastic Piping

business in first nine months of the
current year. The Company expects to grow overall in volume between 12% to 14% and 15% to 17% in Plastic Piping Business during the year over previous year.

Plastics Piping business growth is now coming back to normalcy as continuous downward price trend has been arrested. Driven by good monsoon, favourable economic conditions encompassing housing, agriculture and infrastructure in the last quarter of FY26 will put good demand growth in the year. The company is well equipped to meet increased demand of its piping product portfolio.

Newly launched PP silent pipe system in technical collaboration with M/s. Poloplast Gmbh of Austria has been well received in the market. The Company is expanding its range of Electrofusion (EF) Fittings and bath ware products.

The Company continues to invest and enlarge the product basket in all its divisions and to remain focused on increasing the share of value -added products.

Capacity expansions at various locations for Plastic Piping business and Protective packaging products taken in hand are nearing completion and shall be available for full Fiscal year 26 -27. As informed earlier, new greenfield plant/capacities shall be tak en up for execution in next financial year. Three units acquired through Wavin Business acquisition are fully integrated and realigned and shall be available for their full potential from February onwards. Total Installed capacities of the Plastic Piping B usiness shall reach to 1 million MT per annum by FY 2026 .

Project execution at site for Profile for window is nearing completion. Production trials have commenced. The Company expects to launch commercial production in the market from February 2026.

During the first nine months of the current year, Company has made capex outflow of Rs. 1031 Crs. including acquisition of Wavin Business. The Company expects total cash outflow during this year will be around Rs.1200 Crs. towards existing & new capital commitments including acquisition of Wavin Business. Entire Capex shall be funded from internal accruals.

All other product divisions are faring well and envisage moderate growth during the year. The protective packaging product division is specifically driving its growth plan by increasing its product range, expanding capacities and offerings for customized s olutions.

The Company has fully executed LOI for supply of 2 lakhs nos. of 10 Kg. composite LPG cylinders to Bharat Petroleum Corporation limited (BPCL). Company has received further LOI for supply of 2 lakh nos. of composite cylinders to BPCL which shall be execute d in current quarter. The Company continues to work to expand export geographies and participate national and international exhibitions in the field of energy and Gas.

This is a brief and overall summary for the quarter and nine months ended under reference. Thank you, for your patience. Now, I and my colleague, Mr. P.C. Somani & Mr. R J Saboo, are available to reply to your various queries raised by all of you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Shravan Shah from Dolat Capital. Please go ahead.
Shravan Shah: Thank you, sir. Sir, first on the volume front. So, this quarter Wavin volume was how much?

M.P. Taparia: Wavin was a part of it. After all, they are making the same product that we are making.
Shravan Shah: Okay.
M.P. Taparia: So, we cannot say how much volume is from Wavin. But we now have acquired Wavin's customer s also. More than 180 customers have joined our Company . And they made the same product that we were making. Only some range, very small range were different. So, you can see the part of overall volume of 16% growth in the quarter was due to Wavin also.
Shravan Shah: Okay, got it. And sir now

, given that now we are maintaining the piping volume growth of 15 % to 17%, that means for the 4th Quarter of '26, the ask rate is 20% to 27%. Are we confident that this will be done? Given also, if you can throw light in terms of how the PVC prices have increased till now, and how do we see given the China that VAT will be applicable from the 1st April. So, before that, is there a possibility that further price of PVC can decline?
M.P. Taparia: You put these questions together. Basically, this quarter onwards, the demand for agriculture comes full way. Demand season starts from March. And this quarter will include the month of March. So, demand for agriculture segment comes in always big way after the harvesting of crops that happens end of February. And already sugarcane is being harvested. So, we are seeing the demand coming for agriculture sector. So, we are quite confident that the growth this quarter will be adequate to justify our guidance of 15 % to 17%. We are quite confident. In 3rd Quarter we have grown by 16%.
Shravan Shah: We are , true.
M.P. Taparia: Prices now have started hardening. First thing I say, they stopped going down. The PVC world booking prices had gone down to $580. And currently have moved up to $640. And the rupee also has become weak. Earlier it was Rs. 89 and now it has grown to Rs. 92. And the local maker fixes the price based on import quality. So, as the PVC price has gone up and the rupee is depreciating further and China is putting some restriction on the export from 1st April 2026, w e anticipate the price may go further up little bit.
Shravan Shah: Got it. Sir, now on the margin front. So, in the 9 -month and even this quarter also our overall EBITDA margin is 12.1%. And even if we exclude the labour code extra 15 crores also. Then also 12.3%. But we were looking at previously 14.5% to 15%. So, now how one can look at the margin for 4th Quarter. And even let's say going forward for FY '26-'27 how one can look at the margin ?

M.P. Taparia: '26-'27 we will talk in April. For the current year now, we have revised our guidelines. And we now believe that our margin will be between 13.5% to 14%.
Shravan Shah: But sir, that also means that in the 4th Quarter we are looking at minimum 15 %-16% plus kind of a margin.
M.P. Taparia: It's a mathematical calculation sir; anybody can do it please.
Shravan Shah: Okay . And lastly sir, finance cost, other income and profit from associate all these three things , particularly other income and profit from associates has c ome down and finance cost has gone up. So, how one can look at on the quarterly run rate basis ?
P.C. Somani: You see finance cost increase s are temporary. For this funding the CAPEX plan totally for the current year , so some short -term borrowings have been taken , not compromising on the liquidity of the balances. That's why finance cost is a bit higher in this quarter . It was there in last quarter. Going forward we will again be having a good surplus in hand. Our CAPEX plan has already been funded. As mentioned Rs. 1,031 crores outflows has been made . And other income mainly consists of the surplus being generated from the liquid balances. Since we had a healthy operating balance of Rs. 950 crore s, we invested in liquid schemes which has come down. So, that is a temporary phase. And ultimately, we want to put our money for business purposes. Investment is not the core activity.
Shravan Shah: True. So, in Q2 the other income was Rs.15.5 crores and now it came to close to Rs. 3.8 crores . So, from Q4 again can we see a Rs. 8-10 crores kind of a number. Or this kind of a number is a normalized one that one can look at ?
P.C. Somani: You can start seeing from next year. It is not in this quarter. Because this quarter we have to wipe out the small borrowing that we have t

aken. So, the interest cost will come down. Finance cost will come down. And the finance cost is again combination of actual borrowing as well as IndAS accounting , IndAS accounting also.
Shravan Shah: And even for profit from associates for 9 -month also significantly from Rs. 88 crores to Rs. 50 crores has come down.
P.C. Somani: Supreme petrochem business as we have seen yesterday are not to the expectation level what we expect. And that is the result of that one.
Shravan Shah: Okay. Thank you sir. And all the best.

Moderator: Thank you. Our next question comes from the line of Praveen Sahay from PL Capital. Please go ahead.

Praveen Sahay: Thank you for opportunity. Can you give the capacity number for all the three verticals. And as well as the kind of a CAPEX you have done , what kind of a capacity you are looking for FY '27 for all four verticals.
P.C. Somani: For FY '27 we will talk in April.
Praveen Sahay: So, right now if you can give the capacity ?
P.C. Somani: As mentioned last time also plastic piping will be 1 million ton . And other three segments. Packaging, industrial …
P.C. Somani: So, total will be 12.2. So, there is no t much addition into the other segment in any case.
Praveen Sahay: Okay. Got it , sir. Second question is related to the cylinder. So, you mentioned that the 2 lakh of cylinders already executed and the 2 lakh of LOI you have. How much of the revenue have generated and expected from the pipeline of LOI?
P.C. Somani: No. I think we have mentioned into the declaration to stock exchanges also this 2 -lakh cylinder will generate revenue around Rs. 54 crores .
Praveen Sahay: 54 crores you had already generated with the execution of a 2-lakh cylinder of LOI?
P.C. Somani: Correct.
Praveen Sahay: And the similar amount you are expected to do again ?
P.C. Somani: Correct.
Praveen Sahay: Thank you , sir. I will come in queue.
Moderator: Thank you. Our next question comes from the line of Utkarsh Nopany from Anand Rathi. Please go ahead.
Utkarsh Nopany: Hi. Good evening , sir. What I wanted to understand on the demand side , so in the opening remarks it was mentioned that the plastic pipe demand is now coming back to the normalcy. So, in this context I want to understand whether we meant that the channel has started refilling inventory or we are also seeing signs of demand improvement at consumer level in the January month compared to the previous December quarter.
M.P. Taparia: Now normal demand started going up and you are right. The destocking was taken to a very extreme level. So, now because there is no t much chance of price going down also, the normal stocking has started and going to continue. Now this is the pre -demand period from January to June of plastic piping system and we are entering now to the pre -demand period.

Utkarsh Nopany: Sir, so like are we seeing signs of improvement in demand for plumbing and infra pipe in the January month compared to December quarter period , sir?
M.P. Taparia: We are finding improved demand.
Utkarsh Nopany: Okay. And sir like is the press release like it was mentioned that we are planning to put up a greenfield plant in FY '27. So, sir can you please provide some more details regarding the location and the timeline of those new plants?
M.P. Taparia: Two plants. One is near Gwalior that is Malanpur and other plant in Bihar near Patna.
Utkarsh Nopany: Okay. And sir those plants are expected to become operational in FY '27?
M.P. Taparia: They should be operational by FY '28.
Utkarsh Nopany: Okay. Thanks a lot , sir. These are my questions .
Moderator: Thank you. Our next question comes from the line of Sonali from Jefferies. Please go ahead.
Sonali: Thank you for the opportunity. Sir , I have only one questi

on. So, PVC price has again from point -to-point from October -to-December it has gone down by about 7% QOQ. I am sure there would have been some element of inventory loss this quarter. So, is it possible for us to quantify that?
M.P. Taparia: Very difficult to . It is not only in PVC the polymer price has gone down , across the board. All the polymer PVC, polyethylene, polypropylene, CPVC all polymer prices have gone down. We believe in first 9 -month Company might have taken a hit of between Rs. 100 crores to Rs. 120 crore s in 9-month operation which resulted in our giving lower guidance of operating margin.
Sonali: Understood , sir. And just one more if I may ? In the remarks that Mr. Somani said about the higher interest cost , we said that we had short -term borrowings for the funding. So, is this regarding the Wavin funding that we spoke about?
M.P. Taparia: No, for Wavin it is routine funding. It was very small amount Rs. 132 crores and now th at is all being paid back.
Sonali: Understood. And the interest cost is likely to normalize from Q1FY '27. Is that right?
M.P. Taparia: Yes. There is no doubt about it.

Sonali: Understood. Thank you , sir and all the best.
Moderator: Thank you. Our next question comes from the line of Rahul Agarwal, Ikigai Asset. Please go ahead.

Rahul Agarwal: Hi sir. Good evening. Thank you for the opportunity. Sir just wanted to know your thoughts on the industry , for the entire PVC industry. If you look at the 9 -month s gone by, any comments could you offer on how the PVC industry would have grown and market share for Supreme because Supreme overall has grown 10% on volumes in 9 -months. What could be the volume growth for the industry and are smaller players losing market share? What is happening?
M.P. Taparia: Industry growth you can get from raw material producer, please.
Rahul Agarwal: Sure sir.
M.P. Taparia: I can give you the growth of the Supreme Industr ies, please.
Rahul Agarwal: Yes sir. I understand that. Anything on the smaller player side? Is there consolidation in the industry?
M.P. Taparia: We know our sales have gone up in plastic pipe system.
Rahul Agarwal: Alright , sir. No problem. Thank you so much and best wishes for the year.
Moderator: Thank you. Our next question comes from the line of Keshav Lahoti from HDFC Securities. Please go ahead.
Keshav Lahoti: Hi. Thank you for the opportunity. Just a follow up. As to have I understood correctly, so your interest cost which has increased in this quarter to 12 crores possibly will reduce in Q4 and maybe from FY ’27 onwards the quarterly run rate would be 4 crores -5 crores . Is this a fair assessment?
P.C. Somani: You are right.
Keshav Lahoti: Okay. And how will the other income move which has taken a…it is only 4 crores this quarter earlier which used to be 15 crores . How will this number be in Q4 and possibly maybe FY ’27 some sort of guidance?
P.C. Somani: As I mentioned, this is not our core activity. It was deployment of surplus funds available in hand. Since we are using money for our businesses, so again depends the activity for the business how much it is about. It all depends upon the availability of liquid funds in hand.
Keshav Lahoti: Understood. What I am trying to get it, is it due to working capital? Possibly there was some stretching of working capital that has led to possibly more utilization of funding in business in this quarter?
P.C. Somani: Absolutely. For the current year, since the production capacities were being utilized optimally, the working capital has been increased particularly on the inventory side not on the receivables which will come down once the 4th Quarter is over.

Keshav Lahoti: Understood. Got it. Earlier you have you know sort of indicated your C

PVC volume growth was
26% in H1. How has been the growth in this quarter?
M.P. Taparia Total growth in 9 -month is 30%.
Keshav Lahoti: 30% implying 40% kind of C PVC volume growth in Q3 ?
M.P. Taparia: In 9-months we have grown 30%.
Keshav Lahoti: Got it. One last question from my side sir. How is the channel inventory possibly, can you compare how is the channel inventory at September and how has it moved in December and how is it moving now in January when PVC prices are rising, have started to rise?
M.P. Taparia: We don't know. But we only know that when they place their order, they go on following very vigorously that please dispatch the goods very quickly. When they place their order, they follow very intensively, please displace very quickly.
Keshav Lahoti: Okay. Got it. That is helpful. Thank you so much.
Moderator : Thank you. Our next question comes from the line of Sneha Talreja from N uvama. Please go ahead.
Sneha Talreja: Thank you for the opportunity team. I just wanted to get a sense in demand. How are we seeing on ground demand at this point of time and how do you see moving for various segments like PVC, C PVC in case you can give some numbers there ?
M.P. Taparia: Demand for every product is reasonably good now. The economy is growing well and the product price has gone quite low and the demand for housing, agriculture, infrastructure, all are going quite well now.
Sneha Talreja: Yes, but if at all we have to put some volume numbers in place that how much would be industry demand volume growth, it would be 8 to 9 or probably 10 to 12, some sense there would be helpful ?

M.P. Taparia: We told now that piping system will grow between 15 % to 17 %, which necessarily means our growth will be more than 16 % in this quarter.
Sneha Talreja: Sir, I was speaking more from the industry perspective, industry group. This is your outperformance over industry, but how much can industry be growing at the moment?
M.P. Taparia: Check with raw material producer, please.
Sneha Talreja: Sure, sir. Thank you.

Moderator: Thank you. Our next question comes from the line of Meet from Motilal Oswal. Please go ahead.
Meet: Thank you, sir. Sir, I have one question regarding the capacity that you are setting up in FY '27. Can we get the understanding how much capacity are we setting up across the two locations for what we discussed ?
M.P. Taparia: Actually, we are planning to add 100,000 ton s overall as on today.
Meet: That will include what?
M.P. Taparia: Precise number will be told to you in the month of April.
Meet: Okay. And this will include all the PVC , CPVC and other value -added products as well ?
M.P. Taparia: All product segment what we are dealing in, in plastic piping system. And other product also. All together as on today, this is a plan, but precise plan we will share with you in the month of April.
Meet: Understand. Okay. Also, sir, in terms of the industry. So, one thing that we are hearing about is that China has been lifted the export rebate that they were offering to their exporters. And from the understanding that we are seeing, the prices of PVC can increase going ahead. So, can you comment on that?
M.P. Taparia: Already, the international offers which are coming to India are already high. As I told earlier, it has gone down up to $580 here in India. And now you cannot get any booking below $650. So, prices from the bottom level has gone up by $70 in last one and a half month. So, the trend has been reversed. Many producers because they were having too much loss , many capacit ies were running at low capacity and some plants were actually closed also. Demand supply balance is now started. People don't want to go and make it anymore if they are losing money.
Meet: Understood, sir. Thank you so much.
Moderator : Thank you. Our next question co

mes from the line of Tejas Pradhan from Citigroup. Please go ahead.
Tejas Pradhan: Hi, sir. Most of my questions were already answered, but just as a continuation of the last query. So, going forward, how much increase would you expect in domestic PVC prices? I know you mentioned $70 increase has already happened. Do you think this is the quantum of increase or further increase is also possible?
M.P. Taparia: Dear friend, in such an uncertain atmosphere in the world, how can you forecast the price? We are incapable to forecast. We only know very well now that price erosion has been arrested. And price has started going up. Now, how much can go up? Very difficult to say. You can't forecast nowadays. In such an uncertainty, so many wars taking place, so many locations. So, much

uncertainty. We are going through first of all, VUCA, volatility, uncertainty, complexity. Such a business atmosphere. But we know that all the polymer producers, not only P VC, other polymer producers also , some people close d their plant permanently. Some people temporarily close d. Some people put their plant for maintenance shutdown. Some people are running at low capacity because they are all losing money. And you can't forecast about crude price. Today, crude is around 60 to 64. Suppose, crude price goes down to $40 , nobody knows what can happen to crude price. If that happens, then polymer price will go down for sure. If crude price can go down to $40, which happened in 2008, who can forecast nowadays? V ery difficult to forecast. In such a complex world economy, you can't forecast.
Tejas Pradhan: Sir, no problem.
Moderator: Thank you. Our next question comes from the line of Vipul Kumar Shah from Sumangal Investments . Please go ahead.
Vipul Kumar Shah: Hello. So, is it possible to share CP VC volume for this quarter and 9 months ?
M.P. Taparia : In 9 months , we have grown by 30%.
Vipul Kumar Shah: You would not like to share the absolute volume?
M.P. Taparia : Very classified information.
Vipul Kumar Shah: Okay. Thank you, sir.
Moderator: Thank you. Our next question comes from the line of Ronak Ostwal from Arihant Capital Market Ltd. Please go ahead.

Ronak Ostwal: Thank you for taking my question. Can you tell us how the industrial product segment is doing? Because it was facing challenges, especially from the discretionary side. And also, on the rural side, how the demand activity is there right now?
P.C. Somani: Our industrial segment consists of three segments, three product divisions. Industrial component, material handling and cylinder. Material handling and cylinder are enjoying a moderate growth. We are getting good business of material handling products. And also in the composite cylinder. But the supply of component to automotive or to appliance sector, automotive sector is still doing better and encouraging. But the appliance sector is in turbulence time, you can say. Whether it is the appliances or washing machine or the refrigerator or air conditioner, cooler or something. So, that industry, the models to which we are supplying the component, if they are doing fair or better, we are also in better shape. Which is not the case in the current year. Industrial component to appliance sector is tough time and seeing a degrowth compared to previous year.

Ronak Ostwal: Okay. Thank you, sir. On the rural side, how the demand is there right now, especially on the price segment?
M.P. Taparia : Demand is quite okay. Rural side we are catering to our tarpaulin and our plastic pipe system. And demand is quite okay.
Ronak Ostwal: Thank you, sir.
Moderator: Thank you. Our next question comes from the line of Priyanka from Value Prolific. Please go ahead.
Priyanka: So, I guess the Supreme Industr ies is growing so

rapidly and have an ambitious plan for future.
I just wanted to get the understanding about the succession planning to ensure the stability that the Company will have in future also ?
M.P. Taparia: They will do better than us.
Priyanka: Can you please elaborate on that?
M.P. Taparia: Our two grandsons are also now involved in the business. And we are confident that they will do better than us.
Priyanka: Okay. Thank you. Thank you for your time.
Moderator: Thank you. Our next question comes from the line of Ud it Gajiwala from YES Securities. Please go ahead.
Udit Gajiwala: Hi, sir. Firstly, congratulations on great set of volume growth for the quarter. And I just wanted one follow up. In the start of the year, you were mentioning that you were looking at a 12,000 crores topline for 'FY26. Like we agree that you have maintained your volume growth guidance. Would you throw some light on this number if you have revised that downwards?
P.C. Somani: Even the topline, you see, polymer prices, they are coming down. So, instead of 12,000 crores , now we are maintaining 11,000 crores to 11,500 crores .
M.P. Taparia: Topline will definitely go down when the polymer price falls down between 12 % to 20 %. Topline is bound to go down.
Udit Gajiwala: Sir. I completely agree. I just wanted to derive some sense. That's helpful, sir. Thank you.
Moderator: Thank you. Our next question comes from the line of Shaleen Kumar from UBS India. Please go ahead.

Shaleen Kumar: I just w ant to understand, t oday's PVC price is still below last quarter average PVC price. And I hear you saying that demand is coming back, but your last quarter volume was also pretty solid. So, I just want to be sure, how are we certain of 200 basis point to 300 basis point margin improvement that we are looking in the 4th Quarter ? So, what are the levers we have for that?
M.P. Taparia: I don't follow. What is the question?
Shaleen Kumar: Sir, we are looking at like the margin guidance for the next quarter.
M.P. Taparia: We expect a better volume that will reduce some manufacturing cost.
P.C. Somani: And the erosion partly due to the falling price is being arrested. It's being arrested now. So, there won't be any inventory losses .
Shaleen Kumar: Okay. So, is it possible to quantify what kind of inventory losses we had in 3rd Quarter ?
P.C. Somani: So, for the overall 9-months , I think the figures have been given between 100 crores to 120 crores. You see the prices are so falling continuously , it's really difficult to quantify on a month - to-month, quarter -to-quarter basis. That's why we have estimated for a period of 9-months, what is the impact .
Shaleen Kumar: Fair enough, sir. If you put them equally, that basically explains probably 100 basis points to 150 basis points margin compression.

P.C. Somani: For nine months, it is. Ye s. Right.
Shaleen Kumar: So, that's something which we believe that we can gain back if the price remains stable.
P.C. Somani: Correct. The 4th Quarter , we don't envisage any margin loss on the account of the inventory losses. And going forward, you don't know. Predicting any price movement is very difficult.
M.P. Taparia: We believe that there is no price erosion now. Because this is the seasons time now.
Shaleen Kumar: But is the price enough for you to improve the margin from here?
P.C. Somani: Prices are always passed upon. So, there is no issue in the margin. But once whatever inventory you are carrying, if the value is getting eroded, then you are selling at a lower price, lower margin.
Shaleen Kumar: Fair enough, sir. Alright. That's it for my side. Thank you so much.
Moderator: Thank you. Our next question comes from the line of Arun Bai d from ICICI Securities. Please go ahead.

Arun

Baid: Hi, sir. My question was, we have a capacity of 1 billion tons of pipe by the end of this financial year. So, when do you expect it to be utilized fully? By which year?
M.P. Taparia : Normally, if we utilize 70%, we should be happy. So, we should expect that we should be able to sell 70% capacity next year.
Arun Baid: And the second thing is , with regard to assuming there are no more PVC price cuts, which is not expected. So, will we bring it back to a historical range of 15 %-16% margins, assuming there are no more price fluctuations , PVC on the downward trend at least ?
M.P. Taparia: 15%-16% margin, I don't recall.
P.C. Somani: 14% and up to 15% is the normal margin, normal scenario.
Arun Baid: So, operating average will play out, b ecause our volumes will go up. So, still you are expecting around 15%?
M.P. Taparia: We will decide and we will talk to you in the month of April for next year, please.
Arun Baid: No, sir. I am not talking next year. I am just saying assuming PVC doesn’t correct from here anymore and you have the volume growth which we expect to come through , will we be doing 15%-16% margin in that case?
P.C. Somani: Yes, for the quarter, yes. Because of the higher volume, our manufacturing cost, our administrative cost gets spread around the larger volume. And that's how for the year we are targeting 13.5% to 14% margin.
Arun Baid: So, actually my question was for a longer term, not for the quarter .
P.C. Somani: That's why I am saying for longer term perspective in the normal scenario, it is 14.5% to 15% is the operating margin we expect. Now depending on the new product launch, depending on the product mix, definitely we are trying to improve it further. Whether it's a quarter percent, half percent, it all depends upon the plan of the new product launches and success.
M.P. Taparia: We are happy to say that every quarter we are increasing the share of value -added product.
Arun Baid: Yes, sir. Exactly, sir. That's why I was trying to say that things are looking better. Thank you.
M.P. Taparia: Okay, thank you.
Moderator: Thank you. Our next question comes from the line of S anil Jain from Ambit Capital. Please go ahead.

Sanil Jain: Hi, sir. Thanks for the opportunity. So, I have two questions. So, I just wanted to know what is the current capacity of PP silent pipes and what is the pricing on that?
M.P. Taparia: Capacity is 3 ,000 ton s per annum. Okay. And pricing depends on the various factors . There are hundreds of products in the system. So, every product has a different price. Price is a very elaborate word actually. But it is a premium product.
Sanil Jain: Understood. And second, on the OPVC segment, what is the expected capacity planned and what is the CAPEX outlay for the same?
M.P. Taparia: Currently we have got already capacity to produce around 8 ,000 tons annually.
Sanil Jain: Okay.
M.P. Taparia: Currently , and it is not utilized fully. Buying from government department, central government is very slow for water supply. But we believe that demand will start picking up now. We are getting many inquiries now onward. So, we hope that we will be able to sell a good portion of the capacity next year.
Sanil Jain: But we are not looking to like add capacity on it?
M.P. Taparia: Once this capacity is sold out, then we definitely will add.
Sanil Jain: Okay. Understood. Thanks. That is all from my side.
Moderator: Thank you. Our next question comes from the line of Yogesh Mittal, an Individual Investor.

Please go ahead.

Yogesh Mittal: Sir, thank you for the opportunity. Sir, so I just wanted to know if it is possible to throw some light on PVC pipes versus the metal pipes like the GI pipes and cast-iron pipes. How does the interplay happen for the demand when the prices changes in between them? And how is the demand in ter

ms of like what is the market? What is the general market trend in terms GI pipe versus the PVC pipe?

M.P. Taparia: The application where PVC pipe is used, metal is no substitute. PVC pipe has no substitute like metal. Metal is very expensive, too much weight, too short life. PVC good pipe has got very good life.

Yogesh Mittal: Right, sir.

M.P. Taparia: Earlier cast iron pipes are being replaced by PVC and at most of the places they are replaced. Cast iron pipes you don't see much in use now in India.

Yogesh Mittal: Right, sir. So, thank you for your answer, sir. Thank you.

Moderator: Thank you. Our next question comes from the line of Shailly Jain from Dolat Capital. Please go ahead.

Shailly Jain: Hello, sir. Thank you for the opportunity. Sir, most of the questions are being answered. I just wanted to have an idea about what is the gross debt and cash number for us in 9 months ,at the end of 9-months ?

P.C. Somani: As of 31st December ?

Shailly Jain: Yes.

P.C. Somani: The net debt is 132 crores.

Shailly Jain: And gross debt?

P.C. Somani: No, this is the total debt. What I am saying is, net debt is the net of the surplus balance available.

Shailly Jain: Net of, ye s.

P.C. Somani: 132 crores.

Shailly Jain: Okay. And, sir, it would be great if you could just provide us with the data inventory and payable number. , working capital?

P.C. Somani: Inventory, you can say it is 1,900 crores. Receivables about 568 crores and payable about 1,100 crores , whole put together, all liabilit ies.

Shailly Jain: Okay. Understood, sir. Sir, as we have indicated that our finance costs will go down, so how are we looking at our debt in FY ’27?

P.C. Somani: No. We want to remain debt -free. That is our commitment.

M.P. Taparia: We will be debt -free 1st April itself on 31st March only.

Shailly Jain: Okay, t his year ?

M.P. Taparia: We will have a good amount of cash surplus in our books on 31st March 2026.

Shailly Jain: Okay. And, sir, what would be our CAPEX number for FY ’27?

M.P. Taparia: April we will discuss.

Shailly Jain: Okay. Sure, sir. Thank you so much.

Moderator: Thank you. Our next question comes from the line of Varun Jalsaria from 36 0 ONE Capital. Please go ahead.

Varun Jalsaria: Hi, sir. Thank you for the opportunity. Sir, just wanted to have some sense on the packaging product division. Like, how is it progressing? What is the demand like for that segment? Packaging segment?

P.C. Somani: Protective packaging is growing by 10% in volume. And margins are quite good, double digits.

Varun Jalsaria: So, this is for the full year, you are saying?

P.C. Somani: For the quarter also, for the full year also.

Varun Jalsaria: Okay. So, the demand is good there. I mean, t hat is not a problem , right?

P.C. Somani: Demand is good. We are offering many customized solutions. Fabricated products.

Varun Jalsaria: And secondly, sir, on the PVC window business, could you give us an idea, like, how is it progressing? Any, in terms of value, volume and that's part of the piping division, right? If I am not wrong.

M.P. Taparia: As of t oday, it's a separate division , we are supplying in the next Month . And, we will be selling windows only, no profile. We anticipate we may be able to produce around 250,000 windows every year. It will take some time to sell the capacity. And when the capacity is sold, we have plans to go on expanding.

Varun Jalsaria: Sir, what will be the revenue potential from this business?

M.P. Taparia: In excess of 3 00 crores, full capacity .

Varun Jalsaria: And currently, how much are we doing?
M.P. Taparia: We will start sales from next month only.
Varun Jalsaria: Okay. So, as of now, it's not contributing any revenue ?
M.P. Taparia: Nothing .
Varun Ja

lsaria: And, so, the non -pipe segment, only packaging, you're expecting a growth. And for industrial, you don't expect any growth for this quarter, or maybe for next year as well ?
M.P. Taparia: We expect growth in material handling. We expect growth in furniture. We expect growth in productive packaging. Every segment, we are expecting growth, except industrial component business .

Varun Jalsaria: Okay, sir. Thank you, sir. And any capacity expansion that we are taking in packaging, that was planned for this year?
M.P. Taparia: We are planning , next year.
Varun Jalsaria: Okay, sir. Thank you.
Moderator: Thank you. I would now like to hand the conference over to management for closing comments.
M.P. Taparia: We are thankful to all the analysts who raised the question. We were impressed by the very analytical question raised by them. We thank all of them for the time taken to ask several questions to clarify. Myself and my colleagues thank all of them. Thank you.
Moderator: On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you very much.

Call: May 2026

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